

STRATEGIC MANAGEMENT

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**CENTRE FOR
DISTANCE AND
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NMIMS Centre for Distance and Online Education

Director, NCDOE: Dr Priya Mary Mathew

Advisory Committee:

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Deputy Registrar
NCDOE

Dr Vikas Gaundare

Assistant Professor
NCDOE

Dr Brinda Sampat

Director-CIQA
NCDOE

Author: Thomas L. Wheelen, Formerly with University of Virginia, Trinity College, Dublin, Ireland

J. David Hunger, Formerly with Iowa State University, St. John's University

Alan N. Hoffman, Bentley University

Charles E. Bamford, University of Notre Dame

Purva Kansal, Panjab Univeristy, Chandigarh

First Reviewer: Prof. Sandeep Khedkar, Assistant Professor

Second Reviewer: Prof. Abhijit Bhagwat, Assistant Professor

General Editors (Language): Dr Urmila Rai

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CONTENTS

CHAPTER NO.	CHAPTER NAME	PAGE NO.
1	Basic Concepts of Strategic Management	01
2	Social Responsibility and Ethics in Strategic Management	47
3	Environmental Scanning and Industry Analysis	73
4	Organizational Analysis and Competitive Advantage	120
5	Strategy Formulation: Business Strategy	167
6	Strategy Formulation: Corporate Strategy	197
7	Strategy Formulation: Functional Strategy and Strategic Choice	230
8	Strategy Implementation: Organizing and Structure	266
9	Strategy Implementation: Staffing and Directing	303
10	Evaluation and Control	332

STRATEGIC MANAGEMENT

CURRICULUM

- 1. Basic Concepts of Strategic Management:** The Study of Strategic Management Globalization, Innovation, and Sustainability: Challenges to Strategic Management, Theories of Organizational Adaptation, Creating A Learning Organization, Basic Model of Strategic Management, Initiation of Strategy: Triggering Events, Strategic Decision Making, The Strategic Audit: Aid to Strategic Decision Making
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- 4. Organizational Analysis and Competitive Advantage:** A Resource-Based Approach to Organizational Analysis—Vrio, Business Models, Value-Chain Analysis, Basic Organizational Structures, Culture, The Strategic Audit: A Checklist for Organizational Analysis
- 5. Strategy Formulation:** Business Strategy: A Framework for Examining Business Strategy, Mission and Objectives, Business Strategies, Strategic Alliances
- 6. Strategy Formulation:** Corporate Strategy: Corporate Strategy, Directional Strategy, Portfolio Analysis, Corporate Parenting
- 7. Strategy Formulation:** Functional Strategy and Strategic Choice: Functional Strategy, The Sourcing Decision: Location of Functions, Strategies to Avoid, Strategic Choice: Constructing Scenarios
- 8. Strategy Implementation:** Organizing and Structure: Strategy Implementation, What Must Be Done?, How is Strategy to be Implemented? Organizing for Action, Flexible Types of Organizational Structure, Reengineering and Strategy Implementation

9. Strategy Implementation: Staffing and Directing: Staffing, Leading, Action Planning

10. Evaluation and Control: Measuring Performance, Balanced Scorecard Approach: Using Key Performance Measures, Using Benchmarking to Evaluate Performance, Strategic Information Systems, Problems in Measuring Performance

1

CHAPTER

BASIC CONCEPTS OF STRATEGIC MANAGEMENT

1.1	The Study of Strategic Management
1.1.1	Phases of Strategic Management
1.1.2	Benefits of Strategic Management
1.2	Globalization, Innovation, and Sustainability: Challenges to Strategic Management
1.2.1	Impact of Globalization
1.2.2	Impact of Innovation
1.2.3	Impact of Sustainability
1.3	Theories of Organizational Adaptation
1.4	Creating a Learning Organization
1.5	Basic Model of Strategic Management
1.5.1	Environmental Scanning
1.5.2	Strategy Formulation
1.5.3	Strategy Implementation
1.5.4	Evaluation and Control
1.5.5	Feedback/Learning Process
1.6	Initiation of Strategy: Triggering Events
1.7	Strategic Decision Making
1.7.1	What Makes a Decision Strategic?
1.7.2	Mintzberg's Modes of Strategic Decision Making
1.7.3	Strategic Decision-Making Process: Aid to Better Decisions
1.8	The Strategic Audit: Aid to Strategic Decision Making
1.9	Summary
1.10	Key Term
1.11	Review Questions
1.12	Class Discussion Case
1.13	Multiple-choice Questions
	Appendix 1.A: Strategic Audit of a Corporation

NOTES

AMAZON INDIA—GETTING STRATEGY ALIGNED WITH THE MARKET



Strategy is about aligning the organization around those resources, capabilities and initiatives that will differentiate it in the market. Amazon has been a study in business success for revolutionizing the online retail industry while hastening the downfall of many other online stores and brick and mortar stores. This success is attributed to not only a grounded business model but also the flexibility in the strategic processes with a desire to learn from the competitive and customer environments.

Amazon started as an online bookstore in 1994 with a very simple business model. The main features of the business model work are:

- To source a single product from a wholesaler and sell it directly to the consumer on the Internet.
- To have a user-friendly website to help with this business model.

By 1997, they were the first online retailer to boast of 1 million customers. In June 2013, the company decided to enter India because of its billion-plus population and a large untapped e-commerce market. Amazon saw India as its source for the next much needed spurt in the profits. After maturity in the US and in the UK markets, the company perceived India as its next source of growth. Market gurus predicted Indian e-commerce market to be worth around \$100 billion by 2020. However, they also realized that doing business in India would not be an easy feat. Since India liberalized in the early 1990s, many companies have tried to enter into the market with low to moderate success. Companies have managed to succeed in niche markets, however, majority of them have failed to see the kind of success they had anticipated. The ones which have succeeded have done so because they learned to do business the Indian way. For example a leading beverage company entered India with a typical global business model—sole ownership of distribution, an approach that raised costs and dampened market penetration. The company's managers in response to unique Indian market challenges contracted out distribution to entrepreneurs, cutting costs and raising market penetration.

Learning from such examples, Amazon knew that it would have to change its very business model in order to succeed in the Indian market and defeat local players like Snapdeal and Flipkart.

In order to enter a market which had majority of its population living in rural areas, where the preferred mode of payment was cash and an underdeveloped infrastructure, the company realized that it required an innovative business and strategic model. The unique consumer behavior was not the only problem which it faced. In order to demotivate “foreign multibrand” retailers from taking over the market, the Indian government had enacted a rigid Foreign Direct Investment (FDI) policy. To respond to these key challenges, Amazon concentrated on the long-term play rather than on short-term profits. It took the following steps:

- Because of the strict FDI policy, Amazon needed to find products to sell in the Indian market which already had a large number of goods manufacturers who sold the product locally. These manufacturers because of concerns of cost, time and complexity of transactions had refused to venture onto the e-commerce platform. Therefore, in order to get them as partners, Amazon started the “Chai Cart”. In this strategy, Amazon tried to lure small Indian business owners on to its platform over a cup of tea. The Chai cart offered chai, water or lemon juice where its executives and trained staff tried to discuss process of online selling.
- To adapt to the infrastructure requirements, Amazon used a centralized shipping platform. Under this particular scheme, the company offered its customers an FBA i.e. Fulfillment By Amazon (a pay-as-you-go service where Amazon packs, ships and delivers products on behalf of the sellers for a cost). It has further introduced easy shipping and seller flex platforms in India. In this case the company hired couriers to pick up packaged goods from the seller and deliver them to the consumer. This “neighborhood” approach has benefited Amazon by speeding the delivery process in some products. In order to facilitate its courier services, Amazon Transportation Services Pvt. Limited utilizes bicycles, motorcycles etc., for deliveries into urban and rural communities.
- To penetrate the rural market, the company had also enlisted small shop owners in rural India as delivery platforms. These shopowners have access to Internet and the local community can go to the shops to browse and select goods from Amazon.in. The store owner gets the delivery of the products and collects the cash payments from Amazon.
- To deal with a very heterogeneous market, the company tailored strategies to fit the homogeneous segments in the Indian market. Therefore, Amazon ended with multiple business models in India. It has a US style FBA system in India, which is an easy shipping model and also a seller flex



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N O T E S

1-1. Discuss the benefits of strategic management

platform. Amazon concentrated on cultivating an ecosystem for itself which included suppliers, customers, financial institutions, distributors etc. It has followed the fundamental of localize-adapt-localize.

This reinvention of the business model and strategy requires a constant analysis of the environment, and an ability to ensure that the basics of the company keep up with the customer expectations, and the crafting of the new competitive advantage.

1.1 THE STUDY OF STRATEGIC MANAGEMENT

Strategic management is a set of managerial decisions and actions that help determine the long-term performance of an organization. It includes environmental scanning (both external and internal), strategy formulation (strategic or long-range planning), strategy implementation, and evaluation and control. Originally called *business policy*, strategic management has advanced substantially with the concentrated efforts of researchers and practitioners. Today, we recognize both a science and an art to the application of strategic management techniques.

1.1.1 Phases of Strategic Management

Many of the concepts and techniques that deal with strategic management have been developed and used successfully by the largest business organizations in the world as well as the newest start-ups. Over time, business practitioners and academic researchers have expanded and refined these concepts. One of the most critical drivers of business success is a leader's ability to design and implement a strategy for the company. Increasing risks of error, costly mistakes, and even economic ruin are causing today's professional managers in all organizations to take strategic management seriously in order to keep their companies competitive in an increasingly volatile environment.

As managers attempt to better deal with their changing world, a firm generally evolves through the following four **phases of strategic management**:

Phase 1—Basic financial planning: Managers initiate serious planning when they are requested to propose the following year's budget. Projects are proposed on the basis of very little analysis, with most information coming from within the firm. The sales force usually provides the small amount of environmental information used in this effort. Such simplistic operational planning only pretends to be strategic management, yet it is quite time consuming. Normal company activities are often suspended for weeks while managers try to cram ideas into the proposed budget. The time horizon is usually one year.

Phase 2—Forecast-based planning: As annual budgets become less useful at stimulating long-term planning, managers attempt to propose five-year plans. At this point, they consider projects that may take more than one year. In addition to internal information, managers gather any available environmental data—usually on an ad hoc basis—and extrapolate current trends. This phase is also time consuming, often involving a full month or more of managerial activity to make sure all the proposed budgets fit together. The process gets very political as managers compete for larger shares of limited funds. Seemingly endless meetings take place to evaluate proposals and justify assumptions. The time horizon is usually three to five years.

Phase 3—Externally oriented (strategic) planning: Frustrated with highly political yet ineffectual five-year plans, top management takes control of the planning process by initiating a formal strategic planning system. The company seeks to increase its responsiveness to changing markets and competition by thinking and acting strategically. Planning is taken out of the hands of lower-level managers and concentrated in a planning staff whose task is to develop strategic plans for the corporation. Consultants often provide the sophisticated and innovative techniques that the planning staff uses to gather information and forecast future trends. Organizations start competitive intelligence units. Upper-level managers meet once a year at a resort “retreat” led by key members of the planning staff to evaluate and update the current strategic plan. Such top-down planning emphasizes formal strategy formulation and leaves the implementation issues to lower-management levels. Top management typically develops long-term plans with help from consultants but minimal input from lower levels.

Phase 4—Strategic management: Realizing that even the best strategic plans are worthless without the input and commitment of lower-level managers, top management forms planning groups of managers and key employees at many levels, from various departments and workgroups. They develop and integrate a series of plans focused on emphasizing the company’s true competitive advantages. Strategic plans at this point detail the implementation, evaluation, and control issues. Rather than attempting to perfectly forecast the future, the plans emphasize probable scenarios and contingency strategies. The sophisticated annual five-year strategic plan is replaced with strategic thinking at all levels of the organization throughout the year. Strategic information, previously available only centrally to top management, is used by people throughout the organization. Instead of a large centralized planning staff, internal and external planning consultants are available to help guide group strategy discussions. Although top management may still initi-

NOTES

N O T E S

ate the strategic planning process, the resulting strategies may come from anywhere in the organization. Planning is typically interactive across levels and is no longer strictly top down. People at all levels are now involved.

General Electric, one of the pioneers of strategic planning, led the transition from strategic planning to strategic management during the 1980s. By the 1990s, most other corporations around the world had also begun the conversion to strategic management.

1.1.2 Benefits of Strategic Management

Strategic management emphasizes long-term performance. Many companies can manage short-term bursts of high performance, but only a few can sustain it over a longer period of time. Since the release of the original *Fortune 500* companies listing in 1955, more than 1,800 companies have made the list. In 2015, 18 new companies joined the list for the first time meaning that 18 others fell from the list. To be successful in the long-run, companies must not only be able to *execute* current activities to satisfy an existing market, but they must also *adapt* those activities to satisfy new and changing markets.

Research reveals that organizations that engage in strategic management generally outperform those that do not. The attainment of an appropriate match, or “fit,” between an organization’s environment and its strategy, structure, and processes has positive effects on the organization’s performance. Strategic planning becomes increasingly important as the environment becomes more unstable. For example, in an environment where the average expectancy rate of *Fortune 500* companies has reduced from 75 years in the 1950s to around 15 years, many Indian companies are going strong for the past 100 years. This list includes Bennett, Coleman and Co. (also referred to as The Times Group), Dabur India Ltd, Kirloskar Brothers Ltd (KBL), Delhi Cloth & General Mills Co (DCM) etc. These companies have been successful because they believed in changing and adapting to the changing environment. For example, Bombay Dyeing, which was established in 1879 is still going strong because of its ability to innovate and modernize continuously.

A survey of nearly 50 corporations in a variety of countries and industries found the three most highly rated benefits of strategic management to be:

- ⇒ A clearer sense of strategic vision for the firm.
- ⇒ A sharper focus on what is strategically important.
- ⇒ An improved understanding of a rapidly changing environment.

A survey by McKinsey & Company of 800 executives found that formal strategic planning processes improved overall satisfaction with strategy development. To be effective, however, strategic management need not always be a formal process. It can begin with a few simple questions:

- ⇒ Where is the organization now? (Not where do we hope it is!)
- ⇒ If no significant changes are made, where will the organization be in one year? Two years? Five years? Ten years? Are the answers acceptable?
- ⇒ If the answers are not acceptable, what specific actions should management undertake? What are the risks and payoffs involved?

The Bain & Company's *2015 Management Tools and Trends* survey of 1,067 global executives revealed that strategic planning was the number two tool used by decision makers just behind customer relationship management. Other highly ranked strategic management tools were mission and vision statements, change management programs, and balanced scorecards. A study by Joyce, Nohria, and Roberson of 200 firms in 50 subindustries found that devising and maintaining an engaged, focused strategy was the first of four essential management practices that best differentiated between successful and unsuccessful companies. Based on these and other studies, it can be concluded that strategic management is crucial for long-term organizational success.

Research into the planning practices of companies in the oil industry concludes that the real value of modern strategic planning is more in the *strategic thinking* and *organizational learning* that is part of a future-oriented planning process than in any resulting written strategic plan. Small companies, in particular, may plan informally and irregularly. Nevertheless, studies of small- and medium-sized businesses reveal that the greater the level of planning intensity, as measured by the presence of a formal strategic plan, the greater the level of financial performance, especially when measured in terms of sales increases.

Planning the strategy of large, multidivisional corporations can be complex and time consuming. It often takes slightly more than a year for a large company to move from situation assessment to a final decision agreement. For example, strategic plans in the global oil industry tend to cover four to five years. The planning horizon for oil exploration is even longer—up to 15 years. Because of the relatively large number of people affected by a strategic decision in a large firm, a formalized, more sophisticated system is needed to ensure that strategic planning leads to successful performance. Otherwise, top management becomes isolated from developments in the business units, and lower-level managers lose sight of the corporate mission and objectives.

1.2 GLOBALIZATION, INNOVATION, AND SUSTAINABILITY: CHALLENGES TO STRATEGIC MANAGEMENT

Not too long ago, a business corporation could be successful by focusing only on making and selling goods and services within

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- 1-2. Explain how globalization, innovation, and environmental sustainability influence strategic management

N O T E S

its national boundaries. International considerations were minimal. Profits earned from exporting products to foreign lands were considered frosting on the cake, but not really essential to corporate success. During the 1960s, most U.S. companies organized themselves around a number of product divisions that made and sold goods only in the United States. All manufacturing and sales outside the United States were typically managed through one international division. An international assignment was usually considered a message that the person was no longer promotable and should be looking for another job.

Similarly, for a very long time, many established companies viewed innovation as the domain of the new entrant. The efficiencies that came with size were considered to be the core competitive advantage of the large organization. That view has proven to be a recipe for failure. The ability to create unique value and grow an organization organically requires innovation skills. A strategic management approach suggests that if an organization stands still, it will be run over by the competition. What was extraordinary last year is the standard expectation of customers this year. We have watched many large corporations succumb to the lack of innovation in their organization. Sears was the dominant retailer in the United States for more than 70 years. Today, it is struggling to find an approach that will give it a competitive advantage. IBM was a company that dominated mainframe computing and was fortunate enough to find a visionary CEO when the mainframe market was crushed by the advent of the PC. That CEO (Louis V. Gerstner, Jr.) transformed the organization with innovation that was cultural, structural, and painful for the company employees. Innovation is rarely easy and it is almost never painless. Nonetheless, it is a core element of successful strategic management.

Lastly, until the later part of the 20th century, a business firm could be very successful without considering sustainable business practices. Companies dumped their waste products in nearby streams or lakes and freely polluted the air with smoke containing noxious gases. Responding to complaints, governments eventually passed laws restricting the freedom to pollute the environment. Lawsuits forced companies to stop old practices. Nevertheless, until the dawn of the 21st century, most executives considered pollution abatement measures to be a cost of business that should be either minimized or avoided. Rather than clean up a polluting manufacturing site, they often closed the plant and moved manufacturing offshore to a developing nation with fewer environmental restrictions. The issues of recycling and refurbishing, as well as a company's responsibility to both the local inhabitants and the environment where it operated, were not considered mainstream business approaches, because it was felt these concerns did not help maximize shareholder value. In those days, the word *sustainability* was used to describe competitive advantage, not the environment.

Today, the term used to describe a business's sustainability is the **triple bottom line**. This phrase was first used by John Elkington in 1994 to suggest that companies prepare three different bottom lines in their annual report.

- ⇒ Traditional Profit/Loss
- ⇒ People Account—The social responsibility of the organization
- ⇒ Planet Account—The environmental responsibility of the organization

This triple bottom line has become increasingly important to business today. Companies seek Leadership in Energy and Environmental Design (LEED) certification for their buildings and mold a reputation for being a business that is friendly to the world. LEED certification is available for all structures and includes a number of levels depending upon the efforts made to have a building be self-sustaining or to have as little impact (the smallest footprint) on the environment as possible.

1.2.1 Impact of Globalization

Today, everything has changed. **Globalization**, the integrated internationalization of markets and corporations, has changed the way modern corporations do business. As Thomas Friedman points out in *The World Is Flat*, jobs, knowledge, and capital are now able to move across borders with far greater speed and far less friction than was possible only a few years ago.

For example, the interconnected nature of the global financial community meant that the mortgage lending problems of U.S. banks led to a global financial crisis that started in 2008 and impacted economies for years. The worldwide availability of the Internet and supply-chain logistical improvements, such as containerized shipping, mean that companies can now locate anywhere and work with multiple partners to serve any market. For companies seeking a low-cost approach, the internationalization of business has been a new avenue for competitive advantage. Nike and Reebok manufacture their athletic shoes in various countries throughout Asia for sale on every continent. Many other companies in North America and Western Europe are outsourcing their manufacturing, software development, or customer service to companies in China, Eastern Europe, or India. English language proficiency, lower wages in India, and large pools of talented software programmers now enable IBM to employ an estimated 100,000 people in its global delivery centers in Bangalore, Delhi, or Kolkata to serve the needs of clients in Atlanta, Munich, or Melbourne. Instead of using one international division to manage everything outside the home country, large corporations are now using matrix structures in which product units are interwoven with country or regional units. Today, international assignments are considered key for anyone interested in reaching top management.

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As more industries become global, strategic management is becoming an increasingly important way to keep track of international developments and position a company for long-term competitive advantage. For example, General Electric moved a major research and development lab for its medical systems division from Japan to China in order to learn more about developing new products for developing economies. Microsoft's largest research center outside Redmond, Washington, is in Beijing.

The formation of regional trade associations and agreements, such as the European Union, NAFTA, Mercosur, Andean Community, CAFTA, and ASEAN, is changing how international business is being conducted. See the **Global Issue** feature to learn how regional trade associations are pushing corporations to establish a manufacturing presence wherever they wish to market goods or else face significant tariffs. These associations have led to the increasing harmonization of standards so that products can more easily be sold and moved across national boundaries. International considerations have led to the strategic alliance between British Airways and American Airlines and to the acquisition of the Anheuser-Busch Companies by the Belgium company InBev, creating AB InBev, among others.

1.2.2 Impact of Innovation

Innovation, as the term is used in business, is meant to describe new products, services, methods, and organizational approaches that allow the business to achieve extraordinary returns. Boston Consulting Group (BCG) found that innovation is a top 3 priority for three-quarters of the companies in the 2014 BCG global innovation survey. They also found that:

- ⇒ 61% were spending more money on innovation in 2014 than in 2013
- ⇒ 75% of respondents reported that innovation investment was primarily aimed at long-term advantage and current competitive advantage
- ⇒ The top five most innovative companies were Apple, Google, Samsung, Microsoft, and IBM
- ⇒ 70% of executives felt their own companies' innovation capabilities were only average and 13% felt they were weak.

Innovation is the machine that generates business opportunities in the market; however, it is the implementation of potential innovations that truly drives businesses to be remarkable. Although there is a value in being a first mover, there is also a tremendous value in being a second or third mover with the right implementation. PC tablets had been developed and sold for more than two decades before the iPad stormed the market. Many people forget that Apple released the Newton tablet back in 1992. Not only was the timing not right, but the product was not promoted in a way

that consumers felt a compelling need to buy one. Many elements have to come together for an innovation to bring long-term success to a company.



GLOBAL ISSUE

REGIONAL TRADE ASSOCIATIONS REPLACE NATIONAL TRADE BARRIERS

Formed as the European Economic Community in 1957, the **European Union (EU)** is one of the most significant trade associations in the world. The goal of the EU is the complete economic integration of its 28 member countries so that goods made in one part of Europe can move freely without ever stopping for a customs inspection. The EU includes Austria, Belgium, Bulgaria, Cyprus, Croatia, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Ireland, Italy, Latvia, Lithuania, Luxembourg, Malta, Netherlands, Poland, Portugal, Romania, Slovakia, Slovenia, Spain, Sweden, and the United Kingdom. Albania, Macedonia, Montenegro, Serbia, and Turkey are candidate countries in the process of applying. The EU is less than half the size of the United States of America, but has 50% more people. One currency, the Euro, is being used throughout the region (with the exception of the United Kingdom) as members integrate their monetary systems. The steady elimination of barriers to free trade is providing the impetus for a series of mergers, acquisitions, and joint ventures among business corporations. The requirement of at least 60% local content to avoid tariffs has forced many U.S. and Asian companies to abandon exporting in favor of having a strong local presence in Europe.

Motivated by the success of EU, the South Asian Association for Regional Cooperation (SAARC) was established in 1985 with the primary motive of promoting economic growth and development in the South-East Asian region. SAARC was formed by Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan and Sri Lanka. The idea behind the regional integration agreement was to increase economic engagement between South Asian nations by stimulating trade and also to collaborate and assist in cultural, social, technical and scientific fields to increase cooperation among the member countries. The Regional Integration Agreement (RIA) started off as a SAARC preferential trade arrangement in 1995 and upgraded to a South Asian Free Trade Area (SAFTA) in 2006. Over the years, Afghanistan has joined the SAARC and also countries like EU, Iran, Japan, South Korea and the USA have been given observer status to increase the scope of SAARC.

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In order to meet its objectives, SAFTA has aimed at achieving free movement of goods across the member countries by eliminating/ reducing tariffs and non-tariff barriers across borders. However, because of the various political factors and territorial disputes between India and Pakistan, mutual distrust has made South Asia the least integrated region.

1.2.3 Impact of Sustainability

Sustainability refers to the use of business practices to manage the triple bottom line as was discussed earlier. That triple bottom line involves (1) the management of traditional profit/loss; (2) the management of the company's social responsibility; and (3) the management of its environmental responsibility.

The company has a relatively obvious long-term responsibility to the shareholders of the organization. That means that the company has to be able to thrive despite changes in the industry, society, and the physical environment. This is the focus of much of this textbook and the focus of strategy in business.

The company that pursues a sustainable approach to business has a responsibility to its employees, its customers, and the community in which it operates. Companies that have embraced sustainable practices have seen dramatic increases in risk mitigation and innovation, and an overall feeling of corporate social responsibility. The 2014 Sustainability & Employee Engagement survey managed by GreenBiz in association with the National Environmental Education Foundation found that employees at companies who focused on business sustainability reported 57% applied more effort in their jobs and 87% were less likely to leave the company. In addition, more than 50% of companies place at least some or a great deal of value on a job candidate's sustainability knowledge. In fact, a Gallop research study found that these engaged organizations had 3.9 times the earnings per share (EPS) growth rates when compared to organizations with lower engagement in the same industry.

The company also has a responsibility to treat the environment well. This is usually defined as trying to achieve (or approach) zero impact on the environment. Recycling, increased use of renewable resources, reduction of waste, and refitting buildings to reduce their impact on the environment, among many other techniques, are included in this element of the triple bottom line. The most recognized worldwide standard for environmental efficiency is the ISO 14001 designation. It is not a set of standards, but a framework of activities aimed at effective environmental management.

South American countries are also working to harmonize their trading relationships with each other and to form trade associations. The establishment of the **Mercosur (Mercosul)** in

Portuguese) free-trade area among Argentina, Brazil, Paraguay, Uruguay, and Venezuela brings together a group that includes 295 million people and \$3.5 trillion in combined GDP. As of late 2015 Bolivia was in the final stages of accession. The **Andean Community** (Comunidad Andina de Naciones) is a free-trade alliance composed of Columbia, Ecuador, Peru, and Bolivia (until its acceptance into Mercosur). On May 23, 2008, the **Union of South American Nations** was formed to unite the two existing free-trade areas with a secretariat in Ecuador and a parliament in Bolivia. It consists of 12 South American countries.

In 2004, the five Central American countries of El Salvador, Guatemala, Honduras, Nicaragua, and Costa Rica, plus the United States, signed the **Central American Free Trade Agreement (CAFTA)**. The Dominican Republic joined soon thereafter. Previously, Central American textile manufacturers had to pay import duties of 18%–28% to sell their clothes in the United States unless they bought their raw material from U.S. companies. Under CAFTA, members can buy raw material from anywhere, and their exports are duty free. In addition, CAFTA eliminated import duties on 80% of U.S. goods exported to the region, with the remaining tariffs being phased out over 10 years.

The **Association of Southeast Asian Nations (ASEAN)**—composed of Brunei Darussalam, Cambodia, Indonesia, Laos, Malaysia, Myanmar, Philippines, Singapore, Thailand, and Vietnam—is in the process of linking its members into a borderless economic zone by 2020. Increasingly referred to as ASEAN+3, ASEAN now includes China, Japan, and South Korea in its annual summit meetings. The ASEAN nations negotiated linkage of the ASEAN Free Trade Area (AFTA) with the existing free-trade area of Australia and New Zealand. With the EU extending eastward and NAFTA extending southward to someday connect with CAFTA and the Union of South American Nations, pressure is building on the independent Asian nations to join ASEAN.

Porter and Reinhardt warn that “in addition to understanding its emissions costs, every firm needs to evaluate its vulnerability to climate-related effects such as regional shifts in the availability of energy and water, the reliability of infrastructures and supply chains, and the prevalence of infectious diseases.” The National Centers for Environmental Information has calculated that there were 178 weather and climate disasters where damages exceeded \$1 billion between 1980 and 2014. The total cost of these 178 events exceeded \$1 trillion.

1.3 THEORIES OF ORGANIZATIONAL ADAPTATION

Globalization, innovation, and sustainability present real challenges to the strategic management of businesses. How can any one company keep track of all the changing technological, economic, political–legal, and sociocultural trends around the world in

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- 1-3. Discuss the differences between the theories of organizations

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order to make the necessary adjustments? This is not an easy task. Various theories have been proposed to account for how organizations obtain fit with their environment and how these approaches have been used to varying degrees by researchers trying to understand firm performance. The theory of **population ecology** suggests that once an organization is successfully established in a particular environmental niche, it is unable to adapt to changing conditions. Inertia prevents the organization from changing in any significant manner. The company is thus replaced (is bought out or goes bankrupt) by other organizations more suited to the new environment. Although it is a popular theory in sociology, research fails to support the arguments of population ecology. **Institution theory**, in contrast, proposes that organizations can and do adapt to changing conditions by imitating other successful organizations. Many examples can be found of companies that have adapted to changing circumstances by imitating an admired firm's strategies and management techniques. The theory does not, however, explain how or by whom successful new strategies are developed in the first place. The **strategic choice perspective** goes a significant step further by proposing that not only do organizations adapt to a changing environment, but they also have the opportunity and power to reshape their environment. This perspective is supported by research indicating that the decisions of a firm's management have at least as great an impact on firm performance as overall industry factors. Because of its emphasis on managers making rational strategic decisions, the strategic choice perspective is the dominant one taken in strategic management. Its argument that adaptation is a dynamic process fits with the view of **organizational learning theory**, which says that an organization adjusts defensively to a changing environment and uses knowledge offensively to improve the fit between itself and its environment. This perspective expands the strategic choice perspective to include people at all levels becoming involved in providing input into strategic decisions.

In agreement with the concepts of organizational learning theory, an increasing number of companies are realizing that they must shift from a vertically organized, top-down type of organization to a more horizontally managed, interactive organization. They are attempting to adapt more quickly to changing conditions by becoming "learning organizations."

1-4. Discuss the Activities where learning organizations excel

1.4 CREATING A LEARNING ORGANIZATION

Strategic management has now evolved to the point that its primary value is in helping an organization operate successfully in a dynamic, complex environment. To be competitive in dynamic environments, corporations are becoming less bureaucratic and more flexible. In stable environments such as those that existed in years past, a competitive strategy simply involved defining a competitive

position and then defending it. As it takes less and less time for one product, service, or technology to replace another, companies are finding that there is no such thing as a permanent competitive advantage. Many agree with Richard D'Aveni, who says in his book *Hypercompetition* that any sustainable competitive advantage lies not in doggedly following a centrally managed five-year plan but in stringing together a series of strategic short-term thrusts (as Apple does by cutting into the sales of its own offerings with periodic introductions of new products). This means that corporations must develop *strategic flexibility*—the ability to shift from one dominant strategy to another.

Strategic flexibility demands a long-term commitment to the development and nurturing of critical resources and capabilities. It also demands that the company become a **learning organization**—an organization skilled at creating, acquiring, and transferring knowledge and at modifying its behavior to reflect new knowledge and insights. Organizational learning is a critical component of competitiveness in a dynamic environment. It is particularly important to innovation and new product development. Siemens, a major electronics company, created a global knowledge-sharing network, called ShareNet, in order to quickly spread information technology throughout the firm. Based on its experience with ShareNet, Siemens established PeopleShareNet, a system that serves as a virtual expert marketplace for facilitating the creation of cross-cultural teams composed of members with specific knowledge and competencies.

Learning organizations are skilled at four main activities:

- ⇒ Solving problems systematically
- ⇒ Experimenting with new approaches
- ⇒ Learning from their own experiences and past history as well as from the experiences of others
- ⇒ Transferring knowledge quickly and efficiently throughout the organization.

Business historian Alfred Chandler proposes that high-technology industries are defined by “paths of learning” in which organizational strengths derive from learned capabilities. According to Chandler, companies spring from an individual entrepreneur’s knowledge, which then evolves into organizational knowledge. This organizational knowledge is composed of three basic strengths: technical skills; functional knowledge, such as production and marketing; and managerial expertise. This knowledge leads to new areas in which the company can succeed and creates an entry barrier to new competitors. Chandler believes that once a corporation has built its learning base to the point where it has become a core company in its industry, entrepreneurial startups are rarely able to successfully enter. Thus, organizational knowledge becomes a competitive advantage that is difficult to understand and imitate.

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Strategic management is essential for learning organizations to avoid stagnation through continuous self-examination and experimentation. People at all levels, not just top management, participate in strategic management—helping to scan the environment for critical information, suggesting changes to strategies and programs to take advantage of environmental shifts, and working with others to continuously improve work methods, procedures, and evaluation techniques. The Toyota production system is famous for empowering employees to improve. If an employee spots a problem on the line, he/she pulls the cord, which immediately starts a speedy diagnosis. The line continues if the problem can be solved within one minute. If not, the production line is shut down until the problem is solved. At Toyota, they learn from their mistakes as much as they learn from their successes. Improvements are sent to all factories worldwide.

Organizations that are willing to experiment and are able to learn from their experiences are more successful than those that are not. For example, companies like Bombay Dyeing (established in 1879), Shalimar Paints (established in 1902), Alembic Pharmaceuticals (established in 1907), Jessop and Company (established in 1788), Bennett Coleman and Company (established in 1838), Dabur (established in 1884), Kirloskar Brothers (established in 1888) etc., are just some of the names of the companies which have survived in India for more than a century. These companies have been successful because they learned from their experiences and processes. For example, Alembic Pharmaceuticals have survived over the years by improving their products and investing in technology constantly, Shalimar Paints have survived the business by investing into a new range of products and building a strong distribution channel. These companies also learned from sales and manufacturing experiences of companies in other countries. The less successful firms used their foreign operations primarily as sales outlets, not as important sources of technical knowledge. Research also reveals that multidivisional corporations that establish ways to transfer knowledge across divisions are more innovative than other diversified corporations that do not.

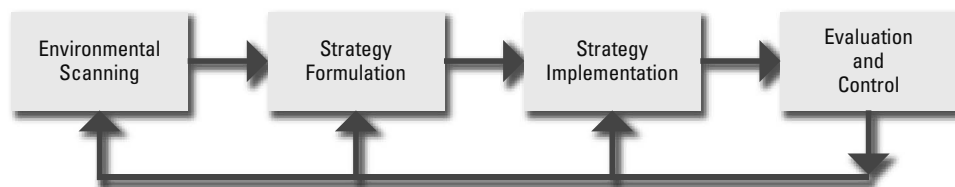
1-5. Describe the basic model of strategic management and its components

1.5 BASIC MODEL OF STRATEGIC MANAGEMENT

Strategic management consists of four basic elements:

- ⇒ Environmental scanning
- ⇒ Strategy formulation
- ⇒ Strategy implementation
- ⇒ Evaluation and control.

Figure 1–1 illustrates how these four elements interact; **Figure 1–2** expands each of these elements and serves as the model for this book. This model is both rational and prescriptive. It is a planning model that presents what a corporation *should* do in terms



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Figure 1.1 Basic Elements of the Strategic Management Process

of the strategic management process, not what any particular firm may actually do. The rational planning model predicts that as environmental uncertainty increases, corporations that work diligently to analyze and predict more accurately the changing situation in which they operate will outperform those that do not. Empirical research studies support this model. The terms used in **Figure 1–2** are explained in the following pages.

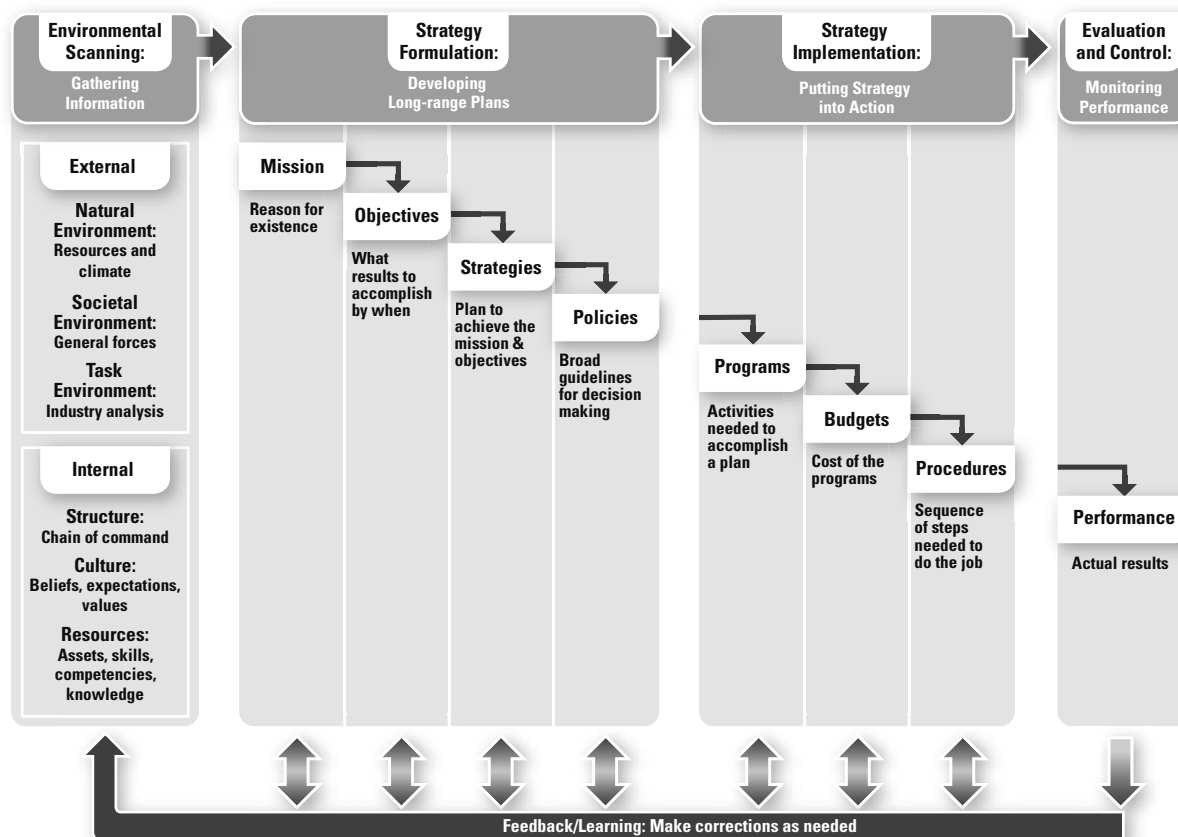


Figure 1.2 Strategic Management Model

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1.5.1 Environmental Scanning

Environmental scanning is the monitoring, evaluating, and disseminating of information from the external and internal environments to key people within the corporation. Its purpose is to identify **strategic factors**—those external and internal elements that will assist in the analysis of the strategic decisions of the corporation. The simplest way to represent the outcomes of environmental scanning is through a **SWOT approach**. SWOT is an acronym used to describe the particular **Strengths, Weaknesses, Opportunities, and Threats** that appear to be strategic factors for a specific company. The **external environment** consists of variables (opportunities and threats) that are outside the organization and not typically within the short-run control of top management. These variables form the context within which the corporation exists. **Figure 1–3** depicts key environmental variables. They may be general forces and trends within the natural or societal environments or specific factors that operate within an organization's specific task environment—often called its *industry*. The analysis techniques available for the examination of these environmental variables are the focus of **Chapter 3**.

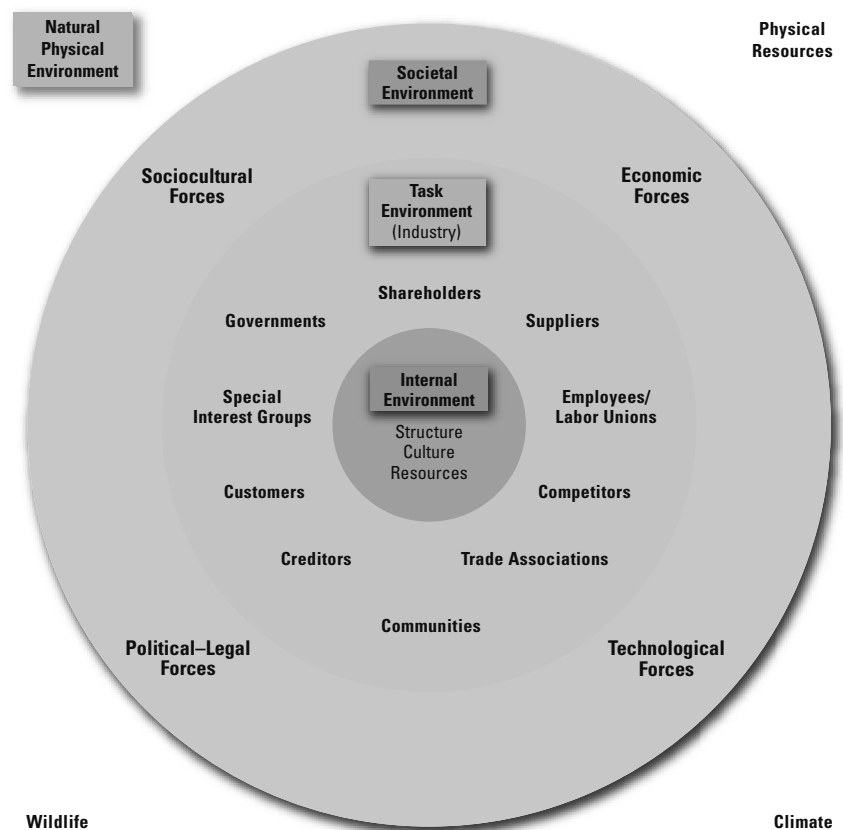


Figure 1.3 Environmental Variables

The **internal environment** of a corporation consists of variables (strengths and weaknesses) that are within the organization itself and are within the short-run control of top management. These variables form the context in which work is done. They include the corporation's structure, culture, capabilities, and resources. Key strengths form a set of core competencies that the corporation can use to gain competitive advantage. Although strategic management is fundamentally concerned with what constitutes an organization's strengths, weaknesses, opportunities, and threats, the methods to analyze each has developed substantially in the past two decades. No longer do we simply list the SWOT variables and have employees try to populate the quadrants. Each of the four is rich with processes and techniques that will allow for a robust and sophisticated understanding of the company. This will be examined in detail beginning with **Chapter 4** of the text.

1.5.2 Strategy Formulation

Strategy formulation is the process of investigation, analysis, and decision making that provides the company with the criteria for attaining a competitive advantage. It includes defining the competitive advantages of the business, identifying weaknesses that are impacting the company's ability to grow, crafting the corporate mission, specifying achievable objectives, and setting policy guidelines.

Mission: Stating Purpose

An organization's **mission** is the purpose or reason for the organization's existence. It announces what the company is providing to society—either a service such as consulting, a set of products such as automobile tires, or a combination of the two such as tablets and their associated Apps. A well-conceived mission statement defines the fundamental, unique purpose that sets a company apart from other firms of its type. Research reveals that firms with mission statements containing explicit descriptions of their competitive advantages have significantly higher growth than firms without such statements. A mission statement may also include the firm's values and philosophy about how it does business and treats its employees; however, that is usually better kept as a separate document. A well-crafted mission statement describes what the company is now and what it wants to become—management's strategic vision of the firm's future. The mission statement promotes a sense of shared expectations in employees and communicates a public image to important stakeholder groups in the company's task environment. Some people like to consider vision and mission as two different concepts: Mission describes what the organization is now; **vision** describes what the organization would like to become. We prefer to combine these ideas into a single mission statement.

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A good example of the mission statement is that of ITC's & Tata Group's mission statements, which states that:

"To enhance the wealth generating capability of the enterprise in a globalising environment, delivering superior and sustainable stakeholder value" – ITC

"To improve the quality of life of the communities we serve globally through long-term stakeholder value creation based on Leadership with Trust." – TATA group.

A mission may be defined narrowly or broadly in scope. An example of a *broad* mission statement is that used by many corporations: "Serve the best interests of shareowners, customers, and employees." A broadly defined mission statement such as this keeps the company from restricting itself to one field or product line, but it fails to clearly identify either what it makes or which products/markets it plans to emphasize. Broad statements are relatively useless while narrow statements provide direction and value to the organization.

Objectives: Listing Expected Results

Objectives are the end results of planned activity. They should be stated as *action verbs* and tell employees what is to be accomplished and when, with appropriate metrics. The achievement of corporate objectives should result in the fulfillment of a corporation's mission. In effect, this is what society gives back to the corporation when the corporation does a good job of fulfilling its mission. Coca-Cola has set the standard of a focused, international company. In their Vision 2020 plan, they have laid out specific objectives including reducing the overall carbon footprint of their business operations by 15% by 2020, as compared to the 2007 baseline, and reducing the impact of their packaging by maximizing their use of renewable, reusable, and recyclable resources to recover the equivalent of 100% of their packaging. This type of focus has made Coca-Cola a perennial member of the Fortune 500, one of the Fortune 50 Most Admired Companies, one of Barron's Most Respected Companies in the World, and a Diversity, Inc. Top 50 company. Over the past 10 years, they have raised their dividend an average of 9.8% per year and the company's earnings per share have jumped 11.3% per year over the past five years.

The term *goal* is often used interchangeably with the term objective. In this book, we prefer to differentiate the two terms. In contrast to an objective, we consider a *goal* as an open-ended statement of what one wants to accomplish, with no quantification of what is to be achieved and no time criteria for completion. For example, a simple statement of "increased profitability" is thus a goal, not an objective, because it does not state how much profit the firm wants to make the next year. A good objective should be action-oriented and begin with the word *to*. An example of an objective is "to increase the firm's profitability in 2017 by 10% over 2016."

Some of the areas in which a corporation might establish its goals and objectives are:

- ⇒ Profitability (net profits)
- ⇒ Efficiency (low costs, etc.)
- ⇒ Growth (increase in total assets, sales, etc.)
- ⇒ Shareholder wealth (dividends plus stock price appreciation)
- ⇒ Utilization of resources (Return on Equity (ROE) or Return on Investment (ROI))
- ⇒ Reputation (being considered a “top” firm)
- ⇒ Contributions to employees (employment security, wages, diversity)
- ⇒ Contributions to society (taxes paid, participation in charities, providing a needed product or service)
- ⇒ Market leadership (market share)
- ⇒ Technological leadership (innovations, creativity)
- ⇒ Survival (avoiding bankruptcy)
- ⇒ Personal needs of top management (using the firm for personal purposes, such as providing jobs for relatives)

Strategy: Defining the Competitive Advantages

An organization must examine the external environment in order to determine who constitutes the perfect customer for the business as it exists today, who the most direct competitors are for that customer, what the company does that is necessary to compete, and what the company does that truly sets it apart from its competitors. These elements can be rephrased into the strengths of the business, the understanding of its weaknesses relative to its competitors, what opportunities would be most prudent, and what threats might affect the business’s primary competitive advantages.

A **strategy** of a business forms a comprehensive master approach that states how the business will achieve its mission and objectives. It maximizes competitive advantage and minimizes competitive disadvantage. Pfizer, the giant drug company has embraced the need for this type of approach. Faced with the rapid fall-off of its biggest blockbuster drugs (patents expiring), Pfizer was faced with the question of how to generate the R&D to create new drugs. Historically, the company had relied upon its cadre of scientists, but this changed in the past few years. Pfizer moved aggressively to acquire drug makers in the emerging biosimilar market (small molecule biologics made from living cells). Pfizer’s late-stage biosimilar drugs have a very good chance of allowing the company to capture a significant part of what is expected to be a US\$20 billion market by 2020. This is the crucial new ground from which they hope to replace such blockbusters as Lipitor, which saw its sales drop from US\$12 billion in 2012 to just over US\$2 billion in 2015 after the patent expired.

The typical larger business addresses three types of strategy: corporate, business, and functional.

N O T E S

NOTES

- ⇒ **Corporate strategy** describes a company's overall direction in terms of growth and the management of its various businesses. Corporate strategies generally fit within the three main categories of stability, growth, and retrenchment.
- ⇒ **Business strategy** usually occurs at the business unit or product level, and it emphasizes improvement of the competitive position of a corporation's products or services in the specific industry or market segment served by that business unit. Business strategies may fit within the two overall categories: *competitive* and *cooperative* strategies. For example, Staples, the U.S. office supply store chain, has used a competitive strategy to differentiate its retail stores from its competitors by adding services to its stores, such as copying, UPS shipping, and hiring mobile technicians who can fix computers and install networks. British Airways has followed a cooperative strategy by forming an alliance with American Airlines in order to provide global service. Cooperative strategy may be used to provide a competitive advantage in situations where the cooperating entities are not in direct competition for customers. Intel, a manufacturer of computer microprocessors, uses its alliance (cooperative strategy) with Microsoft to differentiate itself (competitive strategy) from AMD, its primary competitor.
- ⇒ **Functional strategy** is the approach taken by a functional area to achieve corporate and business unit objectives and strategies by maximizing resource productivity. It is concerned with developing and nurturing a distinctive competence to provide a company or business unit with a competitive advantage. Examples of research and development (R&D) functional strategies are technological followership (imitation of the products of other companies) and technological leadership (pioneering an innovation). For years, Magic Chef had been a successful appliance maker by spending little on R&D but by quickly imitating the innovations of other competitors. This helped the company keep its costs lower than those of its competitors and consequently to compete with lower prices. In terms of marketing functional strategies, Procter & Gamble (P&G) is a master of marketing "pull"—the process of spending huge amounts on advertising in order to create customer demand. This supports P&G's competitive strategy of differentiating its products from those of its competitors.

Business firms use all three types of strategy simultaneously. A **hierarchy of strategy** is a grouping of strategy types by level in the organization. Hierarchy of strategy is a nesting of one strategy within another so that they complement and support one another. (See **Figure 1–4.**) Functional strategies support business strategies, which, in turn, support the corporate strategy(ies).

Policies: Setting Guidelines

A **policy** is a broad guideline for decision making that links the formulation of a strategy with its implementation. Companies use

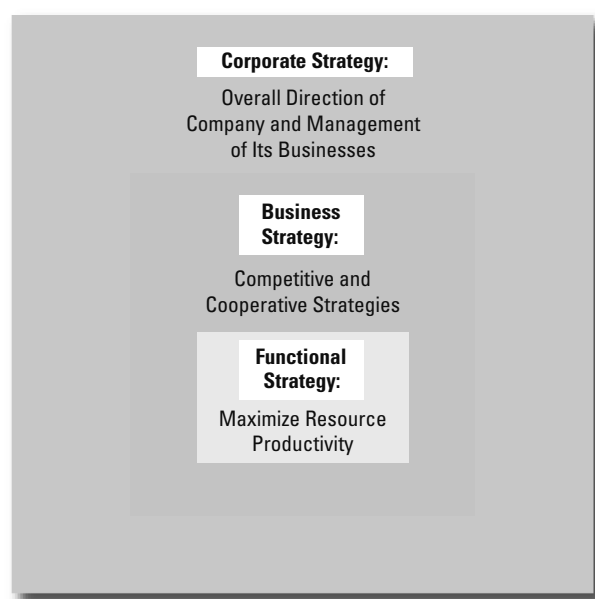


Figure 1.4 Hierarchy of Strategy

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policies to make sure that employees throughout the firm make decisions and take actions that support the corporation's mission, objectives, and strategies. For example, when Cisco decided on a strategy of growth through acquisitions, it established a policy to consider only companies with no more than 75 employees, 75% of whom were engineers. Consider the following company policies:

- ⇒ **3M:** 3M says researchers should spend 15% of their time working on something other than their primary project. (This supports 3M's strong product development strategy.)
- ⇒ **Google:** Google's health care plan includes their onsite medical staff. Any employee who feels ill at work can make an appointment with the doctor at the Googleplex. This supports the Google HRM functional strategy to support its employees.
- ⇒ **General Electric:** GE must be number one or two wherever it competes. (This supports GE's objective to be number one in market capitalization.)
- ⇒ **Starbucks:** All Starbucks employees are offered a Total Pay Package that includes a 401(k) savings plan, stock options, and an employee stock purchase plan. This goes a long way toward their goal of having every employee feel like a partner in the business.
- ⇒ **Ryanair:** Ryanair charges for everything a passenger might want or need on a flight. The only thing you get with your ticket is the right to a seat on the plane (and that seat depends upon how fast you can run across the tarmac to the plane).

Policies such as these provide clear guidance to managers throughout the organization. (Strategy formulation is discussed in greater detail in **Chapter 5, 6, and 7.**)

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1.5.3 Strategy Implementation

Strategy implementation is a process by which strategies and policies are put into action through the development of programs, budgets, and procedures. This process might involve changes within the overall culture, structure, and/or management system of the entire organization. Except when such drastic corporate-wide changes are needed, however, the implementation of strategy is typically conducted by middle- and lower-level managers, with review by top management. Sometimes referred to as *operational planning*, strategy implementation often involves day-to-day decisions in resource allocation.

Programs and Tactics: Defining Actions

A **program** or a **tactic** is a statement of the activities or steps needed to support a strategy. The terms are interchangeable. In practice, a program is a collection of tactics where a tactic is the individual action taken by the organization as an element of the effort to accomplish a plan. A program or tactic makes a strategy action-oriented. It may involve restructuring the corporation, changing the company's internal culture, or beginning a new research effort. For example, Boeing's strategy to regain industry leadership with its 787 Dreamliner meant that the company had to increase its manufacturing efficiency in order to keep the price low. To significantly cut costs, management decided to implement a series of tactics:

- ⇒ Outsource approximately 70% of manufacturing.
- ⇒ Reduce final assembly time to three days (compared to 20 for its 737 plane) by having suppliers build completed plane sections.
- ⇒ Use new, lightweight composite materials in place of aluminum to reduce inspection time.
- ⇒ Resolve poor relations with labor unions caused by downsizing and outsourcing.

Another example is a set of programs or tactics used by automaker BMW to achieve its objective of increasing production efficiency by 5% each year: (a) shorten new model development time from 60 to 30 months, (b) reduce preproduction time from a year to no more than five months, and (c) build at least two vehicles in each plant so that production can shift among models depending upon demand.

Budgets: Costing Programs

A **budget** is a statement of a corporation's programs in terms of dollars. Used in planning and control, a budget lists the detailed cost of each program. Many corporations demand a certain percentage return on investment, often called a "hurdle rate," before management will approve a new program. This is done so that the new program has the potential to significantly add to

the corporation's profit performance and thus build shareholder value. The budget not only serves as a detailed plan of the new strategy in action, it also specifies through proforma financial statements the expected impact on the firm's financial future.

Procedures: Detailing Activities

Procedures, sometimes termed Standard Operating Procedures (SOP), are a system of sequential steps or techniques that describe in detail how a particular task or job is to be done. They typically detail the various activities that must be carried out in order to complete the corporation's program. For example, when the home improvement retailer Home Depot noted that sales were lagging because its stores were full of clogged aisles and had long check-out times and too few salespeople, management changed its procedures for restocking shelves and pricing the products. Instead of requiring its employees to do these activities at the same time they were working with customers, management moved these activities to when the stores were closed at night. Employees were then able to focus on increasing customer sales during the day. Both UPS and FedEx put such an emphasis on consistent, quality service that both companies have strict rules for employee behavior, ranging from how a driver dresses to how keys are held when approaching a customer's door. (Strategy implementation is discussed in more detail in **Chapter 8**.)

1.5.4 Evaluation and Control

Evaluation and control is a process in which corporate activities and performance results are monitored so that actual performance can be compared with desired performance. Managers at all levels use the resulting information to take corrective action and resolve problems. Although evaluation and control is the final major element of strategic management, it can also pinpoint weaknesses in previously implemented strategic plans and thus stimulates the entire process to begin again.

Performance is the end result of activities. It includes the actual outcomes of the strategic management process. The practice of strategic management is justified in terms of its ability to improve an organization's performance, typically measured in terms of profits and return on investment. For evaluation and control to be effective, managers must obtain clear, prompt, and unbiased information from the people below them in the corporation's hierarchy. Using this information, managers compare what is actually happening with what was originally planned in the formulation stage.

Starbucks had created a mystique around the enjoyment of coffee. Carefully designed stores and an experience that encouraged people to stay and chat had built Starbucks into a powerhouse. Howard Schultz (founder and CEO) stepped down from active management of the business and Jim Donald took over as CEO

N O T E S

NOTES

and drove the company toward efficiency, pricing growth, and diversification. The company went from an American success story to one with a 97% drop in net income and same store sales in negative territory. Despite a well-known e-mail from Schultz to Donald in 2007 encouraging him to return to core elements of the business, things did not improve, and in January 2008 Schultz replaced Donald as CEO. In February 2008, all 7,100+ Starbucks in North America shut their doors for a three-hour video conference with Schultz so they could reset the Starbucks experience. He shut down almost 1,000 outlets and instituted a series of moves aimed at returning the company to its preeminent position. The turnaround at Starbucks has been a remarkable story of regaining the cache they almost lost.

The evaluation and control of performance completes the strategic management model. Based on performance results, management may need to make adjustments in its strategy formulation, in implementation, or in both. (Evaluation and control is discussed in more detail in **Chapter 10**.)

1.5.5 Feedback/Learning Process

Note that the strategic management model depicted in **Figure 1-2** includes a feedback/learning process. Arrows are drawn coming out of each part of the model and taking information to each of the previous parts of the model. As a firm or business unit develops strategies, programs, and the like, it often must go back to revise or correct decisions made earlier in the process. For example, poor performance (as measured in evaluation and control) usually indicates that something has gone wrong with either strategy formulation or implementation. It could also mean that a key variable, such as a new competitor, a change in the environment, or a significant regulatory change has occurred. Just after Shultz took back the reigns at Starbucks, the recession hit and the mantra in the country became, “save money, don’t buy Starbucks.” The business was built on an image as the comfortable place away from home, but had trended toward a fast-food operation. Schultz eliminated hot sandwiches which were filling the place with the smell of burnt cheese instead of coffee, refocused on the services provided by the baristas, started grinding coffee on-site to add the smells so loved at a Starbucks, and put in new coffee machines that allowed baristas to talk with customers. Starbucks reassessed the environment and found a better way to profitably apply its core competencies.

- 1-6. Identify some common triggering events that act as stimuli for strategic change

1.6 INITIATION OF STRATEGY: TRIGGERING EVENTS

After much research, Henry Mintzberg concluded that strategy formulation is not a regular, continuous process: “It is most often an irregular, discontinuous process, proceeding in fits and starts. There are periods of stability in strategy development, but also

there are periods of flux, of groping, of piecemeal change, and of global change.” This view of strategy formulation as an irregular process can be explained by the very human tendency to continue on a particular course of action until something goes wrong or a person is forced to question his or her actions. This period of strategic drift may result from inertia on the part of the organization, or it may reflect management’s belief that the current strategy is still appropriate and needs only some fine-tuning.

Most large organizations tend to follow a particular strategic orientation for a period of years before making a significant change in direction. This phenomenon, called *punctuated equilibrium*, describes corporations as evolving through relatively long periods of stability (equilibrium periods) punctuated by relatively short bursts of fundamental change (revolutionary periods). After this rather long period of fine-tuning an existing strategy, some sort of shock to the system is needed to motivate management to seriously reassess the corporation’s situation.

A **triggering event** is something that acts as a stimulus for a change in strategy. Some possible triggering events are:

- ⇒ **New CEO:** By asking a series of embarrassing questions, a new CEO cuts through the veil of complacency and forces people to question the very reason for the corporation’s existence.
- ⇒ **External intervention:** A firm’s bank suddenly refuses to approve a new loan or suddenly demands payment in full on an old one. A key customer complains about a serious product defect.
- ⇒ **Threat of a change in ownership:** Another firm may initiate a takeover by buying a company’s common stock.
- ⇒ **Performance gap:** A *performance gap* exists when performance does not meet expectations. Sales and profits either are no longer increasing or may even be falling.
- ⇒ **Strategic inflection point:** Coined by Andy Grove, past-CEO of Intel Corporation, a *strategic inflection point* is what happens to a business when a major change takes place due to the introduction of new technologies, a different regulatory environment, a change in customers’ values, or a change in what customers prefer.

1.7 STRATEGIC DECISION MAKING

A distinguishing characteristic of strategic management is its emphasis on strategic decision making. As organizations grow larger and more complex, with more uncertain environments, decisions become increasingly complicated and difficult to make. In agreement with the strategic choice perspective mentioned earlier, this book proposes a strategic decision-making framework that can help people make these decisions regardless of their level and function in the corporation.

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- 1-7. Explain strategic decision-making modes

N O T E S

1.7.1 What Makes a Decision Strategic?

Unlike many other decisions, **strategic decisions** deal with the long-term future of an entire organization and have three characteristics:

- ⇒ **Rare:** Strategic decisions are unusual and typically have no precedent to follow.
- ⇒ **Consequential:** Strategic decisions commit substantial resources and demand a great deal of commitment from people at all levels.
- ⇒ **Directive:** Strategic decisions set precedents for lesser decisions and future actions throughout an organization.

One example of a strategic decision with all of these characteristics was that made by Genentech, a biotechnology company that had been founded in 1976 to produce protein-based drugs from cloned genes. After building sales to US\$9 billion and profits to US\$2 billion in 2006, the company's sales growth slowed and its stock price dropped in 2007. The company's products were reaching maturity with few new ones in the pipeline. To regain revenue growth, management decided to target autoimmune diseases, such as multiple sclerosis, rheumatoid arthritis, lupus, and 80 other ailments for which there was no known lasting treatment. This was an enormous opportunity, but also a very large risk for the company. Existing drugs in this area either were not effective for many patients or caused side effects that were worse than the disease. Competition from companies like Amgen and Novartis were already vying for leadership in this area. A number of Genentech's first attempts in the area had failed to do well against the competition.

The strategic decision to commit resources to this new area was based on a report from a British physician that Genentech's cancer drug Rituxan eased the agony of rheumatoid arthritis in five of his patients. CEO Arthur Levinson was so impressed with this report that he immediately informed Genentech's board of directors. He urged them to support a full research program for Rituxan in autoimmune disease. With the board's blessing, Levinson launched a program to study the drug as a treatment for rheumatoid arthritis, MS, and lupus. The company deployed a third of its 1,000 researchers to pursue new drugs to fight autoimmune diseases. In 2006, Rituxan was approved to treat rheumatoid arthritis and captured 10% of the market. By 2014, Rituxan had sales of more than US\$7 billion. The research mandate was to consider ideas others might overlook. This has led to a series of FDA-approved drugs for breast cancer and vision loss. "There's this tremendous herd instinct out there," said Levinson. "That's a great opportunity, because often the crowd is wrong."

1.7.2 Mintzberg's Modes of Strategic Decision Making

Some strategic decisions are made in a flash by one person (often an entrepreneur or a powerful chief executive officer) who has a brilliant insight and is quickly able to convince others to adopt his or her idea. Other strategic decisions seem to develop out of a series of small incremental choices that over time push an organization more in one direction than another. According to Henry Mintzberg, the three most typical approaches, or modes, of strategic decision making are entrepreneurial, adaptive, and planning (a fourth mode, logical incrementalism, was added later by Quinn):

- ⇒ **Entrepreneurial mode:** Strategy is made by one powerful individual. The focus is on opportunities; problems are secondary. Strategy is guided by the founder's own vision of direction and is exemplified by large, bold decisions. The dominant goal is growth of the corporation. Amazon.com, founded by Jeff Bezos, is an example of this mode of strategic decision making. The company reflects Bezos' vision of using the Internet to market everything that can be bought.
- ⇒ **Adaptive mode:** Sometimes referred to as "muddling through," this decision-making mode is characterized by reactive solutions to existing problems, rather than a proactive search for new opportunities. Much bargaining goes on concerning the priority of objectives. Strategy is fragmented and is developed to move a corporation forward incrementally. This mode is typical of most universities, many large hospitals, a large number of governmental agencies, and a surprising number of large corporations. Encyclopedia Britannica Inc. operated successfully for many years in this mode, but it continued to rely on the door-to-door selling of its prestigious books long after dual-career couples made that marketing approach obsolete. Only after it was acquired in 1996 did the company change its door-to-door sales to television advertising and Internet marketing. The company now charges libraries and individual subscribers for complete access via its Web site and has apps for the iPad and iPhone that cost users US\$50. In May 2012, the company stopped producing the bound set of encyclopedias that had been in print for over 244 years.
- ⇒ **Planning mode:** This decision-making mode involves the systematic gathering of appropriate information for situation analysis, the generation of feasible alternative strategies, and the rational selection of the most appropriate strategy. It includes both the proactive search for new opportunities and the reactive solution of existing problems. IBM under CEO Louis Gerstner is a great example of the planning mode. When Gerstner accepted the position of CEO in 1993, he realized that IBM was in serious difficulty. Mainframe computers, the company's primary product line, were suffering a rapid decline both in sales and market share. One of Gerstner's first actions

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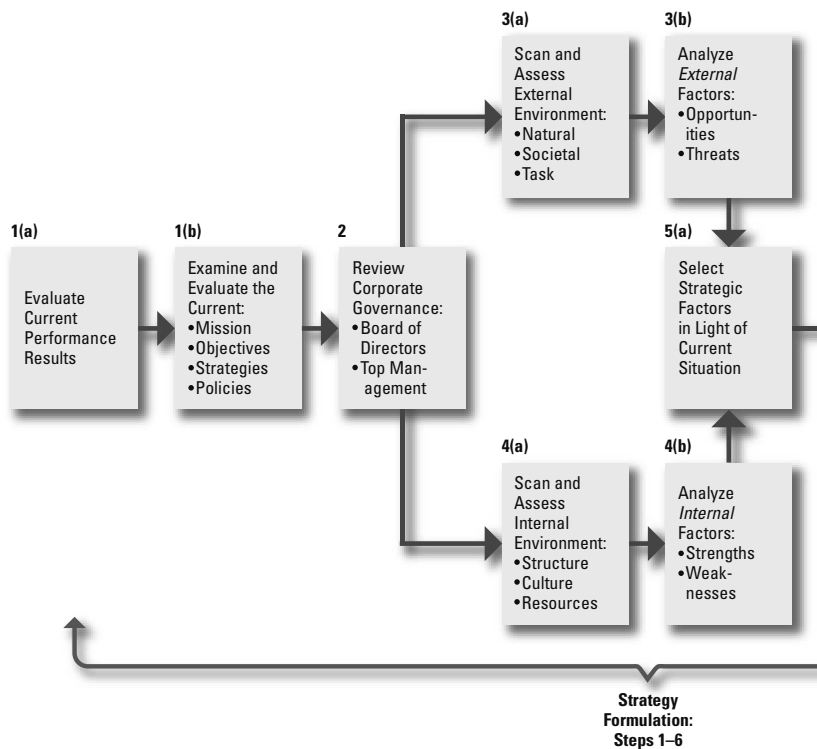
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was to convene a two-day meeting on corporate strategy with senior executives. An in-depth analysis of IBM's product lines revealed that the only part of the company that was growing was services, but it was a relatively small segment and not very profitable. Rather than focusing on making and selling its own computer hardware, IBM made the strategic decision to invest in services that integrated information technology. IBM thus decided to provide a complete set of services from building systems to defining architecture to actually running and managing the computers for the customer—regardless of who made the products. Because it was no longer important that the company be completely vertically integrated, it sold off its DRAM, disk-drive, and laptop computer businesses and exited software application development. Since making this strategic decision in 1993, 80% of IBM's revenue growth has come from services. Most of this is chronicled in an outstanding business practices book written by Gerstner himself entitled *Who Says Elephants Can't Dance?* It should be one of the top reads for anyone really interested in this topic.

- ⇒ **Logical incrementalism:** A fourth decision-making mode can be viewed as a synthesis of the planning, adaptive, and, to a lesser extent, the entrepreneurial modes. In this mode, top management has a reasonably clear idea of the corporation's mission and objectives, but, in its development of strategies, it chooses to use “an interactive process in which the organization probes the future, experiments, and learns from a series of partial (incremental) commitments rather than through global formulations of total strategies.” Thus, although the mission and objectives are set, the strategy is allowed to emerge out of debate, discussion, and experimentation. This approach appears to be useful when the environment is changing rapidly and when it is important to build consensus and develop needed resources before committing an entire corporation to a specific strategy. In his analysis of the petroleum industry, Grant described strategic planning in this industry as “planned emergence.” Corporate headquarters established the mission and objectives but allowed the business units to propose strategies to achieve them.

1.7.3 Strategic Decision-Making Process: Aid to Better Decisions

Good arguments can be made for using the entrepreneurial, adaptive modes, or logical incrementalism approaches in certain specific situations. This book proposes, however, that in most situations the planning mode, which includes the basic elements of the strategic management process, is a more rational, better tested, and more complete method for making strategic decisions. Research indicates that the planning mode is not only more



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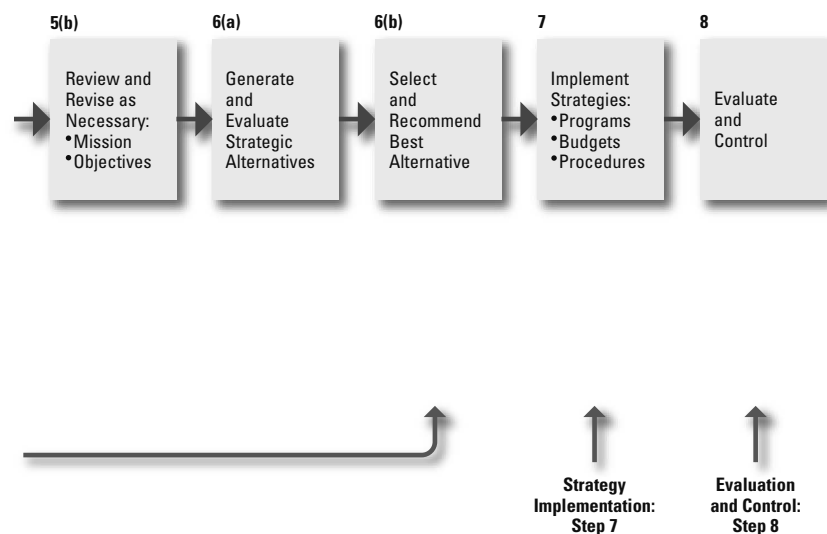
Figure 1.5 Strategic Decision-Making Process

SOURCE: T. L. Wheelen and J. D. Hunger, "Strategic Decision-Making Process." Copyright © 1994 and 1977 by Wheelen and Hunger Associates. Reprinted by permission.

analytical and less political than are the other modes, but it is also more appropriate for dealing with complex, changing environments. We therefore propose the following eight-step **strategic decision-making process** to improve the making of strategic decisions (see **Figure 1-5**):

- ⇒ **Evaluate current performance results** in terms of (a) return on investment, profitability, and so forth, and (b) the current mission, objectives, strategies, and policies.
- ⇒ **Review corporate governance**—that is, the performance of the firm's board of directors and top management.
- ⇒ **Scan and assess the external environment** to determine the strategic factors that pose opportunities and threats.
- ⇒ **Scan and assess the internal corporate environment** to determine the strategic factors that are strengths (especially core competencies) and weaknesses.
- ⇒ **Analyze strategic factors** to (a) pinpoint problem areas and (b) review and revise the corporate mission and objectives, as necessary.
- ⇒ **Generate, evaluate, and select the best alternative strategies** in light of the analysis conducted in the previous step.
- ⇒ **Implement selected strategies** via programs, budgets, and procedures.

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⇒ **Evaluate implemented strategies** via feedback systems, and the control of activities to ensure their minimum deviation from plans.

1-8. Use the strategic audit as a method of analyzing corporate functions and activities

1.8 THE STRATEGIC AUDIT: AID TO STRATEGIC DECISION MAKING

One effective means of putting the strategic decision-making process into action is through a technique known as the strategic audit. A **strategic audit** provides a checklist of questions, by area or issue, that enables a systematic analysis to be made of various corporate functions and activities. (See **Appendix 1.A** at the end of this chapter.) Note that the numbered primary headings in the audit are the same as the numbered blocks in the strategic decision-making process in **Figure 1–5**. Beginning with an evaluation of current performance, the audit continues with environmental scanning, strategy formulation, and strategy implementation, and it concludes with evaluation and control. A strategic audit is a type of management audit and is extremely useful as a diagnostic tool for pinpointing corporatewide problem areas and to highlight organizational strengths and weaknesses. A strategic audit can help determine why a certain area is creating problems for a corporation and help generate solutions to the problem.

A strategic audit is not all-inclusive, but it asks many of the critical questions needed for a detailed strategic analysis of any business. Some questions, or even some areas, might be inappropriate for a particular company; in other cases, the questions may be insufficient for a complete analysis. However, each question in a particular area of a strategic audit can be broken down into an additional series of sub questions. An analyst can develop responses to these sub questions when they are needed for a complete strategic analysis of a company.

1.9 SUMMARY

Strategy scholars Donald Hambrick and James Fredrickson propose that a good strategy has five elements, providing answers to five questions:

- Arenas: Where will we be active?
- Vehicles: How will we get there?
- Differentiators: How will we win in the marketplace?
- Staging: What will be our speed and sequence of moves?
- Economic logic: How will we obtain our returns?

This chapter introduces you to a well-accepted model of strategic management (**Figure 1–2**) in which environmental scanning leads to strategy formulation, strategy implementation, and evaluation and control. It further shows how that model can be put into action through the strategic decision-making process (**Figure 1–5**) and a strategic audit (**Appendix**

1.A). As pointed out by Hambrick and Fredrickson, “strategy consists of an integrated set of choices.” The questions “Where will we be active?” and “How will we get there?” are dealt with by a company’s mission, objectives, and corporate strategy. The question “How will we win in the marketplace?” is the concern of business strategy. The question “What will be our speed and sequence of moves?” is answered not only by business strategy and tactics but also by functional strategy and by implemented programs, budgets, and procedures. The question “How will we obtain our returns?” is the primary emphasis of the evaluation and control element of the strategic management model. Each of these questions and topics will be dealt with in greater detail in the chapters to come. Welcome to the study of strategic management!

1.10 KEY TERM

Andean Community (p. 11)

Association of Southeast Asian Nations (ASEAN) (p. 12)

budget (p. 21)

business strategy (p. 19)

Central American Free Trade Agreement (CAFTA) (p. 12)

corporate strategy (p. 19)

environmental scanning (p. 16)

European Union (EU) (p. 10)

evaluation and control (p. 22)

external environment (p. 16)

functional strategy (p. 19)

globalization (p. 09)

hierarchy of strategy (p. 20)

innovation (p. 10)

institution theory (p. 12)

internal environment (p. 17)

learning organization (p. 13)

Mercosur/Mercosul (p. 11)

mission (p. 17)

objectives (p. 18)

organizational learning theory (p. 13)

performance (p. 22)

phases of strategic management (p. 05)

policy (p. 20)

population ecology (p. 12)

procedures (p. 21)

program (p. 21)

strategic audit (p. 28)

strategic choice perspective (p. 12)

strategic decision-making process (p. 27)

strategic decisions (p. 24)

strategic factors (p. 16)

strategic management (p. 05)

strategy (p. 19)

strategy formulation (p. 17)

strategy implementation (p. 21)

sustainability (p. 11)

SWOT approach (p. 16)

tactic (p. 21)

triggering event (p. 23)

triple bottom line (p. 08)

Union of South American Nations (p. 11)

vision (p. 17)

1.11 REVIEW QUESTIONS

DISCUSSION QUESTIONS

- 1-1. Why has strategic management become so important in business?
- 1-2. How does strategic management typically evolve in a company?
- 1-3. What is a learning organization? Is this approach to strategic management better than the more traditional top-down approach in which strategic planning is primarily done by top management?
- 1-4. Why are strategic decisions different from other kinds of decisions?
- 1-5. When is the planning mode of strategic decision making superior to the entrepreneurial and adaptive modes?
- 1-6. Outline in detail the phases of strategic management.
- 1-7. Pick up any one company which has survived in India for more than 50 years and outline the strategic reasons for its success.
- 1-8. What benefits can a company hope to reap by investing in strong strategic processes?
- 1-9. Discuss the challenges posed by globalization, innovation and sustainability to strategic management. Highlight how these three have changed the strategic management landscape. Give examples.
- 1-10. Discuss the model of strategic management. What factors influence this model?
- 1-11. Outline the hierarchy of strategy.
- 1-12. Discuss Mintzberg's modes of strategic decision making.

1.12 CLASS DISCUSSION CASE

Most people in business on most days deal with company tactics and decisions at a level that is not strategic. However, every decision made by every employee in a company ultimately impacts the success of the strategy for that company. As pointed out by Malcolm Gladwell in his book *The Tipping Point*, it is the collection of thousands of decisions all aimed in relatively the same direction that can lead a company to the achievement of a strategy. How do you decide what type of decision is strategic?

- 1-13. Open today's issue of *The Wall Street Journal* and look for an article about new moves being made by a corporation. Specify those decisions that are strategic.
- 1-14. At what level does each of the decisions that you identified occur? Functional/Business/Corporate? Why do you believe this to be the case?
- 1-15. What is your assessment of these decisions? Will they be effective? Why? How have you decided this?

1.13 MULTIPLE-CHOICE QUESTIONS

- 1-1. The emphasis of strategic management is on
 - A. long-term performance.
 - B. first line managers.
 - C. the short-run performance of the corporation.
 - D. an examination of the organization's internal environment.
 - E. an investigation of competitor actions.
- 1-2. Research suggests that strategic management evolves through four sequential phases in corporations. The first phase is
 - A. externally oriented planning.
 - B. basic financial planning.
 - C. internally oriented planning.
 - D. forecast-based planning.
 - E. strategic management.
- 1-3. The time horizon involved with regard to basic financial planning is usually
 - A. one year.
 - B. one quarter.
 - C. three to five years.
 - D. less than one month.
 - E. five to ten years.
- 1-4. A difference between basic financial planning and forecast-based planning is
 - A. the time horizon is shorter in forecast-based planning.
 - B. forecast-based planning incorporates environmental data and extrapolates current trends.
 - C. basic financial planning utilizes consultants with sophisticated techniques.
 - D. basic financial planning utilizes scenarios and contingency strategies.
 - E. basic financial planning relies heavily on input from lower levels in the organization.
- 1-5. Top-down planning that emphasizes formal strategy formulation and leaves the implementation issues to lower management levels is known as
 - A. forecast-based planning.
 - B. externally oriented planning.
 - C. strategic management.
 - D. basic financial planning.
 - E. none of the above
- 1-6. In the final phase of strategic management, strategic information is available to
 - A. people throughout the organization.

- B. the top management responsible for decision-making.
 - C. middle management.
 - D. operational personnel.
 - E. only those responsible for implementing the strategy.
- 1-7. In a survey of 50 corporations, which of the following was rated as one of the three top benefits of strategic management?
- A. clearer sense of strategic vision for the firm
 - B. higher levels of employee motivation
 - C. higher levels of job satisfaction
 - D. improved productivity
 - E. lower employee turnover
- 1-8. When an organization is evaluating its strategic position, which is not one of the strategic questions that an organization generally may ask itself?
- A. Where is the organization now?
 - B. Are we on target to hit our financial objectives next year?
 - C. If no changes are made, where will the organization be in one year?
 - D. If the evaluation is negative, what specific actions should management take?
 - E. If no changes are made, where will the organization be in 10 years?
- 1-9. Research of the planning practices of companies in the oil industry concludes that the real value of modern strategic planning is more in the _____ that is part of a future-oriented planning process than in any resulting written strategic plan.
- A. planning
 - B. strategic thinking and organizational learning
 - C. resulting written strategic plan
 - D. formality of the process
 - E. improved communication within the organization
- 1-10. Strategic planning within a small organization
- A. may be informal and irregular.
 - B. must be elaborate to allow for future growth.
 - C. should always be formalized and explicitly stated.
 - D. should be done by the president only.
 - E. is unnecessary and a waste of time.

Answer Keys: 1-1. A 1-2. B 1-3. A 1-4. B 1-5. B 1-6. A 1-7. A 1-8. B 1-9. B 1-10. A

Appendix 1.A

Strategic Audit of a Corporation

I. CURRENT SITUATION

A. Current Performance

How did the corporation perform in the past year overall in terms of return on investment, market share, and profitability?

B. Strategic Posture

What are the corporation's current mission, objectives, strategies, and policies?

1. Are they clearly stated, or are they merely implied from performance?
2. **Mission:** What business(es) is the corporation in? Why?
3. **Objectives:** What are the corporate, business, and functional objectives? Are they consistent with each other, with the mission, and with the internal and external environments?
4. **Strategies:** What strategy or mix of strategies is the corporation following? Are they consistent with each other, with the mission and objectives, and with the internal and external environments?
5. **Policies:** What are the corporation's policies? Are they consistent with each other, with the mission, objectives, and strategies, and with the internal and external environments?
6. Do the current mission, objectives, strategies, and policies reflect the corporation's international operations, whether global or multidomestic?

II. CORPORATE GOVERNANCE

A. Board of Directors

1. Who is on the board? How many are internal (employees) or external members?
2. Which board members own significant shares of stock? What percentage?
3. Is the stock privately held or publicly traded? Are there different classes of stock with different voting rights?
4. What do the board members contribute to the corporation in terms of knowledge, skills, background, and connections? If the corporation has international operations, do any board members have international

experience? Are board members concerned with environmental sustainability?

5. How long have the board members served on the board?
6. What is their level of involvement in strategic management? Do they merely rubber-stamp top management's proposals or do they actively participate and suggest future directions? Do they evaluate management's proposals in terms of environmental sustainability?

B. Top Management

1. What person or group constitutes top management?
2. What are top management's chief characteristics in terms of knowledge, skills, background, and style? If the corporation has international operations, does top management have international experience? Are executives from acquired companies considered part of the top management team?
3. Has top management been responsible for the corporation's performance over the past few years? How many managers have been in their current position for less than three years? Were they promoted internally or externally hired?
4. Has top management established a systematic approach to strategic management?
5. What is top management's level of involvement in the strategic management process?
6. How well does top management interact with lower-level managers and with the board of directors?
7. Are strategic decisions made ethically in a socially responsible manner?
8. Are strategic decisions made in an environmentally sustainable manner?
9. Do top executives own significant amounts of stock in the corporation?
10. Do you believe that top management is sufficiently skilled to cope with likely future challenges?

III. EXTERNAL ENVIRONMENT: OPPORTUNITIES AND THREATS (SWOT)

A. Natural Physical Environment: Sustainability Issues

1. What forces from the natural physical environment are currently affecting the corporation and the industries in which it competes? How would you categorize current or future threats? Opportunities?
 - a. Climate, including global temperature, sea level, and fresh water availability

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- b. Weather-related events, such as severe storms, floods, and droughts
- c. Solar phenomena, such as sunspots and solar wind
- 2. Do these forces have different effects in other regions of the world?

B. Societal Environment

- 1. What general environmental forces are currently affecting both the corporation and the industries in which it competes? Which present current or future threats? Opportunities?
 - a. Economic
 - b. Technological
 - c. Political–legal
 - d. Sociocultural
- 2. Are these forces different in other regions of the world?

C. Task Environment

- 1. What forces drive industry competition? Are these forces the same globally or do they vary from country to country? Rate each force as **high**, **medium**, or **low**.
 - a. Threat of new entrants
 - b. Bargaining power of buyers
 - c. Threat of substitute products or services
 - d. Bargaining power of suppliers
 - e. Rivalry among competing firms
 - f. Relative power of unions, governments, special interest groups, etc.
- 2. What key factors in the immediate environment (that is, customers, competitors, suppliers, creditors, labor unions, governments, trade associations, interest groups, local communities, and shareholders) are currently affecting the corporation? Which are current or future threats? Opportunities?

D. Summary of External Factors (List in the EFAS Table 4–5, p. 134)

Which of these forces and factors are the most important to the corporation and to the industries in which it competes at the present time? Which will be important in the future?

IV. INTERNAL ENVIRONMENT: STRENGTHS AND WEAKNESSES (SWOT)

A. Corporate Structure

- 1. How is the corporation structured at present?
 - a. Is the decision-making authority centralized around one group or decentralized to many units?

- b. Is the corporation organized on the basis of functions, projects, geography, or some combination of these?
2. Is the structure clearly understood by everyone in the corporation?
3. Is the present structure consistent with current corporate objectives, strategies, policies, and programs, as well as with the firm's international operations?
4. In what ways does this structure compare with those of similar corporations?

B. Corporate Culture

1. Is there a well-defined or emerging culture composed of shared beliefs, expectations, and values?
2. Is the culture consistent with the current objectives, strategies, policies, and programs?
3. What is the culture's position on environmental sustainability?
4. What is the culture's position on other important issues facing the corporation (that is, on productivity, quality of performance, adaptability to changing conditions, and internationalization)?
5. Is the culture compatible with the employees' diversity of backgrounds?
6. Does the company take into consideration the values of the culture of each nation in which the firm operates?

C. Corporate Resources

1. Marketing

- a. What are the corporation's current marketing objectives, strategies, policies, and programs?
 - i. Are they clearly stated or merely implied from performance and/or budgets?
 - ii. Are they consistent with the corporation's mission, objectives, strategies, and policies, and with internal and external environments?
- b. How well is the corporation performing in terms of analysis of market position and marketing mix (that is, product, price, place, and promotion) in both domestic and international markets? How dependent is the corporation on a few customers? How big is its market? Where is it gaining or losing market share? What percentage of sales comes from developed versus developing regions? Where are current products in the product life cycle?
 - i. What trends emerge from this analysis?
 - ii. What impact have these trends had on past performance and how might these trends affect future performance?

N O T E S

NOTES

- iii. Does this analysis support the corporation's past and pending strategic decisions?
- iv. Does marketing provide the company with a competitive advantage?
 - c. How well does the corporation's marketing performance compare with that of similar corporations?
 - d. Are marketing managers using accepted marketing concepts and techniques to evaluate and improve product performance? (Consider product life cycle, market segmentation, market research, and product portfolios.)
 - e. Does marketing adjust to the conditions in each country in which it operates?
 - f. Does marketing consider environmental sustainability when making decisions?
 - g. What is the role of the marketing manager in the strategic management process?

2. Finance

- a. What are the corporation's current financial objectives, strategies, policies, and programs?
 - i. Are they clearly stated or merely implied from performance and/or budgets?
 - ii. Are they consistent with the corporation's mission, objectives, strategies, and policies, and with internal and external environments?
- b. How well is the corporation performing in terms of financial analysis? (Consider ratio analysis, common size statements, and capitalization structure.) How balanced, in terms of cash flow, is the company's portfolio of products and businesses? What are investor expectations in terms of share price?
 - i. What trends emerge from this analysis?
 - ii. Are there any significant differences when statements are calculated in constant versus reported dollars?
 - iii. What impact have these trends had on past performance and how might these trends affect future performance?
 - iv. Does this analysis support the corporation's past and pending strategic decisions?
 - v. Does finance provide the company with a competitive advantage?
- c. How well does the corporation's financial performance compare with that of similar corporations?
- d. Are financial managers using accepted financial concepts and techniques to evaluate and improve current corporate and divisional performance? (Consider financial leverage, capital budgeting, ratio analysis, and managing foreign currencies.)

- e. How does finance adjust to the conditions in each country in which the company operates?
- f. How does finance cope with global financial issues?
- g. What is the role of the financial manager in the strategic management process?

3. Research and Development (R&D)

- a. What are the corporation's current R&D objectives, strategies, policies, and programs?
 - i. Are they clearly stated or merely implied from performance or budgets?
 - ii. Are they consistent with the corporation's mission, objectives, strategies, and policies, and with internal and external environments?
 - iii. What is the role of technology in corporate performance?
 - iv. Is the mix of basic, applied, and engineering research appropriate given the corporate mission and strategies?
 - v. Does R&D provide the company with a competitive advantage?
- b. What return is the corporation receiving from its investment in R&D?
- c. Is the corporation competent in technology transfer? Does it use concurrent engineering and cross-functional work teams in product and process design?
- d. What role does technological discontinuity play in the company's products?
- e. How well does the corporation's investment in R&D compare with the investments of similar corporations? How much R&D is being outsourced? Is the corporation using value-chain alliances appropriately for innovation and competitive advantage?
- f. Does R&D adjust to the conditions in each country in which the company operates?
- g. Does R&D consider environmental sustainability in product development and packaging?
- h. What is the role of the R&D manager in the strategic management process?

4. Operations and Logistics

- a. What are the corporation's current manufacturing/service objectives, strategies, policies, and programs?
 - i. Are they clearly stated or merely implied from performance or budgets?
 - ii. Are they consistent with the corporation's mission, objectives, strategies, and policies, and with internal and external environments?
- b. What are the type and extent of operations capabilities of the corporation? How much is done domestically versus internationally? Is the amount

NOTES

N O T E S

of outsourcing appropriate to be competitive? Is purchasing being handled appropriately? Are suppliers and distributors operating in an environmentally sustainable manner? Which products have the highest and lowest profit margins?

- i. If the corporation is product-oriented, consider plant facilities, type of manufacturing system (continuous mass production, intermittent job shop, or flexible manufacturing), age and type of equipment, degree and role of automation and/or robots, plant capacities and utilization, productivity ratings, and availability and type of transportation.
- ii. If the corporation is service-oriented, consider service facilities (hospital, theater, or school buildings), type of operations systems (continuous service over time to the same clientele or intermittent service over time to varied clientele), age and type of supporting equipment, degree and role of automation and use of mass communication devices (diagnostic machinery, video machines), facility capacities and utilization rates, efficiency ratings of professional and service personnel, and availability and type of transportation to bring service staff and clientele together.
- c. Are manufacturing or service facilities vulnerable to natural disasters, local or national strikes, reduction or limitation of resources from suppliers, substantial cost increases of materials, or nationalization by governments?
- d. Is there an appropriate mix of people and machines (in manufacturing firms) or of support staff to professionals (in service firms)?
- e. How well does the corporation perform relative to the competition? Is it balancing inventory costs (warehousing) with logistical costs (just-in-time)? Consider costs per unit of labor, material, and overhead; downtime; inventory control management and scheduling of service staff; production ratings; facility utilization percentages; and number of clients successfully treated by category (if service firm) or percentage of orders shipped on time (if product firm).
 - i. What trends emerge from this analysis?
 - ii. What impact have these trends had on past performance and how might these trends affect future performance?
 - iii. Does this analysis support the corporation's past and pending strategic decisions?
 - iv. Do operations provide the company with a competitive advantage?

- f. Are operations managers using appropriate concepts and techniques to evaluate and improve current performance? Consider cost systems, quality control and reliability systems, inventory control management, personnel scheduling, Total Quality Management (TQM), learning curves, safety programs, and engineering programs that can improve efficiency of manufacturing or of service.
- g. Do operations adjust to the conditions in each country in which it has facilities?
- h. Do operations consider environmental sustainability when making decisions?
- i. What is the role of the operations manager in the strategic management process?

5. Human Resources Management (HRM)

- a. What are the corporation's current HRM objectives, strategies, policies, and programs?
 - i. Are they clearly stated or merely implied from performance and/or budgets?
 - ii. Are they consistent with the corporation's mission, objectives, strategies, and policies and with internal and external environments?
- b. How well is the corporation's HRM performing in terms of improving the fit between the individual employee and the job? Consider turnover, grievances, strikes, layoffs, employee training, and quality of work life.
 - i. What trends emerge from this analysis?
 - ii. What impact have these trends had on past performance and how might these trends affect future performance?
 - iii. Does this analysis support the corporation's past and pending strategic decisions?
 - iv. Does HRM provide the company with a competitive advantage?
- c. How does this corporation's HRM performance compare with that of similar corporations?
- d. Are HRM managers using appropriate concepts and techniques to evaluate and improve corporate performance? Consider the job analysis program, performance appraisal system, up-to-date job descriptions, training and development programs, attitude surveys, job design programs, quality of relationships with unions, and use of autonomous work teams.
- e. How well is the company managing the diversity of its workforce? What is the company's record on human rights? Does the company monitor the human rights record of key suppliers and distributors?

NOTES

N O T E S

- f. Does HRM adjust to the conditions in each country in which the company operates? Does the company have a code of conduct for HRM for itself and key suppliers in developing nations? Are employees receiving international assignments to prepare them for managerial positions?
- g. What is the role of outsourcing in HRM planning?
- h. What is the role of the HRM manager in the strategic management process?

6. Information Technology (IT)

- a. What are the corporation's current IT objectives, strategies, policies, and programs?
 - i. Are they clearly stated or merely implied from performance and/or budgets?
 - ii. Are they consistent with the corporation's mission, objectives, strategies, and policies, and with internal and external environments?
- b. How well is the corporation's IT performing in terms of providing a useful database, automating routine clerical operations, assisting managers in making routine decisions, and providing information necessary for strategic decisions?
 - i. What trends emerge from this analysis?
 - ii. What impact have these trends had on past performance and how might these trends affect future performance?
 - iii. Does this analysis support the corporation's past and pending strategic decisions?
 - iv. Does IT provide the company with a competitive advantage?
- c. How does this corporation's IT performance and stage of development compare with that of similar corporations? Is it appropriately using the Internet, intranet, and extranets?
- d. Are IT managers using appropriate concepts and techniques to evaluate and improve corporate performance? Do they know how to build and manage a complex database, establish Web sites with firewalls and virus protection, conduct system analyses, and implement interactive decision-support systems?
- e. Does the company have a global IT and Internet presence? Does it have difficulty with getting data across national boundaries?
- f. What is the role of the IT manager in the strategic management process?

**D. Summary of Internal Factors
(List in the IFAS Table 5-2, p. 169)**

Which of these factors are core competencies? Which, if any, are distinctive competencies? Which of these fac-

tors are the most important to the corporation and to the industries in which it competes at the present time? Which might be important in the future? Which functions or activities are candidates for outsourcing?

V. ANALYSIS OF STRATEGIC FACTORS (SWOT)

A. Situational Analysis (List in SFAS Matrix, Figure 6-1, pp. 182-183)

Of the external (EFAS) and internal (IFAS) factors listed in III.D and IV.D, which are the strategic (most important) factors that strongly affect the corporation's present and future performance?

B. Review of Mission and Objectives

1. Are the current mission and objectives appropriate in light of the key strategic factors and problems?
2. Should the mission and objectives be changed? If so, how?
3. If they are changed, what will be the effects on the firm?

VI. STRATEGIC ALTERNATIVES AND RECOMMENDED STRATEGY

A. Strategic Alternatives

1. Can the current or revised objectives be met through more careful implementation of those strategies presently in use (for example, fine-tuning the strategies)?
2. What are the major feasible alternative strategies available to the corporation? What are the pros and cons of each? Can corporate scenarios be developed and agreed on? (Alternatives must fit the natural physical environment, societal environment, industry, and corporation for the next three to five years.)
 - a. Consider *stability*, *growth*, and *retrenchment* as corporate strategies.
 - b. Consider *cost leadership* and *differentiation* as business strategies.
 - c. Consider any functional strategic alternatives that might be needed for reinforcement of an important corporate or business strategic alternative.

B. Recommended Strategy

1. Specify which of the strategic alternatives you are recommending for the corporate, business, and functional levels of the corporation. Do you recommend different business or functional strategies for different units of the corporation?

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2. Justify your recommendation in terms of its ability to resolve both long- and short-term problems and effectively deal with the strategic factors.
3. What policies should be developed or revised to guide effective implementation?
4. What is the impact of your recommended strategy on the company's core and distinctive competencies?

VII. IMPLEMENTATION

A. What Kinds of Programs or Tactics Should Be Developed to Implement the Recommended Strategy?

1. Who should develop these programs/tactics?
2. Who should be in charge of these programs/tactics?

B. Are the Programs/Tactics Financially Feasible? Can Pro Forma Budgets Be Developed and Agreed On? Are Priorities and Timetables Appropriate to Individual Programs/Tactics?

C. Will New Standard Operating Procedures Need to Be Developed?

VIII. EVALUATION AND CONTROL

A. Is the Current Information System Capable of Providing Sufficient Feedback on Implementation Activities and Performance? Can It Measure Strategic Factors?

1. Can performance results be pinpointed by area, unit, project, or function?
2. Is the information timely?
3. Is the corporation using benchmarking to evaluate its functions and activities?

B. Are Adequate Control Measures in Place to Ensure Conformance with the Recommended Strategic Plan?

1. Are appropriate standards and measures being used?
2. Are reward systems capable of recognizing and rewarding good performance?

2

CHAPTER

SOCIAL RESPONSIBILITY AND ETHICS IN STRATEGIC MANAGEMENT

2.1	Social Responsibilities of Strategic Decision Makers
2.1.1	Responsibilities of a Business Firm
2.2	Sustainability
2.2.1	Corporate Stakeholders
2.3	Stakeholder Analysis
2.4	Ethical Decision Making
2.4.1	Some Reasons for Unethical Behavior
2.4.2	Encouraging Ethical Behavior
2.5	Views on Ethical Behavior
2.6	Summary
2.7	Key Term
2.8	Review Questions
2.9	Class Discussion Case
2.10	Multiple-choice Questions

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TATA CONSULTANCY SERVICES (TCS)



Tata Consultancy Services (TCS), was established as a part of Tata group in 1968 and was corporatized into a separate company with effect from 1st April 2004. Since then TCS has grown to the position of one of the largest IT service firms in Asia and the largest IT employer in India. Its product portfolio consists of services to segments like financial services, energy sector, telecom, government, media sector and information services etc. Today, it is recognized as a global leader in IT services and as a partner with an ability to simplify, strengthen and transform the business of its partners. It is a listed company on National Stock Exchange and Bombay Stock Exchange in India with over 3,71,000 consultants in over 45 countries and has generated a consolidated revenue of US \$16.5 billion as on March 31, 2016.

TCS is also a leader in waste reduction, recycling and re-manufacturing among Indian companies being publically traded. Energy is an essential resource for the company's operations. One of the key areas where it focuses on is to manage this energy resource and carbon footprint. The company manages its carbon footprint on four key level:

- Green Buildings
- Green IT
- Operational Efficiency
- Renewable Energy

The Company has managed its GHG (Greenhouse Gas) emissions (scope 1 + scope 2) to a level where they were 43.6% less than the baseline year 2008 and 7% less than the last reporting year. Their efforts do not stop at management of carbon footprint through energy management. The company is also an active participant into sustainable waste management. The company has a strategic target to make all its operation sites "zero" waste to landfill sites by 2027. The company started its waste management technologies endeavor in 2012-2013. It has implemented strategies like generation of bio gas to reduce LPG (Liquefied Petroleum Gas) consumption, vermicomposting, organic waste converter etc.

The benefits of these endeavors has been that company has been able to reduce its carbon footprint by avoiding 796 tCO₂e GHG emissions and has also managed to produce environmentally sustainable products i.e. renewable energy resources

which have given monetary benefits to the company as well. As a result of these efforts, TCS also featured in the “The News-week Green Rankings”, an annual ranking of the world’s largest companies of corporate sustainability and environmental impact published by American weekly newsmagazine News-week. The rankings are based on key performance indicators which are used to assess the environmental performance of the world’s largest publicly traded companies. TCS was the first Indian company to feature in the list right above Infosys with a score of 56.10%; with a target for 2020 to achieve 50% reduction in per capita Scope 2 emissions and reducing the carbon footprint (per capital) by 50%.

TCS’s commitment to environmental sustainability has improved and expanded over the years.

2.1 SOCIAL RESPONSIBILITIES OF STRATEGIC DECISION MAKERS

Should strategic decision makers be responsible only to shareholders, or do they have broader responsibilities? The concept of **social responsibility** proposes that a private corporation has responsibilities to society that extend beyond making a profit. Strategic decisions often affect more than just the corporation. A decision to retrench by closing some plants and discontinuing product lines, for example, affects not only the firm’s workforce but also the communities where the plants are located and the customers with no other source for the discontinued product. Such situations raise questions about the appropriateness of certain missions, objectives, and strategies of business corporations. Managers must be able to deal with these conflicting interests in an ethical manner to formulate a viable strategic plan.

2.1.1 Responsibilities of a Business Firm

What are the responsibilities of a business firm and how many of them must be fulfilled? Milton Friedman and Archie Carroll offer two contrasting views of the responsibilities of business firms to society.

Friedman’s Traditional View of Business Responsibility

Urging a return to a laissez-faire worldwide economy with minimal government regulation, Milton Friedman argued against the concept of social responsibility as a function of business. A business person who acts “responsibly” by cutting the price of the firm’s product to aid the poor, or by making expenditures to reduce pollution, or by hiring the hard-core unemployed, according to Friedman, is spending the shareholder’s money for a general social interest. Even if the businessperson has shareholder permission or

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- 2-1. Discuss the relationship between social responsibility and corporate performance

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even encouragement to do so, he or she is still acting from motives other than economic and may, in the long run, harm the very society the firm is trying to help. By taking on the burden of these social costs, the business becomes less efficient—either prices go up to pay for the increased costs or investment in new activities and research is postponed. These results negatively affect—perhaps fatally—the long-term efficiency of a business. Friedman thus referred to the social responsibility of business as a “fundamentally subversive doctrine” and stated that:

There is one and only one social responsibility of business—to use its resources and engage in activities designed to increase its profits so long as it stays within the rules of the game, which is to say, engages in open and free competition without deception or fraud.

Carroll's Four Responsibilities of Business

Friedman's contention that the primary goal of business is profit maximization is only one side of an ongoing debate regarding corporate social responsibility (CSR). According to William J. Byron, Distinguished Professor of Ethics at Georgetown University and past President of Catholic University of America, profits are merely a means to an end, not an end in itself. Just as a person needs food to survive and grow, so does a business corporation need profits to survive and grow. “Maximizing profits is like maximizing food.” Thus, contends Byron, maximization of profits cannot be the primary obligation of business.

As shown in **Figure 2–1**, Archie Carroll proposed that the managers of business organizations have four responsibilities: economic, legal, ethical, and discretionary.

1. **Economic** responsibilities of a business organization's management are to produce goods and services of value to society so that the firm may repay its creditors and increase the wealth of its shareholders.
2. **Legal** responsibilities are defined by governments in laws that management is expected to obey. For example, in India, Ministry of Corporate Affairs notified in Section 135 and Schedule VII of the Companies Act as well as the provisions of the Companies (Corporate Social Responsibility Policy) Rules, 2014 (CRS Rules) (which came into effect from 1st April 2014) that a Company i.e. (a) net worth of the company to be ₹500 crore or more; (b) turnover of the company to be ₹1000 crore or more; (c) net profit of the company to be ₹5 crore or more will be required to spend at least 2% of its average net profit for the immediately preceding 3 financial years on CSR activities. These activities can include education, poverty, gender equality and hunger.
3. **Ethical** responsibilities of an organization's management are to follow the generally held beliefs about behavior in a society. For example, society generally expects firms to work with



Figure 2.1 Responsibilities of Business

SOURCE: Suggested by Archie Carroll in A. B. Carroll, “A Three Dimensional Conceptual Model of Corporate Performance,” *Academy of Management Review* (October 1979), pp. 497–505; A. B. Carroll, “Managing -Ethically with Global Stakeholders: A Present and Future Challenge,” *Academy of Management Executive* (May 2004), pp. 114–120; and A. B. Carroll, “The Pyramid of Corporate Social Responsibility: Toward the Moral Management of Organizational Stakeholders,” *Business Horizons* (July–August 1991), pp. 39–48.

the employees and the community in planning for layoffs, even though no law may require this. The affected people can get very upset if an organization’s management fails to act according to generally prevailing ethical values.

4. **Discretionary** responsibilities are the purely voluntary obligations a corporation assumes. Examples are philanthropic contributions, training the hard-core unemployed, and providing day-care centers. The difference between ethical and discretionary responsibilities is that few people expect an organization to fulfill discretionary responsibilities, whereas many expect an organization to fulfill ethical ones.

Carroll lists these four responsibilities *in order of priority*. A business firm must first make a profit to satisfy its economic responsibilities. To continue in existence, the firm must follow the laws, thus fulfilling its legal responsibilities. There is evidence that companies found guilty of violating laws have lower profits and sales growth after conviction. On this point, Carroll and Friedman are in agreement. Carroll, however, goes further by arguing that business managers have responsibilities beyond economic and legal ones.

Having satisfied the two basic responsibilities, according to Carroll, a firm should look to fulfilling its social responsibilities. Social responsibility, therefore, includes both ethical and discretionary, but not economic and legal, responsibilities. A firm can fulfill its ethical responsibilities by taking actions that society tends to value but has not yet put into law. When ethical responsibilities are satisfied, a firm can focus on discretionary responsibilities—purely voluntary actions that society has not yet decided to expect from every company. For example, when Cisco Systems decided to dismiss 6000 full-time employees, it provided a novel severance package. Those employees who agreed to work for a local nonprofit organization for a year would receive one-third of their salaries plus benefits and stock options and be the first to be rehired. Nonprofits were delighted to hire such highly qualified people and Cisco was able to maintain its talent pool for when it could hire once again.

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As societal values evolve, the discretionary responsibilities of today may become the ethical responsibilities of tomorrow. For example Indian people are becoming more and more aware of obesity amongst children. Much of this is blamed on corporate marketing or government guidelines. This awareness led to a public interest litigation (PIL) in 2010 by Uday Foundation, a Delhi-based NGO, against the sale of 'junk food' in and around schools. The Delhi High Court in response to the PIL directed FSSAI (Food Safety and Standards Authority of India) to frame guidelines for making high quality food to be available in schools.

The Central Board of Secondary Education (CBSE) guided all its affiliated schools to remove items in 12 broad categories like chips, carbonated drinks, burgers, pizzas and all forms of candies from the school canteen and also to try that such items were not available around 200m of the school premises.

It is because of this awareness that restaurants in India are also rapidly moving towards offering healthy, low calorie food on their menus.

Carroll suggests that to the extent that business corporations fail to acknowledge discretionary or ethical responsibilities, society, through government, will act, making them legal responsibilities. Government may do this, moreover, without regard to an organization's economic responsibilities. As a result, the organization may have greater difficulty in earning a profit than it would have if it had voluntarily assumed some ethical and discretionary responsibilities.

Both Friedman and Carroll argue their positions based on the impact of socially responsible actions on a firm's profits. Friedman says that socially responsible actions hurt a firm's efficiency. Carroll proposes that a lack of social responsibility results in increased government regulations, which reduce a firm's efficiency because it must not only comply with the law, but must prove its compliance with regulators.

Friedman's position on social responsibility appears to be losing traction with business executives. For example, a 2006 survey of business executives across the world by McKinsey & Company revealed that only 16% felt that business should focus solely on providing the highest possible returns to investors while obeying all laws and regulations, contrasted with 84% who stated that business should generate high returns to investors but balance it with contributions to the broader public good. The United Nations Global Compact was started in 2001 as an initiative for a company to voluntarily commit to aligning their operations with 10 principles covering human rights, the environment, labor, and corruption among others. By 2012, over 6800 companies in 140 countries had signed the compact. Those CEOs have agreed to report on their activities annually.

Empirical research now indicates that socially responsible actions may have a positive effect on a firm's financial performance.

Although a number of studies in the past have found no significant relationship, an increasing number are finding a small, but positive relationship.

An in-depth analysis by Margolis and Walsh of 127 studies found that “there is a positive association and very little evidence of a negative association between a company’s social performance and its financial performance.” Another meta-analysis of 52 studies on social responsibility and performance reached this same conclusion.

According to Porter and Kramer, “social and economic goals are not inherently conflicting, but integrally connected.” Being known as a socially responsible firm may provide a company with *social capital*, the goodwill of key stakeholders, that can be used for competitive advantage. Target, for example, tries to attract socially concerned younger consumers by offering brands from companies that can boast ethical track records and community involvement. A 2008 study conducted by Grant Thornton found that privately held businesses were forgoing the big publicity campaigns run by multinational companies and focusing their attention on CSR as a means for recruitment and retention of the best employees. In the same report, they found that 58% of these private companies had formally adopted transparent CSR policies as a means of influencing larger companies that may use their services/products.

Being socially responsible does provide a firm with a more positive overall reputation. A survey of more than 700 global companies by The Conference Board reported that 60% of the managers state that citizenship activities had led to (1) goodwill that opened doors in local communities and (2) an enhanced reputation with consumers. Another survey of 140 U.S. firms revealed that being more socially responsible regarding environmental sustainability resulted not only in competitive advantages but also in cost savings. For example, companies that take the lead in being environmentally friendly, such as by using recycled materials preempt attacks from environmental groups and enhance their corporate image. Programs to reduce pollution, for example, can actually reduce waste and maximize resource productivity. One study that examined 70 ecological initiatives taken by 43 companies found the average payback period to be 18 months. Other examples of benefits received from being socially responsible are:

- ⇒ Their environmental concerns may enable them to charge premium prices and gain brand loyalty (for example, Stoneyfield Yogurt, Whole Foods, and Ben & Jerry’s Ice Cream).
- ⇒ Their trustworthiness may help them generate enduring relationships with suppliers and distributors without requiring them to spend a lot of time and money policing contracts.
- ⇒ They can attract outstanding employees who prefer working for a responsible firm (for example, Procter & Gamble and Starbucks).

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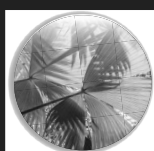
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2-2. Explain the concept of sustainability

- ⇒ They are more likely to be welcomed into a foreign country (for example, Levi Strauss).
- ⇒ They can utilize the goodwill of public officials for support in difficult times.
- ⇒ They are more likely to attract capital infusions from investors who view reputable companies as desirable long-term investments. For example, mutual funds investing only in socially responsible companies more than doubled in size from 1995 to 2007 and outperformed the S&P 500 list of stocks.

2.2 SUSTAINABILITY

As we pointed out in **Chapter 1**, sustainability includes much more than just ecological concerns and the natural environment. Crane and Matten point out that the concept of sustainability should be broadened to include economic and social as well as environmental concerns. They argue that it is sometimes impossible to address the sustainability of the natural environment without considering the social and economic aspects of relevant communities and their activities. For example, even though environmentalists may oppose road building programs because of their effect on wildlife and conservation efforts, others point to the benefits to local communities of less traffic congestion and more jobs. Dow Jones & Company, a leading provider of global business news and information, developed a sustainability index that considers not only environmental, but also economic and social factors. See the **Sustainability Issue** feature to learn how a global company is



SUSTAINABILITY ISSUE

Woodland leads the way to become the first carbon neutral chain in India

There have been many moves over the past few years to increase the sustainability of business practices. The idea that waste is not a given in the operation of business has led to new ways of doing business that not only makes it a hit among the good citizens, but also saves the company a substantial amount of money. One such company which has focused on sustainability issues in India is Woodland.

In 2012, Woodland announced its plans to become the first carbon neutral chain in India as a part of its pro-planet campaign. Being carbon neutral means having net zero carbon footprint which basically means that a company intends to balance a measured amount of carbon released with an equivalent amount offset or buying enough carbon credits to make up the difference. In order to achieve this objective, the

company started off by doing a carbon accounting of its stores in Karnataka, and Delhi NCR region in order to calculate the carbon footprint from its retail operations. The company has also gone in for introducing a pro-planet range of sandals and slippers which are made from vegetable tanned leather and recycled rubber. The company has also experimented with biodegradable shoes and sandals which put minimal pressure on the environment. Company has also launched its own range of organic and pure green T-shirts. According to some reports, the company had earmarked 2–3% of its profits for eco-friendly initiatives per year. Multiple schemes have also been launched by the company to share the carbon credits of the customers with them.

The management at Woodland takes the whole business very seriously and has even put in place strict accounting methodology to avoid issues like double accounting of carbon credits. The company has taken a further step by partnering with MTV, Lufthansa and other big brands for its eco-friendly initiatives. Their efforts have been good for their business and good for society at large.

using environmental sustainability efforts to improve its bottom line.

The broader concept of sustainability has much in common with Carroll's list of business responsibilities presented earlier. In order for a business corporation to be sustainable—that is, to be successful over a long period of time—it must satisfy all of its economic, legal, ethical, and discretionary responsibilities. Sustainability thus involves many issues, concerns, and tradeoffs—leading us to an examination of corporate stakeholders.

2.2.1 Corporate Stakeholders

The concept that business must be socially responsible sounds appealing until we ask, “Responsible to whom?” A corporation's task environment includes a large number of groups with interest in a business organization's activities. These groups are referred to as **stakeholders** because they affect or are affected by the achievement of the firm's objectives. Should a corporation be responsible only to some of these groups, or does business have an equal responsibility to all of them?

In any one strategic decision, the interests of one stakeholder group can conflict with those of another. For example, a business firm's decision to use only recycled materials in its manufacturing process may have a positive effect on environmental groups, but a negative effect on shareholder dividends. In another example, arguably the worst environmental disaster in the past decade occurred in the Gulf of Mexico when the Deepwater Horizon

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2-3. Conduct a stakeholder analysis

platform exploded, killing 11 workers and unleashing the worst oil spill in the nation's history. Much of the investigation since that explosion centered on a series of cost-saving approaches used by Trans Ocean (under contract to BP). On the one hand, shareholders were being rewarded with lower costs and higher profits. Had the rig not exploded, the focus would have remained on extracting the oil at the least possible cost. On the other hand, officials and the population along the gulf coast were decimated by the economic and environmental impact of a spill that was entirely preventable. Which group's interests should have priority?

In order to answer this question, the corporation may need to craft an *enterprise strategy*—an overarching strategy that explicitly articulates the firm's ethical relationship with its stakeholders. This requires not only that management clearly state the firm's key ethical values, but also that it understands the firm's societal context, and undertakes stakeholder analysis to identify the concerns and abilities of each stakeholder.

2.3 STAKEHOLDER ANALYSIS

Stakeholder analysis is the identification and evaluation of corporate stakeholders. This can be done in a three-step process.

The *first step* in stakeholder analysis is to identify primary stakeholders, those who have a *direct connection* with the corporation and who have sufficient bargaining power to *directly* affect corporate activities. Primary stakeholders include customers, employees, suppliers, shareholders, and creditors.

Unfortunately, determining exactly who constitutes the firm's customers and exactly what they want is difficult. This is particularly difficult when companies sell items for other companies (many retail organizations are simply flow-through operations for the products on their shelf, e.g., Wal-Mart, Target, etc.) or they sell items for which they have only limited influence. Coca-Cola Bottling Company Consolidated (CCBCC) is the largest independent bottler for Coca-Cola. Although they are in direct contact with the retailers who display their products, most of those products are controlled by Coca-Cola in Atlanta, Georgia. Furthermore, these retailers although customers of CCBCC, are really just conduits for the consumer of the beverage. Marketing outwardly focuses on the end consumer of the beverage, but that same consumer probably has no idea that CCBCC has done all the work to ensure that the shelves are stocked. Coca-Cola in Atlanta may create a new flavor or drink brand (think Coconut Water) and pressure CCBCC to find a way to get those products accepted by the retailer who really only wants the product if it will outsell what was on the shelf before it arrived.

Although difficult at times, it is nonetheless important for businesses to determine who their stakeholders are and what they want. The corporation systematically monitors these stakeholders

because they are important to a firm meeting its economic and legal responsibilities. Employees want a fair pay and fringe benefits. Customers want safe products and a value for the price they pay. Shareholders want dividends and stock price appreciation. Suppliers want predictable orders and bills paid. Creditors want commitments to be met on time. In the normal course of affairs, the relationship between a firm and many of its primary stakeholders is regulated by written or verbal agreements and laws. Once a problem is identified, negotiation takes place based on costs and benefits to each party. (Government is not usually considered a primary stakeholder because laws apply to everyone in a particular category and usually cannot be negotiated.)

The *second step* in stakeholder analysis is to identify the *secondary stakeholders* — those who have only an *indirect* stake in the corporation but who are also affected by corporate activities. These usually include nongovernmental organizations (NGOs, such as Greenpeace), activists, local communities, trade associations, competitors, and governments. Because the corporation's relationship with each of these stakeholders is usually not covered by any written or verbal agreement, there is room for misunderstanding. As in the case of NGOs and activists, there actually may be no relationship until a problem develops—usually brought up by the stakeholder. In the normal course of events, these stakeholders do not affect the corporation's ability to meet its economic or legal responsibilities. Aside from competitors, these secondary stakeholders are not usually monitored by the corporation in any systematic fashion. As a result, relationships are usually based on a set of questionable assumptions about each other's needs and wants. Although these stakeholders may not directly affect a firm's short-term profitability, their actions could impact a corporation's reputation and thus its long-term performance.

The *third step* in stakeholder analysis is to estimate the effect on each stakeholder group from any particular strategic decision. Because the primary decision criteria used by management is generally economic, this is the point where secondary stakeholders may be ignored or discounted as unimportant. For a firm to fulfill its ethical or discretionary responsibilities, it must seriously consider the needs and wants of its secondary stakeholders in any strategic decision. For example, how much will specific stakeholder groups lose or gain? What other alternatives do they have to replace what may be lost?

Stakeholder Input

Once stakeholder impacts have been identified, managers should decide whether stakeholder input should be invited into the discussion of the strategic alternatives. A group is more likely to accept or even help implement a decision if it has some input into which alternative is chosen and how it is to be implemented. In the case of the huge BP oil spill, the company originally committed

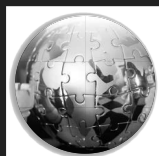
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more than US\$20 billion to the restoration of the gulf coast and the reimbursement of lost earnings to businesses affected by the spill. Although there are still outstanding lawsuits and many claim not to have been made whole, BP has paid out more than \$28 billion as of 2015 without any legal requirement.

Given the wide range of interests and concerns present in any organization's task environment, one or more groups, at any one time, will probably be dissatisfied with an organization's activities—even if management is trying to be socially responsible. A company may have some stakeholders of which it is only marginally aware and in some cases does not seem interested in appeasing.

Therefore, before making a strategic decision, strategic managers should consider how each alternative will affect various stakeholder groups. What seems at first to be the best decision because it appears to be the most profitable may actually result in the worst set of consequences to the corporation. One example of a company that does its best to consider its responsibilities to its primary and secondary stakeholders when making strategic decisions is Johnson & Johnson. See the **Strategy Highlight** feature for the J&J and ITC credo. A similar example from Indian economy is that of ITC where the company does its best to consider its responsibilities when making strategic decisions.



STRATEGY HIGHLIGHT

Johnson & Johnson Credo

We believe our first responsibility is to the doctors, nurses, and patients, to mothers and fathers and all others who use our products and services. In meeting their needs everything we do must be of high quality. We must constantly strive to reduce our costs in order to maintain reasonable prices. Customers' orders must be serviced promptly and accurately. Our suppliers and distributors must have an opportunity to make a fair profit.

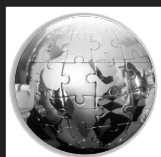
We are responsible to our employees, the men and women who work with us throughout the world. Everyone must be considered as an individual. We must respect their dignity and recognize their merit. They must have a sense of security in their jobs. Compensation must be fair and adequate, and working conditions clean, orderly, and safe. We must be mindful of ways to help our employees fulfill their family responsibilities. Employees must feel free to make suggestions and complaints. There must be equal opportunity for employment, development, and advancement for those qualified. We must provide

competent management, and their actions must be just and ethical.

We are responsible to the communities where we live and work and to the world community as well. We must be good citizens—support good works and charities and bear our fair share of taxes. We must encourage civic improvements and better health and education. We must maintain in good order the property we are privileged to use, protecting the environment and natural resources.

Our final responsibility is to our stockholders. Business must make a sound profit. We must experiment with new ideas. Research must be carried on, innovative programs developed, and mistakes paid for. New equipment must be purchased, new facilities provided, and new products launched. Reserves must be created for adverse times. When we operate according to these principles, the stockholders should realize a fair return.

SOURCES: Johnson & Johnson Company Web site, January 5, 2016; (http://www.jnj.com/sites/default/files/pdf/jnj_ourcredo_english_us_8.5x11_cmyk.pdf). Copyright by Johnson & Johnson. All rights reserved. Reprinted by permission.



STRATEGY HIGHLIGHT

ITC Credo of Country before Corporation

ITC is a company which spans into all three sectors of the economy - agriculture, manufacturing and services, and it is driven by its inspiration to be an enterprise of “exemplary Indians serving larger national priorities”. The company in order to deal with extreme competitiveness in a globalizing Indian environment decided to adopt the credo of putting, INDIA FIRST, - keeping the country before corporation and institution before the individual. The progress of the institution has been guided by this credo. ITC is one of the leading companies in India to adopt “triple bottom line” dimensions.

2.4 ETHICAL DECISION MAKING

Some people joke that there is no such thing as “business ethics.” They call it an oxymoron—a concept that combines opposite or contradictory ideas. Unfortunately, there is some truth to this sarcastic comment. The Ethics Resource Center has been measuring the state of ethics in organizations since 2007. The 2013 (released in 2014) survey found that 41% of employees surveyed said that they had witnessed misconduct at work, but only 63% reported it. The latest study saw some significant positive trends; the percentage

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- 2-4. Explain why people may act unethically

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of organizations providing ethics training rose to an all-time high of 81% and 74% of companies now provide communication internally about disciplinary actions when wrongdoing occurs. In a survey from 1996 to 2005 of top managers at 2270 firms, researchers found that 29.2% of the firms analyzed had backdated or otherwise manipulated stock option grants to take advantage of favorable share-price movements.

The Financial Crimes Enforcement Network found that mortgage fraud cases jumped by over 88% from 2010 to 2011 to just over 29,500. The most common types of mortgage fraud are debt-elimination scams, falsifying information on loan applications, and identity theft. In one instance, Allison Bice, office manager at Leonard Fazio's RE/MAX A-1 Best Realtors in Urbandale, Iowa, admitted that she submitted fake invoices and copies of checks drawn on a closed account as part of a scheme to obtain more money from Homecoming Financial, a mortgage company that had hired Fazio's agency to resell foreclosed homes.

A study of more than 5000 graduate students at 32 colleges and universities in the United States and Canada revealed that 56% of business students and 47% of non-business students admitted to cheating at least once during the past year. Cheating was more likely when a student's peers also cheated. In another example, 6000 people paid US\$30 to enter a VIP section on ScoreTop.com's Web site to obtain access to actual test questions posted by those who had recently taken the Graduate Management Admission Test (GMAT). In response, the Graduate Management Admission Council promised to cancel the scores of anyone who posted "live" questions to the site or knowingly read them. Given this lack of ethical behavior among students, it is easy to understand why some could run into trouble if they obtained a job at a corporation having an unethical culture, such as Enron, WorldCom, or Tyco.

2.4.1 Some Reasons for Unethical Behavior

Why are many business people perceived to be acting unethically? It may be that the involved people are not even aware that they are doing something questionable. There is no worldwide standard of conduct for business people. This is especially important given the global nature of business activities. Cultural norms and values vary between countries and even between different geographic regions and ethnic groups within a country. For example, what is considered in one country to be a bribe to expedite service is sometimes considered in another country to be normal business practice. Some of these differences may derive from whether a country's governance system is *rule-based* or *relationship-based*. Relationship-based countries tend to be less transparent and have a higher degree of corruption than do rule-based countries. See the **Global Issue** feature for an explanation of country governance systems and how they may affect business practices.



GLOBAL ISSUE

How Rule-Based and Relationship-Based Governance Systems Affect Ethical Behavior

The developed nations of the world operate under governance systems quite different from those used by developing nations. Developed nations and the business firms within them follow well-recognized rules in their dealings and financial reporting. To the extent that a country's rules force business corporations to publicly disclose in-depth information about the company to potential shareholders and others, that country's financial and legal system is said to be *transparent*. Transparency helps simplify transactions and reduces the temptation to behave illegally or unethically. Finland, the United Kingdom, Hong Kong, the United States, and Australia have very transparent business climates. The Kurtzman Group, a consulting firm, developed an *opacity index* that measures the risks associated with unclear legal systems, regulations, economic policies, corporate governance standards, and corruption in 48 countries. The countries with the most opaque/least transparent ratings are Indonesia, Venezuela, China, Nigeria, India, Egypt, and Russia.

Developing nations tend to have *relationship-based governance*. Transactions are based on personal and implicit agreements, not on formal contracts enforceable by a court. Information about a business is largely local and private—thus, it cannot be easily verified by a third party. In contrast, *rule-based governance* relies on publicly verifiable information—the type of information that is typically not available in a developing country. The rule-based system has an infrastructure, based on accounting, auditing, ratings systems, legal cases, and codes, to provide and monitor this information. If present in a developing nation, the infrastructure is not very sophisticated. This is why investing in a developing country is very risky. The relationship-based system in a developing nation is inherently nontransparent due to the local and non-verifiable nature of its information. A business person needs to develop and nurture a wide network of personal relationships. *What* you know is less important than *who* you know.

The investment in time and money needed to build the necessary relationships to conduct business in a developing nation creates a high entry barrier for any newcomers to an industry. Thus, key industries in developing nations tend to be controlled by a small number of companies, usually privately owned, family-controlled conglomerates. Because public information is unreliable and insufficient for decisions, strategic decisions

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may depend more on a CEO playing golf with the prime minister than with questionable market share data. In a relationship-based system, the culture of the country (and the founder's family) strongly affects corporate culture and business ethics. What is "fair" depends on whether one is a family member, a close friend, a neighbor, or a stranger. Because behavior tends to be less controlled by laws and agreed-upon standards than by tradition, business people from a rule-based developed nation perceive the relationship-based system in a developing nation to be less ethical and more corrupt. According to Larry Smeltzer, ethics professor at Arizona State University, "The lack of openness and predictable business standards drives companies away. Why would you want to do business in, say Libya, where you don't know the rules?"

SOURCES: S. Li, S. H. Park, and S. Li, "The Great Leap Forward: The Transition from Relation-Based Governance to Rule-Based Governance," *Organizational Dynamics* (Vol. 33, No. 1, 2003), pp. 63–78; M. Davids, "Global Standards, Local Problems," *Journal of Business Strategy* (January/February 1999), pp. 38–43; "The Opacity Index," *The Economist* (September 18, 2004), p. 106.

Another possible reason for what is often perceived to be unethical behavior lies in differences in values between business people and key stakeholders. Some business people may believe profit maximization is the key goal of their firm, whereas concerned interest groups may have other priorities, such as the hiring of minorities and women or the safety of their neighborhoods. Of the six values measured by the Allport-Vernon-Lindzey Study of Values test (aesthetic, economic, political, religious, social, and theoretical), both U.S. and UK executives consistently score highest on economic and political values and lowest on social and religious ones. This is similar to the value profile of managers from Japan, Korea, India, and Australia, as well as those of U.S. business school students. U.S. Protestant ministers, in contrast, score highest on religious and social values and very low on economic values.

This difference in values can make it difficult for one group of people to understand another's actions. For example, Michael Bloomberg, (former mayor of New York City) pushed through regulations that changed the type of oil that fast-food companies could use in their fryers, mandated calorie listings for all eating establishments, and in 2012 presented a plan that would prohibit food-service establishments from selling sodas and similarly sweet drinks in sizes larger than 16 oz. That plan was invalidated by the courts before it could ever be implemented. "Let the buyer beware" is a traditional saying by free-market proponents who argue that customers in a free market democracy have the right to choose how they spend their money and live their lives. Social progressives contend that business people working in tobacco, alcoholic beverages, gambling, and

maybe now the soft drink industries are acting unethically by making and advertising products with potentially dangerous and expensive side effects, such as cancer, alcoholism, obesity, and addiction. People working in these industries could respond by asking whether it is ethical for people who don't smoke, drink, or gamble to reject another person's right to do so.

Seventy percent of executives representing 111 diverse national and multinational corporations reported that they bend the rules to attain their objectives. The three most common reasons given were:

- ⇒ Organizational performance required it—74%
- ⇒ Rules were ambiguous or out of date—70%
- ⇒ Pressure from others and everyone does it—47%

The financial community's emphasis on short-term earnings performance is a significant pressure for executives to "manage" quarterly earnings. For example, a company achieving its forecasted quarterly earnings figure signals the investment community that its strategy and operations are proceeding as planned. Failing to meet its targeted objective signals that the company is in trouble—thus causing the stock price to fall and shareholders to become worried. Research by DeGeorge and Patel involving more than 100,000 quarterly earnings reports revealed that a preponderance (82%) of reported earnings *exactly* matched analysts' expectations or exceeded them by 1%. The disparity between the number of earnings reports that missed estimates by a penny and the number that exceeded them by a penny suggests that executives who risked falling short of forecasts "borrowed" earnings from future quarters.

In explaining why executives and accountants at Enron engaged in unethical and illegal actions, former Enron Vice-President Sherron Watkins used the "*frogs in boiling water*" analogy. If, for example, one were to toss a frog into a pan of boiling water, according to the folk tale, the frog would quickly jump out. It might be burned, but the frog would survive. However, if one put a frog in a pan of cold water and turned up the heat very slowly, the frog would not sense the increasing heat until it was too lethargic to jump out and would be boiled.

Moral Relativism

Some people justify their seemingly unethical positions by arguing that there is no one absolute code of ethics and that morality is relative. Simply put, **moral relativism** claims that morality is relative to some personal, social, or cultural standard and that there is no method for deciding whether one decision is better than another.

At one time or another, most managers have probably used one of the four types of moral relativism—naïve, role, social group, or cultural—to justify questionable behavior.

Naïve relativism: Based on the belief that all moral decisions are deeply personal and that individuals have the right to run their

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own lives, adherents of moral relativism argue that each person should be allowed to interpret situations and act according to his or her own moral values. This is not so much a belief as it is an excuse for not having a belief or is a common excuse for not taking action when observing others lying or cheating.

Role relativism: Based on the belief that social roles carry with them certain obligations to that role, adherents of role relativism argue that a manager in charge of a work unit must put aside his or her personal beliefs and do instead what the role requires—that is, act in the best interests of the unit. Blindly following orders was a common excuse provided by Nazi war criminals after World War II.

Social group relativism: Based on a belief that morality is simply a matter of following the norms of an individual's peer group, social group relativism argues that a decision is considered legitimate if it is common practice, regardless of other considerations ("everyone's doing it"). A real danger in embracing this view is that the person may incorrectly believe that a certain action is commonly accepted practice in an industry when it is not.

Cultural relativism: Based on the belief that morality is relative to a particular culture, society, or community, adherents of cultural relativism argue that people should understand the practices of other societies, but not judge them. This view not only suggests that one should not criticize another culture's norms and customs, but also that it is acceptable to personally follow these norms and customs. ("When in Rome, do as the Romans do.")

Although each of these arguments has some element that may be understandable, moral relativism could enable a person to justify almost any sort of decision or action, so long as it is not declared illegal.

Kohlberg's Levels of Moral Development

Another reason why some business people might be seen as unethical is that they may have no well-developed personal sense of ethics. A person's ethical behavior is affected by his or her level of moral development, certain personality variables, and such situational factors as the job itself, the supervisor, and the organizational culture. Kohlberg proposes that a person progresses through three **levels of moral development**. Similar in some ways to Maslow's hierarchy of needs, in Kohlberg's system, the individual moves from total self-centeredness to a concern for universal values. Kohlberg's three levels are as follows:

1. **The preconventional level:** This level is characterized by a concern for self. Small children and others who have not progressed beyond this stage evaluate behaviors on the basis of personal interest—avoiding punishment or quid pro quo.

2. **The conventional level:** This level is characterized by considerations of society's laws and norms. Actions are justified by an external code of conduct.
3. **The principled level:** This level is characterized by a person's adherence to an internal moral code. An individual at this level looks beyond norms or laws to find universal values or principles. See the **Innovation Issue** to see how someone turned a pressing world need into a viable business.

Kohlberg places most people in the conventional level, with fewer than 20% of U.S. adults in the principled level of development. Research appears to support Kohlberg's concept. For example, one study found that individuals higher in cognitive moral development, lower in Machiavellianism, with a more internal locus of control, a less-relativistic moral philosophy, and higher job satisfaction are less likely to plan and enact unethical choices.



INNOVATION ISSUE

Turning a Need Into a Business to Solve the Need

Tying an innovative idea to a social problem and turning it into a viable business is no small feat. Putting those three concepts to get the satisfying result was exactly what Umesh Malhotra accomplished. Umesh Malhotra is an IIT graduate from Madras, who quit his job to start his own business. By providing IT services to companies he gravitated towards building libraries for kids from low income households. His experience of building libraries for poor kids made him notice the drawbacks of current education system. According to ASER, an annual survey of learning outcomes in reading and arithmetic, across urban and rural India, in 2005, nearly half the children enrolled in class 5 were unable to read a class 2 text and the number has remained unchanged as of 2014. To address this gap in the local education system, Malhotra set up Hippocampus Learning Centers (HLC). The schools are based on the fundamentals of preschools. These learning centers are located in villages and operate preschools (preschools refers to three years of schooling before class I). As of September 2016, HLC operated over 300 centers in Karnataka with over 11,000 children and employed 750 local women. The expenses of the school were managed out of the fees collected from the students which may range from ₹3000–₹7000 per year per child. The fee structure is decided by the size and economy of the village. Major investors in this project include Unitus Seed Fund, Khosla Impact, Asian Development Bank and Asha for Education.

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NOTES

Hippocampus learning centers are just one such example where an entrepreneur tied an innovative idea to a social problem and turned it into a viable business. The key to success of such businesses is to convert them into something more than a charity. Charities come and go with the interest level of the donors. However, if an entrepreneur and his team can figure out how to convert it into a business, then the potential of vastly improving the lives of millions might be possible. Some other examples of such ventures in India include iMerit (a Kolkata-based venture which helps Indian youth – especially women – from low income households to serve in the digital economy); Forus Health (a Bengaluru based venture which is built around an innovative product for early detection of preventable blindness) etc.

All of these ventures faced a lot of problems and there was no easy answer for these intractable problems. But a consistent theme of success is turning “good” into a business that thrives for local residents.

2.4.2 Encouraging Ethical Behavior

Following Carroll’s work, if business people do not act ethically, government will be forced to pass laws regulating their actions—and usually increasing their costs. For self-interest, if for no other reason, managers should be more ethical in their decision making. One way to do that is by developing codes of ethics. Another is by providing guidelines for ethical behavior.

Codes of Ethics

A **code of ethics** specifies how an organization expects its employees to behave while on the job. Developing a code of ethics can be a useful way to promote ethical behavior, especially for people who are operating at Kohlberg’s conventional level of moral development. Such codes are currently being used by more than half of U.S. business corporations. A code of ethics (1) clarifies company expectations of employee conduct in various situations and (2) makes clear that the company expects its people to recognize the ethical dimensions in decisions and actions.

Various studies indicate that an increasing number of companies are developing codes of ethics and implementing ethics training workshops and seminars. However, research also indicates that when faced with a question of ethics, managers tend to ignore codes of ethics and try to solve dilemmas on their own. To combat this tendency, the management of a company that wants to improve its employees’ ethical behavior should not only develop a comprehensive code of ethics but also communicate the code in its training programs; in its performance appraisal system, policies, and procedures; and through its own actions. It may even

include key values in its values and mission statements. According to a 2011 survey conducted by the National Business Ethics Survey (NBES), the strength of ethics cultures declined dramatically in 2011 with 42% of respondents finding that their corporate ethics culture was either weak or weak leaning. This was an increase from the 2009 survey that found only 35% in the same situation. Specific findings of interest were:

- ⇒ 90% of employees who observed corporate misconduct rated their cultures as weak.
- ⇒ 34% of employees felt that their supervisor did not display ethical behavior.
- ⇒ 34% said their management watches them more closely.

In addition, India has attempted to support whistleblowers, those employees who report illegal or unethical behavior on the part of others. In order to support them, a Whistleblowers Protection Act 2011 was approved by the cabinet of India and passed by Lok Sabha on 27th December 2011. The bill became an act in 2014. The act was a response to threats, harassment and even murder of various whistleblowers in India. A popular case was one of Satyendra Dubey, who was murdered in 2003 after exposing the corruption in National Highways Authority of India's Golden quadrilateral project.

Corporations appear to benefit from well-conceived and implemented ethics programs. For example, companies with strong ethical cultures and enforced codes of conduct have fewer unethical choices available to employees—thus fewer temptations. A study by the Open Compliance and Ethics Group found that no company with an ethics program in place for 10 years or more experienced “reputational damage” in the last five years. Some of the companies identified in surveys as having strong moral cultures are Canon, Hewlett-Packard, Johnson & Johnson, Levi Strauss, Medtronic, Motorola, Newman's Own, Patagonia, S. C. Johnson, Shorebank, Smucker, and Sony.

A corporation's management should consider establishing and enforcing a code of ethical behavior not only for itself, but also for those companies with which it does business—especially if it outsources its manufacturing to a company in another country. Apple is one of the most profitable and powerful companies in the world. Much of their product manufacturing is outsourced to Chinese factories that have a reputation for harsh working conditions. Apple has a supplier code of conduct and a relatively vigorous auditing effort. Despite those efforts, *The New York Times* reported in 2012 that some of the suppliers audited by Apple had violated at least one aspect of the code every year since 2007. Critics have pointed out that for a variety of reasons Apple is relatively lax in its enforcement of the code. *The New York Times* reported that Apple conducted 312 audits over a three-year time period finding more than half the companies in violation and 70 core violations. Yet, despite all the evidence, Apple has terminated only 15 contracts over the past five years.

NOTES

NOTES

- 2-5. Describe different views of ethics according to the utilitarian, individual rights, and justice approaches

Recent surveys of over one hundred companies in the Global 2000 uncovered that 64% have some code of conduct that regulates supplier conduct, but only 40% require suppliers to actually take any action with respect to the code, such as disseminating it to employees, offering training, certifying compliance, or even reading or acknowledging receipt of the code.

It is important to note that having a code of ethics for suppliers does not prevent harm to a corporation's reputation if one of its offshore suppliers is able to conceal abuses. Numerous Chinese factories, for example, keep double sets of books to fool auditors and distribute scripts for employees to recite if they are questioned. Consultants have found new business helping Chinese companies evade audits.

2.5 VIEWS ON ETHICAL BEHAVIOR

Ethics is defined as the consensually accepted standards of behavior for an occupation, a trade, or a profession. **Morality**, in contrast, constitutes one's rules of personal behavior based on religious or philosophical grounds. **Law** refers to formal codes that permit or forbid certain behaviors and may or may not enforce ethics or morality. Given these definitions, how do we arrive at a comprehensive statement of ethics to use in making decisions in a specific occupation, trade, or profession? A starting point for such a code of ethics is to consider the three basic approaches to ethical behavior:

1. **Utilitarian approach:** The **utilitarian approach** proposes that actions and plans should be judged by their consequences. People should, therefore, behave in a way that will produce the greatest benefit to society and produce the least harm or the lowest cost. A problem with this approach is the difficulty in recognizing all the benefits and costs of any particular decision. Research reveals that only the stakeholders who have the most *power* (ability to affect the company), *legitimacy* (legal or moral claim on company resources), and *urgency* (demand for immediate attention) are given priority by CEOs. It is, therefore, likely that only the most obvious stakeholders will be considered, while others are ignored.
2. **Individual rights approach:** The **individual rights approach** proposes that human beings have certain fundamental rights that should be respected in all decisions. A particular decision or behavior should be avoided if it interferes with the rights of others. A problem with this approach is in defining "fundamental rights." The U.S. Constitution includes a Bill of Rights that may or may not be accepted throughout the world. The approach can also encourage selfish behavior when a person defines a personal need or want as a "right."

3. Justice approach: The **justice approach** proposes that decision makers be equitable, fair, and impartial in the distribution of costs and benefits to individuals and groups. It follows the principles of *distributive justice* (people who are similar on relevant dimensions such as job seniority should be treated in the same way) and *fairness* (liberty should be equal for all persons). The justice approach can also include the concepts of *retributive justice* (punishment should be proportional to the offense) and *compensatory justice* (wrongs should be compensated in proportion to the offense). Affirmative action issues such as reverse discrimination are examples of conflicts between distributive and compensatory justice.

Cavanagh proposes that we solve ethical problems by asking the following three questions regarding an act or a decision:

- 1. Utility:** Does it optimize the satisfactions of all stakeholders?
- 2. Rights:** Does it respect the rights of the individuals involved?
- 3. Justice:** Is it consistent with the canons of justice?

For example, what if a company allows one vice-president to fly first class to Europe, but not others? Using the utility criterion, this action increases the company's costs and thus does not optimize benefits for shareholders or customers. Using the rights approach, the VP allowed to fly first class might argue that he or she is owed this type of reward for the extra strain that an international trip puts on personal relationships or work performance. Using the justice criterion, unless everyone at the VP level is allowed to fly first class, the privilege is not justifiable.

Another approach to resolving ethical dilemmas is by applying the logic of the philosopher Immanuel Kant. Kant presents two principles (called **categorical imperatives**) to guide our actions:

- 1.** A person's action is ethical only if that person is willing for that same action to be taken by everyone who is in a similar situation. This is the same as the Golden Rule: Treat others as you would like them to treat you. For example, staying at upscale hotels while on the trip to Europe is only ethical if the same opportunity is available to others in the company at the same level.
- 2.** A person should never treat another human being simply as a means but always as an end. This means that an action is morally wrong for a person if that person uses others merely as a means for advancing his or her own interests. To be moral, the act should not restrict other people's actions so they are disadvantaged in some way.

NOTES

2.6 SUMMARY

In his book *Defining Moments*, Joseph Badaracco states that most ethics problems deal with “right versus right” problems in which neither choice is wrong. These are what he calls “dirty hands problems” in which a person has to deal with very specific situations that are covered only vaguely in corporate credos or mission statements. For example, many mission statements endorse fairness but fail to define the term. At the personal level, *fairness* could mean playing by the rules of the game, following basic morality, treating everyone alike and not playing favorites, treating others as you would want to be treated, being sensitive to individual needs, providing equal opportunity for everyone, or creating a level playing field for the disadvantaged. According to Badaracco, codes of ethics are not always helpful because they tend to emphasize problems of misconduct and wrongdoing, not a choice between two acceptable alternatives, such as keeping an inefficient plant operating for the good of the community

or closing the plant and relocating to a more efficient location to lower costs.

This chapter provides a framework for evaluating the social responsibilities of a business. Following Carroll, it proposes that a manager should consider not only the economic and legal responsibilities of the business but also its ethical and discretionary responsibilities. It also provides a method for making ethical choices, whether they are right versus right or some combination of right and wrong. It is important to consider Cavanaugh’s questions about using the utilitarian, individual rights, and justice approaches, plus Kant’s categorical imperatives, when making a strategic decision. In general, a corporation should try to move from Kohlberg’s conventional development to a principled level of ethical development. If nothing else, the frameworks should contribute to well-reasoned strategic decisions that a person can defend when interviewed by hostile media or questioned in a court room.

2.7 KEY TERM

categorical imperatives (p. 59)
code of ethics (p. 56)
cultural relativism (p. 55)
ethics (p. 58)
individual rights approach (p. 58)
justice approach (p. 58)
law (p. 58)
levels of moral development (p. 55)
morality (p. 58)

moral relativism (p. 54)
naïve relativism (p. 55)
role relativism (p. 55)
social group relativism (p. 55)
social responsibility (p. 44)
stakeholder analysis (p. 49)
stakeholders (p. 49)
utilitarian approach (p. 58)
whistle-blowers (p. 57)

2.8 REVIEW QUESTIONS

- 2-1. What is the relationship between corporate governance and social responsibility?
- 2-2. What is your opinion of Apple having a code of conduct for its suppliers? What would Milton Friedman say? Contrast his view with Archie Carroll’s view.
- 2-3. Does a company have to act selflessly to be considered socially responsible? For example, when building a new plant, a corporation voluntarily invested in additional equipment that enabled it to reduce its pollution emissions beyond any current laws. Knowing that it would be very expensive for its competitors to do the same, the firm lobbied the government to make pollution regulations more restrictive on the entire industry. Is this company socially responsible? Were its managers acting ethically?
- 2-4. Are people living in a relationship-based governance system likely to be unethical in business dealings?
- 2-5. Given that people rarely use a company’s code of ethics to guide their decision making, what good are the codes?

- 2-6. Discuss in detail the Friedman’s traditional view of business responsibility while citing examples from the current corporate world.
- 2-7. Compare and contrast Carroll’s four responsibility of business with the Friedman’s traditional view of business responsibility.
- 2-8. Explain the concept of sustainability while highlighting the issues, concerns and trade-offs which a company might have to make while pursuing the strategy of sustainability.
- 2-9. Discuss the process of stakeholder analysis. When and why would a company go in for stakeholder analysis?
- 2-10. What do you understand by ethical decision-making? Why and when do people act unethically?
- 2-11. Compare and contrast the three approaches to ethical behaviour i.e. the utilitarian approach, the individual rights approach and the justice approach.

2.9 CLASS DISCUSSION CASE

Moral Relativism: Ravi's Dilemma

Ravi, had just logged out of his office at 5pm on one fine evening of May, when he received a phone call from Mr. Singh, who introduced himself as a family member of Mr. Ravi's boss, Mr. Dayal. However, the conversation was far from pleasant. Mr. Singh accused and abused Mr. Ravi of acting unethically with his sister who had appeared for an interview in another organization with Mr. Ravi's reference. The conversation had left Ravi disturbed and while driving his car he was reflecting on the events of the past few months preceding this incident.

Though still in shock over the conversation he was pondering over the sequence of events in order to understand what he could have done differently. He could not understand what ethical protocol to follow and whether to report the incident to his boss.

Sequence of events

Ravi remembered clearly that it was in the month of January, he had just wrapped up a briefing with his Human Resource Team when he received a phone call from his boss Mr. Dayal, who had called to ask him for a favour. Mr. Dayal was the Senior Director and CEO of the unit where Ravi worked and he was the reason why Ravi had left his old job and joined this new prospering entrepreneurial venture. Mr. Dayal had met Ravi at a party of the latter's old firm. Impressed by Ravi's professionalism and achievements, Mr. Dayal had pursued Ravi to join his firm. The job offer had been on Ravi's terms and conditions and therefore Ravi had always had a lot of respect for Mr. Dayal.

Ravi recalled his conversation with Mr. Dayal over the phone. He informed Ravi, that he had shared Ravi's phone number with one of his family members. The daughter of this family member was looking for a job. Though she could be adjusted in the parent entrepreneurial venture, for personal reasons Mr. Dayal did not want her to work in the family venture. Therefore, he requested Ravi to groom her and to help her get a job in some other unit. Ravi looked up to Mr. Dayal as a mentor and therefore agreed to help the girl.

Ravi expected the girl to call with Mr. Dayal's reference in a week or so. When the expected call did not come he completely forgot about it. It was, in the middle of March when the girl called up Ravi, with Mr. Dayal's reference, asking for an appointment. As it was near the closing of the financial year Ravi could not meet her and decided to talk on the phone. After understanding her requirements, her background, her capabilities he told her to call him up in a week and he would try and arrange an interview for her in one of the leading business ventures in hospitality industry.

After a week when she called again, Ravi had already arranged an interview for her with one of his acquaintances. He suggested to her that she should follow the code of conduct for an interview both in terms of hard and soft skills. All she needed to do was perform in the interview and he would get her the

job. Ravi recalled clearly how the girl was not convinced with the brand and wanted to work in a good five-star hotel and it had taken him quite some effort to convince her to get some exuberance working in the current unit for a few months. He explained to her that being a fresher and getting the job profile that she was looking for in a five-star hotel was very difficult and if she was able to sustain the pressure of the job for six months, Ravi would be able to get her an opportunity abroad in countries like Dubai, Singapore, Canada etc. The girl appeared in the interview and somehow did not manage to clear the first-round. Ravi, had shared the feedback with her and only because Mr. Dayal had told her that he would look for some more opportunities for her and inform her. In the meantime he had suggested that she should improve her hard and soft skills as despite his recommendation she would still need to clear an interview. This had been the last conversation that he had had with that girl. It had almost been one and a half months and he had completely forgotten about the girl and the incident.

Today, he received this phone call from Mr. Singh saying that he was the brother of the same girl and Mr. Dayal's family member. Mr. Singh had just given him enough time to recall the incident, before he started shouting and yelling at Ravi. Mr. Singh accused Ravi of unethical conduct and said that he had acted in an inappropriate manner with his sister by asking her to dress adequately and to adhere to a hard and soft skills code of appearing in an interview. Furthermore, he had made inappropriate suggestions and asked for favours by suggesting about vacations and leisure trips to Dubai and Singapore. Ravi had been too shocked to even understand or react to the conversation.

Ravi had only tried to help the girl on reference of Mr. Dayal. Ravi had never faced such a situation in his life and he did not know how to inform Mr. Dayal about the unacceptable conduct of his family member. Being an entrepreneurial firm, he had heard rumours, of such incidences in other departments. However, most of them had never been reported to the boss. Ravi recalls how he was always against manipulating the recruitment process to help people. That is why he had made her appear in an interview. He had never made any lewd suggestions to the girl in question. He had done this only for Mr. Dayal.

Furthermore, there was no set of ethical or moral policy which Ravi could refer to for his dilemma. He was not sure whether to report the incident to his boss or not. How would Mr. Dayal react to the incident? He was not sure what protocol should be followed.

1. What should Ravi do and how should he inform Mr. Dayal?
2. Should the company create any ethical and moral protocols for such situations? Moral and ethical protocols are set for company related work. Therefore, how can a company extend the code of conduct to such situations?
3. Discuss how moral relativism has been a focus in various places in this incident?

2.10 MULTIPLE-CHOICE QUESTIONS

- 2-1.** The concept that proposes private corporations have responsibilities to society that extend beyond making a profit is known as
A. flexible responsibility.
B. social responsibility.
C. social flexibility.
D. managerial responsibility.
E. profit maximization.
- 2-2.** Which one of the following is not one of the arguments against social responsibility as used by economist Milton Friedman?
A. Spending money for social responsibility is spending the stockholder's money for a general social interest.
B. Businesses can actually do very little in terms of social responsibility.
C. Spending money on social responsibility is acting from motives other than economic and may, in the long run, cause harm to the very society the firm is trying to help.
D. There is one and only one social responsibility of business—to use its resources and engage in activities designed to increase its profits so long as it stays within the rules of the game.
E. Through taking on the burden of social costs, the organization becomes less efficient, causing price increases or postponement of growth.
- 2-3.** Who said that the social responsibility of business is a “fundamentally subversive doctrine” and that the one social responsibility of business is “to use its resources and engage in activities designed to increase its profits so long as it stays within the rules of the game...”?
A. Adam Smith
B. Edward Freeman
C. Archie Carroll
D. William C. Norris
E. Milton Friedman
- 2-4.** Economist Milton Friedman has argued that a business's only responsibility is to
A. maximize profits and stay within the rules of the game.
B. sustain its market share.
C. promote the welfare of society.
D. satisfy its employees.
E. satisfy its customers.
- 2-5.** According to Archie Carroll, the responsibility that management of a business organization has to produce goods and services of value to society so that the firm may repay its creditors and stockholders is called
A. legal responsibilities.
B. ethical responsibilities.
C. economic responsibilities.
D. financial responsibilities.
E. discretionary responsibilities.
- 2-6.** According to Archie Carroll, the responsibilities defined by government in laws for management to obey are
A. legal responsibilities.
B. ethical responsibilities.
C. financial responsibilities.
D. economic responsibilities.
E. discretionary responsibilities.
- 2-7.** According to Archie Carroll, the responsibilities that management of a business organization assumes which are purely voluntary obligations are
A. legal responsibilities.
B. ethical responsibilities.
C. financial responsibilities.
D. economic responsibilities.
E. discretionary responsibilities.
- 2-8.** The term “social responsibility,” according to Archie Carroll, can be viewed as a combination of an
A. organization's ethical and discretionary responsibilities.
B. organization's legal and ethical responsibilities.
C. organization's economic and ethical responsibilities.
D. organization's financial and economic responsibilities.
E. organization's legal and discretionary responsibilities.
- 2-9.** Archie Carroll's four responsibilities listed in order of priority are
A. legal, economic, ethical, and discretionary.
B. legal, ethical, discretionary, and economic.
C. economic, legal, ethical, and discretionary.
D. economic, ethical, discretionary, and legal.
E. ethical, economic, legal, and discretionary.
- 2-10.** Society generally expects firms to work with employees and the company to plan for layoffs. This is an example of which of Archie Carroll's responsibilities?
A. economic
B. legal
C. justice
D. ethical
E. discretionary

Answer Keys: 2-1. B 2-2. B 2-3. E 2-4. A 2-5. C 2-6. A 2-7. E 2-8. A 2-9. C 2-10. D

3

CHAPTER

ENVIRONMENTAL SCANNING AND INDUSTRY ANALYSIS

3.1	Aspects of Environmental Scanning
3.1.1	Identifying External Environmental Variables
3.2	Strategic Importance of the External Environment
3.2.1	Scanning the Societal Environment: STEEP Analysis
3.2.2	Identifying External Strategic Factors
3.3	Industry Analysis: Analyzing the Task Environment
3.3.1	Porter's Approach to Industry Analysis
3.4	Industry Evolution
3.5	Categorizing International Industries
3.5.1	International Risk Assessment
3.5.2	Strategic Groups
3.5.3	Strategic Types
3.5.4	Hypercompetition
3.6	Using Key Success Factors to Create an Industry Matrix
3.7	Competitive Intelligence
3.7.1	Sources of Competitive Intelligence
3.7.2	Monitoring Competitors for Strategic Planning
3.8	Forecasting
3.8.1	Useful Forecasting Techniques
3.9	The Strategic Audit: A Checklist for Environmental Scanning
3.10	Synthesis of External Factors
3.11	Summary
3.12	Key Term
3.13	Review Questions
3.14	Class Discussion Case
3.15	Multiple-choice Questions

KINGFISHER – WHAT HAPPENED TO A GREAT COMPANY?



In 1915, the foundation of United Breweries (UB) and Kingfisher, its flagship brand, was laid down with coming together of five breweries in South India. Today, as per the United Breweries website, they are the undisputed king of the Indian beer market and its flagship brand – Kingfisher is currently available in 69 countries. In 1983, Vijay Mallya became the Chairman of United Breweries. He has been credited with consolidating the group's holdings, shedding companies which did not make sense to his business, and winning corporate battles like Shaw Wallace, one of the oldest liquor manufacturers in India.

It was in 2003, the time when most Indian businesses were riding on easy liquidity and were getting into infrastructural projects that Vijay Mallya set up Kingfisher Airlines as a wholly owned subsidiary of UB group. The airline started its operations in May 2005. Kingfisher Airlines positioned itself as a glamorous flying company with stylish red interiors and a sophisticated cabin crew. It was also the first company to introduce In-flight Entertainment (IFE) systems to the Indian consumers.

In 2007, Vijay Mallya acquired crisis ridden no-frills Air Deccan, which had a fleet of 71 aircrafts. UB group spent around ₹1000 crore for the acquisition.

In 2009, Kingfisher Airlines transported more than 1 million passengers, giving it the highest market share amongst airlines in India.

It was after the merger with Air Deccan that the problems of Kingfisher Airlines started. It was during this period that the company decided to enter into low-cost markets and offer its customers cost efficacies. It adopted a twin brand strategy to cater to the Indian market. The no-frills segment in the Indian aviation industry grew but the market share of Kingfisher Airlines did not. In November 2009, the company reported a net loss of ₹418.77 crore during the second quarter of the fiscal year. This was followed by capacity reduction and huge layoffs by the airlines. Ironically, despite operating losses, Kingfisher announced flights to Europe. In November 2010, though the Kingfisher Airlines Board approved a debt recast package it was revealed that the airlines debt stood at over ₹7000 crore.

It was in November 2010, that banks for the first time restructured Kingfisher's debt and converted ₹1355 crore of

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debt into equity at a 61.6% premium to the market price of Kingfisher Airlines stock. In 2012, Kingfisher Airlines was grounded, leaving its employees with unpaid salaries. Its cumulative losses ran into ₹16,023 crore and its net worth fell to negative ₹12,919 crore by end of March 2013. It was in 2015, that a 17 bank consortium led by the State Bank of India took over possessions of the prized Kingfisher house estimated to be worth ₹100 crore.

Lack of focus and frequent changes between a luxury brand and an economy class brand were not the only reasons responsible for the bad condition of Kingfisher. Economic slowdown in 2008 also contributed to the downfall of Kingfisher. The economic slowdown of 2008 led to decrease in airline travel, increase in the fuel prices, and landing and airport charges. These changes coupled with high inherent operational costs of the airline industry were also the factors which influenced Kingfisher's performance.

The end became very clear starting from the acquisition of the Air Deccan and adoption of twin brand strategy by the airlines. The company pulled a fortune into every unsuccessful attempt to revive the company and streamline its operations. Like so many companies that are unable to adapt to new market conditions and evolving industry dynamics, the company suffered through many rounds of layoffs, restructurings and asset sales as management team floundered.

Kingfisher, once a brand name that rivalled the greatest in the world may go the way of other legacy companies that failed to learn and change with the environment.

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A changing environment can help as well as hurt a company. Many pioneering companies have gone out of business because of their failure to adapt to competitive and environmental change or, even worse, because of their failure to create change. For example, Baldwin Locomotive, the major manufacturer of steam locomotives, was very slow in making the switch to diesel locomotives. General Electric and General Motors soon dominated the diesel locomotive business and Baldwin went out of business. The dominant manufacturers of vacuum tubes failed to make the change to transistors and consequently lost this market. Eastman Kodak, the pioneer and market leader of chemical-based film photography, has been in a long decline as it struggles to find its place in the post-film world. Failure to adapt is, however, only one side of the coin. A changing environment usually creates new opportunities at the same time it destroys old ones. The lesson is simple: To be successful over time, an organization needs to be in tune with its external environment. There must be a strategic fit between what the environment wants and what the

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- 3-1. List the aspects of an organization's environment that can influence its long-term decisions

corporation has to offer, as well as between what the corporation needs and what the environment can provide.

Current predictions are that the environment for all organizations will become even more uncertain with every passing year. What is **environmental uncertainty**? It is the *degree of complexity* plus the *degree of change* that exists in an organization's external environment. As more and more markets become global, the number of factors a company must consider in any decision increases in size and difficulty. With new technologies being discovered every year, markets change and products must change with them.

On the one hand, environmental uncertainty is a threat to strategic managers because it hampers their ability to develop long-range plans and to make strategic decisions to keep the corporation in equilibrium with its external environment. On the other hand, environmental uncertainty is an opportunity because it creates a new playing field in which creativity and innovation can play a major part in strategic decisions.

3.1 ASPECTS OF ENVIRONMENTAL SCANNING

Before managers can begin strategy formulation, they must understand the context of the environment in which their organization competes. It is virtually impossible for a company to design a strategy without a deep understanding of the external environment. Once management has framed the aspects of the environment that impact the business, they are in a position to determine the firm's competitive advantages. **Environmental scanning** is an overarching term encompassing the monitoring, evaluation, and dissemination of information relevant to the organizational development of strategy. A corporation uses this tool to avoid strategic surprise and to ensure its long-term health. Research has found a positive relationship between environmental scanning and profits. A 2011 study by McKinsey & Company found that executives ranked macrolevel trends as the most important input to be considered when developing corporate strategy.

3.1.1 Identifying External Environmental Variables

In undertaking environmental scanning, strategic managers must first be aware of the many variables within a corporation's natural, societal, and task environments (see **Figure 1–3**). The **natural environment** includes physical resources, wildlife, and climate that are an inherent part of existence on Earth. These factors form an ecological system of interrelated life. The **societal environment** is mankind's social system that includes general forces that do not directly touch on the short-run activities of the organization, but that can influence its long-term

decisions. These factors affect multiple industries and are as follows:

- ⇒ **Economic forces** that regulate the exchange of materials, money, energy, and information.
- ⇒ **Technological forces** that generate problem-solving inventions.
- ⇒ **Political–legal forces** that allocate power and provide constraining and protecting laws and regulations.
- ⇒ **Sociocultural forces** that regulate the values, mores, and customs of society.

The **task environment** includes those elements or groups that directly affect a corporation and, in turn, are affected by it. These are governments, local communities, suppliers, competitors, customers, creditors, employees/labor unions, special-interest groups, and trade associations. A corporation's task environment is typically focused on the industry within which the firm operates. **Industry analysis** refers to an in-depth examination of key factors within a corporation's task environment. The natural, societal, and task environments must be monitored to examine the strategic factors that have a strong impact on corporate success or failure. Significant changes in the natural environment tend to impact the societal environment of the business (resource availability and costs), and finally the task environment because it impacts the growth or decline of whole industries.

Scanning the Natural Environment

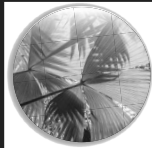
The natural environment includes physical resources, wildlife, and climate that are an inherent part of existence on Earth. Until the 20th century, the natural environment was generally perceived by business people to be a given—something to exploit, not conserve. It was viewed as a free resource, something to be taken or fought over, like arable land, diamond mines, deep water harbors, or fresh water. Once they were controlled by a person or entity, these resources were considered assets and thus valued as part of the general economic system—a resource to be bought, sold, or sometimes shared. Side effects, such as pollution, were considered to be *externalities*, costs not included in a business firm's accounting system, but felt by others. Eventually these externalities were identified by governments, which passed regulations to force business corporations to deal with the side effects of their activities.

The concept of sustainability argues that a firm's ability to continuously renew itself for long-term success and survival is dependent not only upon the greater economic and social system of which it is a part, but also upon the natural ecosystem in which the firm is embedded. For more information on innovative approaches to this issue, see the **Sustainability Issue** feature.

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A business must scan the natural environment for factors that might previously have been taken for granted, such as the availability of fresh water and clean air. Global warming means that aspects of the natural environment, such as sea level, weather, and climate, are becoming increasingly uncertain and difficult to predict. Management must scan not only the natural environment for possible strategic factors, but also include in its strategic decision-making processes the impact of its activities upon the natural environment. In a world concerned with climate change, a company could measure and reduce its *carbon footprint*—the amount of greenhouse gases it is emitting into the air. Research reveals that scanning the market for environmental issues is positively related to firm performance because it helps management identify opportunities to fulfill future market demand based upon environmentally friendly products or processes.

**SUSTAINABILITY ISSUE****Efficient manufacturing: sustainability**

Marico Limited is one of the leading companies in India. It populates the beauty and wellness industry. It has brands like Parachute, Saffola, Hair and Care, Nihar, Mediker, Revive and others. It is present in more than 25 countries in Asia and Africa. The company works around a value system of making a difference.

It is the company's strong belief that it belongs to an inter-dependent ecosystem of various stakeholders i.e. shareholders, consumers, associates, employees, environment and society. Therefore, the company believes that, the only way to gain sustainable profits and growth is to grow with the entire ecosystem. In order to meet its sustainability commitments the company not only evaluates its operations across its product lifecycle but also works to improve energy efficiencies and reduce waste generation. One of the key endeavors of the company is efficient manufacturing.

Most of the company's plants are ISO: 14001 ISO: 50001 certified. In order to work towards efficient manufacturing the company adopted the following steps:

- ⇒ Energy efficiency: the company adopted electricity consumption reduction strategies and waste heat recovery strategies and saved over 900000+ units in FY 15–16.

- ⇒ Renewable energy: the company has also moved towards using biomass and other renewable forms of energy.
- ⇒ Greenhouse gas emissions intensity: the company has taken steps to reduce Greenhouse gas emissions by targeting operational efficiencies.
- ⇒ Waste elimination and yield improvement: the company has gone in for endeavors like design improvement and packaging improvement strategies to reduce/ save the packaging material.
- ⇒ Efficiency improvement at business associates: company has also focused towards efficient manufacturing at its business associates plants.

All of these efforts have resulted in efficient manufacturing, reduction in the waste material produced by the company and environmental sustainability. However, the price tag of all of these efforts is something to see. The manufacturing systems of the company had to be adjusted to use greener endeavors. It is also a constant commitment and a conscious decision by a company to adopt these strategies. However, it is also true that the increase in sustainability from an environmental approach on one end might trigger issues at other fronts for the company.

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3.2 STRATEGIC IMPORTANCE OF THE EXTERNAL ENVIRONMENT

3.2.1 Scanning the Societal Environment: STEEP Analysis

The number of possible strategic factors in the societal environment is very high. The number becomes enormous when we realize that, generally speaking, each country in the world can be represented by its own unique set of societal forces—some of which are very similar to those of neighboring countries and some of which are very different.

For example, even though Korea and China share Asia's Pacific Rim area with Thailand, Taiwan, and Hong Kong (sharing many similar cultural values), they have very different views about the role of business in society. It is generally believed in Korea and China (and to a lesser extent in Japan) that the role of business is primarily to contribute to national development. However, in Hong Kong, Taiwan, and Thailand (and to a lesser extent in the Philippines, Indonesia, Singapore, and Malaysia), the role of business is primarily to make profits for the shareholders. Such differences may translate into different trade regulations and varying

- 3-2. Identify the aspects of an organization's environment that are most strategically important

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difficulty in the *repatriation of profits* (the transfer of profits from a foreign subsidiary to a corporation's headquarters) from one group of Pacific Rim countries to another.

STEEP Analysis: Monitoring Trends in the Societal and Natural Environments

As shown in **Table 3–1**, large corporations categorize the natural and societal environments in any one geographic region into five areas and focus their scanning in each area on trends that have corporatewide relevance. For ease of remembering the approach, this scanning can be called **STEEP Analysis**, the scanning of Sociocultural, Technological, Economic, Ecological, and Political–legal environmental forces. (It may also be called *PESTEL Analysis* for Political, Economic, Sociocultural, Technological, Ecological, and Legal forces.) Obviously, trends in any one area may be very important to firms in one industry but of lesser importance to firms in other industries.

Demographic trends are part of the *sociocultural* aspect of the societal environment. Although the world's population has grown from 3.71 billion people in 1970 to 7.3 billion in 2015 and is expected to increase to between 8.3 and 10.9 billion by 2050, not all regions will grow equally. Most of the growth will be in the developing nations. It is predicted that the population of the developed nations will fall

TABLE 3–1 Some Important Variables in the Societal Environment

Sociocultural	Technological	Economic	Ecological	Political–Legal
Lifestyle changes	Total government spending for R&D	GDP trends	Environmental protection laws	Antitrust regulations
Career expectations	Total industry spending for R&D	Interest rates	Global warming impacts	Environmental protection laws
Consumer activism	Focus of technological efforts	Money supply	Non-governmental organizations	Global warming legislation
Rate of family formation	Patent protection	Inflation rates	Pollution impacts	Immigration laws
Growth rate of population	New products	Unemployment levels	Reuse	Tax laws
Age distribution of population	New developments in technology transfer from lab to marketplace	Wage/price controls	Triple bottom line	Special incentives
Regional shifts in population	Productivity improvements through automation	Devaluation/revaluation	Recycling	Foreign trade regulations
Life expectancies	Internet availability	Energy alternatives		Attitudes toward foreign companies
Birthrates	Telecommunication infrastructure	Energy availability and cost		Laws on hiring and promotion
Pension plans	Computer hacking activity	Disposable and discretionary income		Stability of government
Health care		Currency markets		Outsourcing regulation
Level of education		Global financial system		Foreign “sweatshops”
Living wage				
Unionization				

from 14% of the total world population in 2000 to only 10% in 2050. Around 75% of the world will live in a city by 2050, compared to little more than half in 2008. Developing nations will continue to have more young than old people, but it will be the reverse in the industrialized nations. For example the demographic bulge in the Indian population caused by baby-boom affected the market demand in many industries. This group though had initially increased the burden of youth dependency on the Indian economy when they reached their prime ages for working and saving in the earlier part of this century. This has resulted in more rapid growth than in the past. Although the median age of an Indian according to 2011 census is 24 years, it is all set to be the youngest country in the world by 2020. Current predictions suggest that the youth population will increase to 464 million by 2021. Although the median age in the United States will rise from 35 in 2000 to 40 by 2050, it will increase from 40 to 47 during the same time period in Germany, and it will increase to up to 50 in Italy as soon as 2025. By 2050, one in three Italians will be over 65, nearly double the number in 2005. With its low birthrate, Japan's population is expected to fall from 127.6 million in 2004 to around 100 million by 2050. China's stringent birth control policy (which was recently relaxed to allow couples to have two children) is predicted to cause the ratio of workers to retirees to fall from 20 to 1 during the early 1980s to 2.5 to one by 2020. Companies with an eye on the future can find many opportunities to offer products and services to the growing number of "woofies" (well-off old folks)—defined as people over 50 with money to spend. These people are very likely to purchase recreational vehicles (RVs), take ocean cruises, and enjoy leisure sports, in addition to needing complex financial services and health care.

To attract older customers, retailers will need to place seats in their larger stores so aging shoppers can rest. Washrooms will need to be more handicap-accessible. Signs will need to be larger. Restaurants will need to raise the level of lighting so people can read their menus. Home appliances will require simpler and larger controls. Automobiles will need larger door openings and more comfortable seats. Zimmer Holdings, an innovative manufacturer of artificial joints, is looking forward to its market growing rapidly over the next 20 years. According to J. Raymond Elliot, Chair and CEO of Zimmer, "It's simple math. Our best years are still in front of us."

Eight current sociocultural trends are transforming the rest of the world:

1. **Increasing environmental awareness:** Recycling and conservation are becoming more than slogans. For many Indian companies, recycling has become the very mantra of business. While many businesses like Marico, ITC, Infosys are adopting various recycling methods and reusing strategies to reduce their carbon footprints and increase environmental awareness. Whereas, others are making a business out of it for example Arora Fibres

NOTES

N O T E S

recycles discarded bottles into polyester which is then used as packaging material.

2. **Growing health consciousness:** Concerns about personal health fuel the trend toward physical fitness and healthier living. There has been a general move across the planet to attack obesity. According to some statistics, India will have 17 million obese children by 2025. Obesity is not limited to only children. According to the National Family Health Survey (NFHS-4), 20.7% of Indian women in the age group of 15 to 49 are overweight. One of the leading states to take this problem seriously has been Punjab that has enacted provisions to encourage schools to limit junk food availability to the schoolchildren. Not only are the schools encouraged to have junk food-free outlets within the premises and immediate surrounding, they are also encouraged to motivate students to eat healthy and bring a balanced tiffin diet to school. In 2012, Chile decided to ban toys that are included in various fast-food meals aimed at children in order to increase the fight against childhood obesity.
3. **Expanding seniors market:** As their numbers increase, people over age 55 will become an even more important market. Already some companies are segmenting the senior population into Young Matures, Older Matures, and the Elderly—each having a different set of attitudes and interests. Both mature segments, for example, are good markets for the health care and tourism industries; whereas, the elderly are the key market for long-term care facilities.
4. **Impact of millennials:** Born between 1980 and 1996 to the baby boomers and Generation Xers, this cohort is almost as large as the baby boomer generation. In 1957, the peak year of the post-war boom, 4.3 million babies were born. In 1990, there were 4.2 million births; the Millennials' peak year. By 2000, they were overcrowding elementary and high schools and entering college in numbers not seen since the baby boomers. Now in its 20s and 30s, this cohort is expected to have a strong impact on future products and services.
5. **Declining mass market:** Niche markets are defining the marketers' environment. People want products and services that are adapted more to their personal needs. For example, Estée Lauder's "All Skin" and Maybelline's "Shades of You" lines of cosmetic products are specifically made for African-American women. "Mass customization"—the making and marketing of products tailored to a person's requirements is replacing the mass production and marketing of the same product in some markets. The past 10 years have seen a real fracturing of the chocolate market with the advent of craft chocolate making and flavored chocolates.

These products command significantly higher margins and have become a force in the retailing environment. By 2010, 43% of chocolate sales occurred in nontraditional channels.

6. Changing pace and location of life: Instant communication via e-mail, cell phones, and overnight mail enhances efficiency, but it also puts more pressure on people. Merging the personal or tablet computer with the communication and entertainment industries through telephone lines, satellite dishes, and Internet connections increases consumers' choices and allows workers to telecommute from anywhere.

7. Changing household composition: Another important factor which is also responsible for transforming the world. Changing household composition refers to the number of people in a household and its composition i.e. age, gender and marital status of the people in a household. In India, the decade from 2001 to 2011 witnessed a multiplication of households while the mean size of the households decreased to 4.9. This is an indication of a rise in nuclear families as compared to joint families in India. A typical family household is no longer the same as it was in 1970s.

8. Increasing diversity of workforce and markets: Another important sociocultural trend which is transforming the world is increasing diversity of workforce and markets. In Indian markets the workforce diversity is attributed to two compliments, sociocultural complement and demographic dimension of diversity. In sociocultural environment the diversity includes caste, religion and language. The demographic dimension of diversity includes gender, age, region of origin etc., for example a total of 20.5% of women are employed in the organized sector in 2011. Each one of these dimensions is in fact the corporate decisions at previous levels such as HR policies and day to day functioning of the organization.

Heavy immigration from developing to developed nations is increasing the number of minorities in all developed countries and forcing an acceptance of the value of diversity in races, religions, and lifestyles. For example Canada's most recent census conducted in 2016 indicates that between 2006 and 2016 (the number of people in Canada increased by 5.9% and between 2011 and 2016 by 7.5%). This impressive growth has been attributed to immigration from other countries. It is because of this reason that the minority groups in a particular country are being identified as desirable target markets. Coca-Cola, Nestlé and Pepsi have all targeted minority groups as their target markets.

Changes in the *technological* part of the societal environment can also have a great impact on multiple industries. Improvements in computer microprocessors have not only led to the widespread use of personal computers but also to better automobile engine

NOTES

N O T E S

performance in terms of power and fuel economy through the use of microprocessors to monitor fuel injection. Digital technology allows movies and music to be available instantly over the Internet or through cable service, but it has also meant falling fortunes for movie rental shops such as Blockbuster and CD stores like Tower Records. Advances in nanotechnology are enabling companies to manufacture extremely small devices that are very energy efficient. Developing biotechnology, including gene manipulation techniques, is already providing new approaches to dealing with disease and agriculture. Researchers at George Washington University have identified a number of technological breakthroughs that are already having a significant impact on many industries:

- ⇒ **Portable information devices and electronic networking:** Combining the computing power of the personal computer, the networking of the Internet, the images of television, and the convenience of the telephone, tablets and Smartphones will soon be used by a majority of the population of industrialized nations to make phone calls, stay connected in business and personal relationships, and transmit documents and other data. Homes, autos, and offices are rapidly being connected (via wires and wirelessly) into intelligent networks that interact with one another. This trend is being accelerated by the development of *cloud computing*, in which a person can access their data anywhere through a Web connection. This is being dramatically improved by companies like Microsoft who are releasing *cloud* versions of their Office package available for rent. The traditional stand-alone desktop computer will someday join the manual typewriter as a historical curiosity.
- ⇒ **Alternative energy sources:** The use of wind, geothermal, hydroelectric, solar, biomass, and other alternative energy sources should increase considerably. Over the past two decades, the cost of manufacturing and installing a photovoltaic solar-power system has decreased by 20% with every doubling of installed capacity.
- ⇒ **Precision farming:** The computerized management of crops to suit variations in land characteristics will make farming more efficient and sustainable. Farm equipment dealers such as Case and John Deere now add this equipment to tractors for an additional fee. It enables farmers to reduce costs, increase yields, and decrease environmental impact. The old system of small, low-tech farming is becoming less viable as large corporate farms increase crop yields on limited farmland for a growing population.
- ⇒ **Virtual personal assistants:** Very smart computer programs that monitor e-mail, faxes, and phone calls will be able to take over routine tasks, such as writing a letter, retrieving a file, making a phone call, or screening requests. Acting like a secre-

tary, a person's virtual assistant could substitute for a person at meetings or in dealing with routine actions.

- ⇒ **Genetically altered organisms:** A convergence of biotechnology and agriculture is creating a new field of life sciences. Plant seeds can be genetically modified to produce more needed vitamins or to be less attractive to pests and more able to survive. Animals (including people) could be similarly modified for desirable characteristics and to eliminate genetic disabilities and diseases.
- ⇒ **Smart, mobile robots:** Robot development has been limited by a lack of sensory devices and sophisticated artificial intelligence systems. Improvements in these areas mean that robots will be created to perform more sophisticated factory work, run errands, do household chores, and assist the disabled.

Trends in the *economic* part of the societal environment can have an obvious impact on business activity. For example, an increase in interest rates means fewer sales of major home appliances. Why? A rising interest rate tends to be reflected in higher mortgage rates. Because higher mortgage rates increase the cost of buying a house, the demand for new and used houses tends to fall. Because most major home appliances are sold when people change houses, a reduction in house sales soon translates into a decline in sales of refrigerators, stoves, and dishwashers and reduced profits for everyone in the appliance industry. Changes in the price of oil have a similar impact upon multiple industries, from packaging and automobiles to hospitality and shipping.

The rapid economic development of Brazil, Russia, India, and China (often called the *BRIC* countries) is having a major impact on the rest of the world. By 2007, China had become the world's second-largest economy according to the World Bank. With India graduating more English-speaking scientists, engineers, and technicians than all other nations combined, it has become the primary location for the outsourcing of services, computer software, and telecommunications. Eastern Europe has become a major manufacturing supplier to the European Union countries. According to the International Monetary Fund, emerging markets make up less than one-third of total world gross domestic product (GDP), but account for more than half of GDP growth.

Trends in the *ecological* part of the environment have been accelerating at a pace that is difficult to stay up with. This element is focused upon the natural environment and its consideration/impacts upon the operation of a business. The effects of climate change on companies can be grouped into six categories of risks: regulatory, supply chain, product and technology, litigation, reputational, and physical.

1. **Regulatory Risk:** Companies in much of the world were already subject to the first commitment period of the *Kyoto Protocol*, which required 37 industrialized countries and the European

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Community to reduce Greenhouse Gases (GHG) emissions to an average of 5% against 1990 levels. During the second commitment period, parties committed to reduce GHG emissions by at least 18% below 1990 levels in the eight-year period from 2013 to 2020. The European Union has an emissions trading program that allows companies that emit greenhouse gases beyond a certain point to buy additional allowances from other companies whose emissions are lower than that allowed. Companies can also earn credits toward their emissions by investing in emissions abatement projects outside their own firms.

2. **Supply Chain Risk:** Suppliers will be increasingly vulnerable to government regulations—leading to higher component and energy costs as they pass along increasing carbon-related costs to their customers. Global supply chains will be at risk from an increasing intensity of major storms and flooding. Higher sea levels resulting from the melting of polar ice will create problems for seaports. China, where much of the world's manufacturing is currently being outsourced, is becoming concerned with environmental degradation. Twelve Chinese ministries produced a report on global warming foreseeing a 5%–10% reduction in agricultural output by 2030; more droughts, floods, typhoons, and sandstorms; and a 40% increase in population threatened by plague.

The increasing scarcity of fossil-based fuel is already boosting transportation costs significantly. For example as per statistics issued by Bloomberg (data via Boston consulting group) in 2014, the cost of manufacturing labor per hour was \$0.92 in India and \$3.52 in China. The lower wages in India more than offset the cost of shipping costs back to the home country.

3. **Product and Technology Risk:** Environmental sustainability can be a prerequisite to profitable growth. Sixty percent of U.S. respondents to an Environics study stated that knowing a company is mindful of its impact on the environment and society makes them more likely to buy their products and services. Eco-friendly products using new technologies are becoming increasingly popular with the consumers. Some of the eco-friendly products which were once produced by companies like Ecoware, Delhi – an initiative which produces hundred percent biodegradable and compostable tableware; in Charaka, Bengaluru – an initiative which produces naturally dyed cotton handloom garments; Wild Ideas, Auroville – an initiative which makes eco-friendly washing powder. These initiatives though lacking the government support are still gaining competitive advantage in the Indian market.
4. **Litigation Risk:** Companies that generate significant carbon emissions face the threat of lawsuits similar to those in the tobacco, pharmaceutical, and building supplies (e.g., asbestos) industries.

5. Reputational Risk: A company's impact on the environment can affect its overall reputation. The Carbon Trust, a consulting group, found that in some sectors the value of a company's brand could be at risk because of negative perceptions related to climate change. In contrast, a company with a good record of environmental sustainability may create a competitive advantage in terms of attracting and keeping loyal consumers, employees, and investors. For example ITC's pursuit and commitment to the "triple bottom line" and its zeal to serve the bottom of the pyramid as a business strategy has helped soften its reputation as a tobacco company. In 1910, ITC was setup as a The Imperial Tobacco Company in Calcutta. It was later that Imperial was replaced with India by the management of the company and it was much later in 1974 that the name was further changed to ITC Limited. Since the company has reinvented itself as India's leading brand that exists in multiple sectors like agriculture business, information technology, hotel, paperback and packaging, apparel, snacks, FMCG giant. ITC in its commitment to environment has even setup a 170000 sq feet ITC green centre, in Gurgaon, which is the world's largest 0% water discharge with 30% smaller carbon footprint as compared to other similar green buildings. It also featured in the list on India's most admired companies list published by Fortune. Tools have recently been developed to measure sustainability on a variety of factors. For example, the SAM (Sustainable Asset Management) Group of Zurich, Switzerland, has been assessing and documenting the sustainability performance of over 1000 corporations annually since 1999. SAM lists the top 15% of firms in its *Sustainability Yearbook* and classifies them into gold, silver, and bronze categories.

BusinessWeek published its first list of the world's 100 most sustainable corporations January 29, 2007. The *Dow Jones Sustainability Indexes* and the *KLD Broad Market Social Index*, which evaluate companies on a range of environmental, social, and governance criteria are used for investment decisions. Financial services firms, such as Goldman Sachs, Bank of America, JPMorgan Chase, and Citigroup have adopted guidelines for lending and asset management aimed at promoting clean-energy alternatives.

6. Physical Risk: The direct risk posed by climate change includes the physical effects of droughts, floods, storms, and rising sea levels. Average Arctic temperatures have risen four to five degrees Fahrenheit (two to three degrees Celsius) in the past 50 years, leading to melting glaciers and sea levels rising one inch per decade. Industries most likely to be affected are insurance, agriculture, fishing, forestry, real estate, and tourism. Physical risk can also affect other industries, such as oil and gas, through higher insurance premiums paid on facilities in vulnerable areas. Coca-Cola, for example, studies the linkages between climate

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N O T E S

change and water availability to decide the location of new bottling plants. The warming of the Tibetan plateau has led to a thawing of the permafrost—thereby threatening the newly-completed railway line between China and Tibet.

Trends in the *political-legal* part of the societal environment have a significant impact not only on the level of competition within an industry but also on which strategies might be successful. For example India's anti-trust laws have influenced the corporate environment directly. The laws became fully operational from 1st June 2011, making India's antitrust regulators i.e. Competition Commission of India (CCI) and Competition Appellate Tribunal (CAT) more proactive. CCI during the year 2015–2016, evaluated cases of cartel formation for example in National Insurance Company and Ors (Case No 02/2014: where four public sector companies generally insurance companies, namely, National Insurance Company Limited, New India Assurance Company Limited, Oriental Insurance Company Limited and United Insurance Company Limited were alleged of forming a cartel for increasing the premium for Rashtriya Swasthya Bima Yojna (RSBY)); M/S Biomed Private Limited and Union of India & Ors (case No 26 of 2013: where M/S Biomed Private Limited alleged cartelization by M/S Glaxo Smith Kline Pharmaceutical Limited and M/S Sanofi through big rotations and geographical allocations (international) in the tender floated by the Ministry of Health and Family Welfare, Government of India for procurement of Quadrivalent Meningococcal Meningitis Vaccines (QMMV)) from 2002 to 2012. Both M/S Glaxo Smith Kline Pharmaceutical Limited and M/S Sanofi were imposed penalties of ₹60.50 crore and ₹3.04 crore respectively. In the case of cartel formation of the four insurance companies, National Insurance Company Limited, New India Assurance Companies Ltd., Oriental Insurance Company Limited and United India Insurance Company Limited were penalized to ₹162.80 crore, ₹251.07 crore, ₹100.56 crore and ₹156.62 crore respectively for impugned conduct.

Such strict enforcement of the laws directly affect the corporate growth strategy. In the same or a related industry, they are typically driven to diversify into unrelated industries. High levels of taxation and constraining labor laws in Western European countries stimulate companies to alter their competitive strategies or find better locations elsewhere. It is because Germany has some of the highest labor and tax costs in Europe that German companies have been forced to compete at the top end of the market with high-quality products or else move their manufacturing to lower-cost countries. Government bureaucracy can create regulations that make it almost impossible for a business firm to operate profitably in some countries. The World Bank report on red tape around the world found amazing examples of government bureaucracy, including: (1) A company in the Congo with a profit margin of 20% or more faces a tax bill

of 340% of profits; (2) obtaining a construction permit in Russia requires 51 steps; (3) enforcing a contract through the courts takes 150 days in Singapore and 1,420 in India; (4) while winding up an insolvent firm, creditors in Japan can recover 92.7 cents on the dollar, those in Chad get nothing.

The US\$66 trillion global economy operates through a set of rules established by the World Trade Organization (WTO). Composed of 155 member nations and 29 observer nations, the WTO is a forum for governments to negotiate trade agreements and settle trade disputes. Originally founded in 1947 as the General Agreement on Tariffs and Trade (GATT), the WTO was created in 1995 to extend the ground rules for international commerce. The system's purpose is to encourage free trade among nations with the least undesirable side effects. Among its principles is trade without discrimination. This is exemplified by its *most-favored nation* clause, which states that a country cannot grant a trading partner lower customs duties without granting them to all other WTO member nations. Another principle is that of lowering trade barriers gradually through negotiation. It implements this principle through a series of rounds of trade negotiations. As a result of these negotiations, industrial countries' tariff rates on industrial goods had fallen steadily to less than 4% by the mid-1990s. The WTO is currently negotiating its latest round of negotiations, called the Doha Round. The WTO is also in favor of fair competition, predictability of member markets, and the encouragement of economic development and reform. As a result of many negotiations, developed nations have started to allow duty-free and quota-free imports from almost all products from the least-developed countries.

International Societal Considerations. Each country or group of countries in which a company operates presents a unique societal environment with a different set of sociocultural, technological, economic, ecological, and political-legal variables for the company to face. International societal environments vary so widely that a corporation's internal environment and strategic management process must be very flexible. Cultural trends in Germany, for example, have resulted in the inclusion of worker representatives in corporate strategic planning. Because Islamic law (*sharia*) forbids interest (*riba*), loans of capital in Islamic countries must be arranged on the basis of profit-sharing instead of interest rates.

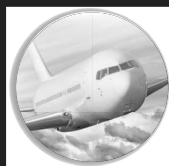
Differences in societal environments strongly affect the ways in which a **multinational corporation (MNC)**, a company with significant assets and activities in multiple countries, conducts its marketing, financial, manufacturing, and other functional activities. For example, Europe's lower labor productivity, due to a shorter work week and restrictions on the ability to lay off unproductive workers, forces European-based MNCs to expand operations in countries where labor is cheaper and productivity

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is higher. Moving manufacturing to a lower-cost location, such as China, was a successful strategy during the 1990s, but a country's labor costs rise as it develops economically. For example, China required all firms in January 2008 to consult employees on material work-related issues, enabling the country to achieve its stated objective of having trade unions in all of China's non-state-owned enterprises. By September 2008, the All-China Federation of Trade Unions had signed with 80% of the largest foreign companies. See the **Global Issues** feature to see how demand for SUVs has exploded in China.

To account for the many differences among societal environments from one country to another, consider **Table 3–2**. It includes a list of economic, technological, political–legal, and sociocultural variables for any particular country or region. For example, an important economic variable for any firm investing in a foreign country is currency convertibility. Without convertibility, a company cannot convert its money into currencies of other countries. Almost all nations allow for some method of currency conversion. As of 2016, only the Cuban national peso and the North Korean won are nonconvertible. In terms of sociocultural variables, many Asian cultures (especially China) are less concerned with a Western version of human rights than are European and North American cultures. Some Asians actually contend that U.S. companies are trying to impose Western human rights requirements on them in an attempt to make Asian products less competitive by raising their costs.



GLOBAL ISSUE

SUVs POWER ON IN CHINA

U.S. and European automakers are looking to China for most of their growth potential in the next two decades. The Chinese middle class is expected to grow to 600 million by 2020. That is a market that is equivalent to the ENTIRE population of the United States AND every country in the European Union combined.

This growing middle class in China (it stood at less than 300 million in 2012) has spurred a huge demand for sport utility vehicles (SUVs). Ford, BMW, Mercedes-Benz, and Porsche are all selling SUVs at a significant clip. The success of these brands spurred Chinese auto makers to dramatically grow their SUV offerings. Chinese automakers now sell 8 of the 10 best-selling sport utility vehicles.

The total SUV market in China is predicted to reach more than 7.04 million units in 2018, up from 4.32 million in 2014, according to researcher IHS Automotive.

Growing consumer prosperity is leading to the push for SUVs. *BusinessWeek* reported seeing the same trend in China that has been seen in the United States, with women in particular being drawn to the flexibility of the SUV. A Ford spokesperson said that “For Tiger Moms—and other moms—SUVs offer great appeal as the whole family can be transported safely and in style.” The sharp increase in demand has drawn in the ultra-high-end car companies as well. Maserati and Lamborghini have both announced new SUVs for the Chinese market.

BMW has approached the market with products that they sell around the world, including the BMW X5. This is an example of a global organization. On the other hand, Mercedes-Benz is producing a Chinese-built GLK SUV that is tailored to the market. This is an example of a multi-domestic organization. Figuring out how to address global markets is a key strategic area for any management team.

SOURCES: “How China Brands Took Over the World’s Hottest SUV Market,” *Bloomberg BusinessWeek* (April 16, 2015), (<http://www.bloomberg.com/news/articles/2015-04-16/how-china-brands-took-over-the-world-s-hottest-suv-market>); “China’s Soccer Moms Want SUVs, Too,” *Bloomberg BusinessWeek* (May 7, 2012), (www.businessweek.com/articles/2012-05-03/chinas-soccer-moms-want-suvs-too); Eurostat news release, “EU27 population 502.5 million at 1 January 2011.” Accessed 5/30/13, http://epp.eurostat.ec.europa.eu/cache/ITY_PUBLIC/3-28072011-AP/EN/3-28072011-AP-EN.PDF).

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TABLE 3–2 Some Important Variables in International Societal Environments

Sociocultural	Technological	Economic	Ecological	Political–Legal
Customs, norms, values Language Demographics Life expectancies Social institutions Status symbols Lifestyle Religious beliefs Attitudes toward foreigners Literacy level Human rights Environmentalism “Sweatshops” Pension plans Health care Slavery	Regulations on technology transfer Energy availability/cost Natural resource availability Transportation network Skill level of workforce Patent-trademark protection Internet availability Telecommunication infrastructure Computer hacking technology New energy sources	Economic development Per capita income Climate GDP trends Monetary and fiscal policies Unemployment levels Currency convertibility Wage levels Nature of competition Membership in regional economic associations—e.g., EU, NAFTA, ASEAN Membership in World Trade Organization (WTO) Outsourcing capability Global financial system	Non-governmental groups Passion for environmental causes Infrastructure to handle recycling	Form of government Political ideology Tax laws Stability of government Government attitude toward foreign companies Regulations on foreign ownership of assets Strength of opposition groups Trade regulations Protectionist sentiment Foreign policies Terrorist activity Legal system Global warming laws Immigration laws

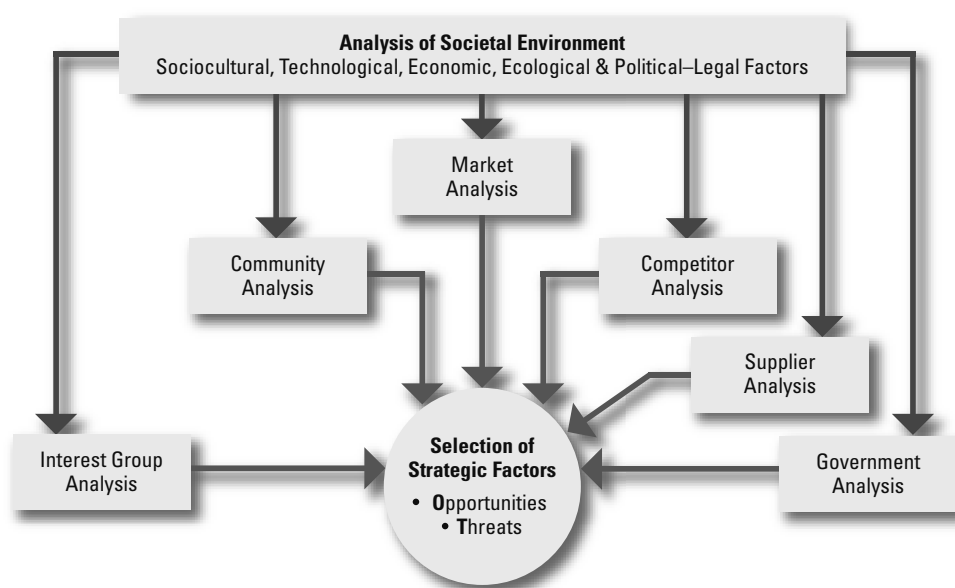
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Before planning its strategy for a particular international location, a company must scan that country's environment(s) for its similarities and differences when compared with the company's home country. Focusing only on developed nations may cause a corporation to miss important market opportunities. Although those nations may not have developed to the point that they have significant demand for a broad spectrum of products, they may very likely be on the threshold of rapid growth in the demand for specific products. Using the concept of entering where the competition is not, this may be an opportunity for a company to enter this market—before competition is established. The key is to be able to identify the *trigger point* when demand for a particular product or service is ready to boom.

Creating a Scanning System. Although the Internet has opened up a tremendous volume of information, scanning and making sense of that data is one of the important skills of an effective manager. It is a daunting task for even a large corporation with many resources. To deal with this problem, in 2002 IBM created a tool called *WebFountain* to help the company analyze the vast amounts of environmental data available on the Internet. WebFountain is an advanced information discovery system designed to help extract trends, detect patterns, and find relationships within vast amounts of raw data. For example, IBM sought to learn whether there was a trend toward more positive discussions about e-business. Within a week, the company had data that experts within the company used to replace their hunches with analysis.

Scanning the Task Environment

As shown in **Figure 3–1**, a corporation's scanning of the environment includes analyses of all the relevant elements in the task environment. These analyses take the form of individual reports written by various people in different parts of the firm. At Procter & Gamble (P&G), for example, people from each of the brand management teams work with key people from the sales and market research departments to research and write a "competitive activity report" each quarter on each of the product categories in which P&G competes. People in purchasing also write similar reports concerning new developments in the industries that supply P&G. These and other reports are then summarized and transmitted up the corporate hierarchy for top management to use in strategic decision making. If a new development is reported regarding a particular product category, top management may then send memos asking people throughout the organization to watch for and report on developments in related product areas. The many reports resulting from these scanning efforts, when boiled down to their essentials, act as a detailed list of external strategic factors.



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Figure 3.1 Scanning External Environment

3.2.2 Identifying External Strategic Factors

The origin of competitive advantage lies in the ability to identify and respond to environmental change well in advance of competition. Although this seems obvious, why are some companies better able to adapt than others? One reason is because of differences in the ability of managers to recognize and understand external strategic issues and factors. Booz & Company found that companies that are most successful at avoiding surprises had a well-defined system that integrated planning, budgeting, and business reviews.

No firm can successfully monitor all external factors. Choices must be made regarding which factors are important and which are not. Even though managers agree that strategic importance determines what variables are consistently tracked, they sometimes miss or choose to ignore crucial new developments. Personal values and functional experiences of a corporation's managers, as well as the success of current strategies, are likely to bias both their perception of what is important to monitor in the external environment and their interpretations of what they perceive.

This willingness to reject unfamiliar as well as negative information is called *strategic myopia*. If a firm needs to change its strategy, it might not be gathering the appropriate external information to change strategies successfully. It is very important for the firm hierarchy to be on same page and have same priorities.

3.3 INDUSTRY ANALYSIS: ANALYZING THE TASK ENVIRONMENT

An **industry** is a group of firms that produces a similar product or service, such as soft drinks or financial services. An examination

- 3-3. Conduct an industry analysis to explain the competitive forces that influence the intensity of rivalry within an industry

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of the important stakeholder groups, like suppliers and customers, in a particular corporation's task environment is a part of industry analysis.

3.3.1 Porter's Approach to Industry Analysis

Michael Porter, an authority on competitive strategy, contends that a corporation is most concerned with the intensity of competition within its industry. The level of this intensity is determined by basic competitive forces, as depicted in **Figure 3-2**. "The collective strength of these forces," he contends, "determines the ultimate profit potential in the industry, where profit potential is measured in terms of long-run return on invested capital." In carefully scanning its industry, a corporation must assess the importance to its success of each of six forces: threat of new entrants, rivalry among existing firms, threat of substitute products or services, bargaining power of buyers, bargaining power of suppliers, and relative power of other stakeholders. The stronger each of these forces is, the more limited companies are in their ability to raise prices and earn greater profits. Although Porter mentions only five forces, a sixth—other stakeholders—is added here to reflect the power that governments, local communities, and other groups from the task environment wield over industry activities.

Using the model in **Figure 3-2**, a high force can be regarded as a threat because it is likely to reduce profits. A low force, in contrast, can be viewed as an opportunity because it may allow the company to earn greater profits. In the short run, these forces act as constraints on a company's activities. In the long run, however,

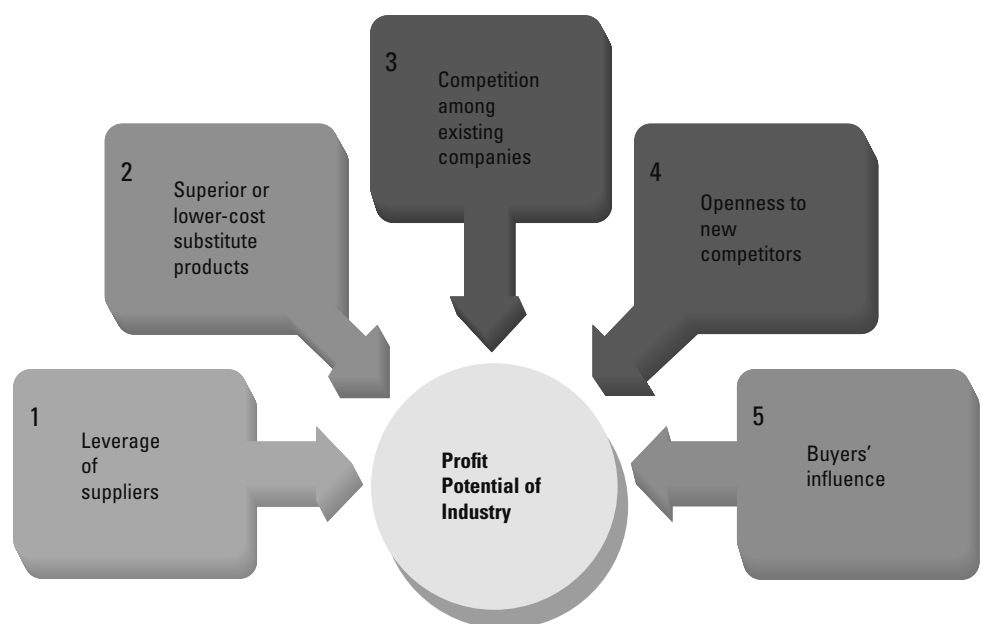


Figure 3.2 Forces Driving Industry Competition

it may be possible for a company, through its choice of strategy, to change the strength of one or more of the forces to the company's advantage. For example, Dell's early use of the Internet to market its computers was an effective way to negate the bargaining power of distributors in the PC industry.

A strategist can analyze any industry by rating each competitive force as high, medium, or low in strength. For example, the global athletic shoe industry could be rated as follows: rivalry is high (Nike, Reebok, New Balance, Converse, and Adidas are strong competitors worldwide), threat of potential entrants is high (the industry has seen clothing firms such as Under Armour and Fila as well as specialty shoe brands like the wildly popular Vibram Five Fingers shoes), threat of substitutes is low (other shoes don't provide support for sports activities), bargaining power of suppliers is medium but rising (suppliers in Asian countries are increasing in size and ability), bargaining power of buyers is medium but increasing (prices are falling as the low-priced shoe market has grown to be half of the U.S.-branded athletic shoe market), and threat of other stakeholders is medium to high (government regulations and human rights concerns are growing). Based on current trends in each of these competitive forces, the industry's level of competitive intensity will continue to be high—meaning that sales increases and profit margins should continue to be modest for the industry as a whole.

Threat of New Entrants

New entrants to an industry typically bring to it new capacity, a desire to gain market share, and potentially substantial resources. They are, therefore, threats to an established corporation. The threat of entry depends on the presence of entry barriers and the reaction that can be expected from existing competitors. An **entry barrier** is an obstruction that makes it difficult for a company to enter an industry. For example, no new, full-line domestic automobile companies have been successfully established in the United States since the 1930s (although Tesla is now growing its line of vehicles) because of the high capital requirements to build production facilities and to develop a dealer distribution network. Some of the possible barriers to entry are:

- ⇒ **Economies of scale:** Scale economies in the production and sale of microprocessors, for example, gave Intel a significant cost advantage over any new rival.
- ⇒ **Product differentiation:** Corporations such as Procter & Gamble and General Mills, which manufacture products such as Tide and Cheerios, create high entry barriers through their high levels of advertising and promotion.
- ⇒ **Capital requirements:** The need to invest huge financial resources in manufacturing facilities in order to produce large commercial airplanes creates a significant barrier to entry to any competitor for Boeing and Airbus.

NOTES

N O T E S

- ⇒ **Switching costs:** Once a software program such as Excel or Word becomes established in an office, office managers are very reluctant to switch to a new program because of the high training costs.
- ⇒ **Access to distribution channels:** Smaller new firms often have difficulty obtaining supermarket shelf space for their goods because large retailers charge for space on their shelves and give priority to the established firms who can pay for the advertising needed to generate high customer demand.
- ⇒ **Cost disadvantages independent of size:** Once a new product earns sufficient market share to be accepted as the *standard* for that type of product, the maker has a key advantage. Microsoft's development of the first widely adopted operating system (MS-DOS) for the IBM-type personal computer gave it a significant competitive advantage over potential competitors. Its introduction of Windows helped to cement that advantage so that the Microsoft operating system is now on more than 90% of personal computers worldwide.
- ⇒ **Government policy:** Governments can limit entry into an industry through licensing requirements by restricting access to raw materials, such as oil-drilling sites in protected areas.

Rivalry among Existing Firms

In most industries, corporations are mutually dependent. A competitive move by one firm can be expected to have a noticeable effect on its competitors and thus may cause retaliation. For example, the successful entry by companies such as Samsung and Amazon and unsuccessful entries by HP and RIM into a tablet industry previously dominated by Apple changed the level of competitive activity to such an extent that each new product change was quickly followed by similar moves from other tablet makers. The same is true of prices in the United States airline industry. According to Porter, intense rivalry is related to the presence of several factors, including:

- ⇒ **Number of competitors:** When competitors are few and roughly equal in size, such as in the auto and major home appliance industries, they watch each other carefully to make sure they match any move by another firm with an equal countermove.
- ⇒ **Rate of industry growth:** Any slowing in passenger traffic tends to set off price wars in the airline industry because the only path to growth is to take sales away from a competitor.
- ⇒ **Product or service characteristics:** A product can be very unique, with many qualities differentiating it from others of its kind, or it may be a *commodity*, a product whose characteristics are the same, regardless of who sells it. For example, most people choose a gas station based on location and pricing because they view gasoline as a commodity.

- ⇒ **Amount of fixed costs:** Because airlines must fly their planes on a schedule, regardless of the number of paying passengers for any one flight, some offer cheap standby fares whenever a plane has empty seats.
- ⇒ **Capacity:** If the only way a manufacturer can increase capacity is in a large increment by building a new plant (as in the paper industry), it will run that new plant at full capacity to keep its unit costs as low as possible—thus producing so much that the selling price falls throughout the industry.
- ⇒ **Height of exit barriers:** Exit barriers keep a company from leaving an industry. The brewing industry, for example, has a low percentage of companies that voluntarily leave the industry because breweries are specialized assets with few uses except for making beer.
- ⇒ **Diversity of rivals:** Rivals that have very different ideas of how to compete are likely to cross paths often and unknowingly challenge each other's position. This happens frequently in the retail clothing industry when a number of retailers open outlets in the same location—thus taking sales away from each other. This is also likely to happen in some countries or regions when multinational corporations compete in an increasingly global economy.

Threat of Substitute Products or Services

A **substitute product** is a product that appears to be different but can satisfy the same need as another product. For example, texting is a substitute for e-mail, Stevia is a substitute for sugar, the Internet is a substitute for video stores, and bottled water is a substitute for a cola. Effective substitutes are a limiting factor for companies. To the extent that switching costs are low, substitutes may have a strong effect on an industry. Tea can be considered a substitute for coffee. If the price of coffee goes up high enough, coffee drinkers will slowly begin switching to tea. The price of tea thus puts a price ceiling on the price of coffee. Sometimes a difficult task, the identification of possible substitute products or services means searching for products or services that can perform the same function, even though they have a different appearance and may not appear to be easily substitutable.

The Bargaining Power of Buyers

Buyers affect an industry through their ability to force down prices, bargain for higher quality or more services, and play competitors against each other. A buyer or a group of buyers is powerful if some of the following factors hold true:

- ⇒ A buyer purchases a large proportion of the seller's product or service (for example, oil filters purchased by a major automaker).
- ⇒ A buyer has the potential to integrate backward by producing the product itself (for example, a newspaper chain could make its own paper).

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- ⇒ Alternative suppliers are plentiful because the product is standard or undifferentiated (for example, motorists can choose among many gas stations).
- ⇒ Changing suppliers costs very little (for example, office supplies are easy to find).
- ⇒ The purchased product represents a high percentage of a buyer's costs, thus providing an incentive to shop around for a lower price (for example, gasoline purchased for resale by convenience stores makes up half their total costs).
- ⇒ A buyer earns low profits and is thus very sensitive to costs and service differences (for example, grocery stores have very small margins).
- ⇒ The purchased product is unimportant to the final quality or price of a buyer's products or services and thus can be easily substituted without affecting the final product adversely (for example, electric wire bought for use in lamps).

The Bargaining Power of Suppliers

Suppliers can affect an industry through their ability to raise prices or reduce the quality of purchased goods and services. A supplier or supplier group is powerful if some of the following factors apply:

- ⇒ The supplier industry is dominated by a few companies, but it sells to many (for example, the petroleum industry).
- ⇒ Its product or service is unique and/or it has built up switching costs (for example, word processing software).
- ⇒ Substitutes are not readily available (for example, electricity).
- ⇒ Suppliers are able to integrate forward and compete directly with their present customers for example, a microprocessor producer such as Intel can make PCs).
- ⇒ A purchasing industry buys only a small portion of the supplier group's goods and services and is thus unimportant to the supplier (for example, sales of lawn mower tires are less important to the tire industry than are sales of auto tires).

The Relative Power of Other Stakeholders

A sixth force should be added to Porter's list to include a variety of stakeholder groups from the task environment. Some of these groups are governments (if not explicitly included elsewhere), local communities, creditors (if not included with suppliers), trade associations, special-interest groups, unions (if not included with suppliers), shareholders, and complementors. According to Andy Grove, Chairman and past CEO of Intel, a **complementor** is a company (e.g., Microsoft) or an industry whose product works well with a firm's (e.g., Intel's) product and without which the product would lose much of its value.

The importance of these stakeholders varies by industry. For example in January of 2017, the National Green Tribunal (NGT)

introduced a ban on the use of all forms of disposable plastic be it cups, cutlery, bags etc., in Delhi. According to the Times Of India, plastic waste is responsible for 60% of the plastic that is dumped in the world's ocean per year. This effectively raised costs across the board, with the most impact on the marginal producers who could not internally absorb all these costs; but these costs had little importance in computer software industry.

3.4 INDUSTRY EVOLUTION

Over time, most industries evolve through a series of stages from growth through maturity to eventual decline. The strength of each of the six forces mentioned earlier varies according to the stage of industry evolution. The industry life cycle is useful for explaining and evaluating trends among the six forces that drive industry competition. For example, when an industry is new, people might buy the product, regardless of price, because it uniquely fulfills an existing need. This usually occurs in a **fragmented industry**—where no firm has a large market share, and each firm serves only a small piece of the total market in competition with others (for example, cleaning services). As new competitors enter the industry, prices drop as a result of competition. Companies use the experience curve (discussed in **Chapter 4**) and economies of scale to reduce costs faster than the competition. Companies integrate to reduce costs even further sometimes by acquiring their suppliers and distributors. Competitors try to differentiate their products from one another's in order to avoid the fierce price competition common to a maturing industry.

By the time an industry enters maturity, products tend to become more like commodities. This is now a **consolidated industry**—dominated by a few large firms, each of which struggles to differentiate its products from those of the competition. As buyers become more sophisticated over time, purchasing decisions are based on better information. Price becomes a dominant concern, given a minimum level of quality and features, and profit margins decline. The automobile, petroleum, and major home appliance industries are examples of mature, consolidated industries, each controlled by a few large competitors. In case of India, the Indian transportation industry is highly fragmented with 80% of operators owning less than five trucks.

As an industry moves through maturity toward possible decline, its products' growth rate of sales slows and may even begin to decrease. To the extent that exit barriers are low, firms begin converting their facilities to alternate uses or sell them to other firms. The industry tends to consolidate around fewer but larger competitors. The tobacco industry is an example of an industry currently that appeared to be in decline just a few years ago but has been re-born with the advent of e-cigarettes.

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- 3-4. Discuss how industry maturity affects industry competitive forces

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INNOVATION ISSUE

Taking Stock of an Obsession

It is worth periodically taking stock of innovations to understand their profound impact upon consumers, competitors, and perhaps in the following case, every business operation in the world. The Apple iPhone was released to great fanfare on June 29, 2007 and by mid-2012 more than 217 million had been sold. As of late 2014, the world had 7.2 billion mobile devices, and they're multiplying five times faster than the world population. In his book *iDisorder: Understanding Our Obsession with Technology and Overcoming Its Hold on Us*, psychologist Larry Rosen observes that "the iPhone has changed everything about how we relate to technology, for both good and bad."

The iPhone led the way to using a touchscreen for every aspect of the phone's use. The Apple focus on simplicity in design and functionality changed the way that phones would look and be used. The laptop computer was the state-of-the-art mobile business platform when the iPhone was released. More and more people not only realized that they could use their phone to keep up with e-mails, make calls, and check Web pages, but more importantly, they were exposed to the App for the first time.

The app (a staple of the iPhone's capability and increasingly for all devices) provides people with a means to achieve a result with a minimum of additional effort. Besides playing games, the business application apps have become a time-saver and confidence builder for people throughout the world. By July 2015, there were more than 1.8 million apps in the iTunes App Store up from half a million apps just three years earlier. Apps run the gamut from games that probably waste productive time, to translators that quickly help international travelers, to digital books that allow one to take any book with them wherever they go, to programs that allow one to access all their files wherever they may be.

Mobile access is accelerating with the introduction of the iPad tablet, along with the many look-alike tablets and Smartphones. Where will this all go? What will business communication look like in 10 years? No one predicted that a phone would become our computer.

SOURCES: P. Burrows, "The First Five Years of Mass Obsession," *Bloomberg BusinessWeek* (June 25, 2012), www.apple.com/iphone/built-in-apps/app-store.html; <http://www.statista.com/statistics/268251/number-of-apps-in-the-itunes-app-store-since-2008/>.

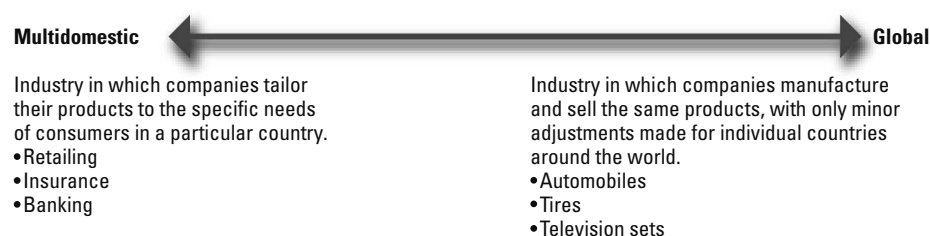


Figure 3.3 Continuum of International Industries

3.5 CATEGORIZING INTERNATIONAL INDUSTRIES

According to Porter, worldwide industries vary on a continuum from multidomestic to global (see **Figure 3–3**). **Multidomestic industries** are specific to each country or group of countries. This type of international industry is a collection of essentially domestic industries, such as retailing and insurance. The activities in a subsidiary of a multinational corporation (MNC) in this type of industry are essentially independent of the activities of the MNC's subsidiaries in other countries. Within each country, it has a manufacturing facility to produce goods for sale within that country. The MNC is thus able to tailor its products or services to the very specific needs of consumers in a particular country or group of countries having similar societal environments.

Global industries, in contrast, operate worldwide, with MNCs making only small adjustments for country-specific circumstances. In a global industry an MNC's activities in one country are not significantly affected by its activities in other countries. MNCs in global industries produce products or services in various locations throughout the world and sell them, making only minor adjustments for specific country requirements. Examples of global industries are commercial aircraft, retail electronics, semiconductors, copiers, automobiles, watches, and tires. The largest industrial corporations in the world in terms of sales revenue are, for the most part, MNCs operating in global industries.

The factors that tend to determine whether an industry will be primarily multidomestic or primarily global are:

1. **Pressure for coordination** within the MNCs operating in that industry
2. **Pressure for local responsiveness** on the part of individual country markets

To the extent that the pressure for coordination is strong and the pressure for local responsiveness is weak for MNCs within a particular industry, that industry will tend to become global. In contrast, when the pressure for local responsiveness is strong and the pressure for coordination is weak for multinational corporations in an industry, that industry will tend to be multidomestic.

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- 3-5. Categorize international industries based on their pressures for coordination and local responsiveness

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Between these two extremes lie a number of industries with varying characteristics of both multidomestic and global industries. These are **regional industries**, in which MNCs primarily coordinate their activities within regions, such as the Americas or Asia. The major home appliance industry is a current example of a regional industry becoming a global industry. Japanese appliance makers, for example, are major competitors in Asia, but only minor players in Europe or America. The dynamic tension between the pressure for coordination and the pressure for local responsiveness is contained in the phrase, “Think globally but act locally.”

3.5.1 International Risk Assessment

Some firms develop elaborate information networks and computerized systems to evaluate and rank investment risks. Small companies may hire outside consultants to provide political-risk assessments. Among the many systems that exist to assess political and economic risks are the Business Environment Risk Index, the Economist Intelligence Unit, and Frost and Sullivan’s World Political Risk Forecasts. The Economist Intelligence Unit, for example, provides a constant flow of analysis and forecasts on more than 200 countries and eight key industries. Regardless of the source of data, a firm must develop its own method of assessing risk. It must decide on its most important risk factors and then assign weights to each.

3.5.2 Strategic Groups

A **strategic group** is a set of business units or firms that “pursue similar strategies with similar resources.” Categorizing firms in any one industry into a set of strategic groups is very useful as a way of better understanding the competitive environment. Research shows that some strategic groups in the same industry are more profitable than others. Because a corporation’s structure and culture tend to reflect the kinds of strategies it follows, companies or business units belonging to a particular strategic group within the same industry tend to be strong rivals and tend to be more similar to each other than to competitors in other strategic groups within the same industry.

For example, although McDonald’s and Olive Garden are a part of the same industry, the restaurant industry, they have different missions, objectives, and strategies, and thus they belong to different strategic groups. They generally have very little in common and pay little attention to each other when planning competitive actions. Burger King and Wendy’s, however, have a great deal in common with McDonald’s in terms of their similar strategy of producing a high volume of low-priced meals

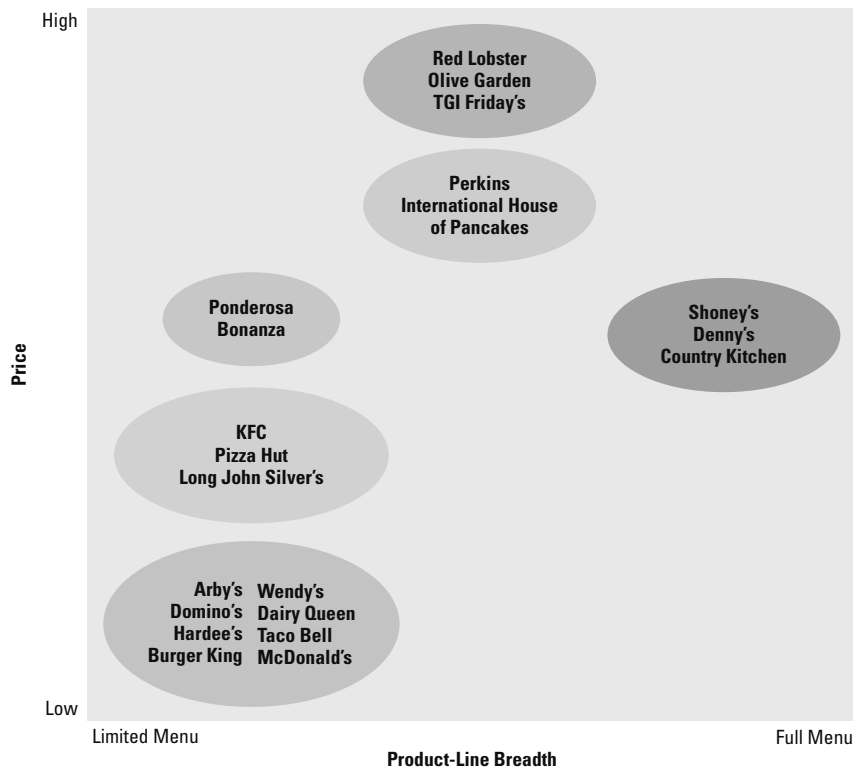


Figure 3.4 Mapping Strategic Groups in the U.S. Restaurant Chain Industry

targeted for sale to the average family. Consequently, they are strong rivals and are organized to operate similarly.

Strategic groups in a particular industry can be mapped by plotting the market positions of industry competitors on a two-dimensional graph, using two strategic variables as the vertical and horizontal axes (**Figure 3-4**):

1. Select two broad characteristics, such as price and menu that differentiate the companies in an industry from one another.
2. Plot the firms, using these two characteristics as the dimensions.
3. Draw a circle around those companies that are closest to one another as one strategic group, varying the size of the circle in proportion to the group's share of total industry sales. (You could also name each strategic group in the restaurant industry with an identifying title, such as quick fast food or buffet-style service.)

Other dimensions, such as quality, service, location, or degree of vertical integration, could also be used in additional graphs of the restaurant industry to gain a better understanding of how the various firms in the industry compete. Keep in mind, however, that the two dimensions should not be highly correlated; otherwise, the circles on the map will simply lie along the diagonal, providing very little new information other than the obvious.

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3.5.3 Strategic Types

In analyzing the level of competitive intensity within a particular industry or strategic group, it is useful to characterize the various competitors for predictive purposes. A **strategic type** is a category of firms based on a common strategic orientation and a combination of structure, culture, and processes consistent with that strategy. According to Miles and Snow, competing firms within a single industry can be categorized into one of four basic types on the basis of their general strategic orientation. This distinction helps explain why companies facing similar situations behave differently and why they continue to do so over long periods of time.

These general types have the following characteristics:

- ⇒ **Defenders** are companies with a limited product line that *focus on improving the efficiency of their existing operations*. This cost orientation makes them unlikely to innovate in new areas. With its emphasis on efficiency, Lincoln Electric is an example of a defender.
- ⇒ **Prospectors** are companies with fairly broad product lines that *focus on product innovation and market opportunities*. This sales orientation makes them somewhat inefficient. They tend to emphasize creativity over efficiency. Frito Lay's emphasis on new product development makes it an example of a prospector.
- ⇒ **Analyzers** are corporations that *operate in at least two different product-market areas*, one stable and one variable. In the stable areas, efficiency is emphasized. In the variable areas, innovation is emphasized. Multidivisional firms, such as BASF and Procter & Gamble, which operate in multiple industries, tend to be analyzers.
- ⇒ **Reactors** are corporations that *lack a consistent strategy-structure-culture relationship*. Their (often ineffective) responses to environmental pressures tend to be piecemeal strategic changes. Most major U.S. airlines have recently tended to be reactors—given the way they have been forced to respond to more nimble airlines such as Southwest and JetBlue.

Dividing the competition into these four categories enables the strategic manager not only to monitor the effectiveness of certain strategic orientations, but also to develop scenarios of future industry developments (discussed later in this chapter).

3.5.4 Hypercompetition

Most industries today are facing an ever-increasing level of environmental uncertainty. They are becoming more complex and more dynamic. Industries that used to be multidomestic are becoming global. New flexible, aggressive, innovative competitors are moving into established markets to rapidly erode

the advantages of large previously dominant firms. Distribution channels vary from country to country and are being altered daily through the use of sophisticated information systems. Closer relationships with suppliers are being forged to reduce costs, increase quality, and gain access to new technology. Companies learn to quickly imitate the successful strategies of market leaders, and it becomes harder to sustain any competitive advantage for very long. Consequently, the level of competitive intensity is increasing in most industries.

Richard D'Aveni contends that as this type of environmental turbulence reaches more industries, competition becomes **hypercompetition**. According to D'Aveni:

In hypercompetition the frequency, boldness, and aggressiveness of dynamic movement by the players accelerates to create a condition of constant disequilibrium and change. Market stability is threatened by short product life cycles, short product design cycles, new technologies, frequent entry by unexpected outsiders, repositioning by incumbents, and tactical redefinitions of market boundaries as diverse industries merge. In other words, environments escalate toward higher and higher levels of uncertainty, dynamism, heterogeneity of the players and hostility.

In hypercompetitive industries such as information technology, competitive advantage comes from an up-to-date knowledge of environmental trends and competitive activity, coupled with a willingness to risk a current advantage for a possible new advantage. Companies must be willing to *cannibalize* their own products (that is, replace popular products before competitors do so) in order to sustain their competitive advantage. (Hypercompetition is discussed in more detail in **Chapter 5**.)

3.6 USING KEY SUCCESS FACTORS TO CREATE AN INDUSTRY MATRIX

Within any industry, there are usually certain variables—key success factors—that a company's management must understand in order to be successful. **Key success factors** (sometimes referred to as Key Performance Indicators) (KSF or KPI) are variables that can significantly affect the overall competitive positions of companies within any particular industry. They typically vary from industry to industry and are crucial to determining a company's ability to succeed within that industry. They are usually determined by the economic and technological characteristics of the industry and by the competitive weapons on which the firms in the industry have built their strategies. For example, in the major home appliance industry, a firm must achieve low costs, typically by building large manufacturing facilities dedicated to making multiple versions of one type of appliance, such as washing machines. Because 60% of major home

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- 3-6. Identify key success factors and develop an industry matrix

N O T E S

appliances in the United States are sold through “power retailers” such as Sears and Best Buy, a firm must have a strong presence in the mass merchandiser distribution channel. It must offer a full line of appliances and provide a just-in-time delivery system to keep store inventory and ordering costs to a minimum. Because the consumer expects reliability and durability in an appliance, a firm must have excellent process R&D. Any appliance manufacturer that is unable to deal successfully with these key success factors will not survive long in the U.S. market.

An **industry matrix** summarizes the key success factors within a particular industry. As shown in **Table 3-3**, the matrix gives a weight for each factor based on how important that factor is for success within the industry. The matrix also specifies how well various competitors in the industry are responding to each factor. To generate an industry matrix using two industry competitors (called A and B), complete the following steps for the industry being analyzed:

1. In Column 1 (Key Success Factors), list the 8 to 10 factors that appear to determine success in the industry.
2. In Column 2 (Weight), assign a weight to each factor, from 1.0 (Most Important) to 0.0 (Not Important) based on that factor’s probable impact on the overall industry’s current and future success. (All weights must sum to 1.0 regardless of the number of strategic factors.)
3. In Column 3 (Company A Rating), examine a particular company within the industry—for example, Company A. Assign a rating to each factor from 5 (Outstanding) to 1 (*Poor*) based on Company A’s current response to that particular factor. Each rating is a judgment regarding how well that company is specifically dealing with each key success factor.
4. In Column 4 (Company A Weighted Score) multiply the weight in Column 2 for each factor by its rating in Column 3 to obtain that factor’s weighted score for Company A.
5. In Column 5 (Company B Rating) examine a second company within the industry—in this case, Company B. Assign a rating to each key success factor from 5.0 (Outstanding) to 1.0 (Poor), based on Company B’s current response to each particular factor.
6. In Column 6 (Company B Weighted Score) multiply the weight in Column 2 for each factor times its rating in Column 5 to obtain that factor’s weighted score for Company B.
7. Finally, add the weighted scores for all the factors in Columns 4 and 6 to determine the total weighted scores for companies A and B. **The total weighted score indicates how well each company is responding to current and expected key success factors in the industry’s environment.** Check to ensure that the total weighted score truly reflects

TABLE 3-3 Industry Matrix

Key Success Factors	Weight	Company A Rating	Company A Weighted Score	Company B Rating	Company B Weighted Score	
	1	2	3	4	5	6
Total	1.00					

SOURCE: T. L. Wheelen and J. D. Hunger, *Industry Matrix*. Copyright © 1997, 2001, and 2005 by Wheelen & Hunger Associates. Reprinted with permission.

the company's current performance in terms of profitability and market share. (An average company should have a total weighted score of 3.)

The industry matrix can be expanded to include all the major competitors within an industry through the addition of two additional columns for each additional competitor.

3.7 COMPETITIVE INTELLIGENCE

Most external environmental scanning is done on an informal and individual basis. Information is obtained from a variety of sources—suppliers, customers, industry publications, employees, industry experts, industry conferences, and the Internet. For example, scientists and engineers working in a firm's R&D lab can learn about new products and competitors' ideas at professional meetings; someone from the purchasing department, speaking with supplier representatives' personnel, may also uncover valuable bits of information about a competitor. A study of product innovation found that 77% of all product innovations in scientific instruments and 67% in semiconductors and printed circuit boards were initiated by the customer in the form of inquiries and complaints. In these industries, the sales force and service departments must be especially vigilant.

A recent survey of global executives by McKinsey & Company found that the single factor contributing most to the increasing competitive intensity in their industries was the improved capabilities of competitors. Yet, without competitive intelligence, companies run the risk of flying blind in the marketplace. According to work by Ryall, firms can have competitive advantages simply because their rivals have erroneous beliefs about them. This is why competitive intelligence has become an important part of environmental scanning in most companies.

Competitive intelligence (CI) is a formal program of gathering information on a company's competitors. Often called *business intelligence*, it is one of the fastest growing fields within strategic management. Research indicates that there is a strong association

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- 3-7. Construct strategic group maps to assess the competitive positions of firms in an industry

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between corporate performance and competitive intelligence activities. The 2015 Global Market Intelligence Survey found that more than 50% reported a high return on investment (ROI) on CI operations while 80% of competitive intelligence professionals gather information from social media. According to a 2011 survey of competitive intelligence by the Global Intelligence Alliance, nearly 70% of North American companies plan to increase their budgets for competitive intelligence. Ninety-four percent felt that they had benefited from their competitive intelligence efforts, while 42% of those companies without a competitive intelligence program intend to start one within the year.

In about a third of the firms, the competitive/business intelligence function is housed in its own unit, with the remainder being housed within marketing, strategic planning, information services, business development (merger and acquisitions), product development, or other units. Competitive Intelligence software maker GoodData estimated that the total spent on competitive intelligence activities was more than US\$25 billion in 2012. At General Mills, for example, all employees have been trained to recognize and tap sources of competitive information. Janitors no longer simply place orders with suppliers of cleaning materials; they also ask about relevant practices at competing firms!

3.7.1 Sources of Competitive Intelligence

Most corporations use outside organizations to provide them with environmental data. Firms such as A. C. Nielsen Co. provide subscribers with bimonthly data on brand share, retail prices, percentages of stores stocking an item, and percentages of stock-out stores. Strategists can use this data to spot regional and national trends as well as to assess market share. Information on market conditions, government regulations, industry competitors, and new products can be bought from “information brokers” such as Market Research.com (Findex), LexisNexis (company and country analyses), and Finsbury Data Services. Company and industry profiles are generally available from the Hoover’s Web site at www.hoovers.com. Many business corporations have established their own in-house libraries and computerized information systems to deal with the growing mass of available information.

The Internet has changed the way strategists engage in environmental scanning. It provides the quickest means to obtain data on almost any subject. Although the scope and quality of Internet information is increasing rapidly, it is also littered with “noise,” misinformation, and utter nonsense. Unlike the library, the Internet lacks the tight bibliographic control standards that exist in the print world. There is no ISBN or Dewey Decimal System to identify, search, and retrieve a document. Many Web documents lack the name of the author and the date of publication. A Web page

providing useful information may be accessible on the Web one day and gone the next. Unhappy ex-employees, far-out extremists, and prank-prone hackers create “blog” Web sites to attack and discredit an otherwise reputable corporation. Rumors with no basis in fact are spread via chat rooms and personal Web sites. This creates a serious problem for researchers. How can one evaluate the information found on the Internet? For a way to evaluate intelligence information, see the **Strategy Highlight** on evaluating competitive intelligence.

Some companies choose to use industrial espionage or other intelligence-gathering techniques to get their information straight from their competitors. According to a survey by the American Society for Industrial Security, PricewaterhouseCoopers, and the United States Chamber of Commerce, Fortune 1000 companies lost an estimated US\$59 billion in one year alone due to the theft of trade secrets. By using current or former competitors’ employees and private contractors, some firms attempt to obtain trade secrets, technology, business plans, and pricing strategies. In a well-documented case, Avon Products hired private investigators to retrieve from a public dumpster documents (some of them shredded) that Mary Kay Corporation had thrown away. Oracle Corporation hired detectives to obtain the trash of a think tank that had defended the pricing practices of its rival Microsoft. Studies reveal that 32% of the trash typically found next to copy machines contains confidential company data, in addition to personal data (29%) and gossip (39%). Even P&G, which defends itself like a fortress from information leaks, is vulnerable. A competitor was able to learn the precise launch date of a concentrated laundry detergent in Europe when one of its people visited the factory where machinery was being made. Simply asking a few questions about what a certain machine did, whom it was for, and when it would be delivered was all that was necessary.

Some of the firms providing investigatory services are Altegrity Inc. with 11,000 employees in 30 countries, Fairfax, Security Outsourcing Solutions, Trident Group, and Diligence Inc.

Trident, for example, specializes in helping American companies enter the Russian market and is a U.S.-based corporate intelligence firm founded and managed by former veterans of Russian intelligence services, like the KGB.

To combat the increasing theft of company secrets, the U.S. government passed the Economic Espionage Act in 1996. The law makes it illegal (with fines up to US\$5 million and 10 years in jail) to steal any material that a business has taken “reasonable efforts” to keep secret and that derives its value from not being known. The Society of Competitive Intelligence Professionals (www.scip.org) urges strategists to stay within the law and to act ethically when searching for information. The society states that illegal activities are foolish because the vast majority of worthwhile competitive intelligence is available publicly via annual reports, Web sites, and

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STRATEGY HIGHLIGHT

Evaluating Competitive Intelligence

A basic rule in intelligence gathering is that before a piece of information can be in any report or briefing, it must first be evaluated in two ways. *First*, the source of the information should be judged in terms of its truthfulness and reliability. How trustworthy is the source? How well can a researcher rely upon it for truthful and correct information? One approach is to rank the reliability of the source on a scale from A (extremely reliable), B (reliable), C (unknown reliability), D (probably unreliable), to E (very questionable reliability). The reliability of a source can be judged on the basis of the author's credentials, the organization sponsoring the information, and past performance, among other factors. *Second*, the information or data should be judged in terms of its likelihood of being correct. The correctness of the data may be ranked on a scale from 1 (correct), 2 (probably correct), 3 (unknown), 4 (doubtful), to 5 (extremely doubtful). The correctness of a piece of data or information can be judged on the basis of its agreement with other bits of separately obtained information or with a general trend supported by previous data. For every piece of information found on the Internet, for example, list not only the URL of the Web page, but also the evaluation of the information from A1 (trusted) to E5 (highly questionable). Information found through library research in sources such as Moody's Industrials, Standard & Poor's, or Value Line can generally be evaluated as having a reliability of A. The correctness of the data can still range anywhere from 1 to 5, but in most instances is likely to be either 1 or 2, but probably no worse than 3 or 4. Web sites are quite different.

Web sites, such as those sponsored by the U.S. Securities and Exchange Commission (www.sec.gov), *The Economist* (www.economist.com), or Hoovers Online (www.hoovers.com) are extremely reliable. Company-sponsored Web sites are generally reliable, but are not the place to go for trade secrets, strategic plans, or proprietary information. For one thing, many firms think of their Web sites primarily in terms of marketing and provide little data aside from product descriptions and distributors. Other companies provide their latest financial statements and links to other useful Web sites. Nevertheless, some companies in very competitive industries may install software on their Web site to ascertain a visitor's Web address. Visitors from a competitor's domain name are thus screened before they are allowed to access certain Web

sites. They may not be allowed beyond the product information page or they may be sent to a bogus Web site containing misinformation. Cisco Systems, for example, uses its Web site to send visitors coming in from other high-tech firm Web sites to a special Web page asking if they would like to apply for a job at Cisco!

libraries. Unfortunately, a number of firms hire “kites,” consultants with questionable reputations, who do what is necessary to get information when the selected methods do not meet SPIC ethical standards or are illegal. This allows the company that initiated the action to deny that it did anything wrong.

3.7.2 Monitoring Competitors for Strategic Planning

The primary activity of a competitive intelligence unit is to monitor **competitors**—organizations that offer the same, similar, or substitutable products or services in the business area in which a particular company operates. To understand a competitor, it is important to answer the following 10 questions:

1. Why do your competitors exist? Do they exist to make profits or just to support another unit?
2. Where do they add customer value—higher quality, lower price, excellent credit terms, or better service?
3. Which of your customers are the competitors most interested in? Are they cherry-picking your best customers, picking the ones you don't want, or going after all of them?
4. What is their cost base and liquidity? How much cash do they have? How do they get their supplies?
5. Are they less exposed with their suppliers than your firm? Are their suppliers better than yours?
6. What do they intend to do in the future? Do they have a strategic plan to target your market segments? How committed are they to growth? Are there any succession issues?
7. How will their activity affect your strategies? Should you adjust your plans and operations?
8. How much better than your competitor do you need to be in order to win customers? Do either of you have a competitive advantage in the marketplace?
9. Will new competitors or new ways of doing things appear over the next few years? Who is a potential new entrant?
10. If you were a customer, would you choose your product over those offered by your competitors? What irritates your current customers? What competitors solve these particular customer complaints?

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3-8. Develop an industry scenario as a forecasting technique

To answer these and other questions, competitive intelligence professionals utilize a number of analytical techniques. In addition to the previously discussed industry forces analysis, and strategic group analysis, some of these techniques can be found in Porter's four-corner exercise, Treacy and Wiersema's value disciplines, Gilad's blind spot analysis, and war gaming. Done right, competitive intelligence is a key input to strategic planning.

3.8 FORECASTING

Environmental scanning provides reasonably hard data on the present situation and current trends, but intuition and luck are needed to accurately predict whether these trends will continue. The resulting forecasts are, however, usually based on a set of assumptions that may or may not be valid.

Danger of Assumptions

Faulty underlying assumptions are the most frequent cause of forecasting errors. Nevertheless, many managers who formulate and implement strategic plans rarely consider that their success is based on a series of basic assumptions. Many strategic plans are simply based on projections of the current situation. For example, few people in 2007 expected the price of oil (light, sweet crude, also called West Texas intermediate) to rise above US\$80 per barrel and were extremely surprised to see the price approach US\$150 by July 2008, especially as the price had been around US\$20 per barrel in 2002. U.S. auto companies in particular had continued to design and manufacture large cars, pick-up trucks, and SUVs under the assumption of gasoline being available for around US\$2.00 a gallon. Market demand for these types of cars collapsed when the price of gasoline passed US\$3.00 to reach US\$4.00 a gallon in July 2008. The volatile oil market saw the price of a gallon of gas drop below US\$2.00 again in 2015. Car makers shifted again to larger SUVs and trucks while trying to increase efficiency in all vehicles. In another example, many banks made a number of questionable mortgages based on the assumption that housing prices would continue to rise as they had in the past. When housing prices began to fall in late 2006, these "sub-prime" mortgages were almost worthless—causing the banking crisis that gripped the nation for the next three plus years. The lesson here: Assumptions can be dangerous to your business's health!

3.8.1 Useful Forecasting Techniques

Various techniques are used to forecast future situations. They do not tell the future; they merely state what can be, not what will be. As such, they can be used to form a set of reasonable assumptions about the future. Each technique has its proponents and its

critics. A study of nearly 500 of the world's largest corporations revealed trend extrapolation to be the most widely practiced form of forecasting—over 70% use this technique either occasionally or frequently. Simply stated, *extrapolation* is the extension of present trends into the future. It rests on the assumption that the world is reasonably consistent and changes slowly in the short run. Time-series methods are approaches of this type. They attempt to carry a series of historical events forward into the future. The basic problem with extrapolation is that a historical trend is based on a series of patterns or relationships among so many different variables that a change in any one can drastically alter the future direction of the trend. As a rule of thumb, the further back into the past you can find relevant data supporting the trend, the more confidence you can have in the prediction.

Brainstorming, expert opinion, and statistical modeling are also very popular forecasting techniques. *Brainstorming* is a non-quantitative approach that simply requires the presence of people with some knowledge of the situation in order to concept out the future. The basic ground rule is to propose ideas without first mentally screening them. No criticism is allowed. “Wild” ideas are encouraged. Ideas should build on previous ideas until a consensus is reached. This is a good technique to use with operating managers who have more faith in “gut feel” than in more quantitative number-crunching techniques. *Expert opinion* is a non-quantitative technique in which experts in a particular area attempt to forecast likely developments. This type of forecast is based on the ability of a knowledgeable person(s) to construct probable future developments based on the interaction of key variables. One application, developed by the RAND Corporation, is the *Delphi Technique*, in which separate experts independently assess the likelihoods of specified events. These assessments are combined and sent back to each expert for fine-tuning until agreement is reached. These assessments are most useful if they are shaped into several possible scenarios that allow decision makers to more fully understand their implication. *Statistical modeling* is a quantitative technique that attempts to discover causal or at least explanatory factors that link two or more time series together. Examples of statistical modeling are regression analysis and other econometric methods. Although very useful in the grasping of historic trends, statistical modeling, such as trend extrapolation, is based on historical data. As the patterns of relationships change, the accuracy of the forecast deteriorates.

Prediction markets is a recent forecasting technique enabled by easy access to the Internet. As emphasized by James Surowiecki in *The Wisdom of Crowds*, the conclusions of large groups can often be better than those of experts because such groups can aggregate a large amount of dispersed wisdom. Prediction markets are small-scale electronic markets, frequently open to any

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employee, that tie payoffs to measurable future events, such as sales data for a computer workstation, the number of bugs in an application, or product usage patterns. These markets yield prices on prediction contracts—prices that can be interpreted as market-aggregated forecasts. Companies including Microsoft, Google, and Eli Lilly have asked their employees to participate in prediction markets by betting on whether products will sell, when new offices will open, and whether profits will be high in the next quarter. Early predictions have been exceedingly accurate. Intrade.com offers a free Web site in which people can buy or sell various predictions in a manner similar to buying or selling common stock. On August 17, 2012, for example, Intrade.com listed the bidding price for democratic presidential candidate Barack Obama as US\$5.62 compared to US\$4.26 for Mitt Romney. Thus far, prediction markets have not been documented for long-term forecasting, so its value in strategic planning has not yet been established. Other forecasting techniques, such as *cross-impact analysis (CIA)* and *trend-impact analysis (TIA)*, have not established themselves successfully as regularly employed tools.

Scenario writing is the most widely used forecasting technique after trend extrapolation. Originated by Royal Dutch Shell, scenarios are focused descriptions of different likely futures presented in a narrative fashion. A scenario thus may be merely a written description of some future state, in terms of key variables and issues, or it may be generated in combination with other forecasting techniques. Often called scenario planning, this technique has been successfully used by 3M, Levi Strauss, General Electric, United Distillers, Electrolux, British Airways, and Pacific Gas and Electricity, among others. According to Mike Eskew, Chairman and CEO of United Parcel Service, UPS uses scenario writing to envision what its customers might need 5 to 10 years in the future.

An **industry scenario** is a forecasted description of a particular industry's likely future. Such a scenario is developed by analyzing the probable impact of future societal forces on key groups in a particular industry. The process may operate as follows:

1. Examine possible shifts in the natural environment and in societal variables globally.
2. Identify uncertainties in each of the six forces of the task environment (i.e., potential entrants, competitors, likely substitutes, buyers, suppliers, and other key stakeholders).
3. Make a range of plausible assumptions about future trends.
4. Combine assumptions about individual trends into internally consistent scenarios.
5. Analyze the industry situation that would prevail under each scenario.

6. Determine the sources of competitive advantage under each scenario.
7. Predict competitors' behavior under each scenario.
8. Select the scenarios that are either most likely to occur or most likely to have a strong impact on the future of the company. Use these scenarios as assumptions in strategy formulation.

3.9 THE STRATEGIC AUDIT: A CHECKLIST FOR ENVIRONMENTAL SCANNING

One way of scanning the environment to identify opportunities and threats is by using the Strategic Audit found in **Appendix 1.A** at the end of **Chapter 1**. The audit provides a checklist of questions by area of concern. For example, Part III of the audit examines the natural, societal, and task environments. It looks at the societal environment in terms of economic, technological, political–legal, and sociocultural forces. It also considers the task environment (industry) in terms of the threat of new entrants, the bargaining power of buyers and suppliers, the threat of substitute products, rivalry among existing firms, and the relative power of other stakeholders.

3.10 SYNTHESIS OF EXTERNAL FACTORS

After strategic managers have scanned the natural, societal, and task environments and identified a number of likely external factors for their particular corporation, they may want to refine their analysis of these factors by using a form such as that given in **Table 3–4**. Using an **EFAS table** (External Factors Analysis Summary) is one way to organize the external factors into the generally accepted categories of opportunities and threats, as well as to analyze how well a particular company's management (rating) is responding to these specific factors in light of the perceived importance (weight) of these factors to the company. To generate an EFAS Table for the company being analyzed, complete the following steps:

1. In Column 1 (External Factors), list the 8 to 10 most important opportunities and threats facing the company.
2. In Column 2 (Weight), assign a weight to each factor from 1.0 (Most Important) to 0.0 (Not Important) based on that factor's probable impact on a particular company's current strategic position. The higher the weight, the more important is this factor to the current and future success of the company. (All weights must sum to 1.0 regardless of the number of factors.)
3. In Column 3 (Rating), assign a rating to each factor from 5.0 (Outstanding) to 1.0 (Poor) based on that particular company's specific response to that particular factor. Each rating is a judgment

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3-9. Use publicly available information to conduct competitive intelligence

3-10. Construct an EFAS table that summarizes external environmental factors

TABLE 3–4 External Factor Analysis Summary (EFAS Table): Maytag as Example

External Factors	Weight	Rating	Weighted Score	Comments
1	2	3	4	5
Opportunities				
Economic integration of European Community	.20	4.1	.82	Acquisition of Hoover
Demographics favor quality appliances	.10	5.0	.50	Maytag quality
Economic development of Asia	.05	1.0	.05	Low Maytag presence
Opening of Eastern Europe	.05	2.0	.10	Will take time
Trend to “Super Stores”	.10	1.8	.18	Maytag weak in this channel
Threats				
Increasing government regulations	.10	4.3	.43	Well positioned
Strong U.S. competition	.10	4.0	.40	Well positioned
Whirlpool and Electrolux strong globally	.15	3.0	.45	Hoover weak globally
New product advances	.05	1.2	.06	Questionable
Japanese appliance companies	.10	1.6	.16	Only Asian presence in Australia
Total Scores	1.00		3.15	

NOTES:

List opportunities and threats (8–10) in Column 1.

Weight each factor from 1.0 (Most Important) to 0.0 (Not Important) in Column 2 based on that factor’s probable impact on the company’s strategic position. **The total weights must sum to 1.00.**

Rate each factor from 5.0 (Outstanding) to 1.0 (Poor) in Column 3 based on the company’s response to that factor.

Multiply each factor’s weight times its rating to obtain each factor’s weighted score in Column 4.

Use Column 5 (comments) for the rationale used for each factor.

Add the individual weighted scores to obtain the total weighted score for the company in Column 4. This tells how well the company is responding to the factors in its external environment.

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regarding how well the company is currently dealing with each specific external factor.

4. In Column 4 (Weighted Score), multiply the weight in Column 2 for each factor times its rating in Column 3 to obtain that factor’s weighted score.
5. In Column 5 (Comments), note why a particular factor was selected and how its weight and rating were estimated.
6. Finally, add the weighted scores for all the external factors in Column 4 to determine the total weighted score for that particular company. The **total weighted** score indicates how well a particular company is responding to current and expected factors in its external environment. The score can be used to compare that firm to other firms in the industry. Check to ensure that the total weighted score truly reflects the company’s current

performance in terms of profitability and market share.? **The total weighted score for an average firm in an industry is always 3.0.**

As an example of this procedure, **Table 3–4** includes a number of external factors for Maytag Corporation with corresponding weights, ratings, and weighted scores provided. This table is appropriate for 1995, long before Maytag was acquired by Whirlpool. Note that Maytag’s total weight was 3.15, meaning that the corporation was slightly above average in the major home appliance industry at that time.

3.11 SUMMARY

Wayne Gretzky was one of the most famous people ever to play professional ice hockey. He wasn’t very fast. His shot was fairly weak. He was usually last in his team in strength training. He tended to operate in the back of his opponent’s goal, anticipating where his team members would be long before they got there and fed them passes so unsuspected that he would often surprise his own team members. In an interview with *Time* magazine, Gretzky stated that the key to winning is skating not to where the puck is but to where it is going to be. “People talk about skating, puck handling and shooting, but the whole sport is angles and caroms, forgetting the straight direction the puck is going, calculating where it will be diverted, factoring in all the interruptions,” explained Gretzky.

Environmental scanning involves monitoring, collecting, and evaluating information in order to understand the current

trends in the natural, societal, and task environments. The information is then used to forecast whether these trends will continue or whether others will take their place. How will developments in the natural environment affect the world? What kind of developments can we expect in the societal environment to affect our industry? What will an industry look like in 10 to 20 years? Who will be the key competitors? Who is likely to fall by the wayside? We use this information to make certain assumptions about the future—assumptions that are then used in strategic planning. In many ways, success in the business world is like ice hockey: The key to winning is not to assume that your industry will continue as it is now but to assume that the industry will change and to make sure your company will be in position to take advantage of those changes.

3.12 KEY TERM

analyzers (p. 90)

competitive intelligence (p. 93)

competitors (p. 96)

complementor (p. 86)

consolidated industry (p. 87)

defenders (p. 90)

EFAS table (p. 99)

entry barriers (p. 83)

environmental scanning (p. 69)

environmental uncertainty (p. 69)

exit barrier (p. 85)

fragmented industry (p. 86)

global industries (p. 88)

hypercompetition (p. 91)

industry (p. 82)

industry analysis (p. 70)

industry matrix (p. 92)

industry scenario (p. 98)

key success factor (p. 91)

multidomestic industries (p. 88)

multinational corporation (MNC) (p. 79)

natural environment (p. 69)

new entrants (p. 83)

prospectors (p. 90)

reactors (p. 91)

regional industries (p. 88)

societal environment (p. 69)

STEEP analysis (p. 72)

strategic group (p. 89)

strategic type (p. 90)

substitute product (p. 85)

task environment (p. 69)

3.13 REVIEW QUESTIONS

- 3-1. Discuss how a development in a corporation's natural and societal environments can affect the corporation through its task environment.
- 3-2. How would you determine the level of competitive intensity in an industry?
- 3-3. Is Pepsi Cola a substitute for Coca-Cola?
- 3-4. How can a decision maker identify strategic factors in a corporation's external international environment?
- 3-5. Compare and contrast trend extrapolation with the writing of scenarios as forecasting techniques.
- 3-6. Discuss the questions which a strategist should ask to understand a customer.
- 3-7. Identify and discuss in detail the external environment variables.
- 3-8. Discuss in detail the STEEP analysis. Conduct STEEP analysis for India.
- 3-9. "The effects of climate change on companies can be grouped into six categories of risks". Discuss the statement while highlighting the categories of risks.
- 3-10. Discuss porter's approach to industry analysis. Conduct porter's analysis for any industry of your choice.
- 3-11. What are entry barriers? How do they work? Give examples of different entry barriers.
- 3-12. Write short notes on following:
 - Strategic groups
 - Strategic types
 - Hyper competition
 - Sources of competitive intelligence

3.14 CLASS DISCUSSION CASE

How far should people in a business firm go in gathering competitive intelligence? Where do you draw the line?

- 3-1. Take a look at each of the following approaches that a person might use to gather information about competitors. Which do you believe are techniques that you might use? Why?
 - Using a "clipping agency" to scour the popular press for information on competitors
 - Being a customer of competitors
 - Creating a phony company to act as a potential customer
 - Reverse engineering competitors' products
 - Hiring consultants who have worked for competitors
 - Asking suppliers about your competitors
 - Hiring companies to collect and examine competitors' garbage
- 3-2. Go to the Web site of the Society for Competitive Intelligence Professionals (www.scip.org). What does SCIP say about these approaches?
 - Changing the interview process for a new position when a candidate is from a direct competitor
 - Taking public tours of competitors' facilities
 - Using social media to cause competitors harm
 - Using trade shows and conferences to learn more about competitors
 - Hiring key employees from competitors
 - What other approaches came to your mind as you considered the above? Add those ideas and evaluate the approach.

3.15 MULTIPLE-CHOICE QUESTIONS

- 3-1. The combination of the degree of complexity and the degree of change existing in an organization's external environment is/are called
 - A. strategic factors.
 - B. strategic issues.
 - C. environmental uncertainty.
 - D. strategic fit.
 - E. scenarios.
- 3-2. According to the text, one reason environmental uncertainty is a threat to strategic managers is because
 - A. it is a costly and time-consuming process.
 - B. it creates a new playing field in which creativity and innovation can play a major part in strategic decisions.
 - C. it forces the strategic manager to be more stable.
 - D. it hampers their ability to develop long-range plans and make strategic decisions.
 - E. there are too many uncontrollable variables.
- 3-3. Which of the following is not descriptive of external environmental scanning?
 - A. used as a tool to ensure a corporation's long-term health
 - B. used to monitor, evaluate, and disseminate information relevant to the organizational development of strategy
 - C. used to identify major stockholders
 - D. used as a tool for corporations to avoid strategic surprise
 - E. used to determine a firm's competitive advantage

- 3-4.** The corporation's task environment
- A. encompasses the physical working areas of the organization.
 - B. includes those elements or groups within an organization's industry.
 - C. is an advisory committee to top management.
 - D. is an accounting of the many jobs within an organization.
 - E. is the job requirement specification listing necessary skills and abilities.
- 3-5.** Which of the following is not an element of the organization's task environment?
- A. local communities
 - B. trade associations
 - C. governments
 - D. technological developments
 - E. special interest groups
- 3-6.** Which environment was generally perceived by business people to be something to exploit, not conserve, until the twentieth century?
- A. the task environment
 - B. the natural environment
 - C. the internal environment
 - D. the societal environment
 - E. the external environment
- 3-7.** Which of the following is not a major force in the societal environment?
- A. political-legal forces
 - B. labor forces
 - C. economic forces
 - D. technological forces
 - E. sociocultural forces
- 3-8.** All of the following are technological breakthroughs already having a significant impact on many industries EXCEPT
- A. growing health consciousness.
 - B. alternative energy sources.
 - C. genetically altered organisms.
 - D. smart, mobile robots.
 - E. virtual personal assistants.
- 3-9.** Which societal force includes demographic trends?
- A. political-legal forces
 - B. labor forces
 - C. economic forces
 - D. technological forces
 - E. sociocultural forces
- 3-10.** Which of the following is not one of the eight current sociocultural trends mentioned in the text?
- A. increasing environmental awareness
 - B. growth of the seniors market
 - C. decline of the mass market
 - D. wage/price controls
 - E. impact of Generation Y boomlet

Answer Keys: 3-1. C 3-2. D 3-3. C 3-4. B 3-5. D 3-6. B 3-7. B 3-8. A 3-9. E 3-10. D

4

CHAPTER

ORGANIZATIONAL ANALYSIS AND COMPETITIVE ADVANTAGE

4.1	A Resource-Based Approach to Organizational analysis—Vrio
4.1.1	Core and Distinctive Competencies
4.1.2	Using Resources/Capabilities to Gain Competitive Advantage
4.2	Business Models
4.3	Value-Chain Analysis
4.3.1	Industry Value-Chain Analysis
4.3.2	Corporate Value-Chain Analysis
4.3.3	Scanning Functional Resources and Capabilities
4.4	Basic Organizational Structures
4.5	Culture
4.5.1	Strategic Marketing Issues
4.5.2	Strategic Financial Issues
4.5.3	Strategic Research and Development (R&D) Issues
4.5.4	Strategic Operations Issues
4.5.5	Strategic Human Resource Management (HRM) Issues
4.5.6	Strategic Information Systems/Technology Issues
4.6	The Strategic Audit: A Checklist for Organizational Analysis
4.6.1	Synthesis of Internal Factors (IFAS)
4.6.2	Game Theory Dynamic analysis
4.6.3	Blue Ocean Strategy
4.7	Summary
4.8	Key Term
4.9	Review Questions
4.10	Class Discussion Case
4.11	Multiple-choice Questions

UNDERSTANDING CAPABILITIES- AMARA RAJA GROUP OF COMPANIES



Amara Raja Group of companies was set up by Dr Ramachandra Naidu Galla for manufacturing field maintenance-free lead acid batteries in 1985 as a private limited company and was converted into a public limited company in 1990*. The group is known by its brand “Amaron”, which is one of the most popular automotive battery in India. The organization culture of ARBL (Amara Raja Batteries Limited) is centered around five core values i.e., innovation, excellence, entrepreneurship, experiences and responsibility.

The company has been credited with introduction of many new innovative products in India for example it was the first one to introduce a 60 day warranty for automotive and two wheeler batteries; and VRLA (Valve Regulated Lead Acid) batteries with three-year warranty in industrial and automotive applications. The company has been so successful that today it is the largest manufacturer of “stand VRLA batteries” in South Asia and has been the market leader of standby batteries in railways, telecom, and power generating stations in India.

Main competitive advantage of the company includes strong technology partners to improve its know-how and related services, growing brand awareness and cost advantage.

Its commitment to technology and innovation is evident from its early days of inception itself when the company entered into a technical agreement with GNB Inc (Gould National Batteries), USA, for technical know-how and other related services. The commitment of the company’s in-house research and development team towards introducing new ranges, meeting the standards of quality, customer satisfaction etc., was recognized by the Department of Science and Technology, Government of India for its efforts in 1995.

Furthermore, the organizational capabilities like strong brand building efforts, and expansion of distribution networks and relationships with OEMs (Original Equipment Manufacturer), have helped ARBL to gain significant market shares across all segments. The company, did not just concentrate on strong brand building efforts and expansion of distribution networks but over the years has developed a unique franchised distribution model which has helped it to penetrate the market with an improved aftermarket service and better replacement sales opportunities.

The firm, is profitable, growing and financially sound. The company is expected to deliver consistent earning growth over

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- 4-1. Apply the resource-based view of the firm and the VRIO framework to determine core and distinctive competencies

the next five years. This financial soundness can be attributed to the company's ability to understand the rules of the changing industry and the new skill set which are required to survive in the industry. ARBLs ability to understand the new capabilities required and to develop them proactively has been responsible for the success of the company.

4.1 A RESOURCE-BASED APPROACH TO ORGANIZATIONAL ANALYSIS—VRIO

Scanning and analyzing the external environment for opportunities and threats is necessary for the firm to be able to understand its competitive environment and its place in that environment. It is the absolute starting place for strategic analysis. However, in order for the organization to thrive, the senior leadership team must look within the corporation itself to identify *internal strategic factors*—critical *strengths and weaknesses* that are likely to determine whether a firm will be able to take advantage of opportunities while avoiding threats. This internal scanning, often referred to as **organizational analysis**, is concerned with identifying, developing, and taking advantage of an organization's resources and competencies.

4.1.1 Core and Distinctive Competencies

Resources are an organization's assets and are thus the basic building blocks of the organization. They include *tangible assets* (such as its plant, equipment, finances, and location), *human assets* (the number of employees, their skills, and motivation), and *intangible assets* (such as its technology [patents and copyrights], culture, and reputation). **Capabilities** refer to a corporation's ability to exploit its resources. They consist of business processes and routines that manage the interaction among resources to turn inputs into outputs. For example, a company's marketing capability can be based on the interaction among its marketing specialists, distribution channels, and salespeople. A capability is functionally based and is resident in a particular function. Thus, there are marketing capabilities, manufacturing capabilities, and human resource management capabilities. When these capabilities are constantly being changed and reconfigured to make them more adaptive to an uncertain environment, they are called *dynamic capabilities*. A **competency** is a cross-functional integration and coordination of capabilities. For example, a competency in new product development in one division of a corporation may be the consequence of integrating information systems capabilities, marketing capabilities, R&D capabilities, and production capabilities within the division. A **core competency** is

a collection of competencies that crosses divisional boundaries, is widespread within the corporation, and is something that the corporation can do exceedingly well. Thus, new product development is a core competency if it goes beyond one division. For example, a core competency of Avon Products is its expertise in door-to-door selling. FedEx has a core competency in its application of information technology to all its operations. A company must continually reinvest in a core competency or risk its becoming a *core rigidity* or *deficiency*—that is, a strength that over time matures and becomes a weakness. Although it is typically not an asset in the accounting sense, a core competency is a very valuable capability—it does not “wear out” with use. In general, the more core competencies are used, the more refined they get, and the more valuable they become. When unique resources and/or core competencies are superior to those of the competition, they are called **distinctive competencies**. For example, General Electric is well known for its distinctive competency in management development. Its executives are sought out by other companies hiring top managers.

Resources and capabilities are only of value if they provide the organization an ability to make extraordinary returns. The resource-based approach is a well-researched, very effective means of analyzing resources and capabilities in order to determine which might provide the organization with real competitive advantages.

The approach used today has its roots in works by Wernerfelt in 1984 followed by an effective operationalization by Jay Barney who first proposed a VRIN framework that he later developed into the **VRIO framework** of analysis, proposing four questions to evaluate a firm’s competencies:

1. **Valuable:** Does it provide customer value and competitive advantage?
2. **Rareness:** Does only one other competitor or preferably do no competitors possess it at relatively the same level?
3. **Imitability:** Do the competitors have the financial ability (viewed in the widest sense) to imitate?
4. **Organization:** Is the firm organized to exploit the resource?

If the answer to each of these questions is *yes* for a particular competency, it is considered to be a strength and thus a distinctive competence. This should provide the company with a possible competitive advantage and lead to higher performance.

Let’s look at each of the elements and how you can use them to evaluate resources and capabilities. Each resource or capability (R/C) of the firm should be examined separately. Only if they pass all of the four elements are they true competitive advantages.

In order for a resource/capability to be, valuable it must allow the organization to either charge more for its offerings than competitors do for theirs or have a lower cost structure than those of the competitors. This is generally accomplished by providing a value proposition for the customer that exceeds that of the

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competitors. The customers are drawn to the organization by the improved value proposition. Tesla has been able to consistently charge a premium price for a battery powered car because of a set of distinctive competencies. If it fails at Valuable, then this R/C generally falls into one of two categories – either it is part of the table stakes of the industry and simply expected or it is something that the organization can consider for elimination.

If it passes the Valuable test, then the approach moves to examine the rareness of the R/C. In order for it to be useful as a competitive advantage it must not be possessed by the competitors of the organization. The rule of thumb is that if one competitor has the same resource/capability at even the equivalent level then it is still relatively rare; however, if more than one competitor has the same R/C then it fails at Rareness and would be eliminated as a potential competitive advantage.

Any R/C that passes both Valuable and Rareness should be examined for competitor's ability to imitate. If an organization has a true competitive advantage, it is likely that competitors will look to find a way to match what is being offered in the market either by imitating it or attempting to substitute for it. The longer an organization can retain a competitive advantage, the better off it will be.

Imitability is the rate at which a firm's underlying resources, capabilities, or core competencies can be duplicated by others. To the extent that a firm's distinctive competency gives it competitive advantage in the marketplace, competitors will do what they can to learn and imitate that set of skills and capabilities. Competitors' efforts may range from *reverse engineering* (which involves taking apart a competitor's product in order to find out how it works), to hiring employees from the competitor, to outright patent infringement. A core competency can be easily imitated to the extent that it is transparent, transferable, and replicable.

- ⇒ **Transparency** is the speed with which other firms can understand the relationship of resources and capabilities supporting a successful firm's strategy. Gillette has always supported its dominance in the marketing of razors with excellent R&D. A competitor could never understand how the Fusion razor was produced simply by taking one apart. Gillette's razor designs are very difficult to copy, partly because the manufacturing equipment needed to produce it is so expensive and complicated.
- ⇒ **Transferability** is the ability of competitors to gather the resources and capabilities necessary to support a competitive challenge. For example, it may be very difficult for a wine-maker to duplicate a French winery's key resources of land and climate, especially if the imitator is located in Iowa.
- ⇒ **Replicability** is the ability of competitors to use duplicated resources and capabilities to imitate the other firm's success. For example, even though many companies have tried to imitate Procter & Gamble's success with brand management by

hiring brand managers away from P&G, they have often failed to duplicate P&G's success. The competitors failed to identify less visible P&G coordination mechanisms or to realize that P&G's brand management style conflicted with the competitor's own corporate culture.

It is relatively easy to learn and imitate another company's core competency or capability if it comes from **explicit knowledge**—that is, knowledge that can be easily articulated and communicated. This is the type of knowledge that competitive intelligence activities can quickly identify and communicate. **Tacit knowledge**, in contrast, is knowledge that is *not* easily communicated because it is deeply rooted in employee experience or in a corporation's culture. Tacit knowledge is more valuable and more likely to lead to a sustainable competitive advantage than is explicit knowledge because it is much harder for competitors to imitate. The knowledge may be complex and combined with other types of knowledge in an unclear fashion in such a way that even management cannot clearly explain the competency. Tacit knowledge is thus subject to a paradox. For a corporation to be successful and grow, its tacit knowledge must be clearly identified and codified if the knowledge is to be spread throughout the firm. Once tacit knowledge is identified and written down, however, it is easily imitable by competitors. This forces companies to establish complex security systems to safeguard their key knowledge.

An organization's resources and capabilities can be placed on a continuum to the extent they are durable and can't be imitated (that is, aren't transparent, transferable, or replicable) by another firm. At one extreme are resources which are sustainable because they are shielded by patents, geography, strong brand names, or tacit knowledge. These resources and capabilities are distinctive competencies because they provide a sustainable competitive advantage. Gillette's razor technology is a good example of a product built around slow-cycle resources. The other extreme includes resources which face the highest imitation pressures because they are based on a concept or technology that can be easily duplicated, such as streaming movies. To the extent that a company has fast-cycle resources, the primary way it can compete successfully is through increased speed from lab to marketplace. Otherwise, it has no real sustainable competitive advantage.

The estimation of what it will take for a competitor to match the R/C determines its imitability. If the organization believes that it will take significant resources and time to match the R/C, then we move on with the analysis. If it can be matched relatively easily, then we would eliminate this R/C as a potential true competitive advantage. This is a qualitative estimation based on a deep understanding of the competitors.

Finally, all R/Cs that have survived the three previous tests are evaluated for the ability of the organization to take advantage of it. Organizational capability is rooted in the policies, procedures,

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culture, and norms of the organization. The organizational elements of implementation are discussed in detail in later chapters of this textbook. The key to remember is that the organization must be structured and aligned around the true competitive advantages of the business.

It is important to evaluate the importance of a company's resources, capabilities, and competencies to ascertain whether they are internal strategic factors—that is, particular strengths (true competitive advantages) or weaknesses (areas that must be addressed) that will help determine the future of the company. This can be done by comparing measures of these factors with measures of (1) the company's past performance, (2) the company's key competitors, and (3) the industry as a whole.

Even though a distinctive competency is certainly considered to be a corporation's key strength, a key strength may not always be a distinctive competency. As competitors attempt to imitate another company's competency (especially during hypercompetition), what was once a distinctive competency becomes a minimum requirement to compete in the industry. Even though the competency may still be a core competency and thus a strength, it is no longer unique. Apple is well known for their functional design ability. The iPod, iPad, and iPhone are examples of their distinctive competency. As other phone manufacturers imitated Apple's designs and released ever more stylish phones, we would say that this continued to be a key strength (that is, a core competency) of Apple, but it was less and less a distinctive competency.

4.1.2 Using Resources/Capabilities to Gain Competitive Advantage

Where do these resources/competencies come from? A corporation can gain access to a distinctive competency in four ways:

- ⇒ It may be an asset endowment, such as a key patent, coming from the founding of the company. Such was the case with Xerox, which grew on the basis of its original copying patent.
- ⇒ It may be acquired from someone else. Disney bought Pixar in order to reestablish itself in the animated movie market.
- ⇒ It may be shared with another business unit or alliance partner. LG has taken its electronics and production expertise into appliances with astonishing success in the market.
- ⇒ It may be carefully built and accumulated over time within the company. For example, Honda carefully extended its expertise in small motor manufacturing from motorcycles to autos, boat engines, generators, and lawnmowers.

There is some evidence that the best corporations prefer organic internal growth over acquisitions. One study of large global companies identified firms that outperformed their peers on both revenue growth and profitability over a decade. These excellent

performers generated value from knowledge-intensive intangibles, such as copyrights, trade secrets, or strong brands, not from acquisitions.

The desire to build or upgrade a set of resources and core competencies is one reason entrepreneurial and other fast-growing firms tend to locate close to their competitors. They form *clusters*—geographic concentrations of interconnected companies and industries. For example in India, the technology cluster is in Bangalore (which is the world's fourth-largest technology cluster); diamond processing and textile machinery cluster is in Choryasi-Surat; sports goods cluster is in Jalandhar etc. In India, Ministry of Micro, Small and Medium Enterprises believe that cluster development has played an important role in the past in enhancing the competitiveness of the micro, small and medium enterprises sector. Therefore, government has developed special initiators for cluster development in India. It is under this endeavor that more than 500 clusters were taken up for diagnostic study, soft interventions and setting up of CFCs (common facility center), across India. According to Michael Porter, clusters provide access to employees, suppliers, specialized information, and complementary products. Being close to one's competitors makes it easier to measure and compare performance against rivals. Resources are more easily acquired and capabilities may be formed externally through a firm's network resources. An example is the presence of many support industries located around the above-mentioned clusters in India, who provide support services ranging from financial support to human resource related services. Employees from competitive firms in these clusters often socialize. As a result, companies learn from each other while competing with each other. Interestingly, research reveals that companies with strong core competencies have little to gain from locating in a cluster with other firms and therefore do not do so. In contrast, firms with the weakest technologies, human resources, training programs, suppliers, and distributors are strongly motivated to cluster. They have little to lose and a lot to gain from locating close to their competitors.

4.2 BUSINESS MODELS

When analyzing a company, it is helpful to learn what sort of business model it is following. A **business model** is a company's method for making money in the current business environment. It includes the key structural and operational characteristics of a firm—how it earns revenue and makes a profit. A business model is usually composed of five elements:

- ⇒ Who it serves
- ⇒ What it provides
- ⇒ How it makes money
- ⇒ How it differentiates and sustains competitive advantage

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- 4-2. Explain company business models and how they can be imitated

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⇒ How it provides its product/service.

The simplest business model is to provide a good or service that can be sold such that revenues exceed costs and all expenses. Other models can be much more complicated. Some of the many possible business models are:

- ⇒ **Customer solutions model:** IBM uses this model to make money not by selling IBM products, but by selling its expertise to improve its customers' operations. This is a consulting model.
- ⇒ **Profit pyramid model:** General Motors offers a full line of automobiles in order to close out any niches where a competitor might find a position. The key is to get customers to buy in at the low-priced, low-margin entry point (Chevrolet Spark—manufacturer's suggested retail price US \$13,485) and move them up to high-priced, high-margin products (Cadillac and Buick) where the company makes its money.
- ⇒ **Multicomponent system/installed base model:** Gillette invented this classic model to sell razors at break-even pricing in order to make money on higher-margin razor blades. HP does the same with printers and printer cartridges. The product is thus a system, not just one product, with one component providing most of the profits.
- ⇒ **Advertising model:** Similar to the multicomponent system/installed base model, this model offers its basic product free in order to make money on advertising. Originating in the newspaper industry, this model is used heavily in commercial radio and television. Many web-based firms offer freemium versions to users in order to expose them to the basics and then hope to sell premium features to a smaller set of customers.
- ⇒ **Switchboard model:** In this model, a firm acts as an intermediary to connect multiple sellers to multiple buyers. Financial planners juggle a wide range of products for sale to multiple customers with different needs. This model has been successfully used by eBay and Amazon.com.
- ⇒ **Time model:** Product R&D and speed are the keys to success in the time model. Being the first to market with a new innovation allows a pioneer such as Google to earn extraordinary returns. By the time the rest of the industry catches up, Google has moved on to a newer, more innovative approach to keep people coming back.
- ⇒ **Efficiency model:** In this model, a company waits until a product becomes standardized and then enters the market with a low-priced, low-margin approach that appeals to the mass market. This model is used by Spirit Airlines, KIA Motors, and Vanguard.
- ⇒ **Blockbuster model:** In some industries, such as pharmaceuticals and motion picture studios, profitability is driven by a few key products. The focus is on high investment in a few products with high potential payoffs—especially if they can be protected by patents.

- ⇒ **Profit multiplier model:** The idea of this model is to develop a concept that may or may not make money on its own but, through synergy, can spin off many profitable products. Walt Disney invented this concept by using cartoon characters to develop high-margin theme parks, merchandise, and licensing opportunities.
- ⇒ **Entrepreneurial model:** In this model, a company offers specialized products/services to market niches that are too small to be worthwhile to large competitors but have the potential to grow quickly. Small, local brewpubs have been very successful in mature industries dominated by national and international brands. This model has often been used by small high-tech firms that develop innovative prototypes in order to sell off the companies (without ever selling a product) to bigger players.
- ⇒ **De facto industry standard model:** In this model, a company offers products free or at a very low price in order to saturate the market and become the industry standard. Once users are locked in, the company offers higher-margin products using this standard. LinkedIn has used this approach very successfully while TurboTax makes its most basic program free.

In order to understand how some of these business models work, it is important to learn where on the value chain the company makes its money. Although a company might offer a large number of products and services, one element of the business might contribute most of the profits. Back when Hewlett-Packard was a single company, the printer and imaging division represented more than 20% of the company's revenues, with operating margins that exceeded 15% compared to the PC division's 6% margins.

4.3 VALUE-CHAIN ANALYSIS

A **value chain** is a linked set of value-creating activities that begin with basic raw materials coming from suppliers, moving on to a series of value-added activities involved in producing and marketing a product or service, and ending with distributors getting the final goods into the hands of the ultimate consumer. Value-chain analysis works for every type of business regardless of whether they provide a service or manufacture a product. See **Figure 4-1** for an example of a typical value chain for a manufactured product. The focus of value-chain analysis is to examine the corporation in the context of the overall chain of value-creating activities, of which the firm may be only a small part.

Very few corporations have a product's entire value chain in-house. Out of sheer necessity, Ford Motor Company did when it was managed by its founder, Henry Ford. During the 1920s and 1930s, the company owned its own iron mines, ore-carrying ships, and a small rail line to bring ore to its mile-long River Rouge plant in Detroit. Visitors to the plant would walk along an elevated walkway, where they could watch iron ore being dumped from the rail cars into huge furnaces. The resulting steel was poured and

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- 4-3. Use value chain to assess the activities of an industry and of an organization

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Figure 4.1 Typical Value Chain for a Manufactured Product

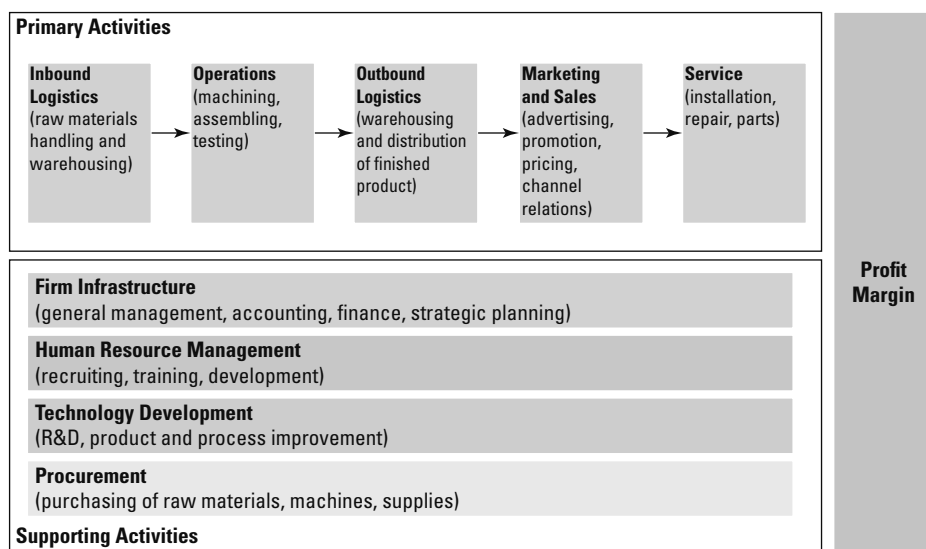
rolled out onto a moving belt to be fabricated into auto frames and parts while the visitors watched in awe. As visitors moved along the walkway, they observed an automobile being built piece by piece. Reaching the end of the moving line, the finished automobile was driven out of the plant into a vast adjoining parking lot. Ford trucks would then load the cars for delivery to dealers. Interestingly, Ford dealers had almost no power in the value chain of the company. Dealerships were awarded by the company and taken away if a dealer was at all disloyal. Dealers received new vehicles not necessarily because they needed those particular models, but because Ford Motor chose those vehicles for sale at that dealership. Ford Motor Company at that time was completely vertically integrated—that is, it controlled (usually by ownership) every stage of the value chain, from the iron mines to the retailers.

4.3.1 Industry Value-Chain Analysis

The value chains of most industries can be split into two segments, *upstream* and *downstream*. In the petroleum industry, for example, *upstream* refers to oil exploration, drilling, and moving the crude oil to the refinery, and *downstream* refers to refining the oil plus transporting and marketing gasoline and refined oil to distributors and gas station retailers. Even though most large oil companies are completely integrated, they often vary in the amount of expertise they have at each part of the value chain. For example Vodafone India and Idea Cellular (the top two telecom operators in the country), announced in March 2017, the megamerger to lay down the foundation for India's largest telecom company. The deal on completion would result in Vodafone ending up with 45.1 % stake in the combined entity and idea cellular with 26% stake. The combined entity with its scale, size and synergies will be able to create high quality digital infrastructure and will be a stronger rival to Reliance Jio.

An industry can be analyzed in terms of the profit margin available at any point along the value chain. For example the auto industry revenue and profits are divided amongst many value chain activities, including manufacturing, new and used car sales, gasoline retailing, insurance, after sale services and parts, and lease financing. From a revenue standpoint, auto manufacturers dominate the industry, accounting for almost 60% of total industry revenues. Profits however are a different matter.

In analyzing the complete value chain of a product, note that even if a firm operates up and down the entire industry chain, it



SOURCE: Based on The Free Press, a division of Simon & Schuster, from *Competitive Advantage: Creating and Sustaining Superior Performance* by Michael E. Porter. © Thomas L. Wheelen.

Figure 4.2 A Corporation's Value Chain

usually has an area of expertise where its primary activities lie. A company's *center of gravity* is the part of the chain where the company's greatest expertise and capabilities lie—its core competencies. According to Galbraith, a company's center of gravity is usually the point at which the company started. After a firm successfully establishes itself at this point by obtaining a competitive advantage, one of its first strategic moves is to move forward or backward along the value chain in order to reduce costs, guarantee access to key raw materials, or to guarantee distribution. This process, called *vertical integration*, is discussed in more detail in **Chapter 6**.

In the paper industry, for example, Weyerhaeuser's center of gravity is in the raw materials and primary manufacturing parts of the value chain shown in **Figure 4–2**. Weyerhaeuser's expertise is in lumbering and pulp mills, which is where the company started. It integrated forward by using its wood pulp to make paper and boxes, but its greatest capability still lies in getting the greatest return from its lumbering activities. In contrast, P&G is primarily a consumer products company that also owned timberland and operated pulp mills. Its expertise is in the fabrication and distribution parts of the **Figure 4–2** value chain. P&G purchased these assets to guarantee access to the large quantities of wood pulp it needed to expand its disposable diaper, toilet tissue, and napkin products. P&G's strongest capabilities have always been in the downstream activities of product development, marketing, and brand management. It has never been as efficient in upstream paper activities as Weyerhaeuser. It had no real distinctive competency on that part of the value chain. When paper supplies became

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N O T E S

more plentiful (and competition got rougher), P&G gladly sold its land and mills to focus more on the part of the value chain where it could provide the greatest value at the lowest cost—creating and marketing innovative consumer products. As was the case with P&G's experience in the paper industry, it may make sense for a company to outsource any weak areas it may control internally on the industry value chain.

4.3.2 Corporate Value-Chain Analysis

Each corporation has its own internal value chain of activities. See **Figure 4–2** for an example of a corporate value chain. Porter proposes that a manufacturing firm's *primary activities* usually begin with inbound logistics (raw materials handling and warehousing), go through an operations process in which a product is manufactured, and continue on to outbound logistics (warehousing and distribution), to marketing and sales, and finally to service (installation, repair, and sale of parts). Several *support activities*, such as procurement (purchasing), technology development (R&D), human resource management, and firm infrastructure (accounting, finance, strategic planning), ensure that the primary value-chain activities operate effectively and efficiently. Each of a company's product lines has its own distinctive value chain. Because most corporations make several different products or services, an internal analysis of the firm involves analyzing a series of different value chains.

The systematic examination of individual value activities can lead to a better understanding of a corporation's strengths and weaknesses. According to Porter, "Differences among competitor value chains are a key source of competitive advantage." Corporate value-chain analysis involves the following three steps:

- 1. Examine each product line's value chain in terms of the various activities involved in producing that product or service:** Which activities passed the VRIO test and are therefore true strengths (core competencies) or areas where the organization is substantially behind and therefore weaknesses (core deficiencies)?
- 2. Examine the "linkages" within each product line's value chain:** *Linkages* are the connections between the way one value activity (for example, marketing) is performed and the cost of performance of another activity (for example, quality control). In seeking ways for a corporation to gain competitive advantage in the marketplace, the same function can be performed in different ways with different results. For example, quality inspection of 100% of output by the workers themselves instead of the usual 10% by quality control inspectors might increase production costs, but that increase could be offset by the savings obtained from reducing the number of repair people needed to fix defective products and increasing the amount of salespeople's time devoted to selling instead of exchanging

already-sold but defective products. It could also be used by the overall company as a differentiator when compared to competitors and allow the company to charge more.

3. **Examine the potential synergies among the value chains of different product lines or business units:** Each value element, such as advertising or manufacturing, has an inherent economy of scale in which activities are conducted at their lowest possible cost per unit of output. If a particular product is not being produced at a high enough level to reach economies of scale in distribution, another product could be used to share the same distribution channel. This is an example of **economies of scope**, which result when the value chains of two separate products or services share activities, such as the same marketing channels or manufacturing facilities. The cost of joint production of multiple products can be lower than the cost of separate production.

4.3.3 Scanning Functional Resources and Capabilities

The simplest way to begin an analysis of a corporation's value chain is by carefully examining its traditional functional areas for potential strengths and weaknesses. Functional resources and capabilities include not only the financial, physical, and human assets in each area but also the ability of the people in each area to formulate and implement the necessary functional objectives, strategies, and policies. These resources and capabilities include the knowledge of analytical concepts and procedural techniques common to each area, as well as the ability of the people in each area to use them effectively. If used properly, these resources and capabilities serve as strengths to carry out value-added activities and support strategic decisions. In addition to the usual business functions of marketing, finance, R&D, operations, human resources, and information systems/technology, we also discuss structure and culture as key parts of a business corporation's value chain.

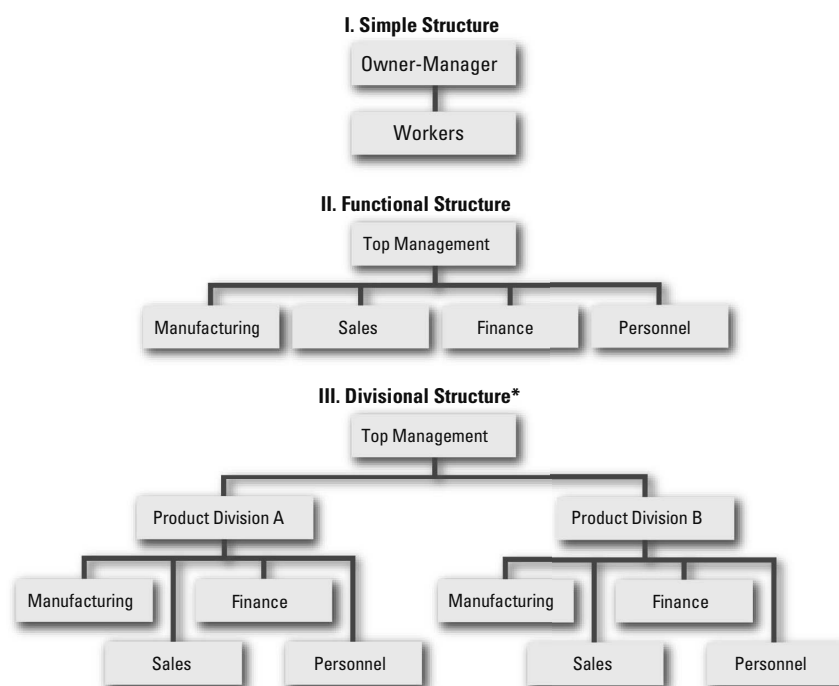
4.4 BASIC ORGANIZATIONAL STRUCTURES

Although there is an almost infinite variety of structural forms, certain basic types predominate in modern complex organizations. **Figure 4–3** illustrates three basic **organizational structures**. The conglomerate structure is a variant of the divisional structure and is thus not depicted as a fourth structure. If one of the basic structures does not easily support a strategy under consideration, top management must decide whether the proposed strategy is feasible or whether the structure should be changed to a more complicated structure such as a matrix or network. (Other structural designs including the matrix and network are discussed in next chapters.) Generally speaking,

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- 4-4. Explain why different organizational structures are utilized in business

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*Strategic Business Units and the conglomerate structure are variants of the divisional structure.

Figure 4.3 Basic Organizational Structures

each structure tends to support some corporate strategies better than others:

- ⇒ **Simple structure** has no functional or product categories and is appropriate for a small, entrepreneur-dominated company with one or two product lines that operates in a reasonably small, easily identifiable market niche. Employees tend to be generalists and jacks-of-all-trades. In terms of stages of development, this is a Stage I company.
- ⇒ **Functional structure** is appropriate for a medium-sized firm with several product lines in one industry. Employees tend to be specialists in the business functions that are important to that industry, such as manufacturing, marketing, finance, and human resources. In terms of stages of development, this is a Stage II company.
- ⇒ **Divisional structure** is appropriate for a large corporation with many product lines in several related industries. Employees tend to be functional specialists organized according to product/market distinctions. The Clorox Company is made up of five big divisions: (1) Cleaning (e.g., Clorox, 409, and Tilex); (2) Household (e.g., Glad, Kingsford, and Fresh Step); (3) Lifestyle (e.g., Brita and Burt's Bees); (4) Professional (Commercial Solutions); and (5) International (e.g., Chux and Poett). Management attempts to find some synergy among divisional activities through the use of committees and hori-

zontal linkages. In terms of stages of development, this is a Stage III company.

⇒ **Strategic business units (SBUs)** are a modification of the divisional structure. Strategic business units are divisions or groups of divisions composed of independent product-market segments that are given primary responsibility and authority for the management of their own functional areas. *An SBU may be of any size or level, but it must have (1) a unique mission, (2) identifiable competitors, (3) an external market focus, and (4) control of its business functions.* The idea is to decentralize on the basis of strategic elements rather than on the basis of size, product characteristics, or span of control and to create horizontal linkages among units previously kept separate. For example, rather than organize products on the basis of packaging technology like frozen foods, canned foods, and bagged foods, General Foods organized its products into SBUs on the basis of consumer-oriented menu segments: breakfast food, beverage, main meal, dessert, and pet foods. In terms of stages of development, this is also a Stage III company.

⇒ **Conglomerate structure** is appropriate for a large corporation with many product lines in several unrelated industries. A variant of the divisional structure, the conglomerate structure (sometimes called a holding company) is typically an assemblage of legally independent firms (subsidiaries) operating under one corporate umbrella but controlled through the subsidiaries' boards of directors. The unrelated nature of the subsidiaries prevents any attempt at gaining synergy among them. In terms of stages of development, this is also a Stage III company.

4.5 CULTURE

There is an oft-told story of a person new to a company asking an experienced co-worker what an employee should do when a customer calls. The old-timer responded: "There are three ways to do any job—the right way, the wrong way, and the company way. Around here, we always do things the company way." In most organizations, the "company way" is derived from the corporation's culture. **Corporate culture** is the collection of beliefs, expectations, and values learned and shared by a corporation's members and transmitted from one generation of employees to another. The corporate culture generally reflects the values of the founder(s) and the mission of the firm. It gives a company a sense of identity: "This is who we are. This is what we do. This is what we stand for." The culture includes the dominant orientation of the company, such as R&D at 3M, shared responsibility at Nucor, customer service at Nordstrom, innovation at Google, or product quality at BMW. It often includes a number of informal work rules (forming the "company way") that employees follow without

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- 4-5. Assess a company's corporate culture and how it might affect a proposed strategy

N O T E S

question. These work practices over time become part of a company's unquestioned tradition. The culture, therefore, reflects the company's values.

Corporate culture has two distinct attributes, intensity and integration. *Cultural intensity* is the degree to which members of a unit accept the norms, values, or other cultural content associated with the unit. This shows the culture's depth. Organizations with strong norms promoting a particular value, such as quality at BMW, have intensive cultures, whereas new firms (or those in transition) have weaker, less intensive cultures. Employees in an intensive culture tend to exhibit consistent behavior—that is, they tend to act similarly over time. *Cultural integration* is the extent to which units throughout an organization share a common culture. This is the culture's breadth. Organizations with a pervasive dominant culture may be hierarchically controlled and power-oriented, such as a military unit, and have highly integrated cultures. All employees tend to hold the same cultural values and norms. In contrast, a company that is structured into diverse units by functions or divisions usually exhibits some strong subcultures (for example, R&D versus manufacturing) and a less integrated corporate culture.

Corporate culture fulfills several important functions in an organization:

1. Conveys a sense of identity for employees
2. Helps generate employee commitment to something greater than themselves
3. Adds to the stability of the organization as a social system
4. Serves as a frame of reference for employees to use to make sense of organizational activities and to use as a guide for appropriate behavior.

Corporate culture shapes the behavior of people in a corporation, thus affecting corporate performance. For example, corporate cultures that emphasize the socialization of new employees have less employee turnover, leading to lower costs. Because corporate cultures have a powerful influence on the behavior of people at all levels, they can strongly affect a corporation's ability to shift its strategic direction. A strong culture should not only promote survival, but it should also create the basis for a superior competitive position by increasing motivation and facilitating coordination and control. For example, a culture emphasizing constant renewal may help a company adapt to a changing, hypercompetitive environment. To the extent that a corporation's distinctive competence is embedded in an organization's culture, it will be a form of tacit knowledge and very difficult for a competitor to imitate. The **Global Issue** feature shows how corporate cultures can be managed in a global industry to gain competitive advantage and some extent of inimitability.



GLOBAL ISSUE

Managing corporate culture for global competitive advantage: The TAJ HOTELS PALACES RESORTS SAFARIS.

The Taj Hotels Palaces Resorts Safaris are a well-recognized Indian brand all over the world for delivering the unique flavor of hospitality that offers world-class refinement while remaining deeply rooted in its Indian heritage. With 98 hotels in 62 locations across India, Taj offers its guests with refined luxury of heritage combined with effortless efficient service and expertise.

The Taj Hotels Palaces and Resorts are able to maintain such high levels of service only because of their corporate culture. The Taj group of hotels boast of a corporate culture which emphasizes on customer centric behavior and respect for elders and encourages its staff to improvise rather than do things by the book. The corporate culture at The Taj makes employees feel empowered to take decisions as agents of the customers, it makes them feel in command. An ode to the commitment of the staff and employees to the corporate culture was evident during the 26/11 terrorist attack on the Mumbai hotel.

On November 26, 2008, terrorists attacked the Taj Mahal Mumbai palace and killed 31 people: 11 employees and 20 guests. The Taj employees formed human chains around guests to ensure their safety; restaurant staff rushed people to safe locations; telephone operators stayed at their posts alerting guests to lock their doors and not to step out. Though the first incident to come in the limelight exhibiting the commitment and customer centric corporate culture at Taj hotels, it was not unprecedented within Taj group. In 2003, two Taj hotels in Maldives were hit by tsunami and the employees rushed their guests to high ground, pumped water out of a restaurant and salvaged food supplies to serve lunch by 1pm.

The roots of corporate culture at Taj hotels is in its commitment to cultivating guests around a centered culture, value-based recruiting, training customer ambassadors and recognition as reward systems. The governance mechanisms at Taj are such that they care about the shareholders, their employees and about giving back to the society. This corporate commitment in turn has distilled into an exceptional loyalty from employees which then has created a corporate culture which acts as an inimitable competitive advantage.

A change in mission, objectives, strategies, or policies is not likely to be successful if it is in opposition to the accepted culture of a firm. Foot-dragging and even sabotage may result, as employees fight to resist a radical change in corporate

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philosophy. As with structure, if an organization's culture is compatible with a new strategy, it is an internal strength. On the other hand, if the corporate culture is not compatible with the proposed strategy, it is a serious weakness. Circuit City ceased operations in January 2009 after a disastrous set of moves by then CEO Philip Schoonover. The history of Circuit City and its competitive advantage for years had been built around a level of expertise simply not available at other big box stores like Best Buy. However, in a move to save money, Schoonover fired 3400 of Circuit City's most experienced employees and replaced them with low-wage, low-level clerks. Analysts blasted the move for the devastating loss of morale and associated decline in customer service. The misalignment with the organization's culture spelled doom for the organization.

Corporate culture is also important when considering an acquisition. The merging of two dissimilar cultures, if not handled wisely, can create some serious internal conflicts. Procter & Gamble's management knew, for example, that their 2005 acquisition of Gillette might create some cultural problems. Even though both companies were strong consumer goods marketers, they each had a fundamental difference that led to many, subtle differences between the cultures: Gillette sold its razors, toothbrushes, and batteries to men; whereas, P&G sold its health and beauty aids to women. Art Lafley, P&G's CEO, admitted a year after the merger that it would take an additional year to 15 months to align the two companies.

4.5.1 Strategic Marketing Issues

The marketing manager is a company's primary link to the customer and the competition. The manager, therefore, must be especially concerned with the market position and marketing mix of the firm as well as with the overall reputation of the company and its brands.

Market Position and Segmentation

Market position deals with the question, "Who are our customers?" It refers to the selection of specific areas for marketing concentration and can be expressed in terms of market, product, and geographic locations. Through market research, corporations are able to practice *market segmentation* with various products or services so that managers can discover what niches to seek, which new types of products to develop, and how to ensure that a company's many products do not directly compete with one another.

Marketing Mix

Marketing mix refers to the particular combination of key variables under a corporation's control that can be used to affect

TABLE 4-1 Marketing Mix Variables

Product	Place	Promotion	Price
Quality	Channels	Advertising	List price
Features	Coverage	Personal selling	Discounts
Options	Locations	Sales promotion	Allowances
Style	Inventory	Publicity	Payment periods
Brand name	Transport		Credit items
Packaging			
Sizes			
Services			
Warranties			
Returns			

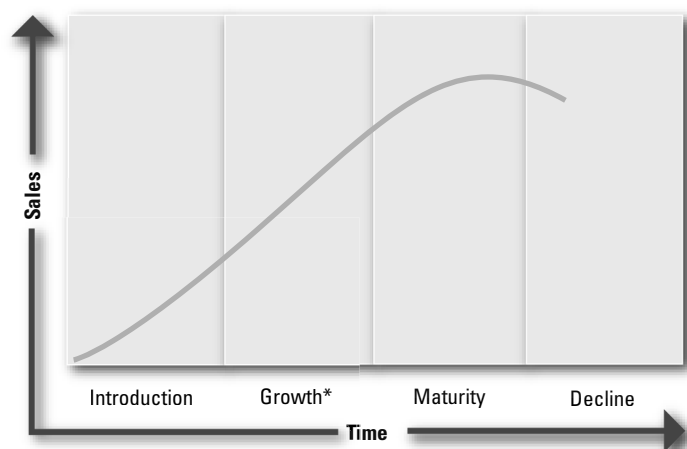
SOURCE: Philip Kotler, *Marketing Management*, 11th edition © 2003, p. 16. Reprinted by Pearson Education Inc., Upper Saddle River, NJ.

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demand and to gain competitive advantage. These variables are product, place, promotion, and price. Within each of these four variables are several sub-variables, listed in **Table 4-1**, that should be analyzed in terms of their effects on divisional and corporate performance.

Product Life Cycle

As depicted in **Figure 4-4**, the **product life cycle** is a graph showing time plotted against the sales of a product as it moves from introduction through growth and maturity to decline. This concept is used by marketing managers to discuss the marketing mix of a particular product or group of products in terms of where it might exist in the life cycle. From a strategic management perspective, this concept is of little value because the real position of any product and the actual curve of that product can only be ascertained in



* The right end of the Growth stage is often called Competitive Turbulence because of price and distribution competition that shakes out the weaker competitors. For further information, see C. R. Wasson, *Dynamic Competitive Strategy and Product Life Cycles*, 3rd ed. (Austin, TX: Austin Press, 1978).

Figure 4.4 Product Life Cycle

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hindsight. Strategy is about making decisions in real-time for the future of the business. The **Innovation Issue** feature shows how a company can use the conventional wisdom of the product life cycle to its advantage against leading-edge competitors.

Brand and Corporate Reputation

A **brand** is a name given to a company's product which embodies all of the characteristics of that item in the mind of the consumer. Over time and with effective advertising and execution, a brand connotes various characteristics in the consumers' minds. For example, Disney stands for family entertainment. Carnival has the "fun ships." BMW means high-performance autos. A brand can thus be an important corporate resource. If done well, a brand name is connected to the product to such an extent that a brand may stand for an entire product category, such as Kleenex for facial tissue. The objective is for the customer to ask for the brand name (Coke or Pepsi) instead of the product category (cola). The world's 10 most valuable brands in 2015 were Apple, Microsoft, Google, Coca-Cola, IBM, McDonald's, Samsung, Toyota, General Electric, and Facebook, in that order. According to *Forbes*, the value of the Apple brand is US\$145.3 billion.

A *corporate brand* is a type of brand in which the company's name serves as the brand. Of the top 10 world brands listed previously, all are company names. The value of a corporate brand is that it typically stands for consumers' impressions of a company and can thus be extended onto products not currently offered—regardless of the company's actual expertise. For example, Caterpillar, a manufacturer of heavy earth-moving equipment, used consumer associations with the Caterpillar brand (*rugged, masculine, construction-related*) to market work boots. While this type of move may not be strategically advisable, consumer impressions of a brand can at least suggest new product categories to enter even though a company may have no competencies in making or marketing that type of product or service.

A **corporate reputation** is a widely held perception of a company by the general public. It consists of two attributes: (1) stakeholders' perceptions of a corporation's ability to produce quality goods and (2) a corporation's prominence in the minds of stakeholders. A good corporate reputation can be a strategic resource. It can serve in marketing as both a signal and an entry barrier. It contributes to its goods having a price premium. Reputation is especially important when the quality of a company's product or service is not directly observable and can be learned only through experience. For example, retail stores are willing to stock a new product from P&G or Coca-Cola because they know that both companies market only good-quality products that are highly advertised. Like tacit knowledge, reputation tends to be long-lasting and hard for others to duplicate. It can deteriorate over time without constant vigilance, but has the



INNOVATION ISSUE

DOCOMO MOVES AGAINST THE GRAIN

Years ago, DoCoMo (Japan's largest cell phone service provider in Japan) chose not to be a part of the iPhone phenomenon. The expense of the iPhone to the company was key in this decision. Sometimes innovation is needed because of strategic decisions. In this case, the iPhone has come to symbolize what constitutes "hip," so the company went on a search for opportunities in the market where they had core strengths that were not being addressed.

The fastest-growing demographic in Japan is the elderly. People age 65 and older make up 23% of the population and their needs are substantially different than those of the younger set. This is especially true in the cell phone market, where the latest iPhone helped push the percentage of adults age 20–29 with a Smartphone in Japan to over 51%. That compares to less than 6% of people age 65 or older who own a Smartphone.

The small screen and apps designed for the latest desires of the younger set simply don't appeal to an audience with weaker eyesight and a focus on more practical applications. DoCoMo seized on this apparent opportunity and went to work to create a must-have Smartphone experience for those over 60.

Today, the company is offering phones with larger keys, apps that are easier to understand and use, a new voice-recognition software that allows its customers to send e-mails, and is holding training sessions around the country to teach older customers how to use a Smartphone. In each of these areas, they are separating themselves from the competition, which is far more interested in being seen as the most cutting-edge in the industry. While other competitors battle it out for the younger set, DoCoMo has captured the imagination of the older set. People over the age of 60 now account for more than 24% of the company's business, and DoCoMo's goal is to stay in the lead with the elderly market by anticipating their desires and providing innovative solutions that in some cases are more retro than cutting-edge.

SOURCES: R. Martin, "DoCoMo Shuns iPhone, Pushes Android Options," *The Japan Times* (May 23, 2012), (<http://www.japantimes.co.jp/text/nc20120523ga.html>); M. Yasu and S. Ozasa, "DoCoMo Savors an Older Vintage," *Bloomberg Businessweek* (July 2, 2012), (<http://www.businessweek.com/articles/2012-06-28/docomo-looks-for-growth-among-japans-elderly>).

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potential to provide a sustainable competitive advantage. It might also have a significant impact on a firm's stock price. Research reveals a positive relationship between corporate reputation and financial performance.

4.5.2 Strategic Financial Issues

A financial manager must ascertain the best sources of funds, uses of funds, and the control of funds. All strategic issues have financial implications. Cash must be raised from internal or external (local and global) sources and allocated for different uses. The flow of funds in the operations of an organization must be monitored. To the extent that a corporation is involved in international activities, currency fluctuations must be dealt with to ensure that profits aren't wiped out by the rise or fall of the dollar versus the yen, euro, or other currencies. Benefits in the form of returns, repayments, or products and services must be given to the sources of outside financing. All these tasks must be handled in a way that complements and supports overall corporate strategy. A firm's capital structure (amounts of debt and equity) can influence its strategic choices. Corporations with increased debt tend to be more risk-averse and less willing to invest in R&D.

Financial Leverage

The mix of externally generated short-term and long-term funds in relation to the amount and timing of internally generated funds should be appropriate to the corporate objectives, strategies, and policies. The concept of **financial leverage** (the ratio of total debt to total assets) is helpful in describing how debt is used to increase the earnings available to common shareholders. When the company finances its activities by sales of bonds or notes instead of through stock, the earnings per share are boosted: the interest paid on the debt reduces taxable income, but fewer shareholders share the profits than if the company had sold more stock to finance its activities. The debt, however, does raise the firm's break-even point above what it would have been if the firm had financed from internally generated funds only. High leverage may, therefore, be perceived as a corporate strength in times of prosperity and increasing sales, or as a weakness in times of a recession and falling sales. This is because leverage acts to magnify the effect on earnings per share of an increase or decrease in actual sales. Research indicates that greater leverage has a positive impact on performance for firms in stable environments, but a negative impact for firms in dynamic environments.

Capital Budgeting

Capital budgeting is the analyzing and ranking of possible investments in fixed assets such as land, buildings, and equipment in terms of the additional outlays and additional receipts that will result from each investment. A good finance department will be

able to prepare such capital budgets and to rank them on the basis of some accepted criteria or *hurdle rate* (for example, years to pay back investment, desired rate of return, or time to break-even point) for the purpose of strategic decision making. Most firms have more than one hurdle rate and vary it as a function of the type of project being considered. Projects with high strategic significance, such as entering new markets or defending market share, will often have lower hurdle rates.

4.5.3 Strategic Research and Development (R&D) Issues

The R&D manager is responsible for suggesting and implementing a company's technological strategy in light of its corporate objectives and policies. The manager's job, therefore, involves (1) choosing among alternative new technologies to use within the corporation, (2) developing methods of embodying the new technology in new products and processes, and (3) deploying resources so that the new technology can be successfully implemented.

R&D Intensity, Technological Competence, and Technology Transfer

The company must make available the resources necessary for effective research and development. A company's **R&D intensity** (its spending on R&D as a percentage of sales revenue) is a principal means of gaining market share in global competition. The amount spent on R&D varies dramatically. In 2014, *Fortune* reported on the top 10 companies in R&D money spent. The top company was Volkswagen (\$13.5 billion) (5.2% of revenue) followed by Samsung (\$13.4 billion) (6.4% of revenue) and Intel (\$10.6 billion) (20.1% of revenue). A good rule of thumb for R&D spending is that a corporation should spend at a "normal" rate for that particular industry unless its strategic plan calls for unusual expenditures.

Simply spending money on R&D or new projects does not mean, however, that the money will produce useful results. Apple is one of the most profitable and admired companies in the world and yet there are seven firms that spend more in terms of R&D than Apple's \$4.7 billion. The top five on the list of companies that invest in R&D were Microsoft (US\$10.9b), Intel (US\$10.6b), J&J (US\$8.1b), Google (US\$7.9b), and Amazon (US\$6.5b).

A company's R&D unit should be evaluated for **technological competence** in both the development and use of innovative technology. Not only should the corporation make a consistent research effort (as measured by reasonably constant corporate expenditures that result in usable innovations), it should also be proficient in managing research personnel and integrating their innovations into its day-to-day operations. A company should also be proficient in **technology transfer**, the process of taking a new technology from the laboratory to the marketplace. Aerospace parts maker Rockwell Collins, for example, is a master of developing new

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technology, such as the “heads-up display” (transparent screens in an airplane cockpit that tell pilots speed, altitude, and direction), for the military and then using it in products built for the civilian market.

R&D Mix

Basic R&D is conducted by scientists in well-equipped laboratories where the focus is on theoretical problem areas. The best indicators of a company’s capability in this area are its patents and research publications. *Product R&D* concentrates on marketing and is concerned with product or product-packaging improvements. The best measurements of ability in this area are the number of successful new products introduced and the percentage of total sales and profits coming from products introduced within the past five years. *Engineering (or process) R&D* is concerned with engineering, concentrating on quality control, and the development of design specifications and improved production equipment. A company’s capability in this area can be measured by consistent reductions in unit manufacturing costs and by the number of product defects.

Most corporations will have a mix of basic, product, and process R&D, which varies by industry, company, and product line. The balance of these types of research is known as the **R&D mix** and should be appropriate to the strategy being considered and to each product’s life cycle. For example, it is generally accepted that product R&D normally dominates the early stages of a product’s life cycle (when the product’s optimal form and features are still being debated), whereas process R&D becomes especially important in the later stages (when the product’s design is solidified and the emphasis is on reducing costs and improving quality).

Impact of Technological Discontinuity on Strategy

The R&D manager must determine when to abandon present technology and when to develop or adopt new technology. Richard Foster of McKinsey and Company states that the displacement of one technology by another (**technological discontinuity**) is a frequent and strategically important phenomenon. Such a discontinuity occurs when a new technology cannot simply be used to enhance the current technology, but actually substitutes for that technology to yield better performance. According to Foster, for each technology within a given field or industry, the plotting of product performance against research effort/expenditures on a graph results in an S-shaped curve.

Information technology is still on the steep upward slope of its S-curve in which relatively small increments in R&D effort result in significant improvement in performance. This is an example of *Moore’s Law* (which is really a rule of thumb and not a scientific law), which states that the number of transistors that can fit on a computer chip (microprocessors) will double (in other words, computing power will double) every 18 months.

Christensen explains in *The Innovator's Dilemma* why this transition occurs when a “disruptive technology” enters an industry. In a study of computer disk drive manufacturers, he explains that established market leaders are typically reluctant to move in a timely manner to a new technology. This reluctance to switch technologies (even when the firm is aware of the new technology and may have even invented it!) is because the resource allocation process in most companies gives priority to those projects (typically based on the old technology) with the greatest likelihood of generating a good return on investment—those projects appealing to the firm’s current customers (whose products are also based on the characteristics of the old technology). For example, in the 1980s a disk drive manufacturer’s customers (PC manufacturers) wanted a better (faster) 5¼” drive with greater capacity. These PC makers were not interested in the new 3½” drives based on the new technology because (at that time) the smaller drives were slower and had less capacity. Smaller size was irrelevant because these companies primarily made desktop personal computers, which were designed to hold large drives.

The new technology is generally riskier and of little appeal to the current customers of established firms. Products derived from the new technology are more expensive and do not meet the customers’ requirements—requirements based on the old technology. New entrepreneurial firms are typically more interested in the new technology because it is one way to appeal to a developing market niche in a market currently dominated by established companies. Even though the new technology may be more expensive to develop, it offers performance improvements in areas that are attractive to this small niche, but of no consequence to the customers of the established competitors.

This was the case with the entrepreneurial manufacturers of 3½” disk drives. These smaller drives appealed to the PC makers who were trying to increase their small PC market share by offering laptop computers. Size and weight were more important to these customers than were capacity and speed. By the time the new technology was developed to the point that the 3½” drive matched and even surpassed the 5¼” drive in terms of speed and capacity (in addition to size and weight), it was too late for the established 5¼” disk drive firms to switch to the new technology. Once their customers begin demanding smaller products using the new technology, the established firms were unable to respond quickly and lost their leadership position in the industry. They were able to remain in the industry (with a much reduced market share) only if they were able to utilize the new technology to be competitive in the new product line.

The same phenomenon can be seen in many product categories ranging from flat-panel display screens to railroad locomotives to digital photography to musical recordings. For example, George Heilmeyer created the first practical liquid-crystal display (LCD) in 1964 at RCA Labs. RCA unveiled the new display in 1968 with much

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fanfare about LCDs being the future of TV sets, but then refused to fund further development of the new technology. In contrast, Japanese television and computer manufacturers invested in long-term development of LCDs. Today, Japanese, Korean, and Taiwanese companies dominate a market that is estimated will be US\$155 billion by 2020. RCA no longer makes televisions. Interestingly, Heilmeier received the Kyoto Prize in 2005 for his LCD invention.

4.5.4 Strategic Operations Issues

The primary task of the operations (manufacturing or service) manager is to develop and operate a system that will produce the required number of products or services, with a certain quality, at a given cost, within an allotted time. Many of the key concepts and techniques popularly used in manufacturing can be applied to service businesses.

In very general terms, manufacturing can be intermittent or continuous. In *intermittent systems* (job shops), the item is normally processed sequentially, but the work and sequence of the process vary. An example is an auto body repair shop. At each location, the tasks determine the details of processing and the time required for them. These job shops can be very labor-intensive. For example, a job shop usually has little automated machinery and thus a small amount of fixed costs. It has a fairly low break-even point, but its variable cost line (composed of wages and the costs of special parts) has a relatively steep slope. Because most of the costs associated with the product are variable (many employees earn piece-rate wages), a job shop's variable costs are higher than those of automated firms. Its advantage over other firms is that it can operate at low levels and still be profitable. After a job shop's sales reach break-even, however, the huge variable costs as a percentage of total costs keep the profit per unit at a relatively low level. In terms of strategy, this firm should look for a niche in the marketplace for which it can produce and sell a reasonably small quantity of custom-made goods.

In contrast, *continuous systems* are those laid out as lines on which products can be continuously assembled or processed. An example is an automobile assembly line. A firm using continuous systems invests heavily in fixed investments such as automated processes and highly sophisticated machinery. Its labor force, relatively small but highly skilled, earns salaries rather than piece-rate wages. Consequently, this firm has a high amount of fixed costs. It also has a relatively high break-even point, but its variable cost line rises slowly. This is an example of **operating leverage**, the impact of a specific change in sales volume on net operating income. The advantage of high operating leverage is that once the firm reaches break-even, its profits rise faster than do those of less automated firms having lower operating leverage. Continuous systems reap benefits from economies of scale. In terms of strategy, this firm

needs to find a high-demand niche in the marketplace for which it can produce and sell a large quantity of goods. However, a firm with high operating leverage is likely to suffer huge losses during a recession. During an economic downturn, the firm with less automation and thus less leverage is more likely to survive comfortably because a drop in sales primarily affects variable costs. It is often easier to lay off labor than to sell off specialized plants and machines.

Experience Curve

A conceptual framework that many large corporations have used successfully is the experience curve (originally called the learning curve). The **experience curve** suggests that unit production costs decline by some fixed percentage (commonly 20%–30%) each time the total accumulated volume of production in units doubles. The actual percentage varies by industry and is based on many variables: the amount of time it takes a person to learn a new task, scale economies, product and process improvements, and lower raw materials costs, among others. For example, in an industry with an 85% experience curve, a corporation might expect a 15% reduction in unit costs for every doubling of volume. The total costs per unit can be expected to drop from US\$100 when the total production is 10 units, to US\$85 ($\text{US\$100} \times 85\%$) when production increases to 20 units, and to US\$72.25 ($\text{US\$85} \times 85\%$) when it reaches 40 units. Achieving these results often means investing in R&D and fixed assets; higher fixed costs and less flexibility thus result. Nevertheless, the manufacturing strategy is one of building capacity ahead of demand in order to achieve the lower unit costs that develop from the experience curve. On the basis of some future point on the experience curve, the corporation should price the product or service very low to preempt competition and increase market demand. The resulting high number of units sold and high market share should result in high profits, based on the low unit costs.

Management commonly uses the experience curve in estimating the production costs of (1) a product never before made with the present techniques and processes or (2) current products produced by newly introduced techniques or processes. The concept was first applied in the airframe industry and can be applied in the service industry as well. For example, a cleaning company can reduce its costs per employee by having its workers use the same equipment and techniques to clean many adjacent offices in one office building rather than just cleaning a few offices in multiple buildings. Although many firms have used experience curves extensively, an unquestioning acceptance of the industry norm (such as 80% for the airframe industry or 70% for integrated circuits) is very risky. The experience curve of the industry as a whole might not hold true for a particular company for a variety of reasons.

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Flexible Manufacturing for Mass Customization

The use of large, continuous, mass-production facilities to take advantage of experience-curve economies has recently been criticized. The use of **Computer-Assisted Design** and **Computer-Assisted Manufacturing** (CAD/CAM) and robot technology means that learning times are shorter and products can be economically manufactured in small, customized batches in a process called *mass customization*—the low-cost production of individually customized goods and services. Economies of scope (in which common parts of the manufacturing activities of various products are combined to gain economies even though small numbers of each product are made) replace **economies of scale** (in which unit costs are reduced by making large numbers of the same product) in flexible manufacturing. *Flexible manufacturing* permits the low-volume output of custom-tailored products at relatively low unit costs through economies of scope. It is thus possible to have the cost advantages of continuous systems with the customer-oriented advantages of intermittent systems. The automaker Hyundai/Kia is designing all of its manufacturing facilities so that any assembly line can build any car in the fleet with minimal change. They are automating plants so that robots are able to handle parts regardless of the model being produced. Previously, robots were capable of handling parts for only one model line at a time.

4.5.5 Strategic Human Resource MANAGEMENT (HRM) Issues

The primary task of the manager of human resources is to improve the match between individuals and jobs. Research indicates that companies with good HRM practices have higher profits and a better survival rate than do firms without these practices. A good HRM department should know how to use attitude surveys and other feedback devices to assess employees' satisfaction with their jobs and with the corporation as a whole. HRM managers should also use job analysis to obtain job description information about what each job needs to accomplish in terms of quality and quantity. Up-to-date job descriptions are essential not only for proper employee selection, appraisal, training, and development for wage and salary administration, and for labor negotiations, but also for summarizing the corporate-wide human resources in terms of employee-skill categories. Just as a company must know the number, type, and quality of its manufacturing facilities, it must also know the kinds of people it employs and the skills they possess. The best strategies are meaningless if employees do not have the skills to carry them out or if jobs cannot be designed to accommodate the available workers. IBM, Procter & Gamble, and Hewlett-Packard, for example, use employee profiles to ensure that they have the best mix of talents to implement their planned strategies. Because project managers at IBM are now able to scan the company's databases to identify employee capabilities and availability, the average time needed to

assemble a team has declined 20% for a savings of US\$500 million overall.

Increasing Use of Teams

Management practice has moved to more flexible utilization of employees in order for human resources to be classified as a strength. Human resource managers, therefore, need to be knowledgeable about work options such as part-time work, job sharing, flex-time, extended leaves, and contract work, and especially about the proper use of teams. Over two-thirds of large U.S. companies are successfully using *autonomous (self-managing) work teams* in which a group of people work together without a supervisor to plan, coordinate, and evaluate their own work. Connecticut Spring & Stamping is using self-directed work teams to achieve the dual goals of 100% on-time delivery and 100% quality. Since installing the work teams, the company has gone from what it referred to as a “very low on-time delivery performance” to an on-time delivery rate of 96%.

As a way to move a product more quickly through its development stage, companies like Harley-Davidson, KPMG, Wendy's, LinkedIn, and Pfizer are using *cross-functional work teams*. Instead of developing products/services in a series of steps, companies are tearing down the traditional walls separating the departments so that people from each discipline can get involved in projects early on. In a process called *concurrent engineering*, the once-isolated specialists now work side-by-side and compare notes constantly in an effort to design cost-effective products with features customers want. Taking this approach enabled Chrysler Corporation to reduce its product development cycle from 60 to 36 months. For such cross-functional work teams to be successful, the groups must receive training and coaching. Otherwise, poorly implemented teams may worsen morale, create divisiveness, and raise the level of cynicism among workers.

Virtual teams are groups of geographically and/or organizationally dispersed co-workers that are assembled using a combination of telecommunications and information technologies to accomplish an organizational task. A study conducted in 2012 found that 46% of organizations polled used virtual teams and that multinational companies were twice as likely (66%) to use virtual teams as compared to those having U.S.-based operations (28%). According to the Gartner Group, more than 60% of professional employees now work in virtual teams. Internet, intranet, and extranet systems are combining with other new technologies, such as desktop videoconferencing and collaborative software, to create a new workplace in which teams of workers are no longer restrained by geography, time, or organizational boundaries. This technology allows about 12% of the U.S. workforce, who have no permanent office at their companies, to do team projects over the Internet and report to a manager thousands of miles away.

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As more companies outsource some of the activities previously conducted internally, the traditional organizational structure is being replaced by a series of virtual teams, which rarely, if ever, meet face to face. Such teams may be established as temporary groups to accomplish a specific task or may be more permanent to address continuing issues such as strategic planning. Membership on these teams is often fluid, depending upon the task to be accomplished. They may include not only employees from different functions within a company, but also members of various stakeholder groups, such as suppliers, customers, and law or consulting firms. The use of virtual teams to replace traditional face-to-face work groups is being driven by five trends:

1. Flatter organizational structures with increasing cross-functional coordination needs
2. Turbulent environments requiring more interorganizational cooperation
3. Increasing employee autonomy and participation in decision making
4. Higher knowledge requirements derived from a greater emphasis on service
5. Increasing globalization of trade and corporate activity.

Union Relations and Temporary/Part-Time Workers

If part of an organization is unionized, “human resource manager should be able to work closely with the union.” Responsible unions play a very important role in maintaining quality relationships between management and labor. In India, the rule for trade union wheelies are according to its political ideology but their primary functions are to work for worker’s interests which may include representing and promoting worker’s interests, improving levels of production and productivity. In actual practice nowadays, the labor union and union membership is declining probably because more and more companies are focusing on human resource function as a whole. To save jobs, unions are willing to support new strategic initiatives and employee involvement programs. For example, United Steelworkers hired Ron Bloom, an investment banker, to propose a strategic plan to make Goodyear tire and rubber of global standards and competitive in a way that would preserve as many jobs as possible. In their landmark 2003 contract, the union gave up US\$1.15 billion in wage and benefit concessions over three years in return for a promise by Goodyear’s top management to invest in 12 of its 14 U.S. factories, to limit imports from its factories in Brazil and Asia, and to maintain 85% of its 19,000-person workforce. The company also agreed to aggressively restructure the firm’s US\$5 billion debt. According to Bloom, “We told Goodyear, ‘We’ll make you profitable, but you’re going to adopt this strategy.’ . . . We think the company should be a patient, long-term builder of value for the employees and shareholders.” In their most recent contract, the U.S. tire maker

expects to save some US\$500+ million over four years and invest US\$600 million in unionized plants.

Outside the United States, the average proportion of unionized workers among major industrialized nations is around 50%. European unions tend to be militant, politically oriented, and much less interested in working with management to increase efficiency. Nationwide strikes can occur quickly. In contrast, Japanese unions are typically tied to individual companies and are usually supportive of management. These differences among countries have significant implications for the management of multinational corporations.

To increase flexibility, avoid layoffs, and reduce labor costs, corporations are using more temporary (also known as contingent) workers. Over 90% of U.S. and European firms use temporary workers in some capacity; 43% use them in professional and technical functions. As of 2016, approximately 18.2% of the U.S. workforce consisted of part-time workers. The percentage is even higher in Japan, where 26% of workers are part-time, and in the Netherlands, where 36% of all employees work part-time. According to 2014 statistics, in India the percentage is even higher. About 46% of the workforce of India's largest industrial companies is contractual in nature. In the automobile industry 47% of the workers, in energy and utilities 54% and in cement industry 52% of the workforce is contractual in nature. Labor unions are concerned that companies use temps to avoid hiring costlier unionized workers.

Quality of Work Life and Human Diversity

Human resource departments have found that to reduce employee dissatisfaction and unionization efforts (or, conversely, to improve employee satisfaction and existing union relations), they must consider the *quality of work life* in the design of jobs. Partially a reaction to the traditionally heavy emphasis on technical and economic factors in job design, quality of work life emphasizes improving the human dimension of work. The knowledgeable human resource manager, therefore, should be able to improve the corporation's quality of work life by (1) introducing participative problem solving, (2) restructuring work, (3) introducing innovative reward systems, and (4) improving the work environment. It is hoped that these improvements will lead to a more participative corporate culture and thus higher productivity and quality products. Ford Motor Company, for example, rebuilt and modernized its famous River Rouge plant using flexible equipment and new processes. Employees work in teams and use Internet-connected PCs on the shop floor to share their concerns instantly with suppliers or product engineers. Workstations were redesigned to make them more ergonomic and reduce repetitive-strain injuries. "If you feel good while you're working, I think quality and productivity will increase, and Ford thinks that too, otherwise they wouldn't do this," observed Jerry Sullivan, president of United Auto Workers Local 600.

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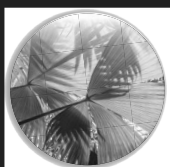
Companies are also discovering that by redesigning their plants and offices for improved energy efficiency, they can receive a side effect of improving their employees' quality of work life—that is, raising labor productivity. See the **Sustainability Issue** feature to learn how improved environmental sustainability programs have changed the Olympic Games.

Human diversity refers to the mix in the workplace of people from different races, cultures, and backgrounds. Realizing that the demographics are changing toward an increasing percentage of minorities and women in the U.S. workforce, companies are now concerned with hiring and promoting people without regard to ethnic background. Research does indicate that an increase in racial diversity leads to an increase in firm performance. In a survey of 131 leading European companies, 67.2% stated that a diverse workforce can provide competitive advantage. A manager from Nestlé stated: "To deliver products that meet the needs of individual consumers, we need people who respect other cultures, embrace diversity, and never discriminate on any basis." Good human resource managers should be working to ensure that people are treated fairly on the job and not harassed by prejudiced co-workers or managers. Otherwise, they may find themselves subject to lawsuits. Coca-Cola Company, for example, agreed to pay US\$192.5 million because of discrimination against African-American salaried employees in pay, promotions, and evaluations from 1995 and 2000. According to then Chairman and CEO Douglas Daft, "Sometimes things happen in an unintentional manner. And I've made it clear that can't happen anymore."

An organization's human resources may be a key to achieving a sustainable competitive advantage. Advances in technology are copied almost immediately by competitors around the world. People, however, are not as willing to move to other companies in other countries. This means that the only long-term resource advantage remaining to corporations operating in the industrialized nations may lie in the area of skilled human resources. Research does reveal that competitive strategies are more successfully executed in those companies with a high level of commitment to their employees than in those firms with less commitment.

4.5.6 Strategic Information Systems/Technology Issues

The primary task of the manager of information systems/technology is to design and manage the flow of information in an organization in ways that improve productivity and decision making. Information must be collected, stored, and synthesized in such a manner that it will answer important operating and strategic questions. A corporation's information system can be a strength or a weakness in multiple areas of strategic management. Not only can it aid in environmental scanning and in controlling a company's many activities, it can also be used as a strategic weapon in gaining competitive advantage.



SUSTAINABILITY ISSUE

THE OLYMPIC GAMES—LONDON 2012/SOCHI 2014/RIO 2016 & TOKYO 2020

Prior to the 2012 Olympic Games in London, there had never been a plan in place for any sustainability standards for the event sector. The 2012 London Olympic Committee decided not only to make sustainability a cornerstone of that Olympics, but also to establish standards for future Olympics and other major events.

Rather than dictating a set of specific targets or checklists, the committee established a method for organizers to work with the local community, suppliers, and participants to identify the key impact areas of the event and a means to mitigate the negative impacts, measure progress, make improvements, and report those results. The committee worked with representatives from over 30 countries including the hosts for the 2014 and 2016 games. There were five areas of focus for the group: (1) Climate Change, (2) Waste, (3) Bio-diversity, (4) Inclusion, and (5) Healthy Living.

The results were stunning. Not only did the committee succeed in codifying the new standards (now referred to as ISO 20121), they also used the standards to design and run the games. Here are two of many examples of their success:

An industrial dump had existed in East London for over 100 years. The site was famous with the locals as an eyesore and a dangerous place. The committee took this on as one of their sustainability projects by cleaning the entire area up, putting many of the new sports venues on the site and creating what is now one of Europe's largest urban parks. The area has been transformed and eventually will see thousands of new homes in the heart of London.

The "Food Vision" program aimed to mitigate the impact of having to serve more than 14 million meals across 40 different venues during the 17 days of the Olympics. It required suppliers to use local sources as much as possible, and certify that food met a number of food-related standards including Fairtrade, Marine Stewardship Council Certified Fish, and Farm Assured Red Tractor. Sponsor companies such as McDonald's, Coca-Cola, and Cadbury voluntarily applied the standards to all of their meals.

There was a significant setback with the Sochi Winter Olympics in 2014. Despite significant promises by the organizers and substantial financial resources, it appears that very few of the sustainability promises were kept. Unlicensed landfills, damage to pristine environments and the reported harassing of environmental activists set the Olympic sustainability efforts back.

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The Rio 2016 games moved aggressively to implement the sustainability standards and on January 27, 2016 they received a plaque confirming ISO 20121 certification. The Tokyo 2020 committee developed and published a High-level Sustainability Plan and has pledged a minimal impact and sustainable games.

Although there is no way to have a zero-impact event with something the size of the Olympic games, the work done for the 2012 Olympics seems to be changing the way that all organizations plan for large events.

SOURCES: Olympics.org/news/Tokyo-2020-reveals-plans-for-sustainable-and-minimal-impact-games/247577; Olympic.org/new/rio-2016-organizers-receive-sustainability-certification/247862; A. Aston, "Winter Olympics 2014: a missed opportunity to advance sustainability," The Guardian (February 4, 2014) (theguardian.com/sustainable-business/2014/feb/04/sochi-winter-olympics-missed-opportunity-sustainability); "London 2012 – Helping Set Sustainability Standards," The Guardian (August 10, 2012), (<http://www.guardian.co.uk/sustainable-business/blog/london-2012-helping-set-sustainability-standards>); <http://www.london2012.com/about-us/publications/publication=london-2012-sustainability-plan-summary/>; <http://ukinjapan.fco.gov.uk/en/visiting-the-uk/london-2012-olympics/sustainability/>.

Impact on Performance

Information systems/technology offers four main contributions to corporate performance. *First*, (beginning in the 1970s with mainframe computers) it is used to automate existing back-office processes, such as payroll, human resource records, accounts payable and receivable, and to establish huge databases. *Second*, (beginning in the 1980s) it is used to automate individual tasks, such as keeping track of clients and expenses, through the use of personal computers with word processing and spreadsheet software. Corporate databases are accessed to provide sufficient data to analyze and to create what-if scenarios. These first two contributions tend to focus on reducing costs. *Third*, (beginning in the 1990s) it is used to enhance key business functions, such as marketing and operations. This third contribution focuses on productivity improvements. The system provides customer support and help in distribution and logistics. For example, in an early effort on the Internet, FedEx found that by allowing customers to directly access its package-tracking database via the Web instead of having to ask a human operator, the company saved up to US\$2 million annually. Business processes are analyzed to increase efficiency and productivity via reengineering. Enterprise resource planning (ERP) application software, such as SAP, PeopleSoft, Oracle, Baan, and J.D. Edwards (discussed further in **Chapter 8**), is used to integrate worldwide business activities so that employees need to enter information only once and that information is available to all corporate systems (including accounting) around the world. *Fourth*, (beginning in 2000) it is used to develop competitive advantage. For example, American

Hospital Supply (AHS), a leading manufacturer and distributor of a broad line of products for doctors, laboratories, and hospitals, developed an order entry distribution system that directly linked the majority of its customers to AHS computers. The system was successful because it simplified ordering processes for customers, reduced costs for both AHS and the customer, and allowed AHS to provide pricing incentives to the customer. As a result, customer loyalty was high and AHS's share of the market became large.

A current trend in corporate information systems/technology is the increasing use of the Internet for marketing, intranets for internal communication, and extranets for logistics and distribution. An *intranet* is an information network within an organization that also has access to the external worldwide Internet. Intranets typically begin as ways to provide employees with company information such as lists of product prices, fringe benefits, and company policies. They are then converted into extranets for supply chain management. An *extranet* is an information network within an organization that is available to key suppliers and customers. The key issue in building an extranet is the creation of "fire walls" to block extranet users from accessing the firm's or other users' confidential data. Once this is accomplished, companies can allow employees, customers, and suppliers to access information and conduct business on the Internet in a completely automated manner. By connecting these groups, companies hope to obtain a competitive advantage by reducing the time needed to design and bring new products to market, slashing inventories, customizing manufacturing, and entering new markets.

There has been an explosion of wikis, blogs, RSS (Really Simple Syndication), social networks (e.g., LinkedIn and Facebook), podcasts, online video conferencing, video sharing, and mash-ups through company Web sites to forge tighter links with customers and suppliers and to engage employees more successfully. For example, LEGO invited customers to suggest new models interactively and then financially rewarded the people whose ideas proved marketable.

Supply Chain Management

The expansion of the marketing-oriented Internet into intranets and extranets is making significant contributions to organizational performance through supply chain management. **Supply chain management** is the forming of networks for sourcing raw materials, manufacturing products or creating services, storing and distributing the goods, and delivering them to customers and consumers. Research indicates that supplier network resources have a significant impact on firm performance. A survey of global executives revealed that their interest in supply chains was first to reduce costs, and then to improve customer service and get new products to market faster. More than 85% of senior executives stated that improving their firm's supply-chain performance was a top priority. Companies like Wal-Mart, Dell, and Toyota, who are known to be exemplars in supply-chain management, spend only 4% of their revenues on supply-chain costs compared to 10% by the average firm.

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4-6. Construct an IFAS Table that summarizes internal factors

Industry leaders are integrating modern information systems into their corporate value chains to harmonize companywide efforts and to achieve competitive advantage. For example, Heineken beer distributors input actual depletion figures and replenishment orders to the Netherlands brewer through their linked Web pages. This interactive planning system generates time-phased orders based on actual usage rather than on projected demand. Distributors are then able to modify plans based on local conditions or changes in marketing. Heineken uses these modifications to adjust brewing and supply schedules. As a result of this system, lead times have been reduced from the traditional 10–12 weeks to 4–6 weeks. This time savings is especially useful in an industry competing on product freshness. In another example, Procter & Gamble participates in an information network to move the company's line of consumer products through Wal-Mart's many stores. *Radio-frequency identification (RFID)* tags containing product information are used to track goods through inventory and distribution channels. As part of the network with Wal-Mart, P&G knows by cash register and by store what products have passed through the system every hour of each day. The network is linked by satellite communications on a real-time basis. With actual point-of-sale information, products are replenished to meet current demand and minimize stockouts while maintaining exceptionally low inventories.

4.6 THE STRATEGIC AUDIT: A CHECKLIST FOR ORGANIZATIONAL ANALYSIS

One way of conducting an organizational analysis to examine a company's strengths and weaknesses is by using the Strategic Audit found in **Appendix 1.A** at the end of **Chapter 1**. The audit provides a checklist of questions by area of concern. For example, Part IV of the audit examines corporate structure, culture, and resources. It looks at organizational resources and capabilities in terms of the functional areas of marketing, finance, R&D, operations, human resources, and information systems, among others.

4.6.1 Synthesis of Internal Factors (IFAS)

After strategists have scanned the internal organizational environment and identified factors for their particular corporation, they may want to summarize their analysis of these factors using a form such as that given in **Table 4-2**. This **IFAS (Internal Factor Analysis Summary) Table** is one way to organize the internal factors into the generally accepted categories of strengths and weaknesses as well as to examine how well a particular company's management is responding to these specific factors in light of the perceived importance of these factors to the company. Use the VRIO framework (Value, Rareness, Imitability, and Organization) to assess the importance of each of the factors that might be considered strengths. Except for its

TABLE 4–2 Internal Factor Analysis Summary (IFAS Table): Maytag as Example

Internal Factors	Weight	Rating	Weighted Score	Comments
1	2	3	4	5
Strengths				
• Quality Maytag culture	.15	5.0	.75	Quality key to success
• Experienced top management	.05	4.2	.21	Know appliances
• Vertical integration	.10	3.9	.39	Dedicated factories
• Employer relations	.05	3.0	.15	Good, but deteriorating
• Hoover's international orientation	.15	2.8	.42	Hoover name in cleaners
Weaknesses				
• Process-oriented R&D	.05	2.2	.11	Slow on new products
• Distribution channels	.05	2.0	.10	Superstores replacing small dealers
• Financial position	.15	2.0	.30	High debt load
• Global positioning	.20	2.1	.42	Hoover weak outside the United Kingdom and Australia
Manufacturing facilities	.05	4.0	.20	Investing now
Total Scores	1.00		3.05	

NOTES:

1. List strengths and weaknesses (8–10) in Column 1.
2. Weight each factor from 1.0 (Most Important) to 0.0 (Not Important) in Column 2 based on that factor's probable impact on the company's strategic position. **The total weights must sum to 1.00.**
3. Rate each factor from 5.0 (Outstanding) to 1.0 (Poor) in Column 3 based on the company's response to that factor.
4. Multiply each factor's weight times its rating to obtain each factor's weighted score in Column 4.
5. Use Column 5 (comments) for the rationale used for each factor.
6. Add the individual weighted scores to obtain the total weighted score for the company in Column 4. This tells how well the company is responding to the factors in its internal environment.

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internal orientation, this IFAS Table is built the same way as the EFAS Table described in **Chapter 3** (in **Table 4–5**). To use the IFAS Table, complete the following steps:

1. In Column 1 (Internal Factors), list the 8 to 10 most important strengths and weaknesses facing the company.
2. In Column 2 (Weight), assign a weight to each factor from 1.0 (Most Important) to 0.0 (Not Important) based on that factor's probable impact on a particular company's current strategic position. The higher the weight, the more important is this factor to the current and future success of the company. **All weights must sum to 1.0 regardless of the number of factors.**
3. In Column 3 (Rating), assign a rating to each factor from 5.0 (Outstanding) to 1.0 (Poor) based on management's specific response to that particular factor. Each rating is a judgment regarding how

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well the company's management is currently dealing with each specific internal factor.

4. In Column 4 (Weighted Score), multiply the weight in Column 2 for each factor times its rating in Column 3 to obtain that factor's weighted score.
5. In Column 5 (Comments), note why a particular factor was selected and/or how its weight and rating were estimated.
6. Finally, add the weighted scores for all the internal factors in Column 4 to determine the total weighted score for that particular company. The **total weighted score** indicates how well a particular company is responding to current and expected factors in its internal environment. The score can be used to compare that firm to other firms in its industry. Check to ensure that the total weighted score truly reflects the company's current performance in terms of profitability and market share. **The total weighted score for an average firm in an industry is always 3.0.**

As an example of this procedure, **Table 4–2** includes a number of internal factors for Maytag Corporation in 1995 (before Maytag was acquired by Whirlpool) with corresponding weights, ratings, and weighted scores provided. Note that Maytag's total weighted score is 3.05, meaning that the corporation is about average compared to the strengths and weaknesses of others in the major home appliance industry.

4.6.2 Game Theory Dynamic analysis

Game theory delves into the strategic decision-making of interacting individuals or groups. It analyzes situations where each participant's choices influence the outcome for everyone involved. Imagine playing chess, where your next move depends on your opponent's previous move, and vice versa. Game theory uses mathematical models to understand these interactions and predict potential outcomes based on different strategies.

Traditional game theory often portrays scenarios as static, with players making simultaneous or fixed-sequence decisions. However, real-world competition rarely unfolds in such a static manner. The "Anticipating Competitive Dynamics" module emphasizes the importance of time as a strategic factor. Here, moves unfold sequentially, and players react to each other's decisions as the game progresses. This requires incorporating dynamic strategies that consider long-term consequences and anticipate future moves.

For example,

Price Wars in Online Retail:

Players: Online retailers like Amazon, Walmart, and Target.

Action: Each retailer dynamically adjusts pricing strategies based on real-time competitor pricing data and customer demand.

Outcome: The price war can benefit consumers with lower prices in the short term, but it can also lead to profit margin erosion, impacting all players involved.

Key Tools for Dynamic Analysis:

Sequential Moves and Information: Games are modeled as sequences of decisions, where players act in turns and possess varying degrees of information about each other's actions and past history. This adds complexity compared to simultaneous games, making analysis more nuanced.

Subgame Perfect Nash Equilibrium (SPNE): This solution concept ensures rationality by considering players' ability to "reason backward" from the end of the game. Each player chooses their best action not only for the current move but also for any future subgames arising from that choice. This helps predict stable outcomes based on optimal decision-making.

Perfect Foresight and Backward Induction: Players are assumed to have perfect foresight, meaning they can anticipate all possible future moves by their opponents. By working backward from the game's end, they can identify their optimal action at each stage, taking into account their opponent's anticipated choices.

Dynamic Programming: This mathematical technique breaks down complex sequential decision problems into smaller, more manageable stages. It allows players to calculate their optimal path through the game, considering the potential consequences of each action at each step.

An example can be Dynamic Delivery Optimization in Logistics:

Players: Delivery companies like FedEx and UPS and their individual drivers.

Action: Drivers use real-time traffic data and algorithms to optimize delivery routes dynamically, considering changing traffic patterns and customer locations.

Outcome: This game theory approach helps companies minimize delivery time and maximize efficiency, impacting their costs and customer satisfaction compared to static route planning.

Applications in Competitive Dynamics

By equipping you with these tools, dynamic game theory analysis enhances your ability to anticipate and navigate competitive situations across various scenarios:

Pricing Competition: Analyze how rivals might react to your pricing decisions, enabling you to set strategically optimal prices that consider future price wars or market responses.

N O T E S

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Investment and Capacity Expansion: Model competitor investments in R&D, production, or distribution, helping you make informed decisions about your own investments to maintain or gain a competitive edge.

Product Launches and Innovation: Anticipate how competitors might respond to your new product launches or technological advancements, allowing you to prepare counter-strategies and refine your innovation road map.

Negotiations and Alliances: Understand how information sharing and signaling influence bargaining power and alliance formation, leading to more effective deal structures and collaborative partnerships.

For Example:

Price Negotiations in B2B Markets:

Players: Companies negotiating contracts for services or products.

Action: Both parties can adjust their offers and concessions in real-time based on the other's responses and their own bottom line.

Outcome: Through strategic negotiation strategies informed by game theory, companies aim to maximize their benefits while maintaining a strong business relationship.

Market Signaling and Communication: Analyze how your actions, such as advertising campaigns or resource allocation, send signals to competitors and shape their behavior, enabling you to communicate strategic intent and influence the market landscape.

In conclusion, game theory's dynamic analysis equips with a powerful lens to anticipate competitor behavior and make strategic decisions in the dynamic world of business. By mastering these tools and applying them to specific competitive situations, one can gain a significant advantage in navigating the ever-evolving landscape of your industry.

Value innovation is a strategic concept that combines elements of value creation and innovation to drive a company's success in the marketplace. Coined by *W. Chan Kim and Renée Mauborgne* in their influential book "Blue Ocean Strategy," value innovation represents a departure from traditional business thinking by challenging the notion of a trade-off between cost and differentiation. Learning on value innovation involves understanding how organizations can simultaneously pursue lower costs and differentiated offerings, creating a unique value proposition that sets them apart from competitors.

One key aspect of learning on value innovation is comprehending the shift from a focus on competition to a focus on customer value. Traditional business strategies often revolve around outperforming rivals within existing market spaces, leading to intense competition and price wars. In contrast, value innovation

encourages organizations to look beyond the existing competitive landscape and explore ways to create new value for customers.

Value innovation involves the identification of factors that are essential to customers and the elimination of those that are non-essential. By stripping away unnecessary features or processes, companies can reduce costs without compromising the value perceived by customers. Simultaneously, organizations seek to enhance and introduce elements that add unique value, differentiating them from competitors. This dual approach allows companies to break out of the competitive cycle and enter untapped market spaces, creating what Kim and Mauborgne refer to as 'blue oceans.'

The learning process on value innovation includes understanding the Four Actions Framework, a practical tool developed by Kim and Mauborgne to guide strategic thinking. This framework prompts organizations to ask four key questions: Which factors that the industry takes for granted should be eliminated? Which factors should be reduced well below the industry's standard? Which factors should be raised well above the industry's standard? and Which factors should be created that the industry has never offered?

By systematically addressing these questions, organizations can identify opportunities for value innovation. Eliminating or reducing certain factors leads to cost savings, while raising and creating new factors contribute to differentiation. This strategic approach enables companies to break away from the competitive herd and chart a course towards uncontested market spaces.

A notable example of successful value innovation is the case of *Cirque du Soleil*. Traditional circuses were facing challenges such as declining attendance and ethical concerns about the treatment of animals. Cirque du Soleil challenged the conventional circus model by eliminating live animals, reducing the number of star performers, and incorporating artistic and theatrical elements. This strategic move created a unique form of entertainment that appealed to a broader audience, differentiating Cirque du Soleil from traditional circuses and establishing it as a leader in the industry.

Learning on value innovation also emphasizes the importance of continuous adaptation and innovation. Markets are dynamic, and what constitutes value can change over time. Organizations must be agile and responsive to shifts in customer preferences, emerging technologies, and competitive dynamics. The ability to consistently identify and implement value innovations is crucial for long-term success.

In conclusion, learning on value innovation involves understanding the strategic shift from competition-focused approaches to a customer-centric and value-driven mindset. Value innovation challenges the conventional trade-off between cost and differentiation, encouraging organizations to pursue both simultaneously. The

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Four Actions Framework provides a practical guide for identifying opportunities for value innovation. Successful examples, such as Cirque du Soleil, demonstrate the transformative impact of value innovation in creating uncontested market spaces. Continuous adaptation and innovation are integral to the learning process on value innovation, ensuring that organizations remain competitive and responsive to evolving market dynamics.

4.6.3 Blue Ocean Strategy

It is a business concept that emerged in 2005 through the groundbreaking book of the same name written by W. Chan Kim and Renée Mauborgne. It represents a departure from traditional business strategies by encouraging companies to seek uncontested market spaces or “blue oceans” instead of competing in saturated and highly competitive markets, often referred to as “red oceans.”

The fundamental logic behind the Blue Ocean Strategy lies in the recognition that markets are not static, and companies can create new demand and uncontested market space by innovating in both value creation and delivery. Unlike traditional competitive strategies that focus on beating rivals within an existing market, Blue Ocean Strategy emphasizes creating new market spaces where competition is irrelevant.

The concept employs the metaphor of “red oceans” and “blue oceans” to illustrate the competitive landscape. Red oceans are characterized by high competition, where companies fight for market share, often leading to price wars and diminishing profits. In contrast, blue oceans represent untapped markets with ample opportunities for growth, innovation, and profitability.

The logic of Blue Ocean Strategy involves the simultaneous pursuit of differentiation and low cost. Rather than being mutually exclusive, the strategy encourages businesses to break the trade-off between differentiation and cost leadership, achieving both to create a unique value proposition for customers. By offering a product or service with distinct features while maintaining a cost advantage, companies can attract a larger customer base and mitigate the impact of competitive rivalry.

To implement the Blue Ocean Strategy, companies can follow a systematic approach known as the Four Actions Framework. This framework involves eliminating factors that the industry has long competed on but are no longer necessary, reducing emphasis on certain factors, raising the importance of elements that were neglected, and creating entirely new factors. By undertaking these strategic actions, businesses can reshape their industries and generate new demand.

Several successful examples illustrate the efficacy of the Blue Ocean Strategy. *Cirque du Soleil*, for instance, transformed the traditional circus industry by eliminating live animals, reducing star performers, and incorporating artistic elements. This move

created a blue ocean of entertainment that appealed to a broader audience, distinguishing Cirque du Soleil from traditional circuses.

Another case is the *Nintendo Wii gaming console*. While competitors focused on high-performance graphics and processing power, Nintendo shifted its focus to intuitive and interactive gameplay. This strategy attracted non-traditional gamers, expanding the market and establishing the Wii as a dominant player in the gaming industry.

Understanding the logic behind Blue Ocean Strategy requires a keen analysis of market factors and a commitment to innovation. The strategy recognizes that companies can create their own market spaces by delivering value to customers in unique ways. This departure from conventional competition-based strategies fosters a mindset of strategic creativity and encourages organizations to rethink industry boundaries.

Moreover, Blue Ocean Strategy is not a one-time event but an ongoing process. As markets evolve, companies must continuously adapt and innovate to sustain their blue ocean advantage. This requires a commitment to research, development, and a proactive approach to changing market dynamics.

In conclusion, Blue Ocean Strategy presents a logical and innovative approach to business strategy by encouraging companies to break away from the constraints of red oceans and seek uncontested market spaces. The logic involves simultaneous differentiation and cost leadership, achieved through strategic actions outlined in the Four Actions Framework. Successful implementation of Blue Ocean Strategy can lead to sustainable competitive advantages and reshape industries, as evidenced by notable examples in various sectors. Embracing this strategy requires a shift in mindset towards strategic creativity and a continuous commitment to innovation.

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4.7 SUMMARY

Every day, about 17 truckloads of used diesel engines and other parts are dumped at a receiving facility at Caterpillar's remanufacturing plant in Corinth, Mississippi. The filthy iron engines are then broken down by two workers, who manually hammer and drill for half a day until they have taken every bolt off the engine and put each component into its own bin. The engines are then cleaned and remade at half of the cost of a new engine and sold for a tidy profit. This system works at Caterpillar because, as a general rule, 70% of the cost to build something new is in the materials and 30% is in the labor. Remanufacturing simply starts the manufacturing process over again with materials that are essentially free and which already contain most of the energy costs needed to make them. The would-be discards become fodder for the next product, eliminating waste, and cutting costs. Caterpillar's management was so impressed by the remanufacturing operation that they made the business a separate division in 2005. The unit earned more than US\$1 billion in sales in 2005 and by 2012 employed more than 8500 workers in 16 countries.

Caterpillar's remanufacturing unit was successful not only because of its ability to wring productivity out of materials and labor, but also because it designed its products for reuse. Before they are built new, remanufactured products must be designed for disassembly. In order to achieve this, Caterpillar asks its designers to check a "Reman" box on Caterpillar's product development checklist. The company also needs to know where its products are being used in order to take them

back—known as the art of *reverse logistics*. This is achieved by Caterpillar's excellent relationship with its dealers throughout the world, as well as through financial incentives. For example, when a customer orders a crankshaft, that customer is offered a remanufactured one for half the cost of a new one—assuming the customer turns in the old crankshaft to Caterpillar. The products also should be built for performance with little regard for changing fashion. Because diesel engines change little from year to year, a remanufactured engine is very similar to a new engine and might perform even better. Monitoring the external environment is only one part of environmental scanning. Strategists also need to scan a corporation's internal environment to identify its resources, capabilities, and competencies. What are its strengths and weaknesses? At Caterpillar, management clearly noted that the environment was changing in a way to make its remanufactured product more desirable. It took advantage of its strengths in manufacturing and distribution to offer a recycling service for its current customers and a low-cost alternative product for those who could not afford a new Caterpillar engine. It also happened to be an environmentally friendly, sustainable business model. Caterpillar's management felt that remanufacturing thus provided them with a strategic advantage over competitors who don't remanufacture. This is an example of a company using its capabilities in key functional areas to expand its business by moving into a new profitable position on its value chain.

4.8 KEY TERM

brand (p. 122)
business model (p. 112)
capabilities (p. 108)
capital budgeting (p. 124)
competency (p. 108)
conglomerate structure (p. 118)
a core competency (p. 108)
corporate culture (p. 119)
corporate reputation (p. 123)
distinctive competencies (p. 109)
divisional structure (p. 117)
economies of scale (p. 128)
economies of scope (p. 116)
experience curve (p. 127)
explicit knowledge (p. 110)
financial leverage (p. 124)
functional structure (p. 117)
IFAS Table (p. 134)
imitability (p. 110)
marketing mix (p. 121)

operating leverage (p. 127)
organizational analysis (p. 108)
organizational structures (p. 117)
product life cycle (p. 122)
R&D intensity (p. 124)
R&D mix (p. 125)
replicability (p. 110)
resources (p. 108)
simple structure (p. 117)
strategic business units (SBUs) (p. 118)
supply chain management (p. 133)
tacit knowledge (p. 110)
technological competence (p. 125)
technological discontinuity (p. 125)
technology transfer (p. 125)
transferability (p. 110)
transparency (p. 110)
value chain (p. 114)
virtual teams (p. 129)
VRIO framework (p. 109)

4.9 REVIEW QUESTIONS

- 4-1. What is the relevance of the resource-based view of the firm to strategic management in a global environment?
- 4-2. How can value-chain analysis help identify a company's strengths and weaknesses?
- 4-3. In what ways can a corporation's structure and culture be internal strengths or weaknesses?
- 4-4. What are the pros and cons of management's using the experience curve to determine strategy?
- 4-5. How might a firm's management decide whether it should continue to invest in current known technology or in new, but untested technology? What factors might encourage or discourage such a shift?
- 4-6. What is the difference between core and distinctive competencies? Give examples.
- 4-7. Discuss the framework given by J Barney to evaluate a firm's competencies.
- 4-8. Discuss the five elements which make up a business model. What are the different types of business models? How can the business model be imitated? Give examples.
- 4-9. What does an organization structure constitute? Discuss various types of organization structures. Explain why different organizational structures are utilized in businesses.
- 4-10. Write short notes on following:
 - Corporate culture and its effect on strategy.
 - Strategic marketing issues.
 - Strategic financial issues.
 - Strategic research and development issues.
 - Strategic operations issues.
 - Strategic human resource management issues.
 - Strategic information systems issues.
- 4-11. What does a strategic audit mean? Construct an IFAS table that summarizes internal factors.

4.10 CLASS DISCUSSION CASE

Today, the primary means of information collection is through the Internet. Try the following exercise.

- 4-1. Form into teams of around three to five people. Select a well-known publicly owned company to research. Inform the instructor of your choice.
- 4-2. Assign each person a separate task. One task might be to find the latest financial statements. Another would be to learn as much as possible about its top management and board of directors. Another might be to identify its business model. Another might be to identify its key competitors.
- 4-3. Conduct research on the company using the Internet only.
- 4-4. Meet with your team members to discuss what you have found. What are the company's opportunities, threats, strengths, and weaknesses? Go back to the Internet for more information if needed.
- 4-5. Prepare a three- to five-page typed report of the company. The report should include the following:
 - a. Does the firm have any core competencies? Are any of these distinctive (better than the competition) competencies? Does the firm have any competitive advantage? Provide an analysis using EFAS and IFAS tables.
 - b. What is the likely future of this firm if it continues on its current path?
 - c. Would you buy stock in this company? Assume that your team has US\$25,000 to invest. Allocate the money among the four to five primary competitors in this industry. List the companies, the number of shares purchased of each, the cost of each share as of a given date, and the total cost for each purchase assuming a typical commission used by an Internet broker, such as E-Trade or Scottrade.

4.11 MULTIPLE-CHOICE QUESTIONS

- 4-1. Those critical strengths and weaknesses that are likely to determine if a firm will be able to take advantage of opportunities while avoiding threats are called
- SWOT.
 - competitive forces.
 - internal strategic factors.
 - quality accounting.
 - factor analysis.
- 4-2. Which of the following is not one of the four question areas Barney proposes in his VRIO framework used to evaluate a firm's key resources?
- organization
 - durability
 - rareness
 - valuable
 - imitability
- 4-3. When a company determines that a competency provides a competitive advantage, Barney refers to this issue as
- value.
 - rareness.
 - imitability.
 - organization.
 - durability.
- 4-4. According to Barney's VRIO framework, the firm's exploitation of a competency pertains to
- value.
 - rareness.
 - imitability.
 - organization.
 - durability.
- 4-5. A corporation's ability to exploit its resources is referred to as its
- business expertise.
 - capabilities.
 - core competencies.
 - critical success factors.
 - key performance factors.
- 4-6. FedEx's application of information technology to all its operations is an example of
- resources.
 - distinctive competencies.
 - core competencies.
 - critical success factors.
 - key performance factors.
- 4-7. When a company's core competencies are superior to those of competitors, these are known as
- resources.
 - distinctive competencies.
 - core competencies.
 - critical success factors.
 - key performance factors.
- 4-8. Which of the following statements is true concerning clusters?
- The desire to build or upgrade a core competency is one reason why entrepreneurial and other fast-growing firms often tend to locate close to their competitors.
 - Clusters are geographically dispersed companies operating within the same industry.
 - The United States does not have any clusters; they are all located in Europe.
 - According to Porter, clusters provide barriers to the access of employees, suppliers, and specialized information.
 - Employees from competitive firms in a cluster are not permitted to socialize with one another.
- 4-9. A winemaker in California finds it difficult to duplicate a French winery's key resources of land and climate. This is an example of
- transferability.
 - transparency.
 - replicability.
 - tacit knowledge.
 - explicit knowledge.
- 4-10. The rate at which others can duplicate a firm's underlying resources, capabilities, or core competencies is called
- replicability.
 - transparency.
 - imitability.
 - durability.
 - transferability.

Answer Keys: 4-1. C 4-2. B 4-3. A 4-4. D 4-5. B 4-6. C 4-7. B 4-8. A 4-9. A 4-10. C

5

CHAPTER

STRATEGY FORMULATION: BUSINESS STRATEGY

5.1	A Framework for Examining Business Strategy
5.1.1	Generating a Strategic Factors Analysis Summary (SFAS) Matrix
5.1.2	Finding Market Niches
5.2	Mission and Objectives
5.3	Business Strategies
5.3.1	Porter's Competitive Strategies
5.3.2	Cooperative Strategies
5.4	Strategic Alliances
5.5	Summary
5.6	Key Term
5.7	Review Questions
5.8	Strategic Practice Exercise
5.9	Class Discussion Case
5.10	Multiple-choice Questions

NOTES

TATA NANO: BUSINESS STRATEGY CHALLENGES



Tata Motors is a \$42 billion organization which is a part of \$100 billion Tata Group founded by Jamsetji Tata in 1868. Tata Motors Limited covers a wide range of cars, sports vehicles, buses, trucks and defence vehicles. One of the key success stories of Tata Motors was Tata Indica. The company is known for its innovative strategies, therefore, in March 2003 when Ratan Tata disclosed his plans to launch the world's cheapest car at a selling point of ₹1 lakh (USD 1,984) at the Geneva Motor Show it was a promise to reshape the auto industry. Though it was a fairly risky strategic move as it required major changes to the business model of Tata Motors. Despite this, Tata Nano was heralded as a pioneer for starting a new era in the automobile industry, with its 31 patents in designs and 37 in technology, and the lowest emission level among petrol cars in India.

Tata Nano was unveiled in 2008, and was hailed as the "People's Car" with the belief that it would revolutionize the way middle-class in India travels. The company decided to adopt cost leadership strategy in this particular sector. The car was expected to reach the customer for about ₹1,30,000; while its nearest competitor Maruti 800 sold for around ₹2 L and its substitute two wheelers ranged from ₹25,000 to ₹50,000. The positioning of the car was such that it was an option which provided two wheeler owners to own a car and to travel in comfort without spending ₹2 Lakh. Therefore, the car was a promise of upward social mobility.

All the marketing analysis indicated that Tata Nano was all set to change the industry, because of the total 1,551,880 passenger cars sold in India in 2009, about half were small and compact cars which were priced anywhere upward from ₹2.5 lakh. However, most of the existing manufacturers, even while producing the small cars had missed the low end mass market.

Tata Nano emphatically pursued the cost leadership strategy. One of the examples of its dedication and focus on cost leadership strategy is that the front seats of Tata Nano have only three reclining positions and no seat frame, because of which it has 10% fewer components and a 60% reduction in cost. The cost leadership commitment was not only to lower the cost in the product design but also in other activities of the value chain like the distribution plan etc.

Tata Nano was designed and marketed not only as a low-cost car but also as a car which would embody a promise of upward social mobility for the existing owners of two wheel-

ers. However, marketing the car as the “world’s cheapest car” did not work for the targeted consumers as the word cheap and upward social mobility were not perceived well by the customers together. By the end of March 2012, about 10,475 units had been delivered by Tata Motors to the buyers which was nowhere near the original projection of 20,000–25,000 units per month and the sales of Nano car dropped from 74,521 in 2011–2012 to 53,847 cars in 2012–2013 to only 16,903 cars in 2014–2015.

Therefore, no matter what business strategy a company opts for, it is one of the more difficult approaches in the business. Combining a low-cost strategy with the differentiation strategy and other means of trying to achieve sustainable competitive advantage will be discussed in this chapter.

5.1 A FRAMEWORK FOR EXAMINING BUSINESS STRATEGY

Strategy Formulation, often referred to as strategic planning or long-range planning, is concerned with developing a corporation’s mission, objectives, strategies, and policies. It begins with situation analysis: the process of finding a strategic fit between external opportunities and internal strengths while working around external threats and internal weaknesses. As shown in the Strategic Decision-Making Process in **Figure 1–5**, step 5(a) is analyzing strategic factors in light of the current situation. As was discussed in **Chapter 4**, the VRIO framework is extraordinarily effective in not only analyzing potential competitive advantages to determine which are true competitive advantages, but also in examining whether the company is organized to take advantage of those strengths.

Many executives prefer to present their analysis using a SWOT chart. **SWOT** is an acronym used to describe the four quadrants of **Strengths**, **Weaknesses**, **Opportunities**, and **Threats** for a specific company.

It can be said that the essence of strategy is opportunity divided by capacity. An opportunity by itself has no real value unless a company has the capacity (i.e., resources) to take advantage of that opportunity. By itself, a distinctive competency in a key resource or capability is no guarantee of competitive advantage. Weaknesses in other resource areas can prevent a strategy from being successful. SWOT, as a conceptual tool can be used to take a broader view of strategy through the formula $SA = O/(S-W)$ —that is, (Strategic Alternative equals Opportunity divided by Strengths minus Weaknesses). This reflects an important issue strategic managers face: Should we invest more in our strengths to make them even stronger (a distinctive competence) or should we invest in our weaknesses to at least make them competitive?

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- 5-1. Utilize the SFAS matrix and a SWOT diagram to examine business strategy

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Populating a SWOT chart, by itself, is just the start of a strategic analysis. Some of the primary criticisms of SWOT are:

- ⇒ It is simply the opinions of those filling out the boxes
- ⇒ Virtually everything that is a strength is also a weakness
- ⇒ Virtually everything that is an opportunity is also a threat
- ⇒ Adding layers of effort does not improve the validity of the list
- ⇒ It uses a single point in time approach
- ⇒ There is no tie to the view from the customer
- ⇒ There is no validated evaluation approach.

Originally developed in the 1970s, SWOT was one of the original approaches as the field moved from business policy (looking at examples and inferring long-range plans) to strategy. In the intervening years, many techniques have developed that provide strategists with keener insights into the elements of SWOT. However, as strategists, we need to understand our strengths, calculate the impact of weaknesses (whether they are real or perceived), take advantage of opportunities that match our strengths and minimize the impact of outside threats to the success of the organization. Thus, SWOT as a means of conceptualizing the organization is quite effective.

5.1.1 Generating a Strategic Factors Analysis Summary (SFAS) Matrix

The EFAS and IFAS Tables plus the SFAS Matrix were developed to deal with some of the criticisms of SWOT analysis and have been very effective. The **SFAS (Strategic Factors Analysis Summary) Matrix** summarizes an organization's strategic factors by combining the external factors from the EFAS Table with the internal factors from the IFAS Table. The EFAS and IFAS examples given of Maytag Corporation (as it was in 1995) in **Table 4-5** and **Table 5-2** list a total of 20 internal and external factors. These are too many factors for most people to use in strategy formulation. The SFAS Matrix requires a strategic decision maker to condense these strengths, weaknesses, opportunities, and threats into fewer than 10 strategic factors. This is done with a management team review and then by revising the weight given each factor. The revised weights reflect the priority of each factor as a determinant of the company's future success. The highest-weighted EFAS and IFAS factors should appear in the SFAS Matrix.

As shown in **Figure 5-1**, you can create an SFAS Matrix by following these steps:

1. In Column 1 (Strategic Factors), list the most important EFAS and IFAS items. After each factor, indicate whether it is a Strength (**S**), Weakness (**W**), an Opportunity (**O**), or a Threat (**T**).
2. In Column 2 (Weight), assign weights for all of the internal and external strategic factors. As with the EFAS and IFAS Tables

presented earlier, the **weight column must total 1.00**. This means that the weights calculated earlier for EFAS and IFAS will probably have to be adjusted.

3. In Column 3 (Rating) assign a rating of how the company's management is responding to each of the strategic factors. These ratings will probably (but not always) be the same as those listed in the EFAS and IFAS Tables.
4. In Column 4 (Weighted Score) multiply the weight in Column 2 for each factor by its rating in Column 3 to obtain the factor's rated score.
5. In Column 5 (Duration), depicted in **Figure 5-1**, indicate short-term (less than one year), intermediate-term (one to three years), or long-term (three years and beyond).
6. In Column 6 (Comments), repeat or revise your comments for each strategic factor from the previous EFAS and IFAS Tables. **The total weighted score for the average firm in an industry is always 3.0.**

The resulting SFAS Matrix is a listing of the firm's external and internal strategic factors in one table. The example given in **Figure 5-1** is for Maytag Corporation in 1995, before the firm sold its European and Australian operations and it was acquired by Whirlpool. The SFAS Matrix includes only the most important factors gathered from environmental scanning, and thus provides information that is essential for strategy formulation. The use of EFAS and IFAS Tables together with the SFAS Matrix deals with some of the criticisms of SWOT analysis. For example, the use of the SFAS Matrix reduces the list of factors to a manageable number, puts weights on each factor, and allows one factor to be listed as both a strength and a weakness (or as an opportunity and a threat).

5.1.2 Finding Market Niches

One desired outcome of analyzing strategic factors is identifying niches where an organization can use its core competencies to take advantage of a particular market opportunity. A niche is a need in the marketplace that is currently unsatisfied. This is the premise of the book *Blue Ocean Strategy* and many other popular press books on strategy. The goal is to find a **propitious niche**—an extremely favorable niche—that is so well suited to the firm's competitive advantages that other organizations are not likely to challenge or dislodge it. A niche is propitious to the extent that it currently is just large enough for one firm to satisfy its demand. After a firm has found and filled that niche, it is not worth a potential competitor's time or money to also go after the same niche.

Finding such a niche or sweet spot is not easy. A firm's management must continually look for a *strategic window*—that is, a unique market opportunity that is available only for a particular

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Internal Strategic Factors		Weight		Rating		Weighted Score		Comments	
	1		2		3		4		5
Strengths									
S1	Quality Maytag culture		.15	5.0		.75	Quality key to success		
S2	Experienced top management		.05	4.2		.21	Know appliances		
S3	Vertical integration		.10	3.9		.39	Dedicated factories		
S4	Employee relations		.05	3.0		.15	Good, but deteriorating		
S5	Hoover's international orientation		.15	2.8		.42	Hoover name in cleaners		
Weaknesses									
W1	Process-oriented R&D		.05	2.2		.11	Slow on new products		
W2	Distribution channels		.05	2.0		.10	Superstores replacing small dealers		
W3	Financial position		.15	2.0		.30	High debt load		
W4	Global positioning		.20	2.1		.42	Hoover weak outside the United Kingdom and Australia		
W5	Manufacturing facilities		.05	4.0		.20	Investing now		
Total Scores			1.00			3.05			

External Strategic Factors	Weight		Rating		Weighted Score		Comments
	1	2	3	4			
Opportunities							
O1 Economic integration of European Community		.20	4.1	.82	Acquisition of Hoover		
O2 Demographics favor quality appliances		.10	5.0	.50	Maytag quality		
O3 Economic development of Asia		.05	1.0	.05	Low Maytag presence		
O4 Opening of Eastern Europe		.05	2.0	.10	Will take time		
O5 Trend to “Super Stores”		.10	1.8	.18	Maytag weak in this channel		
Threats							
T1 Increasing government regulations		.10	4.3	.43	Well positioned		
T2 Strong U.S. competition		.10	4.0	.40	Well positioned		
T3 Whirlpool and Electrolux strong globally		.15	3.0	.45	Hoover weak globally		
T4 New product advances		.05	1.2	.06	Questionable		
T5 Japanese appliance companies		.10	1.6	.16	Only Asian presence is Australia		
Total Scores		<u>1.00</u>		<u>3.15</u>			

*The most important external and internal factors are identified in the EFAS and IFAS Tables as shown here by shading these factors.

Figure 4.2 Strategic Factor Analysis Summary (SFAS) Matrix

	1	2	3	4	Duration		5	6
					S H O R T	I N T E R M E D I A T E	L O N G	
Strategic Factors (Select the most important opportunities/threats from EFAS, Table 4–5 and the most important strengths and weaknesses from IFAS, Table 5–2)	Weight	Rating	Weighted Score					Comments
S1 Quality Maytag culture (S)	.10	5.0	.50				X	Quality key to success
S5 Hoover's international orientation (S)	.10	2.8	.28	X	X			Name recognition
W3 Financial position (W)	.10	2.0	.20	X	X			High debt
W4 Global positioning (W)	.15	2.2	.33		X		X	Only in N.A., U.K., and Australia
O1 Economic integration of European Community (O)	.10	4.1	.41				X	Acquisition of Hoover
O2 Demographics favor quality (O)	.10	5.0	.50			X		Maytag quality
O5 Trend to super stores (O + T)	.10	1.8	.18	X				Weak in this channel
T3 Whirlpool and Electrolux (T)	.15	3.0	.45	X				Dominate industry
T5 Japanese appliance companies (T)	.10	1.6	.16				X	Asian presence
Total Scores	<u>1.00</u>		<u>3.01</u>					

NOTES:

1. List each of the most important factors developed in your IFAS and EFAS Tables in Column 1.
2. Weight each factor from **1.0** (Most Important) to **0.0** (Not Important) in Column 2 based on that factor's probable impact on the company's strategic position. **The total weights must sum to 1.00.**
3. Rate each factor from **5.0** (Outstanding) to **1.0** (Poor) in Column 3 based on the company's response to that factor.
4. Multiply each factor's weight times its rating to obtain each factor's weighted score in Column 4.
5. For the duration in Column 5, check the appropriate column (short term—less than 1 year; intermediate—1 to 3 years; long term—over 3 years).
6. Use Column 6 (comments) for rationale used for each factor.

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time. The first firm through a strategic window can occupy the market and discourage competition (if the firm has the required internal strengths). One such company that successfully found a propitious niche was the Educomp Solutions company. The company was incorporated in September 1994 as a private company by Mr. S Prakash and Dr. A Prakash. The company was set up in order to target professional education niches that exists in the Indian education sector. The company targeted technology enabled education services which was an untapped opportunity in the Indian

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- 5-2. Develop a mission statement that addresses the five elements of good design

market. In order to create its mark, the company started off by setting up computer labs in private schools under BOOT (Build, Own, Operate and Transfer) model, and in government schools under a subcontract model. It complemented this strategy by launching E-campus and planetvidya.com in India. Initially, the technology-enabled classroom sector in India was very small, underdeveloped and underused. The company made an effort to develop the opportunity in the Indian market.

As a niche grows, so can a company within that niche—by increasing its operations' capacity or through alliances with larger firms. The key is to identify a market opportunity in which the first firm to reach that market segment can obtain and keep dominant market share. Another successful example is of Unibic Biscuits India. The company decided in August 2004 to produce world-class biscuits in a premium niche segment with focus on wellness factors. The company has invested in innovative, wire cutting, state of the art technology to produce superior quality products as well as to build a structural competitive advantage. Though the takeover would have accelerated Unibic's growth trajectory in India, the company decided to build on brand in a familiar segment which was lying vacant. The company started off as a small brand and built itself in southern and western regions of India and later on expanded to North India. This vocation concept is crucial to many industries where small initial demand in emerging markets allow new entrepreneurial ventures to go after opportunities which are too small to be noticed by established companies. When Microsoft developed its first Disk Operating System (DOS) in 1984 and IBM came out with the personal computer, for example, the demand for such an open system software was very small – which was nonetheless provided. Both these companies were able to fill that niche and also successfully grow with it.

Niches can also change—sometimes faster than a firm can adapt to that change. A company's management may discover in their situation analysis that they need to invest heavily in the firm's capabilities to keep them competitively strong in a changing niche. South African Breweries (SAB), for example, took this approach when management realized that the only way to keep competitors out of its market was to continuously invest in increased productivity and infrastructure in order to keep its prices very low.

5.2 MISSION AND OBJECTIVES

One of the first steps in good strategy design should be crafting the mission statement for the organization. A mission statement has a unique ability to focus the efforts of every employee in the company if and only if it is designed well and is implemented with a singular focus. Once a company has crafted the elements that constitute their competitive advantages, the implementation of that strategy (the competitive advantages) logically begins with a

useful, focused mission grounded in those advantages that every individual in the company can use to make decisions. Well-trained, motivated employees absent an effective, unifying mission will head in the direction that they believe is the best for the company. This may or may not align with the focus of the top management team. An effective mission statement not only needs to be specific to that organization; it must enable a **common thread** to highlight and focus the energy of everyone in the organization in the direction that the top management team believes is best for the business. A well-crafted mission statement has five common elements:

1. It must be short so that every employee can remember the statement.
2. The design must be simple so that everyone in the company can understand what the senior leadership team desires.
3. It has to provide direction to the activities of company employees.
4. The statement should enable employees knowing exactly what the company does and what it does not do.
5. The statement should be measurable so that the company can visibly see progress.

A company's objectives are also critical to the effort to implement a strategy. They can either focus too much on short-term operational goals or be so general that they provide little real guidance. There may be a gap between planned and achieved objectives. When such a gap occurs, either the strategies have to be changed to improve performance or the objectives need to be adjusted downward to be more realistic. Consequently, objectives should be constantly reviewed to ensure their usefulness. This is what happened at Boeing when management decided to change its primary objective from being the largest in the industry to being the most profitable. This had a significant effect on its strategies and policies. Following its new objective, the company canceled its policy of competing with Airbus on price and abandoned its commitment to maintaining a manufacturing capacity that could produce more than half a peak year's demand for airplanes.

5.3 BUSINESS STRATEGIES

Business strategy focuses on improving the competitive position of a company's or business unit's products or services within the specific industry or market segment that the company or business unit serves. Business strategy is extremely important because research shows that business unit effects have double the impact on overall company performance than do either corporate or industry effects. Business strategy can be competitive (battling against all competitors for advantage) and/or cooperative (working with one or more companies to gain advantage against other competitors). Just as corporate strategy asks what industry(ies)

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- 5-3. Explain the competitive and cooperative strategies available to corporations

N O T E S

the company should be in, business strategy asks how the company or its units should compete or cooperate in each industry.

5.3.1 Porter's Competitive Strategies

Competitive strategy raises the following questions:

- ⇒ Should we compete on the basis of lower cost, or should we differentiate our products or services on some basis other than cost, such as quality or service?
- ⇒ Should we compete head to head with our major competitors for the biggest but most sought-after share of the market, or should we focus on a niche in which we can satisfy a less sought-after but also profitable segment of the market?

Michael Porter proposed three “generic” competitive strategies for outperforming other organizations in a particular industry: overall cost leadership, differentiation, and focus. These strategies are called generic because they can be pursued by any type or size of business firm, even by not-for-profit organizations:

- ⇒ **Cost leadership** is the ability of a company or a business unit to design, produce, and market a comparable product or service more efficiently than its competitors.
- ⇒ **Differentiation** is the ability of a company to provide unique and superior value to the buyer. This may include areas such as product quality, special features, or after-sale service.
- ⇒ **Focus** is the ability of a company to provide unique and superior value to a particular buyer group, segment of the market line, or geographic market.

Porter proposed that a firm's competitive advantage in an industry is determined by its **competitive scope**—that is, the breadth of the company's or business unit's target market. Simply put, a company or business unit can choose a broad target (aim at the middle of the mass market) or a narrow target (aim at a market niche). Combining these two types of target markets with the three competitive strategies results in four variations of generic strategies. When the lower-cost and differentiation strategies have a broad mass-market target, they are simply called *cost leadership* and *differentiation*. When they are focused on a market niche (narrow target), however, they are called *cost focus* and *differentiation focus*. Research does indicate that established firms pursuing broad-scope strategies outperform firms following narrow-scope strategies in terms of Return on Assets (ROA). Even though research has found that new entrepreneurial firms increase their chance of survival if they follow a narrow-scope strategy, it has unfortunately also found that new firms that take the risk and pursue a broad-scope strategy will significantly outperform those that follow a narrow-scope strategy regardless of the size and breadth of their initial resources.

Cost leadership is a lower-cost competitive strategy that aims at the broad mass market and requires “aggressive construction of efficient-scale facilities, vigorous pursuit of cost reductions from experience, tight cost and overhead control, avoidance of marginal customer accounts, and cost minimization in areas like R&D, service, sales force, advertising, and so on.” Because of its lower costs, the cost leader is able to charge a lower price for its products than its competitors and still make a satisfactory profit. Although it may not necessarily have the lowest costs in the industry, it has lower costs than its competitors. Some companies successfully following this strategy are Wal-Mart (discount retailing), Taco Bell (fast-food restaurants), HP (computers), Enterprise (rental cars), Aldi (grocery stores), Southwest Airlines, and Timex (watches). From the Indian industry some of the examples of cost leadership strategy are Tata steel (which has managed to adopt the cost leadership strategy by owning assets across the value chain), Reliance industries, Kwaliti Electronic Industries and Kwaliti Photonics Pvt. Ltd. (India's largest producer of Light Emitting Diodes (LEDs)), Nirma etc. Having a lower-cost position also gives a company or business unit a defense against rivals. Its lower costs allow it to continue to earn profits during times of heavy competition. Its high market share means that it will have high bargaining power relative to its suppliers (because it buys in large quantities). Its low price will also serve as a barrier to entry because few new entrants will be able to match the leader's cost advantage. As a result, cost leaders are likely to earn above-average returns on investment.

Differentiation is aimed at the broad mass market and involves the creation of a product or service that is perceived throughout its industry as having passed through the elements of VRIO. The company or business unit may then (if they choose to) charge a premium. Differentiation is a viable strategy for earning above-average returns in a specific business because the resulting increased value to the customer lowers price sensitivity. Increased costs can usually be passed on to the buyers. Buyer loyalty also serves as an entry barrier; new firms must develop their own distinctive competence to differentiate their products or services in some way in order to compete successfully. Examples of companies that successfully use a **differentiation strategy** are Walt Disney Company (entertainment), BMW (automobiles), Apple (computers, tablets, watches, and cell phones), and Five Guys (fast food). Research does suggest that a differentiation strategy is more likely to generate higher profits than does a **lower-cost strategy** because differentiation creates a better entry barrier. A low-cost strategy is more likely, however, to generate increases in market share. For an example of how two companies approach generic strategies, see the **Global Issue** feature on Nike versus New Balance.

Cost focus is a low-cost competitive strategy that focuses on a particular buyer group or geographic market and attempts to serve

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GLOBAL ISSUE

THE NIKE SHOE STRATEGY VS. THE NEW BALANCE SHOE STRATEGY

Nike (based in Beaverton, Oregon) and New Balance (based in Boston, Massachusetts) are direct competitors in the shoe industry. While both companies concentrate on athletic shoes, they also carry a wide variety of shoes, from sandals to boots. Both companies continually push out new models to appeal to the sports enthusiast while maintaining a line of athletic shoes that spans the entire market. New Balance has shoes that range from US\$19 to their latest addition, the Grey Collection, that are priced at around \$160, all the way up to their New Balance 998, which runs \$400.

However, the battlefield is really played out using unique generic strategies. Nike produces virtually all of its shoes in Indonesia, China, and Vietnam. The focus is on strict cost controls and the ability to bring a shoe into the U.S. market cheaper than their competitors. New Balance produces a majority of its shoes (though not all) in the United States (primarily in Maine). New Balance claims that the approach allows it the ability to react faster to demand from U.S. stores and thus help those stores maintain a lower inventory. The company also believes that their U.S. workers maintain better quality control than workers abroad.

This strategy difference is being put to the test with the latest free-trade effort currently in negotiations. The Trans-Pacific Partnership Free Trade agreement aims to open up markets by reducing or eliminating tariffs. Currently, there is a 20% tariff on imported athletic shoes, and New Balance argues that this tariff is necessary to keep production in the United States. Nike (and for that matter virtually every other athletic shoe maker) argues that this is a restriction of trade and favors one company over the desires of an entire industry. Nike would be able to take full advantage of their cost advantage if the trade tariffs were removed, while New Balance would have to find more compelling competitive advantages if it wanted to keep production in the United States. The tariffs provide an artificial leveling of the cost advantage approach.

SOURCES: www.newbalance.com/nb-grey-collection/; "New Balance 998 "Horween Leather" – Release Date," SneakerNews, September 22, 2014 (sneakernews.com/2014/09/22/new-balance-998-horween-leather-release-date/); K. Miller, "Congress Members, New Balance Workers Fight to Save Shoe Tariffs," *Morning Sentinel* (July 19, 2012). (http://www.onlinesentinel.com/news/mainers-in-congress-workers-fight-to-save-shoe-tariffs_2012-07-18.html); <http://www.newbalance.com/men/new-and-popular/17000,default,sc.html>; Global Exchange, "Nike FAQ's" Accessed 6/1/13, <http://www.globalexchange.org/sweatfree/nike/faq>; E. Martin, "New Balance Wants its Tariffs. Nike Doesn't," *Bloomberg Businessweek* (May 7, 2012), (<http://www.businessweek.com/articles/2012-05-03/newbalance-wants-its-tariffs-dot-nike-doesnt>).

only this niche, to the exclusion of others. In using cost focus, the company or business unit seeks a cost advantage in its target segment. A good example of this strategy is Natco pharmaceuticals, also known as Natco Pharma Ltd. The company promoted by VC Nannapaneni in 1981, is an R&D focused player with strong focus on oncology and hepatology. The company is a vertically integrated pharmaceutical company focused in a niche strategy. The company is respected across the world for “its ability to develop world class generic products at one of the lowest costs”. The company’s business model is an alliance based model where the company develops a hard to make opportunistic product and then finds and approaches a partner to help out with the litigation and marketing of that product. Cost leadership does not mean that the company does not match the quality of the well-known brands, but the company manages to keep the costs low by eliminating frills expenses and by exploiting economies of scale. It is result of this complex strategic leverage that while in USA innovative treatments easily amount to over \$4,000 per month, in India generics can be brought into market at 1/10 to 1/20 of the innovator price. The phenomenal growth of store brand purchases is a testament to the power of a cost focus as a means to sell at lower prices. A study by Accenture found that annual sales of store brands had increased 40% over the past decade. A total of 64% of U.S. shoppers said that store brands comprised 50% of their groceries. The same study asked why people purchased store brands. They found that 66% of shoppers bought store brands because they were cheaper, and 87% said they would buy brand-name products but only if they were the same price as the store brand.

Differentiation focus, like cost focus, concentrates on a particular buyer group, product line segment, or geographic market. This is the strategy successfully followed by Midamar Corporation (distributor of halal foods), Morgan Motor Car Company (a manufacturer of classic British sports cars), Nickelodeon (a cable channel for children), OrphageniX (pharmaceuticals), and local ethnic grocery stores. In using differentiation focus, a company or business unit seeks differentiation in a targeted market segment. This strategy is valued by those who believe that a company or a unit that focuses its efforts is better able to serve the special needs of a narrow strategic target more effectively than can its competition.

Risks in Competitive Strategies

No one competitive strategy is guaranteed to achieve success, and some companies that have successfully implemented one of Porter’s competitive strategies have found that they could not sustain the strategy. Each of the generic strategies has risks. For example, a company following a differentiation strategy must ensure that the higher price it charges for its higher quality is not too far above the price of the competition, otherwise customers will not see the extra quality as worth the extra cost. For years,

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Deere & Company was the leader in farm machinery until low-cost competitors from India and other developing countries began making low-priced products. Deere responded by building high-tech flexible manufacturing plants using mass-customization to cut its manufacturing costs and using innovation to create differentiated products which, although higher-priced, reduced customers' labor and fuel expenses.

Issues in Competitive Strategies

Porter argues that to be successful, a company or business unit must achieve one of the previously mentioned generic competitive strategies. Otherwise, the company or business unit is *stuck in the middle* of the competitive marketplace with no competitive advantage and is doomed to below-average performance. A classic example of a company that found itself stuck in the middle was Kingfisher Airlines. The company was established by Vijay Mallya as a brand which was to be associated with excellent products and services offered. Air Deccan was established as an airline which was meant for the base of the pyramid. After acquiring Air Deccan for its huge customer base and massive network, Kingfisher Airlines rebranded it as Kingfisher Red. The airline with some added frill services became known neither for its services nor as a low-cost airline thereby blurring the two brands and confusing the especially economy class customers who started wondering as to why they should pay extra when they could fly cheaper with similar services on another airline. Therefore, Kingfisher Red was stuck in the middle, hitting both the mother brand and the subsidiary in terms of sales and profits. Although some studies do support Porter's argument that companies tend to sort themselves into either lower cost or differentiation strategies and that successful companies emphasize only one strategy, other research suggests that some combination of the two competitive strategies may also be successful.

The Toyota and Honda auto companies are often presented as examples of successful firms able to achieve both of these generic competitive strategies. Thanks to advances in technology, a company may be able to design quality into a product or service in such a way that it can achieve both high quality and lower costs thus achieving a higher market share. Although Porter agrees that it is possible for a company or a business unit to achieve low cost and differentiation simultaneously, he suggests that this state is often temporary. Porter does admit, however, that many different kinds of potentially profitable competitive strategies exist. Although there is generally room for only one company to successfully pursue the mass market cost leadership strategy (because it is so often tied to maintaining a dominant market share), there is room for an almost unlimited number of differentiation and focus strategies (depending on the range of possible desirable features and the number of identifiable market niches).

Most entrepreneurial ventures follow focus strategies. The successful ones differentiate their product or service from those of others by focusing on customer wants in a segment of the market, thereby achieving a dominant share of that part of the market. Adopting guerrilla warfare tactics, these companies often go after opportunities in market niches too small to justify retaliation from the market leaders.

Industry Structure and Competitive Strategy

Although each of Porter's generic competitive strategies may be used in any industry, certain strategies are more likely to succeed depending upon the type of industry. In a **fragmented industry**, for example, where many small- and medium-sized local companies compete for relatively small shares of the total market, focus strategies will likely predominate. Fragmented industries are typical for products in the early stages of their life cycles. If few economies are to be gained through size, no large firms will emerge and entry barriers will be low—allowing a stream of new entrants into the industry. In India the paper industry, education industry, retail industry, pharmaceutical industry, drycleaners industry etc., are examples of fragmented industries. Even though the Indian pharmaceutical market accounts for approximately 1.4% of the global pharmaceutical industry in value terms and 20% in volume terms, it is a highly fragmented industry with around 24,000 players with only 330 players in the organized sector.

If a company is able to overcome the limitations of a fragmented market, however, it can reap the benefits of a broadly targeted cost-leadership or differentiation strategy. Until Pizza Hut was able to use advertising to differentiate itself from local competitors, the pizza fast-food business was a fragmented industry composed primarily of locally owned pizza parlors, each with its own distinctive product and service offering.

As an industry matures, fragmentation is overcome, and the industry tends to become a **consolidated industry** dominated by a few large companies. Although many industries start out being fragmented, battles for market share and creative attempts to overcome local or niche market boundaries often increase the market share of a few companies. After product standards become established for minimum quality and features, competition shifts to a greater emphasis on cost and service. Slower growth, overcapacity, and knowledgeable buyers combine to put a premium on a firm's ability to achieve cost leadership or differentiation along the dimensions most desired by the market. R&D shifts from product to process improvements. Overall product quality improves, and costs are reduced significantly.

The *strategic rollout* was developed in the mid-1990s as an efficient way to quickly consolidate a fragmented industry. With the aid of money from venture capitalists and private equity firms, a single company acquires hundreds of owner-operated small businesses. The resulting large firm creates economies of scale by building

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regional or national brands, applies best practices across all aspects of marketing and operations, and hires more sophisticated managers than the small businesses could previously afford. Rollups differ from conventional mergers and acquisitions in three ways: (1) they involve large numbers of firms, (2) the acquired firms are typically owner operated, and (3) the objective is not to gain incremental advantage, but to reinvent an entire industry. Examples of rollups are in the anti-freeze (waste glycol) recycling industry led by GlyEco Inc. and legendary rollup artist John Lorenz, and in the shredding and record storage industry led by Business Records Management and Cornerstone Records Management.

Once consolidated, an industry will become one in which cost leadership and differentiation tend to be combined to various degrees, even though one competitive strategy may be primarily emphasized. A firm can no longer gain and keep high market share simply through low price. The buyers are more sophisticated and demand a certain minimum level of quality for price paid. Colgate Palmolive company, a leader in soap, toothpaste, and toothbrushes used customer's obsession for whiter teeth to create optic white toothpaste (at a premium price) to help increase the company's overall market share in the toothpaste. The same is true for firms emphasizing high quality. Either the quality must be high enough and valued by the customer enough to justify the higher price, or the price must be dropped (through lowering costs) to compete effectively with the lower-priced products. Apple has consistently chosen to increase the capabilities of their products instead of dropping the price. Even though tablets are now available in a wide variety of sizes, capabilities, and price points, Apple has chosen to maintain their premium price and add features. They allow no discounting and no sales of their products. Consolidation is taking place worldwide in the banking, airline, cell phone, and home appliance industries. For an example of how a company can challenge what is still a fragmented industry and change the way the whole industry operates, see the **Innovation Issue** feature on Asian paints.

Hypercompetition and Competitive Advantage Sustainability

Some firms are able to sustain their competitive advantage for many years, but most find that competitive advantage erodes over time. In his book *Hypercompetition*, D'Aveni proposes that it is becoming increasingly difficult to sustain a competitive advantage for very long. "Market stability is threatened by short product life cycles, short product design cycles, new technologies, frequent entry by unexpected outsiders, repositioning by incumbents, and tactical redefinitions of market boundaries as diverse industries merge." Consequently, a company or business unit must constantly work to improve its competitive advantage. It is not enough to be just the lowest-cost competitor. Through continuous improvement programs, competitors are usually working to lower their costs as



INNOVATION ISSUE

Asian paints and the Indian paint industry

Innovation in strategy sometimes means being able to gain advantage in an industry that refuses to acknowledge a change in customer behaviour. One market that has remained mired in the past has been the Indian paint sector. The business moderate dates back a long time where painting home was considered an activity which was taken up only on occasions. Traditionally, the Indian paint industry was an extremely fragmented and an unorganized sector. However today, it has become an anytime activity targeted at motivation of experiencing change. The market size of the Indian paint sector has been estimated to be ₹170 bn in value terms. One company which can be credited with identifying this change in the consumer behavior and developing proactive strategies is Asian Paints.

Asian paints is India's leading manufacturer of paints and coatings. It was in the early 2000s, that the company implemented ERP and advanced supply-chain management systems which allowed it to develop a platform for improvements in internal operations and customer facing processes. In 2010, the company also centralized the order taking process which further helped to improve operational efficiencies and sustained growth in a fragmented industry. As a result of centralized order taking process the sales team could redirect their time and resources on building stronger relationships. Over the years, Asian paints investment in IT capabilities have synergistically combined with organizational and process changes to create a successful organization which is able to change the way on how the whole industry operates.

well. Firms must find new ways not only to reduce costs further but also to add value to the product or service being provided.

The same is true of a firm or unit that is following a differentiation strategy. Maytag Corporation, for example, was successful for many years by offering the most reliable brand in North American major home appliances. It was able to charge the highest prices for Maytag brand washing machines. When other competitors improved the quality of their products, however, it became increasingly difficult for customers to justify Maytag's significantly higher price. Consequently, Maytag Corporation was forced not only to add new features to its products but also to reduce costs through improved manufacturing processes so that its prices were no longer out of line with those of the competition. D'Aveni's theory of hypercompetition is supported by developing research on the importance of building *dynamic capabilities* to better cope with

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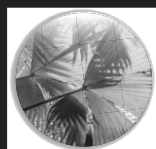
uncertain environments (discussed previously in **Chapter 4** in the resource-based view of the firm).

D'Aveni contends that when industries become hypercompetitive, they tend to go through escalating stages of competition. Firms initially compete on cost and quality, until an abundance of high-quality, low-priced goods result. This occurred in the U.S. major home appliance industry up through 1980. In a second stage of competition, the competitors move into untapped markets. Others usually imitate these moves until their actions become too risky or expensive. This epitomized the major home appliance industry during the 1980s and 1990s, as strong U.S. and European firms like Whirlpool, Electrolux, and Bosch-Siemens established a presence in both Europe and the Americas and then moved into Asia. Strong Asian firms like LG and Haier likewise entered Europe and the Americas in the late 1990s.

According to D'Aveni, firms then raise entry barriers to limit competitors. Economies of scale, distribution agreements, and strategic alliances made it all but impossible for a new firm to enter the major home appliance industry by the end of the 20th century. After the established players have entered and consolidated all new markets, the next stage is for the remaining firms to attack and destroy the strongholds of other firms. Maytag's inability to hold onto its North American stronghold led to its acquisition by Whirlpool in 2006. Eventually, according to D'Aveni, the remaining large global competitors can work their way to a situation of perfect competition in which no one has any advantage and profits are minimal.

Before hypercompetition, strategic initiatives provided competitive advantage for many years, perhaps for decades. Except for a few stable industries, this is no longer the case. According to D'Aveni, as industries become hypercompetitive, there is no such thing as a sustainable competitive advantage. Successful strategic initiatives in this type of industry typically last only months to a few years. According to D'Aveni, the only way a firm in this kind of dynamic industry can sustain any competitive advantage is through a continuous series of multiple short-term initiatives aimed at replacing a firm's current successful products with the next generation of products before the competitors can do so. Consumer product companies like Procter & Gamble, Kraft, and Kimberly Clark are taking this approach in the hypercompetitive household products industry.

Hypercompetition views competition, in effect, as a distinct series of ocean waves on what used to be a fairly calm stretch of water. As industry competition becomes more intense, the waves grow higher and require more dexterity to handle. Although a strategy is still needed to sail from point A to point B, more turbulent water means that a craft must continually adjust course to suit each new large wave. One danger of D'Aveni's concept of hypercompetition, however, is that it may lead to an overemphasis on short-term **tactics** (discussed in the next section) over long-term



SUSTAINABILITY ISSUE

STRATEGIC SUSTAINABILITY—ESPN

A sustainable strategy has many components. This is especially true in the hypercompetitive sports entertainment industry. Around the world, there is an almost maniacal love of sports, sports teams, sports superstars, and sports trivia. While this phenomenon is nothing new, technology advances have raised this “want” to an instant gratification level.

This was not always the way it was. Way back in the 1970s, we watched sports when the three networks deemed that we were to watch sports. We watched only the teams that they chose and it was rare to see any sports that were not considered to be mainstream. When you think about the staggering number of sporting events that occur every day around the world, it was amazing how few were shown on television.

All that changed with the founding of ESPN (Entertainment and Sports Programming Network) in 1979 in Bristol, Connecticut. Aired with little content, a show called Sports Center, and a lot of Australian Rules Football, the company sought out an approach in a field that had been dominated by the major league sports teams. The new ESPN moved to 24-hour broadcasting on September 1, 1980. ESPN quickly realized that a sustainable competitive advantage required contracts. All the analysis in the world would not make up for the fact that fans were watching other channels. The top management at ESPN also realized that it would not just be about keeping viewers tied to a single television channel as the industry standard was at the time.

The company opened up new television channels, created a radio station broadcast for stations across the country, moved aggressively into the Internet, and is the leader in mobile broadcasting of sports. Today, despite the issue of viewers unplugging from cable subscriptions, ESPN is still the undisputed king of sports broadcasting with over 95 million cable subscribers. Now a part of Disney, its 2015 revenue was just over US\$9.5 billion. ESPN charges cable companies US\$6.55 per month/per subscriber in an industry where the average is US\$0.20/month/subscriber. The company has bet its sustainability in this market on its contracts with the NFL (through 2021), MLB (2021), NBA (2025), College Football Playoffs (2025), US Open (2026), and Wimbledon (2023), as well as a series of exclusive or partially shared contracts with major colleges and conferences. It caters to the sports enthusiast by providing that customer with the access and

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information they desire in the manner they desire it. The company then takes each successful platform to advertisers and monetizes the platform. ESPN is unconcerned about cannibalizing platforms because they seek to continually reinvent the company.

SOURCES: R Nakashima, "Sports Costs at ESPN weigh down Disney's Force-ful quarter," TheLedge.com, February 9, 2016 (www.theledger.com/article/20160209/news/160209388&tc=yahoo?p=3&tc=pg); F. Bi, "ESPN Leads All Cable Networks in Affiliate Fees," Forbes, January 8, 2015 (www.forbes.com/sites/frankbi/2015/08/espn-leads-all-cable-networks-in-affiliate-fees/#104711cce60c); espn.go.com; K. T. Greenfeld, "ESPN Is Running Up the Score," Bloomberg Businessweek (September 3, 2012), pp. 58–64; <http://frontrow.espn.go.com/category/espn-history/>; <http://a.espn.com/espninc/pressreleases/chronology.html>; Hawkins, S. "Big 12 reaches \$2.6B deal with ESPN, Fox Sports," Accessed 6/1/13, <http://www.boston.com/sports/colleges/2012/09/07/big-reaches-deal-with-espn-fox-sports/MbkpeOW4xEyX78F3FfHPcI/story.html>.

strategy. Too much of an orientation on the individual waves of hypercompetition could cause a company to focus too much on short-term temporary advantage and not enough on achieving its long-term objectives through building sustainable competitive advantage. Nevertheless, research supports D'Aveni's argument that sustained competitive advantage is increasingly a matter not of a single advantage maintained over time, but more a matter of sequencing advantages over time.

For an example of how a company can achieve sustainable competitive advantages in a hypercompetitive market, see the **Sustainability Issue** feature about ESPN.

5.3.2 Cooperative Strategies

A company uses competitive strategies to gain competitive advantage within an industry by battling against other firms. These are not, however, the only business strategy options available to a company or business unit for competing successfully within an industry. A company can also use **cooperative strategies** to gain competitive advantage within an industry by working with other firms. The two general types of cooperative strategies are collusion and strategic alliances.

Collusion

Collusion is the active cooperation of firms within an industry to reduce output and raise prices in order to get around the normal economic law of supply and demand. Collusion may be explicit, in which case firms cooperate through direct communication and negotiation, or tacit, in which case firms cooperate indirectly through an informal system of signals. Explicit collusion is illegal in most countries and in a number of regional trade associations, such as the European Union. For examples Competition

Commission of India (CCI) during 2015–2016, evaluated cases of cartel formation for example in the National Insurance Company and Ors (Case No 02/2014: where four public sector insurance companies, namely, National Insurance Company Limited, New India Assurance Company Limited, Oriental Insurance Company Limited and United Insurance Company Limited were alleged of forming a cartel for increasing the premium for Rashtriya Swasthya Bima Yojna (RSBY)). The four insurance companies were penalized to ₹16280 crore, ₹251.07 crore, ₹100.56 crore, and ₹156.62 crore respectively for impugned conduct.

Collusion can also be tacit, in which case there is no direct communication among competing firms. According to Barney, tacit collusion in an industry is most likely to be successful if (1) there are a small number of identifiable competitors, (2) costs are similar among firms, (3) one firm tends to act as the price leader, (4) there is a common industry culture that accepts cooperation, (5) sales are characterized by a high frequency of small orders, (6) large inventories and order backlogs are normal ways of dealing with fluctuations in demand, and (7) there are high entry barriers to keep out new competitors.

5.4 STRATEGIC ALLIANCES

A **strategic alliance** is a long-term cooperative arrangement between two or more independent firms or business units that engage in business activities for mutual economic gain. Alliances between companies or business units have become a fact of life in modern business. Each of the top 500 global business firms now averages 60 major alliances. Some alliances are very short term, only lasting long enough for one partner to establish a beachhead in a new market. Over time, conflicts over objectives and control often develop among the partners. For these and other reasons, around half of all alliances (including international alliances) perform unsatisfactorily. Others are more long-lasting and may even be preludes to full mergers between companies.

Many alliances do increase profitability of the members and have a positive effect on firm value. A study by Cooper & Lybrand found that firms involved in strategic alliances had 11% higher revenue and a 20% higher growth rate than did companies not involved in alliances. Forming and managing strategic alliances is a capability that is learned over time. Research reveals that the more experience a firm has with strategic alliances, the more likely that its alliances will be successful. (There is some evidence, however, that too much partnering experience with the same partners generates diminishing returns over time and leads to reduced performance.) Consequently, leading firms are making investments in building and developing their partnering capabilities.

Companies or business units may form a strategic alliance for a number of reasons, including:

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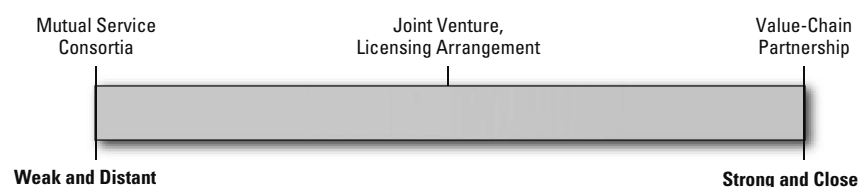
- 5-4. Identify the types of strategic alliances

N O T E S

1. **To obtain or learn new capabilities:** In 2015, General Motors formed an alliance with the car sharing service Lyft by purchasing a 9% equity ownership interest in the firm. They plan to put multiple car-sharing programs under a single brand called Maven. Lyft has proven its expertise in the area and General Motors is looking for appropriate outlets for a fleet of new electric vehicles and a market leadership position. Alliances are especially useful if the desired knowledge or capability is based on tacit knowledge or on new poorly understood technology. A study found that firms with strategic alliances had more modern manufacturing technologies than did firms without alliances.
2. **To obtain access to specific markets:** Rather than buy a foreign company or build breweries of its own in other countries, AB InBev chose to license the right to brew and market Budweiser to other brewers, such as Labatt in Canada, Modelo in Mexico, and Kirin in Japan. As another example, U.S. defense contractors and aircraft manufacturers selling to foreign governments are typically required by these governments to spend a percentage of the contract/purchase value, either by purchasing parts or obtaining sub-contractors, in that country. This is often achieved by forming value-chain alliances with foreign companies either as parts suppliers or as sub-contractors. In a survey by the *Economist Intelligence Unit*, 59% of executives stated that their primary reason for engaging in alliances was the need for fast and low-cost expansion into new markets.
3. **To reduce financial risk:** Alliances take less financial resources than do acquisitions or going it alone and are easier to exit if necessary. For example, because the costs of developing new large jet airplanes were becoming too high for any one manufacturer, Aerospatiale of France, British Aerospace, Construcciones Aeronáuticas of Spain, and Daimler-Benz Aerospace of Germany formed a joint consortium called Airbus Industrie to design and build such planes. Using alliances with suppliers is a popular means of outsourcing an expensive activity.
4. **To reduce political risk:** Forming alliances with local partners is a good way to overcome deficiencies in resources and capabilities when expanding into international markets. To gain access to China while ensuring a positive relationship with the often restrictive Chinese government, Maytag Corporation formed a joint venture with the Chinese appliance maker, RSD.

Cooperative arrangements between companies and business units fall along a continuum from weak and distant to strong and close. (See **Figure 5–2**.) The types of alliances range from mutual service consortia to joint ventures and licensing arrangements to value-chain partnerships.

Mutual Service Consortia. A **mutual service consortium** is a partnership of similar companies in similar industries that pool



SOURCE: Based on Collaborative Advantage: The Art of Alliances by R. M. Kanter (July–August 1994). *Harvard Business Review*. © Thomas L. Wheelen.

Figure 5.2 Continuum of Strategic Alliances

their resources to gain a benefit that is too expensive to develop alone, such as access to advanced technology. For example, IBM established a research alliance with Sony Electronics and Toshiba to build its next generation of computer chips. The result was the “cell” chip, a microprocessor running at 256 gigaflops—around 10 times the performance of the fastest chips currently used in desktop computers. Referred to as a “supercomputer on a chip,” cell chips are used by Sony in its PlayStation 3, by Toshiba in its high-definition televisions, and by IBM in its super computers. The mutual service consortia is a fairly weak and distant alliance—appropriate for partners that wish to work together but not share their core competencies. There is very little interaction or communication among the partners.

Joint Venture. A **joint venture** is a “cooperative business activity, formed by two or more separate organizations for strategic purposes, that creates an independent business entity and allocates ownership, operational responsibilities, and financial risks and rewards to each member, while preserving their separate identity/autonomy.” Along with licensing arrangements, joint ventures lie at the midpoint of the continuum and are formed to pursue an opportunity that needs a capability from two or more companies or business units, such as the technology of one and the distribution channels of another.

Joint ventures are the most popular form of strategic alliance. They often occur because the companies involved do not want to or cannot legally merge permanently. Joint ventures provide a way to temporarily combine the different strengths of partners to achieve an outcome of value to all. For example, Proctor & Gamble formed a joint venture with Clorox to produce food-storage wraps. P&G brought its cling-film technology and 20 full-time employees to the venture, while Clorox contributed its bags, containers, and wraps business.

Extremely popular in international undertakings because of financial and political–legal constraints, forming joint ventures is a convenient way for corporations to work together without losing their independence. Between 30% and 55% of international joint ventures include three or more partners. The disadvantages of joint ventures include loss of control, lower profits,

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probability of conflicts with partners, and the likely transfer of technological advantage to the partner. Joint ventures are often meant to be temporary, especially by some companies that may view them as a way to rectify a competitive weakness until they can achieve long-term dominance in the partnership. Partially for this reason, joint ventures have a high failure rate. Research indicates, however, that joint ventures tend to be more successful when both partners have equal ownership in the venture and are mutually dependent on each other for results.

Licensing Arrangements. A **licensing arrangement** is an agreement in which the licensing firm grants rights to another firm in another country or market to produce and/or sell a product. The licensee pays compensation to the licensing firm in return for technical expertise. Licensing is an especially useful strategy if the trademark or brand name is well known but the MNC does not have sufficient funds to finance its entering the country directly. For example, Yum! Brands successfully used franchising and licensing to establish its KFC, Pizza Hut, Taco Bell, Long John Silver's, and A&W restaurants throughout the world. By 2016, Yum! Brands had used that strategy to open more than 7,100 restaurants in China and had plans to open 600 more by year's end. This strategy also becomes important if the country makes entry via investment either difficult or impossible. The danger always exists, however, that the licensee might develop its competence to the point that it becomes a competitor to the licensing firm. Therefore, a company should never license its distinctive competence, even for some short-run advantage.

Value-Chain Partnerships. A **value-chain partnership** is a strong and close alliance in which one company or unit forms a long-term arrangement with a key supplier or distributor for mutual advantage. In 2015 Facebook partnered with nine news organizations to allow the news organizations (including powerhouses like the *New York Times* and *NBC News*) to post stories on the Facebook site. The partnership allows the news organizations to keep the advertising revenue from those posts while Facebook increases the amount of time that a particular customer is on their site.

To improve the quality of parts it purchases, companies in the U.S. auto industry, for example, have decided to work more closely with fewer suppliers and to involve them more in product design decisions. Activities that had previously been done internally by an automaker are being outsourced to suppliers specializing in those activities. The benefits of such relationships do not just accrue to the purchasing firm. Research suggests that suppliers that engage in long-term relationships are more profitable than suppliers with multiple short-term contracts.

All forms of strategic alliances involve uncertainty. Many issues need to be dealt with when an alliance is initially formed,

and others emerge later. Many problems revolve around the fact that a firm's alliance partners may also be its competitors, either immediately or in the future. According to Professor Peter Lorange, one thorny issue in any strategic alliance is how to cooperate without giving away the company or business unit's core competence: "Particularly when advanced technology is involved, it can be difficult for partners in an alliance to cooperate and openly share strategic know-how, but it is mandatory if the joint venture is to succeed." It is, therefore, important that a company or business unit that is interested in joining or forming a strategic alliance consider the strategic alliance success factors listed in **Table 5-1**.

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STRATEGIC ALLIANCE SUCCESS FACTORS

- ⇒ Have a clear strategic purpose. Integrate the alliance with each partner's strategy. Ensure that mutual value is created for all partners.
- ⇒ Find a fitting partner with compatible goals and complementary capabilities.
- ⇒ Identify likely partnering risks and deal with them when the alliance is formed.
- ⇒ Allocate tasks and responsibilities so that each partner can specialize in what it does best.
- ⇒ Create incentives for cooperation to minimize differences in corporate culture or organization fit.
- ⇒ Minimize conflicts among the partners by clarifying objectives and avoiding direct competition in the marketplace.
- ⇒ In an international alliance, ensure that those managing it have comprehensive cross-cultural knowledge.
- ⇒ Exchange human resources to maintain communication and trust. Don't allow individual egos to dominate.
- ⇒ Operate with long-term time horizons. The expectation of future gains can minimize short-term conflicts.
- ⇒ Develop multiple joint projects so that any failures are counterbalanced by successes.
- ⇒ Agree on a monitoring process. Share information to build trust and keep projects on target. Monitor customer responses and service complaints.
- ⇒ Be flexible in terms of willingness to renegotiate the relationship in terms of environmental changes and new opportunities.
- ⇒ Agree on an exit strategy for when the partners' objectives are achieved or the alliance is judged a failure.

SOURCES: Compiled from B. Gomes-Casseres, "Do You Really Have an Alliance Strategy?" *Strategy & Leadership* (September/October 1998), pp. 6–11; L. Segil, "Strategic Alliances for the 21st Century," *Strategy & Leadership* (September/October 1998), pp. 12–16; and A. C. Inkpen and K-Q. Li, "Joint Venture Formation: Planning and Knowledge Gathering for Success," *Organizational Dynamics* (Spring 1999), pp. 33–47. Inkpen and Li provide a checklist of 17 questions on p. 46.

5.5 SUMMARY

Once environmental scanning is completed, situational analysis calls for the integration of this information. Utilizing the elements of a SWOT chart is one of the more popular methods for classifying external and internal information. We recommend using the SFAS Matrix as one way to identify a corporation's strategic factors.

Business strategy is composed of both competitive and cooperative strategy. As the external environment becomes more uncertain, an increasing number of corporations are choosing to simultaneously compete *and* cooperate with their competitors. These firms may cooperate to obtain efficiency in some areas, while each firm simultaneously tries to differentiate itself for competitive purposes. Raymond Noorda, Novell's founder and former CEO, coined the term *co-opetition* to describe such simultaneous competition and cooperation

among firms. One example is the collaboration between competitors DHL and UPS in the express delivery market. DHL's American delivery business was losing money and UPS' costly airfreight network had excess capacity. Under the terms of a 10-year agreement signed back in 2008, UPS carries DHL packages in its American airfreight network for a fee. The agreement covers only air freight, leaving both firms free to compete in the rest of the express parcel business. A careful balancing act, co-opetition involves the careful management of alliance partners so that each partner obtains sufficient benefits to keep the alliance together. A long-term view is crucial. An unintended transfer of knowledge could be enough to provide one partner a significant competitive advantage over the others. Unless that company forebears from using that knowledge against its partners, the alliance will be doomed.

5.6 KEY TERM

business strategy (p. 156)
collusion (p. 163)
common thread (p. 155)
competitive scope (p. 156)
competitive strategy (p. 156)
consolidated industry (p. 160)
cost focus (p. 157)
cost leadership (p. 156)
differentiation (p. 156)
differentiation focus (p. 158)
differentiation strategy (p. 157)
fragmented industry (p. 160)

joint venture (p. 166)
licensing arrangement (p. 166)
lower-cost strategy (p. 157)
mutual service consortium (p. 165)
propitious niche (p. 154)
SFAS (Strategic Factors Analysis Summary) Matrix (p. 151)
strategic alliance (p. 164)
strategy formulation (p. 150)
SWOT (p. 150)
tactics (p. 162)
value-chain partnership (p. 166)

5.7 REVIEW QUESTIONS

- 5-1. What industry forces might cause a niche to appear or disappear?
- 5-2. What does a business have to consider when trying to follow a cost leadership strategy and a differentiation strategy simultaneously? Can you name a company doing this?
- 5-3. How can a company achieve a sustainable competitive advantage when its industry becomes hypercompetitive?
- 5-4. Why are many strategic alliances temporary?
- 5-5. Discuss in detail the primary criticisms of SWOT analysis. What are some of the new tools which a strategic manager can use in order to develop strategies? Give examples.
- 5-6. Discuss the elements of a well-crafted mission statement. Analyse any five company's mission statement and judge if they are good mission statements.

- 5-7. Explain the competitive and cooperative strategies available to companies.
- 5-8. Write short notes on following:
 - Risks and competitive strategies
 - Issues and competitive strategies
- 5-9. Discuss various stages in an industry life cycle and the competitive strategies which can be used in each one of the stages.
- 5-10. Highlight the difference between product lifecycle and industry life cycle.
- 5-11. What do you understand by conclusion? How is it different from strategic alliance? What are the reasons for a company forming strategic alliance?
- 5-12. Discuss the different types of strategic alliances. Give examples from the Indian economy.

5.8 STRATEGIC PRACTICE EXERCISE

Select an industry to analyze. Identify companies for each of Porter's four competitive strategies. How many different kinds of differentiation strategies can you find?

INDUSTRY: _____

Cost Leadership: _____

Differentiation: _____

Cost Focus: _____

Differentiation Focus: _____

5.9 CLASS DISCUSSION CASE

Queens Magic Land*

Kavya Gupta, the Managing Director of Queens Magic Land was wondering what had hit her after coming out of the meeting with the top management. In the last three-four years she was the star of the company and everybody had praised her for her efforts in turning around the company. Today, the company was considered among the top theme parks available in North India and it had come a long way from a point where the company had almost shut its business a few years back. But today in the meeting it felt like the entire world had fallen apart as she went from being the star of the company a few years ago to becoming a villain who had again brought them back to where they had started.

Background

Kavya was a very strong leader with a focus on delivering the results and had an eye for identifying the opportunities that existed in the market. Kavya's journey with Queens Magic Land had started around five years back as the Managing Director when she took on the challenge of turning around a business which the company had planned to close down.

She was an MBA graduate from one of the most prestigious B-Schools in India. Her first placement was with India's top theme park in Mumbai. She had climbed the ladder in the theme park in Mumbai with her years of experience with them. However, her career with them after a time had stagnated as all the top management positions were given to the family members. Therefore, when Queens Magic Land had approached her to run their theme park business line, she gladly accepted. It was not only a good move professionally but also personally she thought of it as a blessing as she would get a chance to be close to her family who were in Chandigarh.

Soon after joining the company, as the Managing Director (MD) in 2010, she realised that the company had a sick unit in Himachal Pradesh and was planning to shut it down. She recalls how after careful evaluation she had put the idea to the board that the unit need not shut down and the board had opposed her idea tooth and nail. She had put her job at stake for her gut and she had not regretted it. Having an eye for minute details she made the management invest in data analytic capabilities which allowed her to study the footfall details

on a daily basis. She used these inputs to design offers which attracted more and more customers to the park. And using this new analytic inputs she was able to turnaround the fortunes of the company in 3 years and make the theme park business profitable.

Despite the good performance she did not rest on her laurels and was in constant search for more options to grow the business. One day, as she was going through an article in a leading business newspaper, which was blaming junk food for obesity problems in children, which triggered an idea that why not Queens Magic Land offer healthier food and snack options, as a differentiating criteria from other theme parks and quick service restaurants operating in the market. The idea was presented to the management and got the required approval. The results were also good as parents appreciated the idea of healthier snacks even though it was at a premium price being consumed by their children in a theme park environment. The brand got appreciation even from health organizations and NGO's promoting healthier food habits among young consumers. The results for first year were very good and Kavya along with management decided to open a chain of restaurants offering this healthy food and snacking restaurant in North India starting from New Delhi. The company had funds and expanded very rapidly, opening around 10 restaurants in different parts of North India in the first six months itself. But the decision backfired and from this point onwards the problems started.

Background of the Company

Queens Magic Land was a 30 year old company operating in the business of theme park since the 1980's when the business idea started picking up in our country. The company did very well in its initial years and was a market leader in this business for around the first twenty years of its existence. Its ideal business model is to design a theme park which is spread over 100 acres of land and is therefore not in the city but near to the city. The theme parks have this self-sustenance quality, ensuring that the visitors get everything they need from the park itself. To meet these diverse needs, QSR (quick serving restaurants), ideally outsources shops and counters to independent traders.

These theme parks are planned vacation destination and the company has around five of them in Delhi, Chennai, Bangalore, Baddi (Himachal Pradesh) and Mumbai. But off-late it had started facing problems due to competition from both the bigger players and even from smaller and niche players who were mushroomed in the nearby areas. The company which had a market share of around 70% till the year 2004 had seen its shares drop to around 15% only in the year 2009 and was contemplating on shutting down this business or selling it. This is when one of the HR heads pointed out to the management that they can hire a candidate who had helped in establishing a theme park in Mumbai and had helped that theme park grow to such heights that it had started giving tough competition to larger players present in the market since the beginning and was even eating into their market share. The park under that lady's guidance had become a huge success story which had brought her into the limelight as a transformational leader. So the management approached her with an offer for the position of MD to help them turnaround this business.

Business Environment

The theme park industry had grown in India with a report from Euromonitor International, stating that around 153 amusement parks had been opened in India between 1984 and 2013. Euromonitor had estimated annual revenues from Indian theme park business in 2013 at around ₹2000 crores and expected to reach ₹2600 crore at a CAGR (Compound Annual Growth Rate) of 4% by 2018. And as per another report by Mintel, the volume growth expected was even larger at CAGR of 18.9% till 2017 to reach a figure of 129.1 million visitors. The numbers presented a very good picture for the industry but there were challenges facing the industry too with the biggest of them being to bring about a behavioural change among Indian consumers who prefer to spend time either at multiplexes, on their laptops etc. So the challenge is to make sure the people who visit keep returning by continuously offering new activities and by tweaking the offerings very regularly. Another issue is these park revenues are majorly dependent on ticket sales and relying only on ticket sales is a riskier proposition. And another major challenge confronting theme parks is whether the Indian theme parks can scale to a level to become destination parks which can help them earn more revenues and reduce their dependency on ticket sales.

Thus, organization and its MD, Kavya were facing a big question as to how to increase the profits for the company further as there was a point to which they could increase the ticket sales, and beyond that, it would have been difficult to increase the profits. Also, for Indian theme parks and Queens Magic Land in general, 75-80% revenues came from ticket sales whereas globally this figure was 60% only with rest 40% revenue coming from food and beverages and merchandise. So Kavya decided that the company needed to focus on increasing the revenues from food and beverage category by offering a differentiated and healthy snack and food option for its customers which was not being offered by anybody else. And the success which the company achieved in this category along

with the predicted CAGR of 27% to increase the industry size from ₹3211.2 crore to ₹2,49,760 crore made them take a decision to open a quick service restaurant chain business. Also, India's food market was expected to grow from ₹4,46,000 crore in 2011, to ₹10,70,400 crore by 2020. This was also backed by other factors like young population with rising disposable incomes and increasing urbanization with 530 million people expected to reside in urban areas and changing lifestyle like rising culture of eating out and subsequent changing of eating habits. The only deterrent to the company was from the competition which it will have to face from the international players like McDonalds, Pizza Hut, Dominos, KFC, and a lot of Indian players like Nirulas, Haldirams, Bikanerwala, Burger Singh etc. But the enormous size of the market and healthy food positioning as compared to these players was enough to convince the management about taking a plunge in this quick service restaurant business.

Reasons for Taking a Plunge in QSR Chain Business

There were a lot of reasons for the company to go for the diversification route and expand into the quick service restaurant business as the company had developed an expertise in this field by hiring experienced nutritionists from the country for their restaurants within the theme parks to offer healthier food and snacking options. And as it is clear from the data presented above, the company under the leadership of Kavya was looking to grow at an even faster pace which the theme park business would not have offered, so the other alternative available to them was to take a plunge in the Indian QSR industry which had a huge potential for growth and there were no options available in the market offering a menu comprising a healthier food and snacking options. This decision made sense as they had already received good reviews from the customers visiting their theme parks stating that they were happy with the option of healthier food being provided to them and their kids. The company also wanted to expand due to the fact that they had surplus funds available with them to invest after the business turnaround that company had experienced under the leadership of Kavya.

The Failure of QSR Business

When the company had decided to take the decision to enter the quick service restaurant business it had seemed at the time a very good strategic decision based on the growth figures that the industry had achieved in the Indian market and with the projections till 2020 presenting an even better picture. The company had also developed an expertise in this business with around 35% of theme park's revenues for Queens Magic Land coming from the food and beverage business which was very close to global standards from an earlier share of around 15-20% only. All these results actually made the company and its MD decide that they will be investing in the QSR business in North Indian market with a complete focus on offering a marketing mix comprising of healthier food and snacking options at a premium price, at prime locations of chosen cities, beginning from New Delhi. The first restaurant of the chain was launched with huge fanfare with Bollywood celebrities being

invited for the opening ceremony. Then within six months the company had opened up around 10 restaurants in New Delhi and other northern states like Punjab, Haryana and 2 in Himachal Pradesh in Shimla and Mcloedganj.

The company had decided to target people from all the age groups based on how theme parks generally target the entire families to come and have a family outing, which was significantly different from traditional target segment of people in age bracket of 16-35 years. Initially, a lot of people visited the restaurant and were very happy with the kind of product mix being made available to them, but slowly after the interest started fading away, the restaurants found it difficult to attract the customers. And by the end of the first year all the restaurants were into losses. The industry was also in distress due to the slowdown in consumer expenses, and due to an increasing competition from a lot of new players entering into the market, like the hyperlocal food delivery start-ups and food vans. The margins had been squeezed due to high rental and operational costs reaching up to 32-36% of total cost of running a QSR outlet. Kavya could not find out the reason as to why a product and a marketing mix which was a huge hit among consumers in the theme park in a monopolistic environment, could not

succeed in the market. She was amazed as to how after getting such good reviews from the customers in the initial months about the product mix being offered, the business was not able to perform as per the expectations of the company. And she had to find an answer for this problem and again force a turnaround like she had done in the first instance to again gain the confidence of the top management.

Questions for Discussion

1. What according to you were the reasons for the failure of the quick restaurant service business launched by Queens Magic Land?
2. If you had been in place of Kavya, what would you have done differently to make sure that the business venture turned out to be a success.
3. What according to you, should be the competitive strategy adopted by Queens Magic Land to counter the competition it was facing from other QSR's like McDonalds, KFC, Dominos, Nirulas etc?

**DISCLAIMER: This is a fictional case study prepared by Dr Purva Kansal and Neeraj Gupta (Research Scholar, UBS).*

5.10 MULTIPLE-CHOICE QUESTIONS

- 5-1. Strategy formulation or strategic planning begins with a(n) _____, which is the process of finding a strategic fit between external opportunities and internal strengths while working around external threats and internal weaknesses.
 - A. environmental analysis.
 - B. position analysis.
 - C. strategic evaluation.
 - D. objective analysis.
 - E. situation analysis.
- 5-2. One desired outcome of analyzing strategic factors is identifying niches where an organization can use its _____ to take advantage of a particular market opportunity.
 - A. differentiating capabilities.
 - B. distinctive competencies.
 - C. situational proficiency.
 - D. core competencies.
 - E. distinctive characteristics.
- 5-3. An acronym for the assessment of the external and internal environments of the business corporation in the process of strategy formulation/strategic planning is
 - A. PET.
 - B. MBO.
 - C. SWOT.
 - D. SBU.
 - E. ROI.
- 5-4. The T in SWOT represents
 - A. threat.
 - B. tactic.
 - C. technique.
 - D. task.
 - E. time.
- 5-5. The text authors note that the essence of strategy is
 - A. opportunity divided by capacity.
 - B. strength divided by opportunity.
 - C. threat divided by capacity.
 - D. threat divided by opportunity.
 - E. opportunity divided by threat.
- 5-6. All of the following reflect criticisms of the SWOT analysis EXCEPT
 - A. it is simply the opinions of those filling out the boxes.
 - B. virtually everything that is a strength is also a weakness.
 - C. it provides a rational link to strategy implementation.
 - D. virtually everything that is an opportunity is also a threat.
 - E. there is no tie to the view from the customer.
- 5-7. In the development of an SFAS matrix, the first step is to
 - A. enter the ratings of how the company's management is responding to each of the strategic factors.
 - B. calculate the weighted scores.
 - C. list the most important EFAS and IFAS items.
 - D. indicate short-term goals for the duration.
 - E. enter the weights for all of the internal factors.
- 5-8. The goal of strategy is to find a(n) _____ that is so well suited to the firm's competitive advantages that other organizations are not likely to challenge or dislodge it.
 - A. strategic fit.
 - B. propitious niche.

- C. common thread.
 - D. business screen.
 - E. implicit strategy.
- 5-9.** According to the text, unique market opportunities that are available for only a particular time are called
- A. situational occasions.
 - B. critical openings.
 - C. strategy implementation.
 - D. strategic windows.
- 5-10.** One company that has successfully found a propitious niche is
- A. Coca-Cola.
 - B. PepsiCo.
 - C. Frank J. Zamboni & Company.
 - D. Walmart.
 - E. Disney.

Answer Keys: 5-1. E 5-2. D 5-3. C 5-4. A 5-5. A 5-6. C 5-7. C 5-8. B 5-9. E 5-10. C

6

CHAPTER

STRATEGY FORMULATION: CORPORATE STRATEGY

6.1	Corporate Strategy8
6.2	Directional Strategy
6.2.1	Growth Strategies
6.2.2	Controversies in Directional Growth Strategies
6.2.3	Stability Strategies
6.2.4	Retrenchment Strategies
6.3	Portfolio Analysis
6.3.1	BCG Growth-Share Matrix
6.3.2	Advantages and Limitations of Portfolio Analysis
6.3.3	Managing a Strategic Alliance Portfolio
6.4	Corporate Parenting
6.4.1	Developing a Corporate Parenting Strategy
6.4.2	Horizontal Strategy and Multipoint Competition
6.5	Summary
6.6	Key Term
6.7	Review Questions
6.8	Strategic Practice Exercise
6.9	Multiple-choice Questions

NOTES

HOW DOES A COMPANY GROW IN A MATURING INDUSTRY?



Indian Business Process Outsourcing (BPO) Industry

Indian BPO industry has attracted many domestic and international players over the years. This sector was initially associated with outsourced call centers in India however, since then the industry has come a long way and covers most of the “White collar” functions like back-office administration, middle office international expansion services etc., in the value chain. However, as the BPO market has matured the industry has experienced a slowdown in its growth pushing the IT-BPO providers to look for strategic alternatives to make the company grow. One of the strategic alternatives that the companies are experimenting with in the IT-BPO industry is Merger and Acquisition (M&A) strategy. An ode to this strategy is that 78 deals were announced in 2009, 118 deals were announced in 2010 and as many as 175 deals have been announced this year. One such company which has spent \$ 925 million on BPO buy-outs in India is Concentrix. It is a US based global provider of business services which acquired IBM Daksh for \$505 million in 2013 and a private equity owned Minacs for \$420 million. The acquisition of the two firms strengthened the position of Concentrix as the leading BPO player in India in an industry being referred to as a maturing industry. The acquisition of Minacs is expected to add \$400 million to the revenue of Concentrix. By adopting mergers and acquisitions as a strategy, majority of IT-BPO industry is trying to attain growth in a maturing business by expanding into the realm of Knowledge Process Outsourcing (KPO) which is a higher end research and analytical-based services and caters to segments like healthcare, pharmaceuticals, automobile, aerospace, entertainment and other industries.

This merger and acquisition strategy is an example of portfolio management. A Framework for Examining Business Strategy

- 6-1. Explain the three key issues that corporate strategy addresses

6.1 CORPORATE STRATEGY

The vignette about Concentrix India illustrates the importance of corporate strategy to a firm’s survival and success. Corporate strategy addresses three key issues facing the corporation as a whole:

1. The firm’s overall orientation toward growth, stability, or retrenchment (**directional strategy**)
2. The industries or markets in which the firm competes through its products and business units (**portfolio analysis**)

3. The manner in which management coordinates activities, transfers resources, and cultivates capabilities among product lines and business units (**parenting strategy**).

Corporate strategy is primarily about the choice of direction for a firm as a whole and the management of its business or product portfolio. This is true whether the firm is a small company or a large multinational corporation (MNC). In a large multiple-business company, in particular, corporate strategy is concerned with managing various product lines and business units for maximum value. In this instance, corporate headquarters must play the role of the organizational “parent,” in that it must deal with various product and business unit “children.” Even though each product line or business unit has its own competitive or cooperative strategy that it uses to obtain its own competitive advantage in the marketplace, the corporation must coordinate these different business strategies so that the corporation as a whole succeeds as a “family.”

Corporate strategy, therefore, includes decisions regarding the flow of financial and other resources to and from a company’s product lines and business units. Through a series of coordinating devices, a company transfers skills and capabilities developed in one unit to other units that need such resources. In this way, it attempts to obtain synergy among numerous product lines and business units so that the corporate whole is greater than the sum of its individual business unit parts. All corporations, from the smallest company offering one product in only one industry to the largest conglomerate operating in many industries with many products, must at one time or another consider one or more of these issues.

To deal with each of the key issues, this chapter is organized into three parts that examine corporate strategy in terms of *directional strategy* (orientation toward growth), *portfolio analysis* (coordination of cash flow among units), and *corporate parenting* (the building of corporate synergies through resource sharing and development).

6.2 DIRECTIONAL STRATEGY

Just as every product or business unit must follow a business strategy to improve its competitive position, every corporation must decide its orientation toward growth by asking the following three questions:

1. Should we expand, cut back, or continue our operations unchanged?
2. Should we concentrate our activities within our current industry, or should we diversify into other industries?

NOTES

- 6-2. Apply the directional strategies of growth, stability, and retrenchment to the organizational environment in which they work best

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3. If we want to grow and expand nationally and/or globally, should we do so through internal development or through external acquisitions, mergers, or strategic alliances?

A corporation's directional strategy is composed of three general orientations (sometimes called *grand strategies*):

- ⇒ **Growth strategies** expand the company's activities.
- ⇒ **Stability strategies** make no change to the company's current activities.
- ⇒ **Retrenchment strategies** reduce the company's level of activities.

Having chosen the general orientation (such as growth), a company's managers can select from several more specific corporate strategies such as concentration within one product line/industry or diversification into other products/industries. (See **Figure 6-1**.) These strategies are useful both to corporations operating in only one industry with one product line and to those operating in many industries with many product lines.

6.2.1 Growth Strategies

By far, the most widely pursued corporate directional strategies are those designed to achieve growth in sales, assets, profits, or some combination of these. Companies that do business in expanding industries must grow to survive. Continuing growth means increasing sales and a chance to take advantage of the experience curve to reduce the per-unit cost of products sold, thereby increasing profits. This cost reduction becomes extremely important if a corporation's industry is growing quickly or consolidating and if competitors are engaging in price wars in attempts to increase their shares of the market. Firms that have not reached "critical mass" (that is, gained the necessary economy of production) face large losses unless they can find and fill a small, but profitable, niche where higher prices can be offset by special product or service features. That is why Oracle has been on the acquisition trail. In the past four years the company has added 31 new companies to the organization focused on four major areas (Applications, Middleware, Industry Solutions, and Servers/Storage/Networking). Although still growing, the software industry is dominated by a

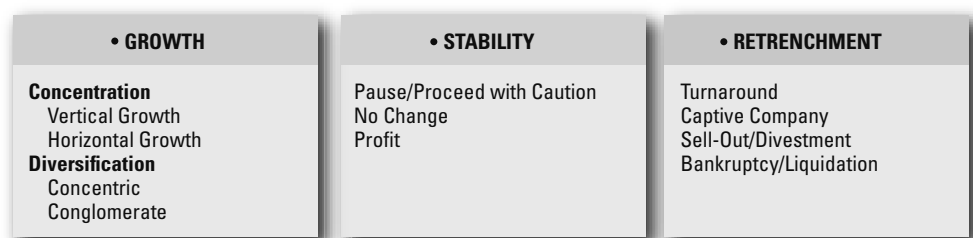


Figure 6.1 Corporate Directional Strategies

handful of large firms. According to CEO Larry Ellison, Oracle needs to grow by buying smaller and weaker rivals if it wants to compete with SAP and Microsoft. Growth is a popular strategy because larger businesses tend to survive longer than smaller companies due to the greater availability of financial resources, organizational routines, and external ties.

A corporation can grow internally by expanding its operations both globally and domestically, or it can grow externally through mergers, acquisitions, and strategic alliances. In practice, the line between mergers and acquisitions has been blurred to the point where it is difficult to tell the difference. **Strategy Highlight: Mergers and Acquisitions in India** features on some of the mergers and acquisitions which have made news in India and also tried to highlight the difference between merger and acquisition. In general, we regard a **merger** as a transaction involving two or more corporations in which both companies exchange stock in order to create one new corporation. Mergers that occur between firms of somewhat similar size are referred to as a “merger of equals.” Most mergers are “friendly”—that is, both parties believe it is in their best interests to combine their companies. The resulting firm is likely to have a name derived from its composite firms. One of the largest such mergers was between Heinz and Kraft Foods in 2015 that formed the new company Kraft Heinz Company. That merger created a company with annual revenues of over US\$28 billion. An **acquisition** is a purchase of another company. In some cases, the company continues to operate as an independent entity and in others it is completely absorbed as an operating subsidiary

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STRATEGY HIGHLIGHT

Mergers and Acquisitions in India

Mergers and Acquisitions (M&As) are usually adopted by companies as a strategy to grow externally. In India there were 996 M&As in 2015 and 963 M&As in 2016. The following strategic highlights some of the mergers and acquisitions which made the headlines in India.

1. **Rosneft and Essar:** Russian state energy giant Rosneft and its partners acquired India's Essar Oil in an all cash deal valued at about \$13 billion. The acquisition is the biggest foreign acquisition effort in India and Russia's largest outbound deal. The deal will give Rosneft access to Essar's fuel retailing network of 2700 petrol pumps.
2. **HDFC Life and Max Financial:** This merger has been in news, not only because it is the largest merger of two insurance giants in India but also because of permission problems with the Insurance Regulator and Development Authority of

India (IRDA). HDFC Life Insurance Company Limited and Max Life Insurance Company Limited in 2016 had proposed a merger of their life insurance businesses to create the largest private-sector life insurance company in India. The company had proposed a three stage merger where the first stage was to merge Max Financial Services with Max Life; second stage was the merger of life insurance business to be subsequently merged with HDFC Life. Interestingly, the proposed merger was denied permission by the Insurance Regulator and Development Authority of India (IRDA) under section 35 of the insurance act 1938, which bars the merger of an insurance company with a non-insurance company. The company is planning to restructure in order to get necessary permissions.

3. Flipkart, Myntra and Jabong: In July 2016, Flipkart Limited acquired Jabong through its unit Myntra for \$17 million, making it India's number one e-commerce marketplace. The merger enabled Flipkart, and Myntra to access a combined base of over 15 million monthly users and over 1,50,000 styles from over 1000 sellers. The acquisition will boost the sales of Flipkart at a time when its market leadership is being challenged by Amazon India.
4. Aircel and Reliance communication: The merger between Reliance Communications (RCOM) and Maxis Communications Berhad (MCB), is the largest ever consolidation in Indian telecom industry. The deal would reduce RCOM debt by ₹20,000 crore (\$3 bn) or over 40% of total debt, and Aircel debt by ₹4,000 crore (\$600 mn) on closing in 2017 and the combined entity will have business continuity through extended validity of spectrum till 2033–2035. The deal was approved by the Competition Commission of India (CCI) in the first half of 2017.

All the companies mentioned above adopted the merger or acquisition strategy in order to experience growth in the business. Both the companies had assets which could add/ complement to the existing portfolio of acquiring the company or the new entity being formed.

or division of the acquiring corporation. In July 2015, Duke Energy acquired Piedmont Natural Gas, making the latter a wholly owned unit of Duke Energy. With the acquisition, Duke Energy tripled the number of natural gas customers it served and took more control of a key resource for electricity production. Acquisitions usually occur between firms of different sizes and can be either friendly or hostile. Hostile acquisitions are often called *takeovers*.

From management's perspective (but perhaps not a stockholder's), growth is very attractive for two key reasons:

- ⇒ Growth based on increasing market demand may mask flaws in a company—flaws that would be immediately evident in a

stable or declining market. A growing flow of revenue into a highly leveraged corporation can create a large amount of *organization slack* (unused resources) that can be used to quickly resolve problems and conflicts between departments and divisions. Growth also provides a big cushion for turnaround in case a strategic error is made. Larger firms also have more bargaining power than do small firms and are more likely to obtain support from key stakeholders in case of difficulty.

- ⇒ A growing firm offers more opportunities for advancement, promotion, and interesting jobs. Growth itself is exciting and ego-enhancing for everyone. The marketplace and potential investors tend to view a growing corporation as a “winner” or “on the move.” Executive compensation tends to get bigger as an organization increases in size. Large firms are also more difficult to acquire than smaller ones—thus, an executive’s job in a large firm is more secure.

The two basic growth strategies are **concentration** on the current or innovative product line(s) in one industry and **diversification** into other product lines or other industries.

Concentration

If a company’s current product lines have real growth potential, the concentration of resources on those product lines makes sense as a strategy for growth. The two basic concentration strategies are vertical growth and horizontal growth. Growing firms in a growing industry tend to choose these strategies before they try diversification.

Vertical Growth. **Vertical growth** can be achieved by taking over a function previously provided by a supplier or distributor. The company, in effect, grows by making its own supplies and/or by distributing its own products. This may be done in order to reduce costs, gain control over a scarce resource, guarantee quality of a key input, or obtain access to potential customers. This growth can be achieved either internally by expanding current operations or externally through acquisitions. Henry Ford, for example, used internal company resources to build his River Rouge plant outside Detroit. The manufacturing process was integrated to the point that iron ore entered one end of the long plant, and finished automobiles rolled out the other end into a huge parking lot. In contrast, Cisco Systems, a maker of Internet hardware, chose the external route to vertical growth by purchasing Scientific-Atlanta Inc., a maker of set-top boxes for television programs and movies-on-demand. This acquisition gave Cisco access to technology for distributing television to living rooms through the Internet.

Vertical growth results in **vertical integration**—the degree to which a firm operates vertically in multiple locations on an industry’s value chain from extracting raw materials to manufacturing to retailing. More specifically, assuming a function previously provided by a supplier is called **backward integration** (going backward on an industry’s value chain). The purchase of Carroll’s

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Foods for its hog-growing facilities by Smithfield Foods, the world's largest pork processor, is an example of backward integration. Assuming a function previously provided by a distributor is labeled **forward integration** (going forward on an industry's value chain). FedEx, for example, used forward integration when it purchased Kinko's in order to provide store-front package drop-off and delivery services for the small-business market.

Similarly, in India, Reliance pursued a strategy of backward vertical integration. Reliance industries in order to be fully integrated along with the materials and energy value chain followed the strategy of backward vertical integration-in polyester, fibre intermediates, plastics, petrochemicals, petroleum refining and oil and gas exploration and production. Another example of a company which boasts of both backward and forward integration within its vertical is Sobha Developers in India; a ₹600 crore plus construction and real estate company which ventured into India in 1995. The company is known for its impressive quality standards and world-class building techniques.

Vertical growth is a logical strategy for a corporation or business unit with a strong competitive position in a highly attractive industry—especially when technology is predictable and markets are growing. To keep and even improve its competitive position, a company may use backward integration to minimize resource acquisition costs and inefficient operations, as well as forward integration to gain more control over product distribution. The firm, in effect, builds on its distinctive competence by expanding along the industry's value chain to gain greater competitive advantage.

Although backward integration is often more profitable than forward integration (because of typical low margins in retailing), it can reduce a corporation's strategic flexibility. The resulting encumbrance of expensive assets that might be hard to sell could create an exit barrier, preventing the corporation from leaving that particular industry. Examples of single-use assets are blast furnaces and refineries. When demand drops in either of these industries (steel or oil and gas), these assets have no alternative use, but continue to cost money in terms of debt payments, property taxes, and security expenses.

Transaction cost economics proposes that vertical integration is more efficient than contracting for goods and services in the marketplace when the transaction costs of buying goods on the open market become too great. When highly vertically integrated firms become excessively large and bureaucratic, however, the costs of managing the internal transactions may become greater than simply purchasing the needed goods externally—thus justifying outsourcing over vertical integration. This is why vertical integration and outsourcing are situation specific. Neither approach is best for all companies in all situations. See the **Strategy Highlight** feature on how transaction cost economics helps explain why firms vertically integrate or outsource important activities. Research thus

far provides mixed support for the predictions of transaction cost economics.

Of course a company's degree of vertical integration can range from total ownership of the value chain needed to make and sell a product to no ownership at all. Under **full integration**, a firm internally makes 100% of its key supplies and completely controls its distributors. Large oil companies, such as British Petroleum and Royal Dutch Shell, are fully integrated. They own the oil rigs that pump the oil out of the ground, the ships and pipelines that transport the oil, the refineries that convert the oil to gasoline, and the trucks that deliver the gasoline to company-owned and franchised gas stations. Sherwin-Williams Company, which not only manufactures paint, but also sells it in its own chain of 3000 retail stores, is another example of a fully integrated firm. If a corporation does not want the disadvantages of full vertical integration, it may choose either taper or quasi-integration strategies.

With **taper integration** (also called concurrent sourcing), a firm internally produces less than half of its own requirements and buys the rest from outside suppliers (backward taper integration). In the case of Smithfield Foods, its purchase of Carroll's allowed it to produce 27% of the hogs it needed to process into pork. In terms of forward taper integration, a firm sells part of its goods through company-owned stores and the rest through general wholesalers. Although Apple had 246 of its own retail stores in 2012, much of the company's sales continued to be through national chains such as Best Buy and through independent local and regional dealers.

With **quasi-integration**, a company does not make any of its key supplies but purchases most of its requirements from outside suppliers that are under its partial control (backward quasi-integration). A company may not want to purchase outright a supplier or distributor, but it still may want to guarantee access to needed supplies, new products, technologies, or distribution channels. For example, the pharmaceutical company Bristol-Myers Squibb purchased 17% of the common stock of ImClone in order to gain access to new drug products being developed through biotechnology. An example of forward quasi-integration would be a paper company acquiring part interest in an office products chain in order to guarantee that its products had access to the distribution channel. Purchasing part interest in another company usually provides a company with a seat on the other firm's board of directors, thus guaranteeing the acquiring firm both information and control. As in the case of Bristol-Myers Squibb and ImClone, a quasi-integrated firm may later decide to buy the rest of a key supplier that it did not already own.

Long-term contracts are agreements between two firms to provide agreed-upon goods and services to each other for a specified period of time. This cannot really be considered to be vertical integration unless it is an *exclusive* contract that specifies that the supplier or distributor cannot have a similar relationship with a

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STRATEGY HIGHLIGHT

TRANSACTION COST ECONOMICS ANALYZES VERTICAL GROWTH STRATEGY

Why do corporations use vertical growth to permanently own suppliers or distributors when they could simply purchase individual items when needed on the open market? Transaction cost economics is a branch of institutional economics that attempts to answer this question. Transaction cost economics proposes that owning resources through vertical growth is more efficient than contracting for goods and services in the marketplace when the transaction costs of buying goods on the open market become too great. Transaction costs include the basic costs of drafting, negotiating, and safeguarding a market agreement (a contract) as well as the later managerial costs when the agreement is creating problems (goods aren't being delivered on time or quality is lower than needed), renegotiation costs (e.g., costs of meetings and phone calls), and the costs of settling disputes (e.g., lawyers' fees and court costs).

According to Williamson, three conditions must be met before a corporation will prefer internalizing a vertical transaction through ownership over contracting for the transaction in the marketplace: (1) a high level of uncertainty must surround the transaction, (2) assets involved in the transaction must be highly specialized to the transaction, and (3) the transaction must occur frequently. If there is a high level of uncertainty, it will be impossible to write a contract covering all contingencies, and it is likely that the contractor will act opportunistically to exploit any gaps in the written agreement—thus creating problems and increasing costs. If the assets being contracted for are highly specialized (e.g., goods or services with few alternate uses), there are likely to be few alternative suppliers—thus allowing the contractor to take advantage of the situation and increase costs. The more frequent the transactions, the more opportunity for the contractor to demand special treatment and thus increase costs further.

Vertical integration is not always more efficient than the marketplace, however. When highly vertically integrated firms become excessively large and bureaucratic, the costs of managing the internal transactions may become greater than simply purchasing the needed goods externally—thus justifying outsourcing over ownership. The usually hidden management costs (e.g., excessive layers of management, endless committee meetings needed for interdepartmental coordination, and delayed decision making due to excessively detailed rules and policies) add to the internal transaction costs—thus reducing the effec-

tiveness and efficiency of vertical integration. The decision to own or to outsource is, therefore, based on the particular situation surrounding the transaction and the ability of the corporation to manage the transaction internally both effectively and efficiently.

SOURCES: O. E. Williamson and S. G. Winter (Eds.), *The Nature of the Firm: Origins, Evolution, and Development* (New York: Oxford University Press, 1991); E. Mosakowski, "Organizational Boundaries and Economic Performance: An Empirical Study of Entrepreneurial Computer Firms," *Strategic Management Journal* (February 1991), pp. 115–133; P. S. Ring and A. H. Van de Ven, "Structuring Cooperative Relationships Between Organizations," *Strategic Management Journal* (October 1992), pp. 483–498.

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competitive firm. In that case, the supplier or distributor is really a *captive company* that, although officially independent, does most of its business with the contracted firm and is formally tied to the other company through a long-term contract.

Some companies have moved away from vertical growth strategies (and thus vertical integration) toward cooperative contractual relationships with suppliers and even with competitors. These relationships range from outsourcing, in which the resources are purchased from outsiders through long-term contracts instead of being done in-house, to strategic alliances, in which partnerships, technology licensing agreements, and joint ventures supplement a firm's capabilities. For example, Telco adopted the mixed strategy while developing Indica. It is interesting to note that Telco, had no expertise in designing a passenger car, so it turned to the Italian company, I.D.E.A, for the product-design; engine was purchased from Institut Francais du Petrol of France, transmission for the car was developed in-house at its Engineering Research Centre (ERC), the assembly line was outsourced from Nissan's plant in Australia and most of the parts were supplied by Telco's traditional long term single suppliers. All the strategies complimented the firm's capabilities and helped Telco enter into small passenger car segment very successfully.

Horizontal Growth. A firm can achieve **horizontal growth** by expanding its operations into other geographic locations and/or by increasing the range of products and services offered to current markets. Research indicates that firms that grow horizontally by broadening their product lines have high survival rates. Horizontal growth results in **horizontal integration**—the degree to which a firm operates in multiple geographic locations at the same point on an industry's value chain. The Walt Disney Company is one of the world's most powerful brands. The company consists of a deep portfolio of entertainment and information in locations around the world. Not only does the company continually add to its existing product, service, and entertainment lines to reduce possible niches that competitors may enter, but also introduces successful ideas from one part of the world to another.

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Horizontal growth can be achieved through internal development or externally through acquisitions and strategic alliances with other firms in the same industry. In 2016, Indian IT services provider Tech Mahindra acquired the BIO agency (BIO) for ₹445 crore, a UK-based agency that offers digital services to global clients. The Bio agency specializes in digital transformation and innovation and helps its customers to change the way they engage with their customers. The primary goals were to obtain routes that they could not access and establish the organization as a leading player in the industry.

Horizontal growth is increasingly being achieved through international expansion. America's Wal-Mart, France's Carrefour, and Britain's Tesco are examples of national supermarket discount chains expanding horizontally throughout the world. This type of growth can be achieved internationally through many different strategies.

Diversification Strategies

According to strategist Richard Rumelt, companies begin thinking about diversification when their growth has plateaued and opportunities for growth in the original business have been depleted. This often occurs when an industry consolidates, becomes mature, and most of the surviving firms have reached the limits of growth using vertical and horizontal growth strategies. Unless the competitors are able to expand internationally into less mature markets, they may have no choice but to diversify into different industries if they want to continue growing. The two basic diversification strategies are concentric and conglomerate and both require very sophisticated management techniques in order to keep the elements of the company moving in relatively the same direction.

Concentric (Related) Diversification. Growth through **concentric diversification** into a related industry may be a very appropriate corporate strategy when a firm has a strong competitive position but industry attractiveness is low.

Research indicates that the probability of succeeding by moving into a related business is a function of a company's position in its core business. For companies in leadership positions, the chances for success are nearly three times higher than those for followers. By focusing on the characteristics that have given the company its distinctive competence, the company uses those very strengths as its means of diversification. The firm attempts to secure strategic fit in a new industry where the firm's product knowledge, its manufacturing capabilities, and/or the marketing skills it used so effectively in the original industry can be put to good use. The corporation's products or processes are related in some way: They possess some common thread.



GLOBAL ISSUE

GLOBAL EXPANSION IS NOT ALWAYS A PATH TO GROWTH

The mantra in U.S. business growth for the past few decades has been to look to international markets for growth, and especially to China. Company after company poured into China with their successful U.S. business models and touted their global growth plans. Entering a new market, and especially a new market that is in a new country, often requires an adjustment to the nuances of that market.

McDonald's learned that lesson long ago when it modified its menu for the Indian market by eliminating pork and beef products and offering such unique offerings as the McAloo Tikiburger with a mashed potato patty and the McPuff, which is a vegetable and cheese pastry. In China-based McDonald's outlets, a favorite drink is "bubble tea," which is tea with tapioca balls in the bottom. Unfortunately, many large U.S. companies are pulling out of China completely or they are having to completely rewrite their business models in order to succeed.

Home Depot Inc. closed all seven of its remaining Chinese big-box stores in 2012 (they started with 12 stores through an acquisition in 2006). Unlike the U.S. market, the Chinese consumer is far more interested in finished goods and paying someone to complete a project than they are in doing it themselves. IKEA struggled for years in the Chinese market until they began offering assembly and delivery services. The DIY (do-it-yourself) market does not appear to translate well into some cultures.

Best Buy closed all of its nine stores in 2011 after discovering that Chinese consumers were far more interested in appliances than its predominantly entertainment-based product line. Best Buy experimented with a small-sized appliance store, but eventually decided to pull out of China completely and focus on their North American markets.

This is not to say that some businesses don't translate easily. Yum Brands Inc. had over 7100 restaurants in over 1100 cities in China in 2016 following its business model (much like McDonald's) but modifying the approach (which is selling fast food) to its market. KFC sells egg tarts and soy milk in China while not offering those menu items outside the Chinese market.

Global success is a function of many different elements. Some businesses that are wildly successful in their home country will not find an easy path to growth in international expansion.

SOURCES: "Best Buy considers sale of China business: WSJ," Reuters, January 24, 2014 (www.reuters.com/articles/us-best-buy-china-idUSKBN0EZ2YE20140642); www.yum.com/brands/china.asp; "McDonald's Going Vegetarian," Bloomberg Businessweek (September 10, 2012), p. 30; L. Burkitt, "Home Depot: Chinese Prefer Do-It-for-Me," The Wall Street Journal (September 15, 2012), p. B1.

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A firm may choose to diversify concentrically through either internal or external means. Electrolux, for example, has diversified externally globally through acquisitions.

Conglomerate (Unrelated) Diversification. When management realizes that the current industry is unattractive and that the firm lacks outstanding abilities or skills that it could easily transfer to related products or services in other industries, the most likely strategy is **conglomerate diversification**—diversifying into an industry unrelated to its current one. Rather than maintaining a common thread throughout their organization, strategic managers who adopt this strategy are primarily concerned with financial considerations of cash flow or risk reduction. This is also a good strategy for a firm when its core capability is its own excellent management systems. ITC (India Tobacco Company Limited) is one of the best examples of a company, in India, that has used complemented diversification to grow successfully. Incorporated in 1910 as Imperial Tobacco Company of India Limited and renamed to India Tobacco Company Limited in 1970 and ITC Limited in 1974, the company has a large variety of companies in its portfolio including hospitality group, agri-businesses, education and stationery products (Classmate and Paperkraft), lifestyle retailing, information technology, branded packaged foods, personal care products etc.

The emphasis in conglomerate diversification is on sound investment and value-oriented management rather than on the product-market synergy common to concentric diversification. A cash-rich company with few opportunities for growth in its industry might, for example, move into another industry where opportunities are great but cash is hard to find. Another instance of conglomerate diversification might be when a company with a seasonal and, therefore, uneven cash flow purchases a firm in an unrelated industry with complementing seasonal sales that will level out the cash flow. CSX management considered the purchase of a natural gas transmission business (Texas Gas Resources) by CSX Corporation (a railroad-dominated transportation company) to be a good fit because most of the gas transmission revenue was realized in the winter months—the lean period in the railroad business.

6.2.2 Controversies in Directional Growth Strategies

Is vertical growth better than horizontal growth? Is concentration better than diversification? Is concentric diversification better than conglomerate diversification? Research reveals that companies following a related diversification strategy appear to be higher performers and survive longer than do companies with narrower scope following a pure concentration strategy. Although the research is not in complete agreement, growth into areas related to a company's current product lines is generally more successful than is growth into completely unrelated areas. While there has

only been limited research in the area, one study of various growth projects examined how many were considered successful—that is, still in existence after 22 years. The results were vertical growth, 80%; horizontal growth, 50%; concentric diversification, 35%; and conglomerate diversification, 28%. This supports the conclusion from a later study of 40 successful European companies that companies should first exploit their existing assets and capabilities before exploring for new ones, but that they should also diversify their portfolio of products.

In terms of diversification strategies, research suggests that the relationship between relatedness and performance follows an inverted U-shaped curve. If a new business is very similar to that of the acquiring firm, it adds little new to the corporation and only marginally improves performance. If the new business is completely different from the acquiring company's businesses, there may be very little potential for any synergy. If, however, the new business provides new resources and capabilities in a different but similar business, the likelihood of a significant performance improvement is high.

Is internal growth better than external growth? Corporations can follow the growth strategies of either concentration or diversification through the internal development of new products and services, or through external acquisitions, mergers, and strategic alliances. The value of global acquisitions and mergers was US\$5.03 trillion in 2015, a rise of more than 37% from 2014. According to a McKinsey & Company survey, managers are primarily motivated to purchase other companies in order to add capabilities, expand geographically, and buy growth. Research generally concludes, however, that firms growing through acquisitions do not perform financially as well as firms that grow through internal means. For example, on September 3, 2001, the day *before* HP announced that it was purchasing Compaq, HP's stock was selling at US\$23.11. After the announcement, the stock price fell to US\$18.87. Three years later, on September 21, 2004, the shares sold at US\$18.70. One reason for this poor performance may be the typically high price of the acquisition itself. Studies reveal that over half to two-thirds of acquisitions are failures primarily because the premiums paid were too high for them to earn their cost of capital. Another reason for the poor stock performance is that the customers of the current firms see a lot of negatives in mergers. A coalition of consumer groups opposed the proposed merger between Time-Warner Cable and Charter citing the power of the new entity to stifle innovation, reduce competition and raise rates to consumers. It is likely that neither strategy is best by itself and that some combination of internal and external growth strategies is better than using one or the other.

What can improve acquisition performance? For one thing, the acquisition should be linked to strategic objectives and support corporate strategy. Some consultants have suggested that a

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corporation must be prepared to identify roughly 100 candidates and conduct due diligence investigation on around 40 companies in order to ultimately purchase 10 companies. This kind of effort requires the capacity to sift through many candidates while simultaneously integrating previous acquisitions. A study by Bain & Company of more than 11,000 acquisitions by companies throughout the world concluded that successful acquirers make small, low-risk acquisitions before moving on to larger ones. Previous experience between an acquirer and a target firm in terms of R&D, manufacturing, or marketing alliances improves the likelihood of a successful acquisition.

6.2.3 Stability Strategies

A corporation may choose stability over growth by continuing its current activities without any significant change in direction. Although sometimes viewed as a lack of strategy, the stability family of corporate strategies can be appropriate for a successful corporation operating in a reasonably predictable environment. They are very popular with small business owners who have found a niche and are happy with their success and the manageable size of their firms. Stability strategies can be very useful in the short run, but they can be dangerous if followed for too long. Some of the more popular of these strategies are the pause/proceed-with-caution, no-change, and profit strategies.

Pause/Proceed-with-Cautious Strategy

A **pause/proceed-with-caution strategy** is, in effect, a timeout—an opportunity to rest before continuing a growth or retrenchment strategy. It is a very deliberate attempt to make only incremental improvements until a particular environmental situation changes. It is typically conceived as a temporary strategy to be used until the environment becomes more hospitable or to enable a company to consolidate its resources after prolonged rapid growth. A great example of this was during the heyday of personal computer growth in the early 1990s. This was the strategy Dell followed after its growth strategy had resulted in more growth than it could handle. Explained CEO Michael Dell at the time, “We grew 285% in two years, and we’re having some growing pains.” Selling personal computers by mail enabled Dell to underprice competitors, but it could not keep up with the needs of a US\$2 billion, 5600-employee company selling PCs in 95 countries. Dell did not give up on its growth strategy, though. It merely put it temporarily in limbo until the company was able to hire new managers, improve the structure, and build new facilities.

No-Change Strategy

A **no-change strategy** is a decision to do nothing new—a choice to continue current operations and policies for the foreseeable future. Rarely articulated as a definite strategy, a no-change

strategy's success depends on a lack of significant change in a corporation's situation. The relative stability created by the firm's modest competitive position in an industry facing little or no growth encourages the company to continue on its current course, making only small adjustments for inflation in its sales and profit objectives. There are no obvious opportunities or threats and the status quo is a viable alternative. Few aggressive new competitors are likely to enter such an industry. The corporation has probably found a reasonably profitable and stable niche for its products. Unless the industry is undergoing consolidation, the relative comfort a company in this situation experiences is likely to encourage the company to follow a no-change strategy in which the future is expected to continue as an extension of the present. Many small-town businesses followed this strategy before Wal-Mart moved into their areas and forced them to rethink their strategy or drove them out of business before they could react.

Profit Strategy

A **profit strategy** is a decision to do nothing new in a worsening situation but instead to act as though the company's problems are only temporary. The profit strategy is an attempt to artificially support profits when a company's sales are declining by reducing investment and short-term discretionary expenditures. Rather than announce the company's poor position to shareholders and the investment community at large, top management may be tempted to follow this very seductive approach. Blaming the company's problems on a hostile environment (such as antibusiness government policies, unethical competitors, finicky customers, and/or greedy lenders), management defers investments and/or cuts core business expenses (such as R&D, maintenance, and advertising) to stabilize profits during this period. It may even sell one of its product lines for the cash-flow benefits.

The profit strategy is useful only to help a company get through a temporary difficulty. It may also be a way to boost the value of a company in preparation to be acquired or for going public via an initial public offering (IPO). Unfortunately, the strategy is seductive and if continued long enough it will lead to a serious deterioration in a corporation's competitive position. The profit strategy is typically top management's passive, short-term, and often self-serving response to a difficult situation. In such situations, it is often better to face the problem directly by choosing a retrenchment strategy.

6.2.4 Retrenchment Strategies

A company may pursue retrenchment strategies when it has a weak competitive position in some or all of its product lines resulting in poor performance—sales are down and profits are becoming losses. These strategies impose a great deal of pressure to improve performance. In an attempt to eliminate the weaknesses that are dragging the company down, management may follow one of several

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retrenchment strategies, ranging from turnaround or becoming a captive company to selling out, bankruptcy, or liquidation.

Turnaround Strategy

Turnaround strategy (sometimes referred to as transformation) emphasizes the improvement of operational efficiency and is probably most appropriate when a corporation's problems are pervasive but not yet critical. Research shows that poorly performing firms in mature industries have been able to improve their performance by cutting costs and expenses and by selling off assets. For these efforts to be something more than a profit protection, the company has to deal with three phases of the effort—Contraction, Consolidation, and Rebirth.

Contraction is the initial effort to quickly “stop the bleeding” with a general, across-the-board cutback in size and costs. NetApp faced a revenue decline of 19% and a third straight year of layoffs to mitigate the profit impact. In mid-2016 they announced plans to cut more than 12% of its employees as part of a huge, US\$400 million cost-cutting move. The second phase, *consolidation*, implements a program to stabilize the now-leaner corporation. To streamline the company, plans are developed to reduce unnecessary overhead and to make functional activities cost-justified. This is a crucial time for the organization. If the consolidation phase is not conducted in a positive manner, many of the best people leave the organization. An overemphasis on downsizing and cutting costs coupled with a heavy hand by top management is usually counterproductive and can actually hurt performance. If, however, all employees are encouraged to get involved in productivity improvements, the firm is likely to emerge from this retrenchment period a much stronger and better-organized company. NetApp aimed to reset the organization around cloud-based storage solutions that would not require the same level of employees to develop and support. The last phase, *re-birth*, happens if the company is successful with its efforts and starts growing profitably again.

Captive Company Strategy

A **captive company strategy** involves giving up independence in exchange for security. A company with a weak competitive position may not be able to successfully implement a full-blown turnaround strategy for a variety of reasons. The industry may not be sufficiently attractive to justify such an effort from either the current management or investors. Nevertheless, a company in this situation faces poor sales and potentially increasing losses unless it takes some action. Management searches for an “angel” by offering to be a captive company to one of its larger customers or another player in the industry in order to guarantee the company's continued existence. In this way, the corporation may be able to reduce the scope of some of its functional activities thus

significantly reducing costs. In the case of selling to a customer, the weaker company gains certainty of sales and production in return for becoming heavily dependent on another firm for most of its sales. In the case of selling to a competitor, the company is generally able to protect many of the jobs and in many cases operate as an independent entity. After years of cost cutting moves, acquisitions, and selling off assets, Yahoo! finally gave in to the captive strategy by hiring investment bankers to sell the company.

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Sell-Out/Divestment Strategy

If a corporation with a weak competitive position in an industry is unable either to pull itself up by its bootstraps or to find a customer or competitor to which it can become a captive company, it may have no choice but to sell out. The **sell-out strategy** makes sense if management can still obtain a good price for its shareholders and the employees can keep their jobs by selling the entire company to another firm. The hope is that another company will have the necessary resources and determination to return the company to profitability. Marginal performance in a troubled industry was one reason American Airlines was willing to be sold to U.S. Airways.

If the corporation has multiple business lines and it chooses to sell off a division with low growth potential, this is called **divestment**. This was the strategy P&G used when it sold more than half of its brands and consolidated others in order to focus on just 65 brands.

Divestment is often used after a corporation acquires a multiunit corporation in order to shed the units that do not fit with the corporation's new strategy. This is why Whirlpool sold Maytag's Hoover vacuum cleaner unit after Whirlpool purchased Maytag. Divestment was also a key part of Lego's turnaround strategy when management decided to divest its theme parks to concentrate more on its core business of making toys.

Bankruptcy/Liquidation Strategy

When a company finds itself in the worst possible situation with a poor competitive position in an industry with few prospects, management has only a few alternatives—all of them distasteful. Because no one is interested in buying a weak company in an unattractive industry, the firm must pursue a bankruptcy or liquidation strategy. **Bankruptcy** involves giving up management of the firm to the courts in return for some settlement of the corporation's obligations. Top management hopes that once the court decides the claims on the company, the company will be stronger and better able to compete in a more attractive industry. A controversial approach was used by Delphi Corporation when it filed for **Chapter** ⁹ bankruptcy only for its U.S. operations, which employed 32,000 high-wage union workers, but not for its foreign factories in low-wage countries.

In contrast to bankruptcy, which seeks to perpetuate a corporation, **liquidation** is the termination of the firm. When the industry

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- 6-3.** Apply portfolio analysis to guide decisions in companies with multiple products and businesses

is unattractive and the company too weak to be sold as a going concern, management may choose to convert as many saleable assets as possible to cash, which is then distributed to the shareholders after all obligations are paid. Liquidation is a prudent strategy for distressed firms with a small number of choices, all of which are problematic. This was Circuit City's situation when it liquidated its retail stores. The benefit of liquidation over bankruptcy is that the board of directors, as representatives of the shareholders, together with top management, make the decisions instead of turning them over to the bankruptcy court, which may choose to ignore shareholders completely.

At times, top management must be willing to select one of these less desirable strategies. Unfortunately, many top managers are unwilling to admit that their company has serious weaknesses for fear that they may be personally blamed. Even worse, top management may not even perceive that crises are developing. When these top managers eventually notice trouble, they are prone to attribute the problems to temporary environmental disturbances and tend to follow profit strategies. Even when things are going terribly wrong, top management is greatly tempted to avoid liquidation in the hope of a miracle. Top management then enters a *cycle of decline*, in which it goes through a process of secrecy and denial, followed by blame and scorn, avoidance and turf protection, ending with passivity and helplessness. Thus, a corporation needs a strong board of directors who, to safeguard shareholders' interests, can tell top management when to quit.

6.3 PORTFOLIO ANALYSIS

Chapter 5 dealt with how individual product lines and business units can gain competitive advantage in the marketplace by using competitive and cooperative strategies. Companies with multiple product lines or business units must also ask themselves how these various products and business units should be managed to boost overall corporate performance:

- ⇒ How much of our time and money should we spend on our best products and business units to ensure that they continue to be successful?
- ⇒ How much of our time and money should we spend developing new costly products, most of which will never be successful?

One of the most popular aids to developing corporate strategy in a multiple-business corporation is portfolio analysis. Although its popularity has dropped since the 1970s and 1980s, when more than half of the largest business corporations used portfolio analysis, it is still used in corporate strategy formulation. Portfolio analysis puts corporate headquarters into the role of an internal banker. In portfolio analysis, top management views its product lines and business units as a series of investments from which it expects

a profitable return. The product lines/business units form a portfolio of investments that top management must constantly juggle to ensure the best return on the corporation's invested money. Although not conclusive, a McKinsey & Company study of the performance of the most active companies acquiring and divesting in their portfolio found that they are perceived to be more successful. Given the increasing number of strategic alliances in today's corporations, portfolio analysis is also being used to evaluate the contribution of alliances to corporate and business unit objectives.

One of the most popular portfolio techniques is the BCG Growth-Share Matrix.

6.3.1 BCG Growth-Share Matrix

Using the **BCG (Boston Consulting Group) Growth-Share Matrix** depicted in **Figure 6-2** is the simplest way to portray a corporation's portfolio of investments. Each of the corporation's product lines or business units is plotted on the matrix according to both the growth rate of the industry in which it competes and its relative market share. A unit's relative competitive position is defined as its market share in the industry divided by that of the largest other competitor. By this calculation, a relative market share above 1.0 belongs to the market leader. The business growth rate is the percentage of market growth—that is, the percentage by which sales of a particular business unit classification of products have increased. The matrix assumes that, other things being equal, a growing market is attractive.

The line separating areas of high and low relative competitive position is set at 1.5 times. A product line or business unit must have relative strengths of this magnitude to ensure that it will have the dominant position needed to be a “star” or “cash cow.” On the other hand, a product line or unit having a relative competitive position less than 1.0 has “dog” status. Each product or unit is represented in **Figure 6-3** by a circle. The area of the circle represents the relative significance of each business unit or product line to the corporation in terms of assets used or sales generated.

The BCG Growth-Share Matrix has some common attributes and, therefore, common problems with the product life cycle. As a product moves through its perceived life cycle, it is generally categorized into one of four types for the purpose of funding decisions:

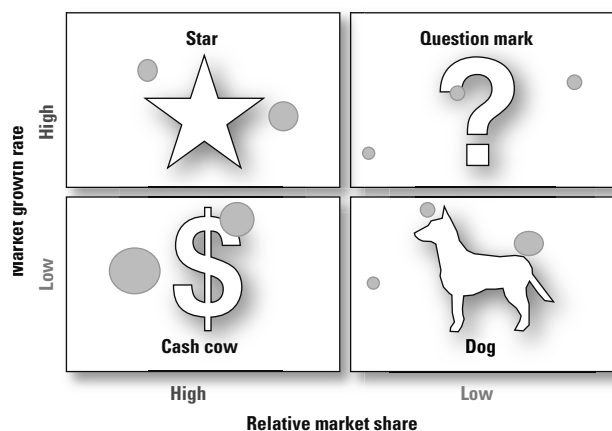
Full Integration	Taper Integration	Quasi- Integration	Long-Term Contract
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SOURCE: Suggested by K. R. Harrigan, *Strategies for Vertical Integration* (Lexington, MA: Lexington Books, D.C. Heath, 1983), pp. 16–21.

Figure 6.2 Vertical Integration Continuum

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SOURCE: Based on *Long Range Planning*, Vol. 10, No. 2, 1977, Hedley, "Strategy and the Business Portfolio." p. 12. Copyright © 1977.

Figure 6.3 BCG Growth-Share Matrix

- ⇒ **Question marks** (sometimes called "problem children" or "wildcats") are new products with the potential for success, but needing a lot of cash for development. If such a product is to gain enough market share to become a market leader and thus a star, money must be taken from more mature products and spent on the question mark. This is a "fish or cut bait" decision in which management must decide if the business is worth the investment needed. For example, after years of fruitlessly experimenting with an electric car, General Motors finally decided in 2006 to take a chance on developing the Chevrolet Volt. To learn more of GM's decision to build the electric car, see the **Sustainability Issue** feature.
- ⇒ **Stars** are market leaders that are typically at or nearing the peak of their perceived product life cycle and are able to generate enough cash to maintain their high share of the market and usually contribute to the company's profits. The Fitbit bracelet has been a star performer for the company with the product still commanding more than 30% of the market share in 2016.
- ⇒ **Cash cows** typically bring in far more money than is needed to maintain their market share. In this maturing or even declining stage of their life cycle, these products are "milked" for cash that will be invested in new question marks. Expenses such as advertising and R&D are reduced. Apple's iPhone (once a true star) represented more than 60% of Apple revenues even as sales started falling in 2016. This flagship product of the company provides vast resources that have been poured into the Apple Watch among others. Question marks unable to obtain dominant market share (and thus become stars) by the time the industry growth rate inevitably slows become dogs.
- ⇒ **Dogs** have low market share and do not have the potential (usually because they are in an unattractive industry without a significant market position) to bring in much cash. According to the BCG Growth-Share Matrix, dogs should be either sold off or managed carefully for the small amount of cash they can

generate. IBM sold its PC business to China's Lenovo Group in order to focus on its growing services business.

Underlying the BCG Growth-Share Matrix is the concept of the experience curve (discussed in **Chapter 4**). The key to success with this model is assumed to be market leadership. Firms with higher market share tend to have a cost leadership position based on economies of scale, among many other things. If a company is able to use the experience curve to its advantage, it should be able to manufacture and sell new products at a price low enough to garner early market share leadership (assuming no successful imitation by competitors).

Having plotted the current positions of its product lines or business units on a matrix, a company can project its future positions; however, this assumes no change in strategy by either the company with the portfolio or its competitors—a very unrealistic assumption. That said, present and projected matrixes can be used to help identify major strategic issues facing the organization. The goal of any company using a portfolio approach is to maintain a balanced portfolio so it can be self-sufficient in cash and always working to harvest mature products in declining or stagnant industries in order to support new ones in growing industries.

The BCG Growth-Share Matrix is a very well-known portfolio concept with some clear advantages. It is quantifiable and easy to use. *Cash cow*, *dog*, *question mark*, and *star* are easy-to-remember terms for referring to a corporation's business units or products. Unfortunately, the BCG Growth-Share Matrix also has some serious limitations:

- ⇒ The use of highs and lows to form four categories is too simplistic.
- ⇒ The link between market share and profitability is questionable. Low-share businesses can also be profitable. The long-play record virtually disappeared in the 1990s and early 2000s as CDs, downloads, and then streaming music took hold of the masses. Today, there are still companies pressing in-house vinyl records and doing so very profitably. At the same time there has been a resurgence in demand for cassette tapes!
- ⇒ Growth rate is only one aspect of industry attractiveness.
- ⇒ Product lines or business units are considered only in relation to one competitor: the market leader. Small competitors with fast-growing market shares are ignored.
- ⇒ Market share is only one aspect of overall competitive position.

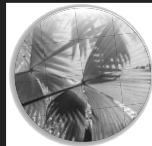
6.3.2 Advantages and Limitations of Portfolio Analysis

Portfolio analysis is commonly used in strategy formulation because it offers certain *advantages*:

- ⇒ It encourages top management to evaluate each of the corporation's businesses individually and to set objectives and allocate resources for each.

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**SUSTAINABILITY ISSUE****GENERAL MOTORS AND THE ELECTRIC CAR**

In 2003, top management at General Motors (GM) decided to discontinue further work on its EV1 electric automobile. Working versions of the car had been leased to a limited number of people, but never sold. GM required every EV1 to be returned to the company. Environmentalists protested that GM stopped making the car just to send a message to government policy makers that an electric car was bad business. Management responded by stating that the car would never have made a profit.

In an April 2005 meeting of GM's top management team, Vice Chairman Robert Lutz suggested that it might be time to build another electric car. He noted that Toyota's Prius hybrid had made Toyota look environmentally sensitive, whereas GM was viewed as making gas "hogs." The response was negative. Lutz recalled one executive saying, "We lost \$1 billion on the last one. Do you want to lose \$1 billion on the next one?"

Even though worldwide car ownership was growing 5% annually, rising fuel prices in 2005 reduced sales of GM's profitable SUVs, resulting in a loss of US\$11 billion. Board members began signaling that it was time for management to take some riskier bets to get the company out of financial trouble. In February 2006, management reluctantly approved developmental work on another electric car. At the time, no one in GM knew if batteries could be made small enough to power a car, but they knew that choices were limited. According to Larry Burns, Vice President of R&D and Strategic Planning, "This industry is 98% dependent on petroleum. GM has concluded that that's not sustainable." In the meantime, Tesla Motors had been founded and was planning an all-battery powered model to be released in 2008.

Chairman and CEO Richard Wagoner Jr. surprised the world at the January 2007 Detroit Auto Show with a vow to start developing an electric car called the Chevrolet Volt. It would plug into a regular electric outlet, leapfrog the established competition, and be on sale in 2010.

Management created a new team dedicated to getting hybrid and electric cars to market. The R&D budget was increased from US\$6.6 billion in 2006 to US\$8.1 billion in 2007. Several new models were canceled to free up resources. The battery lab was under pressure to design batteries that could propel the Volt 40 miles before a small gasoline engine would recharge the battery and extend the range to 600 miles.

Douglas Drauch, battery lab manager, said. “Fifty years from now, people will remember the Volt—like they remember a ’53 Corvette.”

The Volt was released with much fanfare in October, 2010, and by 2012 GM was selling 2500 a month at just over US\$40,000 per car. The company was still struggling to match manufacturing with sales and still make a profit. In the meantime, Nissan, Ford, and Toyota were making significant moves in the battery-powered car business. Nissan released the Leaf, Ford released the electric Focus, and Toyota offered the Plug-in Prius and the all-electric RAV4, which claimed to get 103 MPG. Overarching all of the established car company efforts was Tesla. In 2012 they launched the Model S that was 100% electric and could travel 265 miles per charge. By 2016, Tesla had 50,000 vehicles on the road and was seen as the leader in electric car technology.

The Volt remained a hybrid vehicle and sales limped along. By mid-2015 the Volt was selling less than 9,000 units a year and the Leaf was only a bit better selling roughly 15,000 units a year. So, in late 2016, Chevy planned to release the Chevy Bolt. The Bolt is an all-electric vehicle with a range of 200 miles and a price tag in the \$38,000 range. It has yet to be seen if the electric car can gain a significant foothold on the U.S. market.

SOURCES: www.chevrolet.com/bolt-ev-electric-vehicle.html; www.teslamotors.com/about; S. Blanco, “Nissan Leaf, Chevy Volt have best sales month of 2015,” Autoblog, (www.autoblog.com/2015/06/02/nissan-leaf-chevy-volt-best-sales-month-2015/); J. Bennett, “GM Expects Volt Sales to Set Monthly Record,” The Wall Street Journal (August 30, 2012), (<http://blogs.wsj.com/drivers-seat/2012/08/30/gm-expects-volt-sales-to-set-monthly-record/?KEYWORDS=volt>); “12 Electric Cars for 2012,” CNN Money, (<http://money.cnn.com/galleries/2012/autos/1201/gallery.electric-hybrid-cars.fortune/9.html>); D. Welch, “GM: Live Green or Die,” BusinessWeek (May 26, 2008), pp. 36–41; “The Drive for Low Emissions,” The Economist’s Special Report on Business and Climate Change (June 2, 2007), pp. 26–28.

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- ⇒ It stimulates the use of externally oriented data to supplement management’s judgment.
- ⇒ It raises the issue of cash-flow availability for use in expansion and growth.
- ⇒ Its graphic depiction facilitates communication.

Portfolio analysis does, however, have some very real *limitations* that have caused some companies to reduce their use of this approach:

- ⇒ Defining product/market segments is difficult.
- ⇒ It suggests the use of standard strategies that can miss opportunities or be impractical.
- ⇒ It provides an illusion of scientific rigor, when in reality positions are based on subjective judgments.

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- ⇒ Its value-laden terms such as cash cow and dog can lead to self-fulfilling prophecies.
- ⇒ It is not always clear what makes an industry attractive or where a product is in its life cycle.
- ⇒ Naively following the prescriptions of a portfolio model may actually reduce corporate profits if they are used inappropriately. For example, General Mills' immensely successful Bisquick brand of baking mix would have been written off years ago based on portfolio analysis.

6.3.3 Managing a Strategic Alliance Portfolio

Just as product lines/business units form a portfolio of investments that top management must constantly juggle to ensure the best return on the corporation's invested money, strategic alliances can also be viewed as a portfolio of investments—investments of money, time, and energy. The way a company manages these intertwined relationships can significantly influence corporate competitiveness. Alliances are thus recognized as an important potential source of competitive advantage and superior performance.

Managing groups of strategic alliances is primarily the job of the business unit. Its decisions may escalate, however, to the corporate level.

There appear to be four tasks of multi-alliance management that are necessary for successful alliance portfolio management:

- 1. Developing and implementing a portfolio strategy for each business unit and a corporate policy for managing all the alliances of the entire company:** Alliances are primarily determined by business units. The corporate level develops general rules concerning when, how, and with whom to cooperate. The task of alliance policy is to strategically align all of the corporation's alliance activities with corporate strategy and corporate values. Every new alliance is thus checked against corporate policy before it is approved.
- 2. Monitoring the alliance portfolio in terms of implementing business unit strategies and corporate strategy and policies:** Each alliance is measured in terms of achievement of objectives (e.g., market share), financial measures (e.g., profits and cash flow), contributed resource quality and quantity, and the overall relationship. The more a firm is diversified, the less the need for monitoring at the corporate level.
- 3. Coordinating the portfolio to obtain synergies and avoid conflicts among alliances:** Because the interdependencies among alliances within a business unit are usually greater than among different businesses, the need for coordination is greater at the business level than at the corporate level. The need for coordination increases as the number of alliances in

one business unit and the company as a whole increases, the average number of partners per alliance increases, and/or the overlap of the alliances increases.

- 4. Establishing an alliance management system to support other tasks of multi-alliance management:** This infrastructure consists of formalized processes, standardized tools, and specialized organizational units. Many companies establish centers of competence for alliance management. The centers are often part of a department for corporate development or a department of alliance management at the corporate level. In other corporations, specialized positions for alliance management are created at both the corporate and business unit levels or only at the business unit level. Most corporations prefer a system in which the corporate level provides the methods and tools to support alliances centrally, but decentralizes day-to-day alliance management to the business units.

6.4 CORPORATE PARENTING

It has been suggested that portfolio-based corporate strategists address two crucial questions:

- ⇒ What businesses should this company own and why?
- ⇒ What organizational structure, management processes, and philosophy will foster superior performance from the company's business units?

Portfolio analysis typically attempts to answer these questions by examining the attractiveness of various industries and by managing business units for cash flow—that is, by using cash generated from mature units to build new product lines. Unfortunately, portfolio analysis fails to deal with the question of what industries a corporation should enter or how a corporation can attain synergy among its product lines and business units. As suggested by its name, portfolio analysis tends to primarily view matters financially, regarding business units and product lines as separate and independent investments. Calculating the impact and fit of entering a new industry or a new business acquisition within the current industry can be quite difficult as shown in the **Innovation Issue** feature.

Corporate parenting, or parenting strategy, in contrast, views a corporation in terms of resources and capabilities that can be used to build business unit value as well as generate synergies across business units. A widely accepted definition is that:

Multibusiness companies create value by influencing—or parenting—the businesses they own. The best parent companies create more value than any of their rivals would if they owned the same businesses. Those companies have what we call parenting advantage.

Corporate parenting generates corporate strategy by focusing on the core competencies of the parent corporation and on

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- 6-4.** Develop a parenting strategy for a multiple-business corporation

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the value created from the relationship between the parent and its businesses. In the form of corporate headquarters, the parent has a great deal of power in this relationship. If there is a good fit between the parent's skills and resources and the needs and opportunities of the business units, the corporation is likely to create value. If, however, there is not a good fit, the corporation is likely to destroy value. Research indicates that companies that have a good fit between their strategy and their parenting roles are better performers than those companies that do not have a good fit. This approach to corporate strategy is useful not only in deciding what new businesses to acquire but also in choosing how each existing business unit should be best managed. This appears to have been one of the key elements to the success of General Electric under CEO Jack Welch.

The primary job of corporate headquarters is, therefore, to obtain synergy among the business units by providing needed resources to units, transferring skills and capabilities among the units, and coordinating the activities of shared unit functions to attain economies of scope (as in centralized purchasing). This is in agreement with the concept of the learning organization discussed in **Chapter 1** in which the role of a large firm is to facilitate and transfer the knowledge assets and services throughout the corporation. This is especially important given that 75% or more of a modern company's market value stems from its intangible assets—the organization's knowledge and capabilities. At Proctor & Gamble, for example, the various business units are expected to work together to develop innovative products. Crest Whitestrips, which controlled 67% of the at-home tooth-whitening market by 2014, was based on the P&G laundry division's knowledge of whitening agents.

6.4.1 Developing a Corporate Parenting Strategy

The search for appropriate corporate strategy involves three analytical steps:

1. **Examine each business unit (or target firm in the case of acquisition) in terms of its strategic factors:** People in the business units probably identified the strategic factors when they were generating business strategies for their units. One popular approach is to establish centers of excellence throughout the corporation. A **center of excellence** is “an organizational unit that embodies a set of capabilities that has been explicitly recognized by the firm as an important source of value creation, with the intention that these capabilities be leveraged by and/or disseminated to other parts of the firm.”
2. **Examine each business unit (or target firm) in terms of areas in which performance can be improved:** These are considered to be parenting opportunities. For example, two business units might be able to gain economies of scope by



INNOVATION ISSUE

Café Coffee Day. New Business Fit: To or Not?

Many large and established organizations have been known to acquire businesses in order to target a niche area of an industry. These companies acquire small and medium-size companies which have innovative business models and are able to increase the market size significantly.

In the Indian context, there have been examples of small to medium sized companies who sensed the retail opportunity and came up with innovative business models to emerge successful. One such example is of ABCTCL. Amalgamated Bean Coffee Trading Company (ABCTCL), better known as “ABC”, is one of the largest exporters in India. The company today is more recognized by its chain of branded coffee outlets known as Café Coffee Day (CCD).

Initially, Café Coffee Day was positioned as an internet café and was an infant industry at that point (1996) in India. The original business moderate of the company was to serve coffee to its customers. V.G. Siddhartha, had inherited the ABCTCL, and set up CCD, because he was dissatisfied with his family’s coffee business. He had entered into the coffee business because he felt that there were no margins in coffee sales because of dependency on the international market forces. His pursuit of a better marketing platform led him to eventually develop a vertically integrated model for CCD.

The company has a complex and integrated value chain with its presence from plantation activity to retailing. The company started off as a grower and exporter of coffee beans and later as a forward integration strategy also started retail operations. Today CCD is a chain of cafes in cities around India.

A lower pricing strategy, an equivalent product quality and excellent service has made it the most successful coffee chain in India. V G Siddhartha built Café Coffee Day into one of India’s largest chains and took it public in October 2015, where the listing of the company saw a valuation of around \$1 billion. At the group level, the annual report of the company for 2016 boasts that it’s EBIDTA increased by 23.5% as compared to FY15, and net operating revenue saw a 14% growth from FY15 to FY16 while substantially reducing losses to ₹8 crores in FY16, from ₹84 crores in FY15. The company has experienced a phenomenal growth by staying relevant to the consumers and transitioning from a cyber cafe model into one of a coffee experience.

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combining their sales forces. In another instance, a unit may have good, but not great, manufacturing and logistics skills. A parent company having world-class expertise in these areas could improve that unit's performance. The corporate parent could also transfer some people from one business unit who have the desired skills to another unit that is in need of those skills. People at corporate headquarters may, because of their experience in many industries, spot areas where improvements are possible that even people in the business unit may not have noticed. Unless specific areas are significantly weaker than the competition, people in the business units may not even be aware that these areas could be improved, especially if each business unit monitors only its own particular industry.

3. **Analyze how well the parent corporation fits with the business unit (or target firm):** Corporate headquarters must be aware of its own strengths and weaknesses in terms of resources, skills, and capabilities. To do this, the corporate parent must ask whether it has the characteristics that fit the parenting opportunities in each business unit. It must also ask whether there is a misfit between the parent's characteristics and the critical success factors of each business unit.

6.4.2 Horizontal Strategy and Multipoint Competition

A **horizontal strategy** is a corporate strategy that cuts across business unit boundaries to build synergy between business units and to improve the competitive position of one or more business units. When used to build synergy, it acts like a parenting strategy. When used to improve the competitive position of one or more business units, it can be thought of as a corporate competitive strategy. In **multipoint competition**, large multibusiness corporations compete against other large multibusiness firms in a number of markets. These multipoint competitors are firms that compete with each other not only in one business unit, but also in a number of business units. At one time or another, a cash-rich competitor may choose to build its own market share in a particular market to the disadvantage of another corporation's business unit. Although each business unit has primary responsibility for its own business strategy, it may sometimes need some help from its corporate parent, especially if the competitor business unit is getting heavy financial support from its corporate parent. In this instance, corporate headquarters develops a horizontal strategy to coordinate the various goals and strategies of related business units.

P&G, Kimberly-Clark, Scott Paper, and Johnson & Johnson (J&J) compete with one another in varying combinations of consumer paper products, from disposable diapers to facial tissue. If (purely hypothetically) J&J had just developed a toilet tissue with which it chose to challenge Procter & Gamble's high-share Charmin brand in

a particular district, it might charge a low price for its new brand to build sales quickly. P&G might not choose to respond to this attack on its share by cutting prices on Charmin. Because of Charmin's high market share, P&G would lose significantly more sales dollars in a price war than J&J would with its initially low-share brand. To retaliate, P&G might challenge J&J's high-share baby shampoo with P&G's own low-share brand of baby shampoo in a different district. Once J&J had perceived P&G's response, it might choose to stop challenging Charmin so that P&G would stop challenging J&J's baby shampoo.

Multipoint competition and the resulting use of horizontal strategy may actually slow the development of hypercompetition in an industry. The realization that an attack on a market leader's position could result in a response in another market leads to mutual forbearance in which managers behave more conservatively toward multimarket rivals and competitive rivalry is reduced. There are examples of multipoint competition that have resulted in firms being less likely to exit a market. "Live and let live" replaced strong competitive rivalry.

Multipoint competition is likely to become even more prevalent in the future, as corporations become global competitors and expand into more markets through strategic alliances.

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6.5 SUMMARY

Corporate strategy is primarily about the choice of direction for the firm as a whole. It deals with three key issues that a corporation faces: (1) the firm's overall orientation toward growth, stability, or retrenchment; (2) the industries or markets in which the firm competes through its products and business units; and (3) the manner in which management coordinates activities and transfers resources and cultivates

capabilities among product lines and business units. These issues are dealt with through directional strategy, portfolio analysis, and corporate parenting.

Managers must constantly examine their corporation's entire portfolio of products, businesses, and opportunities as if they were planning to reinvest all of its capital.

6.6 KEY TERM

acquisition (p. 178)
backward integration (p. 179)
bankruptcy (p. 188)
BCG (Boston Consulting Group) Growth-Share Matrix (p. 189)
captive company strategy (p. 187)
cash cows (p. 190)
center of excellence (p. 195)
concentration (p. 179)
concentric diversification (p. 183)
conglomerate diversification (p. 184)
corporate parenting (p. 194)
corporate strategy (p. 176)
directional strategy (p. 176)
diversification (p. 179)

divestment (p. 188)
dogs (p. 192)
forward integration (p. 180)
full integration (p. 180)
growth strategies (p. 177)
horizontal growth (p. 182)
horizontal integration (p. 182)
horizontal strategy (p. 196)
liquidation (p. 188)
long-term contracts (p. 182)
merger (p. 178)
multipoint competition (p. 196)
no-change strategy (p. 186)
parenting strategy (p. 176)

pause/proceed-with-caution strategy (p. 186)
 portfolio analysis (p. 176)
 profit strategy (p. 186)
 quasi-integration (p. 181)
 question marks (p. 190)
 retrenchment strategies (p. 177)
 sell-out strategy (p. 188)

stability strategies (p. 177)
 stars (p. 190)
 taper integration (p. 180)
 transaction cost economics (p. 180)
 turnaround strategy (p. 187)
 vertical growth (p. 179)
 vertical integration (p. 179)

6.7 REVIEW QUESTIONS

- 6-1. How does horizontal growth differ from vertical growth as a corporate strategy? From concentric diversification?
- 6-2. What are the trade-offs between an internal and an external growth strategy? Which approach is best as an international entry strategy?
- 6-3. Is stability really a strategy or just a term for no strategy?
- 6-4. How is corporate parenting different from portfolio analysis? How is it alike? Is it a useful concept in a global industry?
- 6-5. What is corporate strategy? What are the key issues that the corporate strategy addresses?

- 6-6. What is corporate parenting? Why does a company develop a parenting strategy?
- 6-7. Discuss various growth strategies in detail.
- 6-8. What is the difference between concentric and conglomerate diversification?
- 6-9. Outline in detail the various stability strategies. Under what conditions are each one of them adopted?
- 6-10. Write short notes on the following:
 BCG matrix.
 Advantages of portfolio analysis.
 Managing the strategic alliance portfolio.

6.8 STRATEGIC PRACTICE EXERCISE

- 6-1. Form into small groups in the class to discuss the future of electronic publishing.
- 6-2. Consider the following questions as discussion guides:
 - What are the pros and cons of electronic publishing?
 - What is the impact of electronic publishing on the environment?
 - Should newspaper and book publishers completely convert to electronic publishing over paper? (The

New York Times and The Wall Street Journal publish in both paper and electronic formats. Why have they been successful when so many others have not been able to make money with this approach?)

- Would you prefer this textbook and others in an electronic format? What prevents this move?
- What business model should publishers use to make money publishing electronically?

- 6-3. Present your group's conclusions to the class.

6.9 MULTIPLE-CHOICE QUESTIONS

- 6-1.** Which strategy specifies the firm's overall direction in terms of its general orientation toward growth, the industries or markets in which it competes, and the manner in which it coordinates activities and transfers resources among business units?
- corporate
 - functional
 - divisional
 - organizational
 - business
- 6-2.** Which kind of corporate strategy deals with the firm's overall orientation toward growth?
- portfolio strategy
 - directional strategy
 - parenting strategy
 - cooperative strategy
 - functional strategy
- 6-3.** Which kind of corporate strategy deals with the manner in which the firm coordinates activities and builds corporate synergies through resource sharing and development?
- portfolio strategy
 - directional strategy
 - parenting strategy
 - cooperative strategy
 - functional strategy
- 6-4.** Which one of the following directional strategies is most frequently used in corporations?
- stability
 - consolidation
 - growth
 - retrenchment
 - expansion
- 6-5.** Which external growth strategy involves two or more corporations joining in a stock exchange and from which only one corporation survives?
- merger
 - strategic alliance
 - diversification
 - acquisition
 - concentration
- 6-6.** Which of the following strategies was being used when Allied Corporation and Signal Companies formed Allied Signal?
- merger
 - strategic alliance
 - diversification
 - acquisition
 - concentration
- 6-7.** Which external growth strategy was demonstrated when Procter & Gamble completely absorbed Gillette?
- merger
 - strategic alliance
 - diversification
 - concentration
 - acquisition
- 6-8.** Which of the following is not a reason why the growth strategy is so desirable?
- There are more opportunities for advancement and promotion.
 - A corporation that experiences successful growth is thought of positively by the marketplace and potential investors.
 - A large and growth-oriented corporation has more clout and influence.
 - A growing firm can cover up mistakes and inefficiencies because of the increase in cash flow revenue.
 - A large and growing firm attracts more acquisition offers.
- 6-9.** The most logical growth strategy for a corporation with current product lines with real growth potential in a growing industry is
- concentration.
 - conglomerate integration.
 - concentric diversification.
 - stability.
 - retrenchment.
- 6-10.** The purpose of vertical growth is to
- take over a function previously supplied by a former employer.
 - take over a function previously provided by a supplier or by a distributor.
 - acquire a company of similar objective.
 - sell a company encumbered with debt.
 - expand to countries with strong trade alliances.

Answer Keys: 6-1. A 6-2. B 6-3. C 6-4. C 6-5. A 6-6. A 6-7. E 6-8. E 6-9. A 6-10. B

7

CHAPTER

STRATEGY FORMULATION: FUNCTIONAL STRATEGY AND STRATEGIC CHOICE

7.1	Functional Strategy
7.1.1	Marketing Strategy
7.1.2	Financial Strategy
7.1.3	Research and Development (R&D) Strategy
7.1.4	Operations Strategy
7.1.5	Purchasing Strategy
7.1.6	Logistics Strategy
7.1.7	Human Resource Management (HRM) Strategy
7.1.8	Information Technology Strategy
7.2	The Sourcing Decision: Location of Functions
7.3	Strategies To Avoid
7.4	Strategic Choice: Constructing Scenarios
7.4.1	Constructing Corporate Scenarios
7.4.2	The Process of Strategic Choice
7.4.3	Using Policies to Guide Strategic Choices
7.4.4	The Better Off Test: A Core Principle
7.5	Summary
7.6	Key Term
7.7	Review Questions
7.8	Strategic Practice Exercise
7.9	Multiple-choice Questions

KELLOGG'S INDIA PLANS AT ALIGNING ELEMENTS OF ITS STRATEGY TO WIN INDIAN MARKETS



Kellogg's cereals had 40% of the US market share in ready-to-eat segment, it was being produced in over 20 plants in 18 countries worldwide and was reaching a yearly sales of \$6 million and yet it was facing strong competition from its competitors as the industry was stagnating. In order to increase its growth rate it searched for markets beyond US and Europe and decided to enter into the Indian market.

Kellogg's set up Kellogg's India, a 100% subsidiary of Kellogg's company USA. It entered into India at a time when breakfast cereal per capita consumption in India was 2g per annum as compared to 5 kg per annum globally. Main challenges which the company faced in a ready-to-eat cereal market in India can be classified into cultural factors, easy availability of low-priced traditional breakfast, low level of knowledge, health consciousness and price-sensitive customers. Despite these challenges, after its launch in September 1994, the initial sales figures were decent enough to indicate to the company that the customers in the Indian market might be responding to the product positively despite the fact that they were not used to eating ready-to-eat processed foods rest alone breakfast cereals. In April 1995, Kellogg's India Limited saw a decline of 25% in its sales as compared to March 1995.

The company almost exclusively focused its marketing campaign on the quality of its crispy flakes. The Indian customer did not accept the product because of not only the behavioural differences in consumption of breakfast but also because they were not very receptive to the idea of pouring cold milk on the flakes because of the sweet tooth – Kellogg's flakes were not sweet enough and when the Indian consumer added sugar to cold milk it did not dissolve and when they poured hot milk the crispy flakes became soggy and did not taste good. Most analysts concluded that despite the marketing frenzy, Kellogg's entry into India was a failure because of two main reasons—firstly, its overconfidence and its inability to pay attention to cultural nuances of the Indian market; secondly, it was priced far too high to be a regular grocery purchase in the Indian market. That is why some analyst explained that out of hundred packets sold only two were being purchased by regular and repeat customers, 98 were being bought by first-time buyers.

When developing a strategy, companies have to bring together all elements in a manner that it provides them with

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- 7-1. Discuss the impact that the various types of functional strategies have on the achievement of organizational goals and objectives

a unique position relative to their competitors. Kellogg's India made a number of missteps along the way. However, the company learned from its mistakes and when it launched Kellogg's Frosties in India in 1997, the success of the product surprised even the company. Kellogg's took the decision to localize its flavouring and worked at aligning the elements of its strategy.

7.1 FUNCTIONAL STRATEGY

Functional strategy is the approach a functional area takes to achieve corporate and business unit objectives and strategies by maximizing resource productivity. It is concerned with developing and nurturing a distinctive competence to provide a company or business unit with a competitive advantage. Just as a multidivisional corporation has several business units, each with its own business strategy, each business unit has its own set of departments, each with its own functional strategy.

The orientation of a functional strategy is dictated by its parent business unit's strategy. For example, a business unit following a competitive strategy of differentiation through high quality might require a manufacturing functional strategy that emphasizes expensive quality assurance processes over cheaper, high-volume production; a human resource functional strategy that emphasizes the hiring and training of a highly skilled, but costly, workforce; and a marketing functional strategy that emphasizes distribution channel "pull," using advertising to increase consumer demand, over "push," using promotional allowances to retailers. If a business unit were to follow a low-cost competitive strategy, however, a different set of functional strategies would be needed to support the business strategy.

Just as competitive strategies may need to vary from one region of the world to another, functional strategies may need to vary from region to region. As highlighted by the opening vignette on Kellogg's when it entered India, they had to change their marketing strategies and marketing mix. Similarly when Mr. Doughnut expanded into Japan, for example, it had to market donuts not as breakfast, but as snack food. Because the Japanese had no breakfast coffee-and-donut custom, they preferred to eat the donuts in the afternoon or evening. Mr. Donut restaurants were thus located near railroad stations and supermarkets. All signs were in English to appeal to the Western interests of the Japanese.

7.1.1 Marketing Strategy

Marketing strategy deals with pricing, selling, and distributing a product. Using a **market development** strategy, a company or business unit can (1) capture a larger share of an existing market for current products through market saturation and

market penetration or (2) develop new uses and/or markets for current products. Consumer product giants such as P&G, Colgate-Palmolive, and Unilever are experts at using advertising and promotion to implement a market saturation/penetration strategy to gain the dominant market share in a product category. As seeming masters of the product life cycle, these companies are able to extend product life almost indefinitely through “new and improved” variations of product and packaging that appeal to most market niches. A company like Nestle, had to follow market development strategy by finding alternate uses of its product Milkmaid. Initially launched in India as a substitute for milk, the product was unable to grasp customer attention. The company, extended its lifecycle by introducing the product as a dessert ingredient and today the product has a wide range of recipes from the Indian market.

Using the **product development** strategy, a company or unit can (1) develop new products for *existing markets* or (2) develop new products for *new markets*. Church & Dwight has had great success by following the first product development strategy developing new products to sell to its current customers in its existing markets. Acknowledging the widespread appeal of its Milkmaid brand as a dessert ingredient, Nestle has generated new uses for its product by reformulating it as a Fruit Yoghurt and Fun Shakes. In another example Lakme developed the concept of Lakme India Fashion Week to sell its products and educate the current customers. The company introduces latest season looks, makeup and fashion trends in this show. These makeup trends are then further advertised through its saloons across the country. Using the successful brand name to market other products is called as brand extension, and it is a good way to appeal to a company’s current customer base. ITC, the most reputed brand in the tobacco industry has extended itself into almost every other product category like cosmetics, match box, staples, hotels etc. Dettol is another successful example of brand extension. Originally an antiseptic company, the company now sells shaving creams, soaps etc. Nirma is another company which has adopted aggressive line extension strategy. It has extended to categories as commodity food products, personal care products and packaged food. Distinct operations management and robust infrastructure allowed Nirma to have cost leadership and become a significant competitor in markets previously dominated by giants such as HLL and P&G.

There are numerous other marketing strategies. For advertising and promotion, for example, a company or business unit can choose between “push” and “pull” marketing strategies. Many large food and consumer products companies in the United States and Canada follow a *push strategy* by spending a large amount of money on trade promotion in order to gain or hold shelf space in retail outlets. Trade promotion includes discounts, in-store special offers, and advertising allowances designed to “push” products through the distribution system. The Kellogg Company decided a

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few years ago to change its emphasis from a push to a *pull strategy*, in which advertising “pulls” the products through the distribution channels. The company now spends more money on consumer advertising designed to build brand awareness so that shoppers will ask for the products. Research has found that a high level of advertising (a key part of a pull strategy) is beneficial to leading brands in a market. Strong brands provide a competitive advantage to a firm because they act as entry barriers and usually generate higher market share.

Other marketing strategies deal with distribution and pricing. Should a company use distributors and dealers to sell its products, should it sell directly to mass merchandisers, or should it use the direct marketing model by selling straight to the consumers via the Internet? Fabindia Overseas Private Limited, is a retailer of garments, fabrics, furnishings and ethnic products in India. Fabindia was one of the earliest adopters of the omni-channel strategy in retail. It invested its resources into developing a combination of e-commerce and brick and mortar based distribution channels in order to cater to the customers appropriately. The company developed a learning model and leapfrogged seamlessly in the Indian market while integrating online and physical models. On the other hand, many companies are progressively using multiple channels in order to reach and service its customers. This trend is most commonly seen in banking and insurance sector. HDFC is one of India’s premier banks providing a wide range of financial products and services to Indian consumers with the help of a network of 4715 branches, 12260 ATMs in 2657 cities and towns all over India. It has a net profit of ₹ 14550 crore and a capital adequacy ratio of 14.6%. The bank has invested heavily into its multichannel servicing strategy in order to provide customers the use of its complete range of products and services. The products offered range from banking services, lending services, insurance services etc., through direct access of banking channels such as phone banking, net banking and international credit and debit cards. The bank is also investing into personalized multichannel engagements beginning with its websites. Companies which use mighty distribution systems are able to attract new customers, generate additional revenues and improve network sales productivity, since lead generation and management are more tailored to ‘value-creating’ relationships. However, using multiple channels simultaneously can lead to problems. It can lead to cannibalization across distribution channels, increase in competition and insufficient sales to stay in the business and thus discontent among distribution channel members. For example many distributors across industries resent companies selling their products through big departmental stores like Walmart, Big Bazaar, Home Depot etc. Distributors fear that these big stores’ ability to under-price them would eventually lead to them becoming little more than repair facilities.

When pricing a new product, a company or business unit can follow one of two strategies. For new-product pioneers, *skim pricing* offers the opportunity to “skim the cream” from the top of the demand curve with a high price while the product is novel and competitors are few. *Penetration pricing*, in contrast, attempts to hasten market development and offers the pioneer the opportunity to use the experience curve to gain market share with a low price and then dominate the industry. Depending on corporate and business unit objectives and strategies, either of these choices may be desirable to a particular company or unit. Penetration pricing is, however, more likely than skim pricing to raise a unit’s operating profit in the long term. The use of the Internet to market goods directly to consumers allows a company to use *dynamic pricing*, a practice in which prices vary frequently based upon demand, market segment, and product availability.

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7.1.2 Financial Strategy

Financial strategy examines the financial implications of corporate and business-level strategic options and identifies the best financial course of action. It can also provide competitive advantage through a lower cost of funds and a flexible ability to raise capital to support a business strategy. Financial strategy usually attempts to maximize the financial value of a firm.

The trade-off between achieving the desired debt-to-equity ratio and relying on internal long-term financing via cash flow is a key issue in financial strategy. Many small-and medium-sized family-owned companies try to avoid all external sources of funds in order to avoid outside entanglements and to keep control of the company within the family. Most large publicly held firms have long-term debt and keep a large amount of money in cash and short-term investments. One of these is Apple Inc., which had more than a US\$215 billion cash hoard by early 2016. Many financial analysts believe, however, that only by financing through long-term debt can a corporation use financial leverage to boost earnings per share—thus raising stock price and the overall value of the company. Research indicates that higher debt levels not only deter takeover by other firms (by making the company less attractive) but also lead to improved productivity and improved cash flows by forcing management to focus on core businesses. High debt can be a problem, however, when the economy or the company falters and a company’s cash flow drops.

Research reveals that a firm’s financial strategy is influenced by its corporate diversification strategy. Equity financing, for example, is preferred for related diversification, whereas debt financing is preferred for unrelated diversification.

A very popular financial strategy that ebbs and flows with the economy is the leveraged buyout (LBO). Goldman Sachs Group is one of the largest financiers of LBOs in the world. They raised over

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US\$26 billion in the past 10 years and completed the largest single raise of funds in history with over US\$8 billion in 2016. In a **leveraged buyout**, a company is acquired in a transaction financed largely by debt, usually obtained from a third party, such as an insurance company or an investment banker. Ultimately, the debt is paid with money generated from the acquired company's operations or by sales of its assets. The acquired company, in effect, pays for its own acquisition. Management of the LBO is then under tremendous pressure to keep the highly leveraged company profitable. Unfortunately, the huge amount of debt on the acquired company's books may actually cause its eventual decline by focusing management's attention on short-term matters. For example, one year after the buyout, the cash flow of eight of the largest LBOs made during 2006–2007 was barely enough to cover interest payments. One study of LBOs (also called MBOs—Management Buy Outs if they are led by a company's current management) revealed that the financial performance of the typical LBO usually falls below the industry average in the fourth year after the buyout. The firm declines because of inflated expectations, utilization of all slack, management burnout, and a lack of strategic management. Often, the only solutions are to sell the company or to again go public by selling stock to finance growth.

The management of dividends and stock price is an important part of a corporation's financial strategy. Corporations in fast-growing industries such as computers and computer software often do not declare dividends. They use the money they might have spent on dividends to finance rapid growth. If the company is successful, its growth in sales and profits is reflected in a higher stock price, eventually resulting in a hefty capital gain when shareholders sell their common stock. Other corporations, such as Diebold Inc., that do not face rapid growth, must support the value of their stock by offering consistent dividends. Instead of raising dividends when profits are high, a popular financial strategy is to use excess cash (or even use debt) to buy back a company's own shares of stock. In 2017, HCL Tech, India's fourth-largest software services firm, initiated the process to buy back shares at a 17% premium over current trading price making the size of buyback around ₹3500 crore, representing 16.39% and 13.62% of the aggregate of the fully paid up equity share capital and free reserves as per the standalone and consolidated audited accounts of the company for the financial year March 31, 2016. Similarly, TCS announced India's biggest share buyback of ₹16,000 crore shares via the tender route, Reliance Industries carried out biggest share buyback worth ₹10,440 crore between February 1st 2012 and January 19th 2013. A share buyback suggests that the company perceives that it shares the undervalued. Because stock buybacks increase earnings per share they typically increase the firm's stock price and make unwanted takeover attempts more difficult. Such buybacks do send a signal to investors that management may not have been

able to find any profitable investment opportunities for the company or that it is anticipating reduced future earnings.

A number of firms have been supporting the price of their stock by using *reverse stock splits*. Contrasted with a typical forward 2-for-1 stock split in which an investor receives an additional share for every share owned (with each share being worth only half as much), in a reverse 1-for-2 stock split, the number of shares an investor owns is reduced by half for the same total amount of money (with each share now being worth twice as much). Thus, 100 shares of stock worth US\$10 each are exchanged for 50 shares worth US\$20 each. A reverse stock split may successfully raise a company's stock price, but it does not solve underlying problems. A study by Credit Suisse First Boston revealed that almost all 800 companies that had reverse stock splits in a five-year period performed worse than their peers over the long term.

A rather novel financial strategy is the selling of a company's patents. Companies such as AT&T, Bellsouth, American Express, Kimberly Clark, and 3Com have been selling patents for products that they no longer wish to commercialize or are not a part of their core business. Kodak has been selling off virtually its entire portfolio of patents in a desperate attempt to raise enough money to survive while management tries to figure out what the company should do if it can emerge from bankruptcy. Companies like Apple, Microsoft, and Google have bought patents in order to protect their competitive positions. Patents are also bought by patent accumulators who seek to sell groups of patents to other companies. A more sinister version of these are known as Patent Trolls who collect patents in order to sue other companies, but not use the patents themselves.

7.1.3 Research and Development (R&D) Strategy

R&D strategy deals with product and process innovation and improvement. It also deals with the appropriate mix of different types of R&D (basic, product, or process) and with the question of how new technology should be accessed—through internal development, external acquisition, or strategic alliances. RIM has floundered by going back and forth among these approaches rather than choosing an approach and investing their resources.

One of the R&D choices is to be either a **technological leader**, pioneering an innovation, or a **technological follower**, imitating the products of competitors.

Nike, Inc. has utilized a *leader* R&D functional strategy to achieve a differentiation competitive advantage. Nike spends more than most in the industry on R&D to differentiate the performance of its athletic shoes from that of its competitors. As a result, its products have become the favorite of serious athletes. This happened despite the fact that Nike simultaneously pursues a low-cost manufacturing approach.

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An increasing number of companies are working with their suppliers to help them keep up with changing technology. They are beginning to realize that a firm cannot be competitive technologically only through internal development. For example, Chrysler Corporation's skillful use of parts suppliers to design everything from car seats to drive shafts has enabled it to spend consistently less money than its competitors to develop new car models. Using strategic technology alliances is one way to combine the R&D capabilities of two companies.

A newer approach to R&D is *open innovation*, in which a firm uses alliances and connections with corporate, government, academic labs, and consumers to develop new products and processes. Open innovation (OI) has been widely accepted and applied to a wide variety of companies in every industry including some state governments and the National Football League. Intel opened four small-scale research facilities adjacent to universities to promote the cross-pollination of ideas. Thirteen U.S. university labs engaging in nanotechnology research have formed the National Nanotechnology Infrastructure Network in order to offer their resources to businesses for a fee. Mattel, Wal-Mart, and other toy manufacturers and retailers use idea brokers to scout for new toy ideas. IBM adopted the open operating system Linux for some of its computer products and systems, drawing on a core code base that is continually improved and enhanced by a massive global community of software developers, of whom only a fraction work for IBM. To open its own labs to ideas being generated elsewhere, P&G's CEO Art Lafley decreed that half of the company's ideas must come from outside, up from 10% in 2000. P&G instituted the use of *technology scouts* to search beyond the company for promising innovations. By 2007, the objective was achieved: 50% of the company's innovations originated outside P&G. Unfortunately, the unintended consequence was a sharp reduction in breakthrough products overall. Most of the innovations were relatively minor changes to existing products or products with very limited markets.

A slightly different approach to technology development is for a large firm such as IBM or Microsoft to purchase minority stakes in relatively new high-tech entrepreneurial ventures that need capital to continue operation. Investing corporate venture capital is one way to gain access to promising innovations at a lower cost than by developing them internally.

7.1.4 Operations Strategy

Operations strategy determines how and where a product or service is to be manufactured, the level of vertical integration in the production process, the deployment of physical resources, and relationships with suppliers. It should also deal with the optimum level of technology the firm should use in its operations processes.



GLOBAL ISSUE

WHY IS STARBUCKS AFRAID OF ITALY?

The concept of the Starbucks café (as it exists today) started in Milan, Italy, when Howard Schultz, then the Marketing Director for a coffee roasting business called Starbucks, saw how people talked to the folks making their coffee at the many coffee houses there. He came back to the United States and unable to convince his bosses about the idea, started up his own café in Seattle. Within three years, he had grown his company to such a size that he bought out the original Starbucks roasting business.

By early 2016 Starbucks had more than 21,000 cafés in 65 countries worldwide. Interestingly, it does not have one outlet in Italy even though rumors are swirling that they may open one in Milan in late 2016.

Why are there no Starbucks in Italy? Italy is the home of coffee culture and their approach to coffee is quite different. Italians primarily drink espresso and do so in one quick gulp. Cappuccino is strictly a breakfast drink, and while coffee stands are a gathering point, people rarely hang out after they have received their coffee.

That said, McDonald's has had significant success with its McCafé offering of traditional American style coffee, as well as Italian espresso. It encourages customers to linger much like the Starbucks model. McDonald's has more than 400 locations in Italy that serve coffee, including more than 100 that have a traditional Italian coffee bar.

So, should Starbucks make the move into Italy?

SOURCES: <http://www.starbucks.com/business/international-stores>; <http://www.lifeinitaly.com/lifestyle/starbucks-in-italy>; <http://www.aboutmcdonalds.com/content/mcd/investors/news-events/financial-news.html>; S. Faris, "Grounds Zero," *Bloomberg Businessweek* (February 13, 2012), (<http://www.businessweek.com/magazine/grounds-zero-a-starbucksfree-italy-02092012.html>); <http://www.starbucks.com/about-us/our-heritage>; "Starbucks Outlines Strategy for Accelerating Profitable Global Growth" (http://news.starbucks.com/article_display.cfm?article_id=342).

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See the **Global Issue** feature to see how operational differences in national conditions can impact the global efforts of a worldwide brand.

Advanced manufacturing technology (AMT) is revolutionizing operations worldwide and should continue to have a major impact as corporations strive to integrate diverse business activities by using computer-assisted design and manufacturing (CAD/CAM) principles. The use of CAD/CAM, flexible manufacturing systems, computer numerically controlled systems, automatically guided vehicles, robotics, manufacturing resource planning (MRP

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II), optimized production technology, and just-in-time techniques contribute to increased flexibility, quick response time, and higher productivity. Such investments also act to increase the company's fixed costs and could cause significant problems if the company is unable to achieve economies of scale or scope.

A firm's manufacturing strategy is often affected by a product's popularity. As the sales of a product increase, there will be an increase in production volume ranging from lot sizes as low as one in a *job shop* (one-of-a-kind production using skilled labor) through *connected line batch flow* (components are standardized; each machine functions like a job shop but is positioned in the same order as the parts are processed), to lot sizes as high as 100,000 or more per year for *flexible manufacturing systems* (parts are grouped into manufacturing families to produce a wide variety of mass-produced items), and *dedicated transfer lines* (highly automated assembly lines making one mass-produced product using little human labor). According to this concept, the product becomes standardized into a commodity over time in conjunction with increasing demand. Flexibility thus gives way to efficiency.

Increasing competitive intensity in many industries has forced companies to switch from traditional mass production using dedicated transfer lines to a continuous improvement production strategy. A *mass-production* system was an excellent method to produce a large number of low-cost, standard goods and services. Employees worked on narrowly defined, repetitious tasks under close supervision in a bureaucratic and hierarchical structure. Quality, however, often tended to be fairly low. Learning how to do something better was the prerogative of management; workers were expected only to learn what was assigned to them. This system tended to dominate manufacturing until the 1970s. Under the *continuous improvement* system developed by W. Edwards Deming and perfected by Japanese firms, companies empowered cross-functional teams to constantly strive to improve production processes. Managers are more like coaches than bosses. The result is a large quantity of low-cost, standard goods and services, but with high quality. The key to continuous improvement is the acknowledgment that workers' experience and knowledge can help managers solve production problems and contribute to tightening variances and reducing errors. Because continuous improvement enables firms to use the same low-cost competitive strategy as do mass-production firms but at a significantly higher level of quality, it is rapidly replacing mass production as an operations strategy.

The automobile industry is aggressively moving forward with a strategy approach referred to as *modular manufacturing* in which preassembled subassemblies are delivered as they are needed (i.e., just-in-time) to a company's assembly-line workers, who quickly piece the modules together into a finished product. General Motors is on a path to reduce their current approach of

22 different platforms down to just 4 by 2025. The move to modular tool kits attached to standard platforms is an approach that General Motors has no choice but to apply. Ford, Toyota, and VW are also working on this approach. The savings in the cost of development and the dramatic improvement in the speed of delivering new models is core to the investment.

The concept of a product's life cycle eventually leading to one-size-fits-all mass production has been successfully challenged by the concept of mass customization. Appropriate for an ever-changing environment, *mass customization* requires that people, processes, units, and technology reconfigure themselves to give customers exactly what they want, when they want it. The advent of high-speed 3D printers, the success of small business websites like etsy.com and the increasing ability to have items delivered quickly and directly to your door has changed the nature of the business model. In contrast to continuous improvement, mass customization requires flexibility and quick responsiveness. Managers coordinate independent, capable individuals. An efficient linkage system is crucial. The result is low-cost, high-quality, customized goods and services appropriate for a large number of market niches.

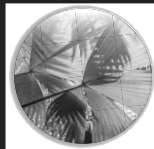
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7.1.5 Purchasing Strategy

Purchasing strategy deals with obtaining the raw materials, parts, and supplies needed to perform the operations function. A contentious issue for manufacturing companies throughout the world is the availability of resources needed to operate a modern factory. The dramatic swings in the fundamental elements of business (oil, electricity, and rare earth materials among many others) has drastically boosted costs, only some of which can be passed on to the customers in a competitive environment. The likelihood that fresh water will become an equally scarce resource is causing many companies to rethink water-intensive manufacturing processes. To learn how companies are beginning to deal with global warming and increasing fresh water scarcity, see the **Sustainability Issue** feature.

The basic purchasing choices are multiple, sole, and parallel sourcing. Under *multiple sourcing*, the purchasing company orders a particular part from several vendors. Multiple sourcing has traditionally been considered superior to other purchasing approaches because (1) it forces suppliers to compete for the business of an important buyer, thus reducing purchasing costs, and (2) if one supplier cannot deliver, another usually can, thus guaranteeing that parts and supplies are always on hand when needed. Multiple sourcing has been one way for a purchasing firm to control the relationship with its suppliers. So long as suppliers can provide evidence that they can meet the product specifications, they are kept on the purchaser's list of acceptable vendors for

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**SUSTAINABILITY ISSUE****HOW HOT IS HOT?**

July 2015 was the hottest month in the recorded history of the Earth and 2015 was the hottest year on record. Eight of the world's 10 deadliest heat waves have occurred since 1997.

The impact on fresh water availability is more than significant not only to individuals, but also the operations of companies. The United Nations reported that by the mid-1990s, some 40% of the world's population was suffering water shortages. Thirty-seven countries in the world already face "extremely high" levels of water stress with the 5 most stressed locations being Western Sahara, UAE, Trinidad and Tobago, Singapore, and San Marino.

Nestlé, Unilever, Coca-Cola, AB Inbev, and Danone consume almost 575 billion liters of water a year, enough to satisfy the daily water needs of every person on the planet. It takes about 13 cubic meters of fresh water to produce a single 200-mm semiconductor wafer. As a result, chip making is believed to account for 25% of the water consumption in Silicon Valley. According to José Lopez, Nestlé's COO, it takes four liters of water to make one liter of product in Nestlé's factories, but 3000 liters of water are needed to grow the agricultural produce that supplies them. Each year, around 40% of the fresh water withdrawn from lakes and aquifers in America is used to cool power plants. Separating one liter of oil from Canada's tar sands requires up to five liters of water!

"Water is the oil of the 21st century," contends Andrew Liveris, CEO of the chemical company Dow. Like oil, supplies of clean, easily accessible fresh water are under a growing strain because of the growing population and widespread improvements in living standards. Industrialization in developing nations is contaminating rivers and aquifers. Climate change is altering the patterns of fresh water availability so that droughts are more likely in many parts of the world. According to a survey by the Marsh Center for Risk Insights, 40% of Fortune 1000 companies stated that the impact of a water shortage on their business would be "severe" or "catastrophic," but only 17% said that they were prepared for such a crisis. Of Nestlé's 481 factories worldwide, 49 are located in water-scarce regions. Environmental activists have attacked PepsiCo and Coca-Cola for allegedly depleting groundwater in India to make bottled drinks.

There are a number of companies that are taking action to protect their future supply of fresh water. Starbucks has reduced the water consumption in their stores by 23% in the past seven years and Abbot Laboratories which has operations

in over 130 countries has reduced fresh water consumption by 18% in the past four years.

SOURCES: J. Gillis, "2015 Was Hottest Year in Historical Record, Scientists Say," *The New York Times*, January 20, 2016 (http://www.nytimes.com/2016/01/21/science/earth/2015-hottest-year-global-warming.html?_r=0); M. Ferner, "These Are The Most Water-Stressed Countries In The World," *The Huffington Post*, December 13, 2013 (http://www.huffingtonpost.com/2013/12/13/water-stressed-countries_n_4434115.html); <http://www.starbucks.com/responsibility/environment/water-and-energy>; <http://www.edie.net/news/4/Water-reduction-efforts-keep-Abbott-on-track-to-meet-2020-targets/27429/>; "The Impact of Global Change on Water Resources," UNESCO Report, (<http://unesdoc.unesco.org/images/0019/001922/192216e.pdf>); K. Kube, "Into the Wild Brown Yonder," *Trains* (November 2008), pp. 68–73; "Running Dry," *The Economist* (August 23, 2008), pp. 53–54.

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specific parts and supplies. Unfortunately, the common practice of accepting the lowest bid often compromises quality.

W. Edwards Deming, a well-known management consultant, strongly recommended *sole sourcing* as the only manageable way to obtain high supplier quality. Sole sourcing relies on only one supplier for a particular part. Given his concern with designing quality into a product in its early stages of development, Deming argued that the buyer should work closely with the supplier at all stages. This reduces both cost and time spent on product design thus improving quality. It can also simplify the purchasing company's production process by using the *just-in-time* (JIT) concept of having the purchased parts arrive at the plant just when they are needed rather than keeping inventories. The concept of sole sourcing is taken one step further in JIT II, in which vendor sales representatives actually have desks next to the purchasing company's factory floor, attend production status meetings, visit the R&D lab, and analyze the purchasing company's sales forecasts. These in-house suppliers then write sales orders for which the purchasing company is billed. Developed by Lance Dixon at Bose Corporation, JIT II is used as a technique that provides a competitive advantage.

Sole sourcing reduces transaction costs and builds quality by having the purchaser and supplier work together as partners rather than as adversaries. With sole sourcing, more companies will have longer relationships with fewer suppliers. Research has found that buyer-supplier collaboration and joint problem solving with both parties dependent upon the other results in the development of competitive capabilities, higher quality, lower costs, and better scheduling. Sole sourcing does, however, have limitations. If a supplier is unable to deliver a part, the purchaser has no alternative but to delay production. Multiple suppliers can provide the purchaser with better information about new technology and performance capabilities. The limitations of sole sourcing have led to the development of parallel sourcing. In *parallel sourcing*, two suppliers are the sole suppliers of two different parts, but they are also backup

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INNOVATION ISSUE

WHEN AN INNOVATION FAILS TO LIVE UP TO EXPECTATIONS

Sometimes a promising innovation has to find the right application for it to have an impact on strategy formulation. Such has been the fate of QR codes. QR codes, or quick response codes, are those dense, square, grids of black and white that seem to be everywhere. Invented in 1994 by Denso Wave (a subsidiary of Toyota Group), the original intent of the little block was to improve the inventory tracking of auto parts. While the QR code is patented, the company published complete specifications online and allowed anyone to use the codes for free.

The codes were adopted by advertisers as a means to improve the connection between a company and its customers. In December 2011, more than 8% of magazine ads contained the codes, up from just over 3% at the beginning of the year. Unfortunately, most companies seem to have little idea how to use the codes to engage the consumer. Most direct the consumer's cell phone to the corporate Web site, and therein lies much of the issue with using this as a part of a company's strategy. The QR code requires the consumer to download an app that reads the codes onto their cell phone and then hold the phone very steady as they take a picture of the code that they want to follow. The codes have found a real value in the movie theater and airline ticket businesses as more people buy their tickets online. The codes are downloaded to a consumer's Smartphone and scanned as a ticket upon entering the theater or the TSA line. They could also be used to help prevent counterfeit goods, but some companies have put the codes on billboards (virtually impossible to scan), the inside of liquor bottles, and on subway posters (low light prevents the app from working). As of 2015 only 15% of Smart device users knew how to correctly scan a QR code. In fact, there is no standard QR scanner app included on smart devices.

Not all innovations that businesses can adopt should be adopted. Finding the value and aligning the innovation with the competitive advantages of the business are crucial. Where do you believe QR codes could be put to their best use?

SOURCES: I. Nass, "Why did QR code die despite the smartphone revolution" Dazeinfo, March 20, 2015 (dazeinfo.com/2015/03/20/why-did-qr-code-die-despite-exploding-adoption-of-smartphone/); "QR Code Fatigue," *Bloomberg Businessweek* (July 2, 2012), pp. 28–29; <https://www.denso-wave.com/en/>; <http://www.qrcode.com/en/index.html>

suppliers for each other's parts. If one vendor cannot supply all of its parts on time, the other vendor is asked to make up the difference.

The Internet has changed the ability of procurement managers to compare and source supplies for their organization. Research

indicates that companies using Internet-based technologies are able to lower administrative costs and purchase prices. Sometimes innovations tied to the use of the Internet for one strategy are adopted by other areas. See the **Innovation Issue** regarding the use and misuse of QR codes.

7.1.6 Logistics Strategy

Logistics strategy deals with the flow of products into and out of the manufacturing process. Three trends related to this strategy are evident: centralization, outsourcing, and the use of the Internet. To gain logistical synergies across business units, corporations began centralizing logistics in the headquarters group. This centralized logistics group usually contains specialists with expertise in different transportation modes such as rail or trucking. They work to aggregate shipping volumes across the entire corporation to gain better contracts with shippers. Companies such as Georgia-Pacific, Marriott, and Union Carbide view the logistics function as an important way to differentiate themselves from the competition, to add value, and to reduce costs.

In the past few years, a diverse set of firms from around the world have moved quickly on the logistics front pushed by Amazon's ability to provide same-day service—a logistical feat in business. Most providers cannot match Amazon's efficiency (a result of a massive investment in logistics) and have still had to create complex systems to match rising customer expectations. Amazon changed the whole game by introducing one-hour delivery in major American cities and even a series of Wi-Fi-connected buttons that allow consumers to simply push to re-order select products.

7.1.7 Human Resource Management (HRM) Strategy

HRM strategy, among many other things, addresses issues that range from whether a company or business unit should hire a large number of low-skilled employees who receive low pay, perform repetitive jobs, and will most likely quit after a short time (the fast-food restaurant strategy) to whether they should hire skilled employees who receive relatively high pay and are cross-trained to participate in *self-managing work teams*. As work increases in complexity, it becomes more suited for teams, especially in the case of innovative product development efforts. These self-managed work teams are the hallmark of the Silicon Valley startup and have been successfully used in a wide range of industries. Research on large, multinational established companies indicates that the use of work teams leads to increased quality and productivity as well as to higher employee satisfaction and commitment.

Companies following a competitive strategy of differentiation through high quality use input from subordinates and peers in

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- 7-2. Explain which activities and functions are appropriate to outsource/offshore in order to gain or strengthen competitive advantage

performance appraisals to a greater extent than do firms following other business strategies. A complete *360-degree appraisal*, in which performance input is gathered from multiple sources, is considered to be a standard expectation of good HR management practices.

Companies are finding that having a *diverse workforce* is a competitive advantage. Research reveals that firms with a high degree of diversity following a growth strategy have higher productivity than do firms with less racial diversity. DuPont's use of multinational teams has helped the company develop and market products internationally. McDonald's found that older workers performed as well as, if not better than, younger employees.

7.1.8 Information Technology Strategy

Corporations have always used an **information technology strategy** to provide their business units with competitive advantage. When FedEx first provided its customers with PowerShip computer software to store addresses, print shipping labels, and track package location, its sales jumped significantly. UPS soon followed with its own MaxiShips software. Viewing its information system as a distinctive competency, FedEx continued to push for further advantage over UPS by using its Web site to enable customers to track their packages. FedEx used this competency in its advertisements by showing how customers could track the progress of their shipments. Soon thereafter, UPS provided the same service. Although it can be argued that information technology has now become so pervasive that it no longer offers companies a competitive advantage, Gartner Worldwide reported that in 2015 corporations worldwide spent over US\$3.5 trillion annually on information technology with that number forecasted to approach US\$4 trillion by 2019.

Multinational corporations use sophisticated intranets to allow employees to practice *follow-the-sun management*, in which project team members living in one country can pass their work to team members in another country in which the work day is just beginning. Thus, night shifts are no longer needed. The development of instant translation software is also enabling workers to have online communication with co-workers in other countries who use a different language.

7.2 THE SOURCING DECISION: LOCATION OF FUNCTIONS

For a functional strategy to have the best chance of success, it should be built on a distinctive competency residing within that functional area. If a corporation does not have a distinctive competency in a particular functional area, that functional area could be a candidate for outsourcing.

Outsourcing is purchasing a product or service externally that had been previously provided internally. Thus, it is the reverse

of vertical integration. Outsourcing is becoming an increasingly important part of the strategic decision-making discussion. There are many pros and cons to outsourcing with managers increasingly focusing on non-strategically critical parts of the business as categories for outsourcing. However, there are specific examples in which companies have outsourced as a means of increasing efficiency and in some cases quality. Boeing used outsourcing as a way to reduce the cost of designing and manufacturing its new 787 Dreamliner. Up to 70% of the plane was outsourced. In a break from past practice, suppliers make large parts of the fuselage, including plumbing, electrical, and computer systems, and ship them to Seattle for assembly by Boeing.

According to the latest bi-annual survey by Deloitte Consulting, 53% of the companies surveyed outsourced some elements of their IT function. Interestingly, 16% outsource their HR function with 22% of those who do not currently outsource HR planning to do so in the near future. The top factors in a successful outsourcing relationship seemed to be a spirit of partnership, a well-designed agreement, joint governance, and consistent communication. **Offshoring** is the outsourcing of an activity or a function to a wholly owned company or an independent provider in another country. Offshoring is a simple reality of business operations that has been supported by advances in information and communication technologies, the development of stable, secure, and high-speed data transmission systems, and logistical advances like containerized shipping. In 2016, 53% of U.S. manufacturing companies outsource with offshore operations. The leading countries are India, Indonesia, China, Bulgaria, and the Philippines. These countries have low-cost qualified labor and an educated workforce. The pay gap can be so dramatic that it overwhelms almost all other considerations. Consider that a Mexican assembly line worker earns an average of US\$4.00 to US\$5.00 an hour plus benefits compared to US\$28 an hour plus benefits for the top paid Detroit worker and still substantially less than the lowest paid U.S. auto plant worker who earns US\$15 to US\$20 an hour plus benefits.

Software programming and customer service, in particular, are being outsourced to India. For example, General Electric's back-office services unit, GE Capital International Services which was spun off into a new company called Genpact, is one of the oldest and biggest of India's outsourcing companies. From only US\$26 million in 1999, its annual revenues grew to over US\$2.5 billion by 2016. As part of this trend, IBM acquired Daksh eServices Ltd., one of India's biggest suppliers of remote business services.

Outsourcing, including offshoring, has significant disadvantages as well. For example, mounting complaints forced Dell Computer to stop routing corporate customers to a technical support call center in Bangalore, India. GE's introduction of a new washing machine was delayed three weeks because of production problems at a supplier's company to which it had

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N O T E S

contracted out key work. Some companies have found themselves locked into long-term contracts with outside suppliers that are no longer competitive. Some authorities propose that the cumulative effects of continued outsourcing steadily reduces a firm's ability to learn new skills and to develop new core competencies. One survey of 129 outsourcing firms revealed that half the outsourcing projects undertaken in one year failed to deliver anticipated savings. This is in agreement with a survey by Bain & Company in which 51% of large North American, European, and Asian firms stated that outsourcing (including offshoring) did not meet their expectations. Another survey of software projects, by MIT, found that the median Indian project had 10% more software bugs than did comparable U.S. projects. A study of 91 outsourcing efforts conducted by European and North American firms found seven major errors that should be avoided:

1. **Outsourcing activities that should not be outsourced:** Companies failed to keep core activities in-house.
2. **Selecting the wrong vendor:** Vendors were not trustworthy or lacked state-of-the-art processes.
3. **Writing a poor contract:** Companies failed to establish a balance of power in the relationship.
4. **Overlooking personnel issues:** Employees lost commitment to the firm.
5. **Losing control over the outsourced activity:** Qualified managers failed to manage the outsourced activity.
6. **Overlooking the hidden costs of outsourcing:** Transaction costs overwhelmed other savings.
7. **Failing to plan an exit strategy:** Companies failed to build reversibility clauses into the contract.

The key to outsourcing is to purchase from outside only those activities that are not key to the company's distinctive competencies. Otherwise, the company may give up the very capabilities that made it successful in the first place—thus putting itself on the road to eventual decline. This is supported by research reporting that companies that have more experience with a particular manufacturing technology tend to keep manufacturing in-house. J. P. Morgan Chase & Company terminated a seven-year technology outsourcing agreement with IBM because the bank's management realized that information technology (IT) was too important strategically to be outsourced.

In determining functional strategy, the strategist must:

- ⇒ Identify the company's or business unit's core competencies.
- ⇒ Ensure that the competencies are continually being strengthened.
- ⇒ Manage the competencies in such a way that best preserves the competitive advantage they create.

		Activity's Total Value-Added to Firm's Products and Services	
		Low	High
Activity's Potential for Competitive Advantage	High	Taper Vertical Integration: Produce Some Internally	Full Vertical Integration: Produce All Internally
	Low	Outsource Completely: Buy on Open Market	Outsource Completely: Purchase with Long-Term Contracts

SOURCE: J. D. Hunger and T. L. Wheelen, "Proposed Outsourcing Matrix." Copyright © 1996 and 2005 by Wheelen and Hunger Associates. Reprinted by permission.

Figure 7.1 Proposed Outsourcing Matrix

An outsourcing decision depends on the fraction of total value added that the activity under consideration represents and on the amount of potential competitive advantage in that activity for the company or business unit. See the outsourcing matrix in **FIGURE 7-1**. A firm should consider outsourcing any activity or function that has low potential for competitive advantage. If that activity constitutes only a small part of the total value of the firm's products or services, it could be purchased on the open market (assuming that quality providers of the activity are plentiful). If, however, the activity contributes highly to the company's products or services, the firm should purchase it through long-term contracts with trusted suppliers or distributors. A firm should always produce at least some of the activity or function (i.e., taper vertical integration) if that activity has the potential for providing the company some competitive advantage. However, full vertical integration should be considered only when that activity or function adds significant value to the company's products or services in addition to providing competitive advantage.

7.3 STRATEGIES TO AVOID

Several strategies that could be considered corporate, business, or functional are very dangerous. Managers who have made poor analyses or lack creativity may be trapped into considering some of the following strategies that should be avoided:

- ⇒ **Follow the leader:** Imitating a leading competitor's strategy might seem to be a good idea, but it ignores a firm's particular competitive advantages and the possibility that the leader may be

NOTES

- 7-3.** List and explain the strategies to avoid

N O T E S

wrong. Fujitsu Ltd., the world's second-largest computer maker, had been driven since the 1960s by the sole ambition of catching up to IBM. Like IBM at the time, Fujitsu competed primarily as a mainframe computer maker. So devoted was it to catching IBM, however, that it failed to notice that the mainframe business had reached maturity by 1990 and was no longer growing.

- ⇒ **Hit another home run:** If a company is successful because it pioneered an extremely successful product, it tends to search for another super product that will ensure growth and prosperity. As in betting on long shots in horse races, the probability of finding a second winner is slight. Polaroid spent a lot of money developing an “instant” movie camera, but the public ignored it in favor of the camcorder.
- ⇒ **Arms race:** Entering into a spirited battle with another firm for increased market share might increase sales revenue, but that increase will probably be more than offset by increases in advertising, promotion, R&D, and manufacturing costs. Since the U.S. deregulation of airlines, price wars and rate specials have contributed to the bankruptcies of many major airlines, such as Eastern, Pan American, TWA, and the consolidation of virtually every major airline into just four major players.
- ⇒ **Do everything:** When faced with several interesting opportunities, management might tend to leap at all of them. At first, a corporation might have enough resources to develop each idea into a project, but money, time, and energy are soon exhausted as the many projects demand large infusions of resources. Yahoo! went on an acquisition spree for years under CEO Marissa Mayer spending more than US\$1 billion for one acquisition alone. Searching for something that would provide growth for the company, the company invested in a wide swath of companies involved in mobile, search, and content. All failed to provide the company with any real growth.
- ⇒ **Losing hand:** A corporation might have invested so much in a particular strategy that top management is unwilling to accept its failure. Believing that it has too much invested to quit, management may continue to “throw good money after bad.” RIM's BlackBerry phone was the undisputed leader in Smartphone technology and acceptance. They were so focused on their approach to how users needed to access information that they missed seeing how the new entrants in the industry had changed the industry. By the time they accepted that a change had really occurred, they were so far behind that catching up was virtually impossible.

7-4. Construct corporate scenarios to evaluate strategic options

7.4 STRATEGIC CHOICE: CONSTRUCTING SCENARIOS

After the pros and cons of the potential strategic alternatives have been identified and evaluated, one must be selected for implementation. By now, it is likely that many feasible alternatives will have emerged. How is the best strategy determined?

An important consideration in the selection of a strategy is the ability of each alternative to satisfy agreed-upon objectives with the least resources and the fewest negative side effects. The competitive advantages developed earlier using the VRIO framework is an excellent place to start. It is, therefore, important to develop a tentative implementation plan in order to address the difficulties that management is likely to face. This should be done in light of societal trends, the industry, and the company's situation based on the construction of scenarios.

7.4.1 Constructing Corporate Scenarios

Corporate scenarios are *pro forma* (estimated future) balance sheets and income statements that forecast the effect each alternative strategy and its various programs will likely have on division and corporate return on investment. (Pro forma financial statements are discussed in **Chapter 10**.)

The recommended scenarios are simply extensions of the industry scenarios discussed in **Chapter 3**. If, for example, industry scenarios suggest the probable emergence of a strong market demand in a specific country for certain products, a series of alternative strategy scenarios can be developed. The alternative of acquiring another firm having these products in that country can be compared with the alternative of a green-field development (e.g., building new operations in that country). Using three sets of estimated sales figures (optimistic, pessimistic, and most likely) for the new products over the next five years, the two alternatives can be evaluated in terms of their effect on future company performance as reflected in the company's probable future financial statements. Pro forma balance sheets and income statements can be generated with spreadsheet software, such as Excel, on a personal computer. Pro forma statements are based on financial and economic scenarios.

To construct a corporate scenario, follow these steps:

1. Use industry scenarios (as discussed in **Chapter 3**) to develop a set of assumptions about the task environment (in the specific country under consideration). For example, 3M requires the general manager of each business unit to describe annually what his or her industry will look like in 15 years. List *optimistic*, *pessimistic*, and *most likely* assumptions for key economic factors such as the GDP (Gross Domestic Product), CPI (consumer price index), and prime interest rate and for other key external strategic factors such as governmental regulation and industry trends. This should be done for every country/region in which the corporation has significant operations that will be affected by each strategic alternative. These same underlying assumptions should be listed for each of the alternative scenarios to be developed.
2. Develop common-size financial statements (as discussed in **Chapter 11**) for the company's or business unit's previous years

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TABLE 7-1 Scenario Box for Use in Generating Financial Pro Forma Statements

Factor	Last Year	Historical Average	Trend Analysis	Projections ¹									Comments
				200–			200–			200–			
				O	P	ML	O	P	ML	O	P	ML	
GDP													
CPI													
Other													
Sales units													
Dollars													
COGS													
Advertising and marketing													
Interest expense													
Plant expansion													
Dividends													
Net profits													
EPS													
ROI													
ROE													
Other													

NOTE 1: O = Optimistic; P = Pessimistic; ML = Most Likely.

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to serve as the basis for the trend analysis projections of pro forma financial statements. Use the *Scenario Box* form shown in **TABLE 7-1**:

- Use the historical common-size percentages to estimate the level of revenues, expenses, and other categories in estimated pro forma statements for future years.
- Develop for each strategic alternative a set of *optimistic (O)*, *pessimistic (P)*, and *most likely (ML)* assumptions about the impact of key variables on the company's future financial statements.
- Forecast three sets of sales and cost of goods sold figures for at least five years into the future.

- d. Analyze historical data and make adjustments based on the environmental assumptions listed earlier. Do the same for other figures that can vary significantly.
 - e. Assume for other figures that they will continue in their historical relationship to sales or some other key determining factor. Plug in expected inventory levels, accounts receivable, accounts payable, R&D expenses, advertising and promotion expenses, capital expenditures, and debt payments (assuming that debt is used to finance the strategy), among others.
 - f. Consider not only historical trends but also programs that might be needed to implement each alternative strategy (such as building a new manufacturing facility or expanding the sales force).
3. Construct detailed pro forma financial statements for each strategic alternative:
- a. List the actual figures from this year's financial statements in the left column of the spreadsheet.
 - b. List to the right of this column the optimistic figures for years 1 through 5.
 - c. Go through this same process with the same strategic alternative, but now list the pessimistic figures for the next five years.
 - d. Do the same with the most likely figures.
 - e. Develop a similar set of optimistic (O), pessimistic (P), and most likely (ML) pro forma statements for the second strategic alternative. This process generates six different pro forma scenarios reflecting three different situations (O, P, and ML) for two strategic alternatives.
 - f. Calculate financial ratios and common-size income statements and create balance sheets to accompany the pro forma statements.
 - g. Compare the assumptions underlying the scenarios with the financial statements and ratios to determine the feasibility of the scenarios. For example, if cost of goods sold drops from 70% to 50% of total sales revenue in the pro forma income statements, this drop should result from a change in the production process or a shift to cheaper raw materials or labor costs rather than from a failure to keep the cost of goods sold in its usual percentage relationship to sales revenue when the predicted statement was developed.

The result of this detailed scenario construction should be anticipated net profits, cash flow, and net working capital for each of three versions of the two alternatives for five years into the future. A strategist might want to go further into the future if the strategy is expected to have a major impact on the company's financial

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N O T E S

statements beyond five years. The result of this work should provide sufficient information on which forecasts of the likely feasibility and probable profitability of each of the strategic alternatives could be based.

Obviously, these scenarios can quickly become very complicated, especially if three sets of acquisition prices and development costs are calculated. Nevertheless, this sort of detailed what-if analysis is needed to realistically compare the projected outcome of each reasonable alternative strategy and its attendant programs, budgets, and procedures. Regardless of the quantifiable pros and cons of each alternative, the actual decision will probably be influenced by several subjective factors such as those described in the following sections.

Management's Attitude Toward Risk

The attractiveness of a particular strategic alternative is partially a function of the amount of risk it entails. **Risk** is composed not only of the *probability* that the strategy will be effective but also of the *amount of assets* the corporation must allocate to that strategy and the *length of time* the assets will be unavailable for other uses. Because of variation among countries in terms of customs, regulations, and resources, companies operating in global industries must deal with a greater amount of risk than firms operating only in one country. The greater the assets involved and the longer they are committed, the more likely top management is to demand a high probability of success. Managers with no ownership position in a company are unlikely to have much interest in putting their jobs in danger with risky decisions. Research indicates that managers who own a significant amount of stock in their firms are more likely to engage in risk-taking actions than are managers with no stock.

A high level of risk was why Intel's board of directors found it difficult to vote for a proposal in the early 1990s to commit US\$5 billion to making the Pentium microprocessor chip—five times the amount of money needed for its previous chip. In looking back on that board meeting, then-CEO Andy Grove remarked, “I remember people's eyes looking at that chart and getting big. I wasn't even sure I believed those numbers at the time.” The proposal committed the company to building new factories—something Intel had been reluctant to do. A wrong decision would mean that the company would end up with a killing amount of overcapacity. Based on Grove's presentation, the board decided to take the gamble. Intel's resulting manufacturing expansion eventually cost US\$10 billion but resulted in Intel's obtaining 75% of the microprocessor business and huge cash profits.

Risk might be one reason that significant innovations occur more often in small firms than in large, established corporations. A small firm managed by an entrepreneur is often willing to accept greater risk than is a large firm of diversified ownership run by professional managers. It is one thing to take a chance if you are the primary shareholder and are not concerned with periodic changes

in the value of the company's common stock. It is something else if the corporation's stock is widely held and acquisition-hungry competitors or takeover artists surround the company like sharks every time the company's stock price falls below some external assessment of the firm's value.

Another approach to evaluating alternatives under conditions of high environmental uncertainty is to use the real-options theory. According to the **real-options** approach, when the future is highly uncertain, it pays to have a broad range of options open. This is in contrast to using *net present value (NPV)* to calculate the value of a project by predicting its payouts, adjusting them for risk, and subtracting the amount invested. By boiling everything down to one scenario, NPV doesn't provide any flexibility in case circumstances change. NPV is also difficult to apply to projects in which the potential payoffs are currently unknown. The real-options approach, however, deals with these issues by breaking the investment into stages. Management allocates a small amount of funding to initiate multiple projects, monitors their development, and then cancels the projects that aren't successful and funds those that are doing well. This approach is very similar to the way venture capitalists fund an entrepreneurial venture in stages of funding based on the venture's performance.

Research indicates that the use of the real-options approach does improve organizational performance. Some of the corporations using the real-options approach are Chevron for bidding on petroleum reserves, Airbus for calculating the costs of airlines changing their orders at the last minute, and the Tennessee Valley Authority for outsourcing electricity generation instead of building its own plant. There is an international conference on Real Options, but because of its complexity, the real-options approach is probably not worthwhile for minor decisions or for projects requiring a full commitment at the beginning.

Pressures from Stakeholders

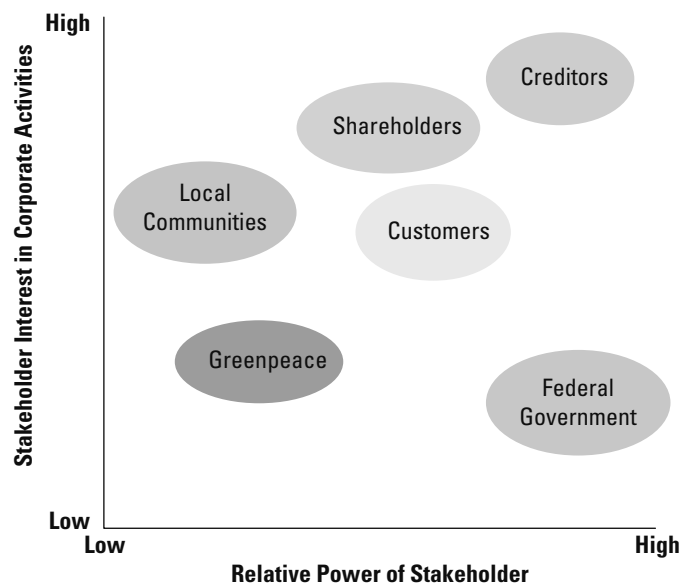
The attractiveness of a strategic alternative is affected by its perceived compatibility with the key stakeholders in a corporation's task environment. Creditors want to be paid on time. Unions exert pressure for comparable wage and employment security. Governments and interest groups demand social responsibility. Shareholders want dividends. All these pressures must be given some consideration in the selection of the best alternative.

Stakeholders can be categorized in terms of their (1) interest in the corporation's activities and (2) relative power to influence the corporation's activities. As shown in **Figure 7-2**, each stakeholder group can be shown graphically based on its *level of interest* (from low to high) in a corporation's activities and on its *relative power* (from low to high) to influence a corporation's activities.

Strategic managers should ask four questions to assess the importance of stakeholder concerns in a particular decision:

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SOURCE: Suggested by C. Anderson in "Values-Based Management," Academy of Management Executive (November 1997), pp. 25–46.

Figure 7.2 Stakeholder Priority Matrix

1. How will this decision affect each stakeholder, especially those given high and medium priority?
2. How much of what each stakeholder wants is he or she likely to get under this alternative?
3. What are the stakeholders likely to do if they don't get what they want?
4. What is the probability that they will do it?

Strategy makers should choose strategic alternatives that minimize external pressures and maximize the probability of gaining stakeholder support. Managers may, however, ignore or take some stakeholders for granted—leading to serious problems later. The Tata Group, for example, failed to consider the unwillingness of farmers in Singur, India, to accept the West Bengal government's compensation for expropriating their land so that Tata could build its Nano auto plant. Farmers formed rallies against the plant, blocked roads, and even assaulted an employee of a Tata supplier.

Top management can also propose a political strategy to influence its key stakeholders. A **political strategy** is a plan to bring stakeholders into agreement with a corporation's actions. Some of the most commonly used political strategies are constituency building, political action committee contributions, advocacy advertising, lobbying, and coalition building. Research reveals that large firms, those operating in concentrated industries, and firms that are highly dependent upon government regulation are more politically active. Political support can be critical in entering a new international market, especially in transition economies where free market competition did not previously exist.

Pressures from the Corporate Culture

If a strategy is incompatible with a company's corporate culture, the likelihood of its success is very low. Foot-dragging and even sabotage will result as employees fight to resist a radical change in corporate philosophy. Precedents from the past tend to restrict the kinds of objectives and strategies that are seriously considered. The "aura" of the founders of a corporation can linger long past their lifetimes because their values are imprinted on a corporation's members.

In evaluating a strategic alternative, strategy makers must consider pressures from the corporate culture and assess a strategy's compatibility with that culture. If there is little fit, management must decide if it should:

- ⇒ Take a chance on ignoring the culture.
- ⇒ Manage around the culture and change the implementation plan.
- ⇒ Try to change the culture to fit the strategy.
- ⇒ Change the strategy to fit the culture.

Further, a decision to proceed with a particular strategy without a commitment to change the culture or manage around the culture (both very tricky and time consuming) is dangerous. Nevertheless, restricting a corporation to only those strategies that are completely compatible with its culture might eliminate from consideration the most profitable alternatives. (See **Chapter 8** for more information on managing corporate culture.)

Needs and Desires of Key Managers

Even the most attractive alternative might not be selected if it is contrary to the needs and desires of important top managers. Personal characteristics and experience affect a person's assessment of an alternative's attractiveness. For example, one study found that narcissistic (self-absorbed and arrogant) CEOs favor bold actions that attract attention, like many large acquisitions—resulting in either big wins or big losses. A person's ego may be tied to a particular proposal to the extent that all other alternatives are strongly lobbied against. As a result, the person may have unfavorable forecasts altered so that they are more in agreement with the desired alternative. In a study by McKinsey & Company of over 2500 executives from around the world, 36% responded that managers hide, restrict, or misrepresent information at least "somewhat" frequently when submitting capital-investment proposals. In addition, an executive might influence other people in top management to favor a particular alternative so that objections to it are overruled. In the same McKinsey study of global executives, more than 60% of the managers reported that business unit and divisional heads form alliances with peers or lobby someone more senior in the organization at least "somewhat" frequently when resource allocation decisions are being made.

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Industry and cultural backgrounds affect strategic choice. For example, executives with strong ties within an industry tend to choose strategies commonly used in that industry. Other executives who have come to the firm from another industry and have strong ties outside the industry tend to choose different strategies from what is being currently used in their industry. Country of origin often affects preferences. For example, Japanese managers prefer a cost-leadership strategy more than do United States managers. Research reveals that executives from Korea, the United States, Japan, and Germany tend to make different strategic choices in similar situations because they use different decision criteria and weights. For example, Korean executives emphasize industry attractiveness, sales, and market share in their decisions, whereas U.S. executives emphasize projected demand, discounted cash flow, and ROI.

There is a tendency to maintain the status quo, which means that decision makers continue with existing goals and plans beyond the point when an objective observer would recommend a change in course. Some executives show a self-serving tendency to attribute the firm's problems not to their own poor decisions but to environmental events out of their control, such as government policies or a poor economic climate. For example, a CEO is more likely to divest a poorly performing unit when its poor performance does not incriminate that same CEO who had acquired it. Negative information about a particular course of action to which a person is committed may be ignored because of a desire to appear competent or because of strongly held values regarding consistency. It may take a crisis or an unlikely event to cause strategic decision makers to seriously consider an alternative they had previously ignored or discounted. It wasn't until the CEO of ConAgra, a multinational food products company, had a heart attack that ConAgra started producing the Healthy Choice line of low-fat, low-cholesterol, low-sodium frozen-food entrees.

7.4.2 The Process of Strategic Choice

Strategic choice is the evaluation of alternative strategies and selection of the best alternative. According to Paul Nutt, an authority in decision making, half of the decisions made by managers are failures. After analyzing 400 decisions, Nutt found that failure almost always stems from the actions of the decision maker, not from bad luck or situational limitations. In these instances, managers commit one or more key blunders: (1) their desire for speedy actions leads to a rush to judgment, (2) they apply failure-prone decision-making practices such as adopting the claim of an influential stakeholder, and (3) they make poor use of resources by investigating only one or two options. These three blunders cause executives to limit their search for feasible alternatives and look for a quick consensus. Only 4% of the 400 managers set an

objective and considered several alternatives. The search for innovative options was attempted in only 24% of the decisions studied. Another study of 68 divestiture decisions found a strong tendency for managers to rely heavily on past experience when developing strategic alternatives.

There is mounting evidence that when an organization is facing a dynamic environment, the best strategic decisions are not arrived at through **consensus** when everyone agrees on one alternative. They actually involve a certain amount of heated disagreement, and even conflict. Many diverse opinions are presented, participants trust in one another's abilities and competencies, and conflict is task-oriented, not personal. This is certainly the case for firms operating in global industries. Because unmanaged conflict often carries a high emotional cost, authorities in decision making propose that strategic managers use "programmed conflict" to raise different opinions, regardless of the personal feelings of the people involved. Two techniques help strategic managers avoid the consensus trap that Alfred Sloan found:

1. **Devil's advocate:** The idea of the **devil's advocate** originated in the medieval Roman Catholic Church as a way of ensuring that impostors were not canonized as saints. One trusted person was selected to find and present all the reasons why a person should not be canonized. When this process is applied to strategic decision making, a devil's advocate (who may be an individual or a group) is assigned to identify potential pitfalls and problems with a proposed alternative strategy in a formal presentation.
2. **Dialectical inquiry:** The dialectical philosophy, which can be traced back to Plato and Aristotle and more recently to Hegel, involves combining two conflicting views—the thesis and the antithesis—into a synthesis. When applied to strategic decision making, **dialectical inquiry** requires that two proposals using different assumptions be generated for each alternative strategy under consideration. After advocates of each position present and debate the merits of their arguments before key decision makers, either one of the alternatives or a new compromise alternative is selected as the strategy to be implemented.

Research generally supports the conclusion that the devil's advocate and dialectical inquiry methods are equally superior to consensus in decision making, especially when the firm's environment is dynamic. The debate itself, rather than its particular format, appears to improve the quality of decisions by formalizing and legitimizing constructive conflict and by encouraging critical evaluation. Both lead to better assumptions and recommendations and to a higher level of critical thinking among the people involved.

Regardless of the process used to generate strategic alternatives, each resulting alternative must be rigorously evaluated in terms of its ability to meet four criteria:

NOTES

N O T E S

1. **Mutual exclusivity:** Doing any one alternative would preclude doing any other.
2. **Success:** It must be feasible and have a good probability of success.
3. **Completeness:** It must take into account all the key strategic issues.
4. **Internal consistency:** It must make sense on its own as a strategic decision for the entire firm and not contradict key goals, policies, and strategies currently being pursued by the firm or its units.

7.4.3 Using Policies to Guide Strategic Choices

The selection of the best strategic alternative is not the end of strategy formulation. The organization must then engage in developing policies. Policies define the broad guidelines for implementation. Flowing from the selected strategy, policies provide guidance for decision making and actions throughout the organization. They are the principles under which the corporation operates on a day-to-day basis. At General Electric, for example, Chairman Jack Welch initiated the policy that any GE business unit must be number one or number two in whatever market it competes. This policy gave clear guidance to managers throughout the organization.

When crafted correctly, an effective policy accomplishes three things:

- ⇒ It forces trade-offs between competing resource demands.
- ⇒ It tests the strategic soundness of a particular action.
- ⇒ It sets clear boundaries within which employees must operate, while granting them the freedom to experiment within those constraints.

Policies tend to be rather long lived and can even outlast the particular strategy that created them. These general policies—such as “The customer is always right” (Nordstrom) or “Always Low Prices” (Wal-Mart)—can become, in time, part of a corporation’s culture. Such policies can make the implementation of specific strategies easier. They can also restrict top management’s strategic options in the future. Thus, a change in strategy should be followed quickly by a change in policies. Managing policy is one way to manage the corporate culture.

7.4.4 The Better Off Test: A Core Principle

The BOT, at its heart, asks a fundamental question: “Are all stakeholders better off with the proposed change in corporate scope compared to the existing scope?” This seemingly simple question has profound implications. It requires you to consider the impact of the proposed change on all stakeholders, including shareholders, employees, customers, suppliers, and even society as a whole.

Applying the BOT:

Define the ‘change’: Clearly articulate the proposed change in corporate scope, whether it’s vertical integration, diversification, or divestiture.

Identify stakeholders: Consider all groups potentially affected by the change, both internal and external.

Analyze impact: Assess how each stakeholder group might be affected by the change, both positively and negatively. This may involve financial impacts, job security, access to resources, or other relevant factors.

Aggregate impact: Weigh the positive and negative impacts on each stakeholder group. Does the overall impact represent a net benefit for all?

Example: Imagine a company considering vertical integration by acquiring a supplier. The BOT analysis would involve:

Stakeholders: Employees at both companies, customers, shareholders, and competitors.

Real-time analysis: Analyze employment data in real-time to assess potential job losses or gains at both companies due to the integration.

Impact:

Positive: Reduced costs for the acquiring company, improved quality control.

Negative: Potential job losses, disruption in supply chain, higher prices for consumers.

Strengths and Limitations of the BOT:

Strength: The BOT emphasizes stakeholder well-being, promoting ethical and sustainable corporate decisions.

Limitation: Quantifying and comparing the impacts on diverse stakeholders can be challenging. Subjective judgments and potential biases require careful consideration.

The Best Alternative Test: Exploring Options

While the BOT focuses on the proposed change, the BAT asks: “Is the proposed change the best option available compared to all other feasible alternatives?” This broader perspective encourages you to explore and compare different strategic options before making a final decision.

Implementing the BAT:

Identify alternatives: Brainstorm and list all potential corporate scope options beyond the proposed change.

N O T E S

Evaluate feasibility: Assess the practicality and viability of each alternative, considering resource constraints, market conditions, and regulatory hurdles.

For example, Disney's acquisition of Pixar diversified into animation, creating a powerful synergy. Pixar's talent and storytelling expertise combined with Disney's marketing and distribution network led to blockbuster hits like 'Toy Story 3' and 'Frozen,' benefiting both entities.

Apply the BOT to each alternative: Conduct a BOT analysis for each feasible alternative, evaluating its impact on stakeholders.

Compare and choose: Based on the BOT results and overall feasibility, select the option that maximizes stakeholder well-being and strategic fit.

Strengths and Limitations of the BAT:

Strength: The BAT fosters strategic thinking by considering and comparing various options, potentially leading to better-informed decisions.

Limitation: Identifying and evaluating all feasible alternatives can be time-consuming and resource-intensive. Additionally, comparing subjective BOT results across different options can be challenging.

Synergy: Combining the Tests for Effective Decisions

While each test serves a distinct purpose, using them together provides a more comprehensive framework for corporate scope decisions. The BOT ensures that any chosen option benefits all stakeholders, while the BAT guarantees that the chosen option is the best among available alternatives.

For example: A company considering diversification into a new market segment. The BAT analysis would involve:

Alternatives:

Organic growth: Expand existing business lines.

Strategic partnerships: Collaborate with other companies in the new market.

Acquisition: Purchase a company already established in the new market.

Real-time analysis: Use market research tools to analyze consumer trends and competitor data in real-time, helping assess the feasibility and potential success of each alternative in the new market.

BOT for each alternative: Analyze how each alternative (organic growth, partnership, acquisition) would impact stakeholders using the BOT framework.

By effectively utilizing the BOT and BAT, we gain valuable tools to navigate the complex world of corporate scope decisions. Remember, the goal is to create a sustainable and value-adding strategy that benefits all stakeholders and positions your firm for long-term success.

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7.5 SUMMARY

This chapter completes the part of this book on strategy formulation and sets the stage for strategy implementation. Functional strategies must be formulated to support business and corporate strategies; otherwise, the company will move in multiple directions and eventually pull itself apart. For a functional strategy to have the best chance of success, it should be built on a distinctive competency residing within that functional area. If a corporation does not have a distinctive competency in a particular functional area, that functional area could be a candidate for outsourcing.

When evaluating a strategic alternative, the most important criterion is the ability of the proposed strategy to deal with the competitive advantages of the organization. If the alternative doesn't take advantage of environmental opportunities and corporate advantages, it will probably fail. Developing corporate scenarios and pro forma projections for each alternative are rational aids for strategic decision making. This logical approach fits Mintzberg's planning mode of strategic decision making, as discussed earlier in **Chapter 1**. Nevertheless, some strategic decisions are inherently risky and are often resolved on the basis of one person's "gut feel." This is an aspect of the entrepreneurial mode and is seen in large established corporations as well as in new venture startups. Various management studies have found that executives routinely rely on their intuition to solve complex problems. The effective use of intuition has been found to differentiate successful top executives and

board members from lower-level managers and dysfunctional boards. According to Ralph Larsen, former Chair and CEO of Johnson & Johnson, "Often there is absolutely no way that you could have the time to thoroughly analyze every one of the options or alternatives available to you. So you have to rely on your business judgment." For managerial intuition to be effective, however, it requires years of experience in problem solving and is founded upon a complete understanding of the details of the business.

When Bob Lutz, then President of Chrysler Corporation, was enjoying a fast drive in his Cobra roadster one weekend in 1988, he wondered why Chrysler's cars were so dull. "I felt guilty: there I was, the president of Chrysler, driving this great car that had such a strong Ford association," said Lutz, referring to the original Cobra's Ford V-8 engine. That Monday, Lutz enlisted allies at Chrysler to develop a muscular, outrageous sports car that would turn heads and stop traffic. Others in management argued that the US\$80 million investment would be better spent elsewhere. The sales force warned that no U.S. auto maker had ever succeeded in selling a US\$50,000 car. With only his gut instincts to support him, he pushed the project forward with unwavering commitment. The result was the Dodge Viper—a car that single-handedly changed the public's perception of Chrysler. Years later, Lutz had trouble describing exactly how he had made this critical decision. "It was this subconscious, visceral feeling. And it just felt right," explained Lutz.

7.6 KEY TERM

consensus (p. 224)
corporate scenarios (p. 218)
devil's advocate (p. 225)
dialectical inquiry (p. 225)
financial strategy (p. 206)
functional strategy (p. 204)
HRM strategy (p. 214)
information technology strategy (p. 214)
leveraged buyout (p. 207)
logistics strategy (p. 213)
market development (p. 204)
marketing strategy (p. 204)

offshoring (p. 215)
operations strategy (p. 209)
outsourcing (p. 215)
political strategy (p. 223)
product development (p. 205)
purchasing strategy (p. 211)
R&D strategy (p. 208)
real options (p. 221)
risk (p. 221)
strategic choice (p. 224)
technological follower (p. 208)
technological leader (p. 208)

7.7 REVIEW QUESTIONS

- 7-1. Are functional strategies interdependent, or can they be formulated independently of other functions?
- 7-2. Do you believe that penetration pricing or skim pricing will be better at raising a company's or a business unit's operating profit in the long run?
- 7-3. How does mass customization support a business unit's competitive strategy?
- 7-4. When should a corporation or business unit consider outsourcing a function or an activity?
- 7-5. What is the relationship of policies to strategies?
- 7-6. What are different levels of strategy? Differentiate between corporate level, business level and functional level strategies?

- 7-7. Discuss the impact of various types of functional level strategies on organization's goals and objectives.
- 7-8. Write short notes on the following:
 - a. Types of functional level strategies.
 - b. Strategies to avoid.
 - c. Constructive corporate synergies.
- 7-9. Outline the process of strategic choice. Elaborate on the techniques that help strategy managers avoid the consensus trap.
- 7-10. Discuss in detail the seven major errors that should be avoided during outsourcing.
- 7-11. How can a strategic manager assess the importance of stakeholders concerned in a particular decision?

7.8 STRATEGIC PRACTICE EXERCISE

Pierre Omidyar founded a sole proprietorship in September 1995 called Auction Web to allow people to buy and sell goods over the Internet. The new venture was based on the idea of developing a community-driven process, in which an organic, evolving, self-organizing web of individual relationships, formed around shared interests, would handle tasks that other companies handle with customer service operations. The first item sold was a broken laser pointer owned by Omidyar for US\$14.83.

By May 1996, Omidyar had added Jeff Skoll as a partner and the venture was incorporated as eBay. Two years later, Omidyar asked Meg Whitman to direct corporate strategy. Whitman brought to the company global management and marketing experience and soon became President and CEO. In almost no time, the company became one of the Web's most successful sites, with 233 million registered users. By 2007, the average eBay user spent nearly two hours a month on the site—more than five times the time spent on Amazon.com.

Whitman expanded the company's operations and spent more than US\$6 billion to acquire companies, such as the Internet-phone operation Skype, the online payments service PayPal, ticket reseller StubHub, property rental and roommate search firm Rent.com, comparison shopping site Shopping.com, Web site recommender Stumbleupon, and 25% interest

in Craigslist. Expansion and diversification provided revenue and profit growth plus stock price appreciation. Although financial analysts wondered how all these businesses would fit together, Whitman argued that she wanted eBay to be everywhere users wanted to be. At developer conferences, company representatives unveiled new services that let buyers shop for and purchase eBay items outside of the core eBay.com site.

The company had ups and downs over the next decade including spinning off the highly profitable PayPal unit in 2015. In 2016, eBay reported revenues falling 2% year over year and that was despite the 30% growth that the StubHub unit reported. eBay's core unit was under significant pressure from a host of niche sites as well as the powerful Amazon site. Analysts questioned where the company could grow despite the fact that the active user base grew 5% to over 162 million.

1. What do you believe eBay's core issues are?
2. Which marketing strategy was eBay following: market development or product development? Do you agree with it?
3. What decision-making process should the CEO utilize to make the decisions necessary to address the company's product, customer approach, and business model going forward?

7.9 MULTIPLE-CHOICE QUESTIONS

- 7-1. Which strategy is developed to pull together the various activities and competencies of each department so that corporate and business unit performance improves and resource productivity is maximized?
- business strategy
 - competitive strategy
 - generic strategy
 - enterprise strategy
 - functional strategy
- 7-2. The pricing, selling, and distributing of a product is referred to as a(n) _____ strategy.
- functional
 - marketing
 - operations
 - financial
 - human resource management
- 7-3. The type of marketing strategy in which a company captures a larger share of an existing market for current products through market saturation or market penetration or develops new markets for current products is called
- market development.
 - push strategy.
 - product development.
 - pull strategy.
 - skimming the cream.
- 7-4. When Smith & Wesson puts its name on others' products, like men's cologne, it is using which marketing strategy?
- demand pricing
 - brand pricing
 - brand extension
 - penetration extension
 - demand extension
- 7-5. A company may use which of the following trade promotions to "pull" their products through the distribution system?
- discounts
 - in-store special offers
 - advertising allowances
 - coupons
 - consumer advertising
- 7-6. When a company spends a large amount of money on trade promotion in order to gain or hold shelf space in retail outlets, a company is using a _____ strategy.
- pull
 - push
 - financial
 - dedicated line
 - dynamic pricing
- 7-7. Which type of pricing takes advantage of the demand curve while the product is still novel and competitors are few to increase profits?
- demand pricing
 - skim pricing
 - competitive pricing
 - penetration pricing
 - loss-leader pricing
- 7-8. Which type of pricing attempts to hasten market development and offers the pioneer the opportunity to utilize the experience curve to gain market share with a low price and dominate the industry?
- demand pricing
 - competitive pricing
 - skim pricing
 - penetration pricing
 - loss-leader pricing
- 7-9. Which of the following is not a goal of financial strategies?
- Examine the financial implication of corporate and business-level strategic options and identify the best financial course of action.
 - Provide the corporation with the appropriate financial structure and funds to achieve its overall objectives.
 - Institute a new product development plan to generate profit gain market share.
 - Provide competitive advantage through a lower cost of funds and a flexible ability to raise capital to support a business strategy.
 - Attempt to maximize the financial value of the firm.
- 7-10. All of the following are benefits for a company to raising its debt levels EXCEPT
- deter takeover attempts by other firms.
 - improve productivity.
 - improve cash flows.
 - force management to focus on core businesses.
 - improve strategic options available.

Answer Keys: 7-1. E 7-2. B 7-3. A 7-4. C 7-5. E 7-6. B 7-7. B 7-8. D 7-9. C 7-10. E

8

CHAPTER

STRATEGY IMPLEMENTATION: ORGANIZING AND STRUCTURE

- 8.1 Strategy Implementation
 - 8.1.1 Who Implements Strategy?
- 8.2 What Must Be Done?
 - 8.2.1 Developing Programs, Budgets, and Procedures
 - 8.2.2 Achieving Synergy
- 8.3 How Is Strategy to Be Implemented? Organizing for Action
 - 8.3.1 Structure Follows Strategy
 - 8.3.2 Stages of Corporate Development
 - 8.3.3 Organizational Life Cycle
- 8.4 Flexible Types of Organizational Structure
 - 8.4.1 The Matrix Structure
 - 8.4.2 Network Structure—The Virtual Organization
 - 8.4.3 Cellular/Modular Organization: A New Type of Structure?
- 8.5 Reengineering and Strategy Implementation
 - 8.5.1 Six Sigma
 - 8.5.2 Designing Jobs to Implement Strategy
 - 8.5.3 Centralization Versus Decentralization
- 8.6 Summary
- 8.7 Key Term
- 8.8 Review Questions
- 8.9 Strategic Practice Exercise
- 8.10 Multiple-choice Questions

NIRMA TRIES TO CHANGE THE STRUCTURE OF AN INDUSTRY



The Indian detergent market in the 1960's and 1970's was dominated by few players and there was only one segment in the industry and that was the premium segment. The cheapest brand in the market was priced at ₹13 per KG. The industry structure was such that the few players who existed in the market were mainly multinational companies, which targeted the premium market segment in India. This basically meant that for majority of the market i.e., middle-class and the poor, detergent was a luxury item.

It was in this kind of an industry, that a home-grown brand Nirma entered in 1969. Back then Dr Patel, in order to make the product affordable for the majority of the market segments, started production of the brand in a small shed in his backyard. He did not follow fixed business principles and defied all the existing business logics. He did not believe that “better quality always demanded higher price.” He concentrated on operational aspects like production, packaging and a low-profiled marketing. The result was an innovative, quality product: Nirma. By using a lower fat to water ratio and indigenous oils in formulating soap, the company dramatically cut production costs. As a result of its indigenous operational strategies, Nirma was able to cater to the consumer at a fraction of the price of the then leading brands. In the end, the company created an entirely new market segment in the domestic marketplace, which, eventually became the largest consumer pocket and quickly emerged as a dominating market player – a position which it has never since relinquished. By creating a more environmentally sound product that was cheaper than any other product in the market, Nirma forced Hindustan Lever, the Indian subsidiary of Unilever, to recognize the need to create and market soap and laundry detergent for India's poor.

The industry was revolutionized after an introduction of a home-grown brand i.e., Nirma, which in 1969 was priced at ₹3 per Kg as compared to ₹13 per Kg of the previous available brand in the market. The company was almost wholly responsible for creating a new market segment in this sector.

The strategic highlight indicates that sometimes the conduct of a company influences the performance of the company in the industry and hence changes the structure of the industry. Once the structure of the industry has changed, the reality of the market again dictates how a company is organized. This is true not only for Nirma, but similar illustrations can be found in other industries as well. For example, Snapdeal has completely changed the structure of the retail industry.

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- 8-1. Describe the major issues that impact successful strategy implementation

8.1 STRATEGY IMPLEMENTATION

Strategy implementation is the sum total of the activities and choices required for the execution of a strategic plan. It is the process by which objectives, strategies, and policies are put into action through the development of programs and tactics, budgets, and procedures. Implementation should be evaluated as strategy is being formulated although many companies separate the two. Implementation is the key part of strategic management for without implementation we have nothing. Strategy formulation and strategy implementation should be considered as two sides of the same coin.

Poor implementation has been blamed for a number of strategic failures. Merger and acquisitions activities are clear types of very visible implementations. Some studies have shown that half of all acquisitions fail to achieve what was expected of them while recent studies have reported that 83% of companies fail to achieve the goals of a merger. The most mentioned problems reported in post-merger integration were poor communication, unrealistic synergy expectations, structural problems, missing master plans, lost momentum, lack of top management commitment, and unclear strategic fit. A study by A. T. Kearney found that a company has just two years in which to make an acquisition perform. After the second year, the window of opportunity for forging synergies has mostly closed. Kearney's study was supported by further independent research by Bert, MacDonald, and Herd. Among the most successful acquirers studied, 70% to 85% of all merger synergies were realized within the first 12 months, with the remainder being realized in year two.

The implementation process requires strategy makers to consider these questions:

- ⇒ *Who* are the people who will carry out the strategic plan?
- ⇒ *What* must be done to align the company's operations in the new intended direction?
- ⇒ *How* is everyone going to work together to do what is needed?

These questions and similar ones should have been addressed initially when the pros and cons of strategic alternatives were analyzed. They must also be addressed again before successful implementation plans can be made. Unless top management can answer these basic questions satisfactorily, even the best planned strategy is unlikely to provide the desired outcome.

A survey of 93 Fortune 500 firms revealed that more than half of the corporations experienced the following 10 big issues when they attempted to implement a strategic change. These problems are listed in order of frequency.

1. Implementation took more time than originally planned.
2. Unanticipated major problems arose.
3. Activities were ineffectively coordinated.

4. Competing activities and crises took attention away from implementation.
5. The involved employees had insufficient capabilities to perform their jobs.
6. Lower-level employees were inadequately trained.
7. Uncontrollable external environmental factors created problems.
8. Departmental managers provided inadequate leadership and direction.
9. Key implementation tasks and activities were poorly defined.
10. The information system inadequately monitored activities.

8.1.1 Who Implements Strategy?

Depending on how a corporation is organized, those who implement strategy will probably be a much more diverse set of people than those who formulate it. From large, multi-industry corporations to small entrepreneurial ventures, the reality is that the implementers of strategy are everyone in the organization. Vice presidents of functional areas and directors of divisions or strategic business units (SBUs) work with their subordinates to put together large-scale implementation plans. Plant managers, project managers, and unit heads put together plans for their specific plants, departments, and units. SaaS-based company presidents work with their project managers and developers to meet the latest needs of their customers. Therefore, every operational manager down to the first-line supervisor and every employee is involved in some way in the implementation of corporate, business, and functional strategies.

Many of the people in the organization who are most crucial to successful strategy implementation probably had little to do with the development of the corporate and even business strategy. Therefore, they might be entirely ignorant of the vast amount of data and work that went into the formulation process. Unless changes in mission, objectives, strategies, and policies and their importance to the company are communicated clearly to every person in the organization, there can be a lot of resistance and foot-dragging. Some line managers might hope to influence top management into abandoning its new plans and returning to its old ways. This is one reason why involving people from all organizational levels in the formulation and implementation of strategy tends to result in better organizational performance.

8.2 WHAT MUST BE DONE?

The managers of divisions and functional areas work with their fellow managers to develop programs, budgets, and procedures for the implementation of strategy. They also work to achieve synergy

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- 8-2. Explain how you would develop programs, budgets, and procedures to implement strategic change

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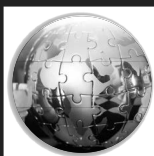
among the divisions and functional areas in order to establish and maintain a company's distinctive competence.

8.2.1 Developing Programs, Budgets, and Procedures

Strategy implementation involves establishing programs and tactics to create a series of new organizational activities, budgets to allocate funds to the new activities, and procedures to handle the day-to-day details.

Programs and Tactics

The purpose of a **program** or a tactic is to make a strategy action-oriented. As we discussed in **Chapter 1**, the terms are somewhat interchangeable. In practice, a program is a collection of tactics and a tactic is the individual action taken by the organization as an element of the effort to accomplish a plan. For example, when Wipro required improvement in product performance of a telecom application and it needed to significantly improve quality of services provided, it implemented a program called Six Sigma. The program was developed to identify and improve alignment of business operations with customer needs while resulting in cost saving and overall performance improvement. The result of the program was that the company was able to reduce data transfer time, avoid interruption due to LAN/WAN downtime and adopt crises planning methodologies. Today, Wipro has one of the most mature Six



SUSTAINABILITY ISSUE

A BETTER BOTTLE—ECOLOGIC BRANDS

Some of the ideas that transform business practice are born in the simplest of places. Julie Corbett's started when she bought her first iPhone in 2007. She was fascinated by the paper pulp tray that it arrived in. The tray was elegant, sturdy, and biodegradable. She immediately thought of how it could be used to reduce the vast amounts of plastic needed for plastic bottles holding liquids. Combining the sturdiness of the paper pulp with an interior bladder to hold the liquid, she created Ecologic Brands.

Winner of the 2012 Gold Award from the Industrial Designers Society of America, the "bottle" is instantly recognizable as eco-friendly and yet extremely comfortable to touch and use. The bottles use 70% less plastic than regular ones and are the first of their type to hit store shelves. In addition, the bottle shells are made from 100% recycled cardboard and newspaper. The company didn't need to use any exotic materials or techniques to create the bottles. However, they have patents on the

processes for connecting the components and have new products on the way. Ecologic is creating a demand for pulp paper in an industry that has been battered for many years.

Seventh Generation Laundry Detergent was one of the first brands to use the bottles and saw a 19% increase in sales after switching. The company has designed packaging for such widely varying companies as Bodylogix protein powder and Truett Hurst wine.

The company has received several significant rounds of funding and in 2013 opened a 60,000 square foot facility in an economically depressed area of California. They are on a path to make the Ecologic bottle comparable in cost to the plastic competition.

SOURCES: J. Griffin, "Good things come in reusable packages," *Entrepreneur*, January 13, 2015 (entrepreneur.com/article/241059); "Bottles Inspired by the iPhone," *Bloomberg Businessweek*, October 29, 2012, p. 45 http://www.ecologicbrands.com/about_eco.html; <http://www.fastcodesign.com/1664838/tk-years-in-the-making-a-cardboard-jug-for-laundry-detergent>.

Sigma programs in the Indian software industry ensuring that 91% of the projects are completed on schedule, much above the industry average of 55%. (Six Sigma is explained later in this chapter.)

Most corporate headquarters have around 10 to 30 programs in effect at any one time. The U.S. Army instituted the Lean Six Sigma Excellence Awards Program, known as LEAP to celebrate the successes within the Army. One project applied distance learning practices, eliminated all travel temporary duty assignment from the training delivery and achieved the removal of 97% of recurring labor hours and reduced process cycle time from 124 days to five days. Apple used a program to find a recycled and yet elegant pulp tray to hold the original iPhone that became the inspiration for a business out to change the way bottles are produced. For more information on this innovative approach to bottle design, see the **Sustainability Issue** feature.

Competitive Tactics

Studies of decision making report that half the decisions made in organizations fail because of poor tactics. A tactic is a specific operating plan that details how a strategy is to be implemented in terms of when and where it is to be put into action. By their nature, tactics are narrower in scope and shorter in time horizon than are strategies. Tactics, therefore, may be viewed (like policies) as a link between the formulation and implementation of strategy. Some of the tactics available to implement competitive strategies are timing tactics and market location tactics.

Timing Tactics: When to Compete

A **timing tactic** deals with *when* a company implements a strategy. The first company to manufacture and sell a new product or

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service is called the **first mover** (or pioneer). Some of the advantages of being a first mover are that the company is able to establish a reputation as an industry leader, move down the learning curve to assume the cost-leader position, and earn temporarily high profits from buyers who value the product or service very highly. A successful first mover can also set the standard for all subsequent products in the industry. A company that sets the standard “locks in” customers and is then able to offer further products based on that standard. Microsoft was able to do this in software with its Windows operating system by being the first to commercialize the product successfully. Research does indicate that moving first or second into a new industry or foreign country results in greater market share and shareholder wealth than does moving later. Some studies have found that being first provides a company profit advantages for about 10 years in consumer goods and about 12 years in industrial goods. This is true, however, only if the first mover has sufficient resources to both exploit the new market and to defend its position against later arrivals with greater resources. Gillette, for example, has been able to keep its leadership of the razor category (70% market share) by continuously introducing new products.

Being a first mover does, however, have its disadvantages. These disadvantages can be, conversely, advantages enjoyed by late-mover firms. **Late movers** may be able to imitate the technological advances of others (and thus keep R&D costs low), keep risks down by waiting until a new technological standard or market is established, and take advantage of the first mover’s natural inclination to ignore market segments. Research indicates that successful late movers tend to be large firms with considerable resources and related experience. Microsoft is one example. Once Netscape had established itself as the standard for Internet browsers in the 1990s, Microsoft used its huge resources to directly attack Netscape’s position with its Internet Explorer. It did not want Netscape to also set the standard in the developing and highly lucrative intranet market inside corporations. By 2004, Microsoft’s Internet Explorer dominated Web browsers, and Netscape was only a minor presence. Nevertheless, research suggests that the advantages and disadvantages of first and late movers may not always generalize across industries because of differences in entry barriers and the resources of the specific competitors.

Market Location Tactics: Where to Compete

A **market location tactic** deals with *where* a company implements a strategy. A company or business unit can implement a competitive strategy either offensively or defensively. An *offensive tactic* usually takes place in an established competitor’s market location. A *defensive tactic* usually takes place in the firm’s own current market position as a defense against possible attack by a rival.

Offensive Tactics. Some of the methods used to attack a competitor's position are:

- ⇒ *Frontal assault:* The attacking firm goes head to head with its competitor. It matches the competitor in every category from price to promotion to distribution channel. To be successful, the attacker must have not only superior resources, but also the willingness to persevere. This is generally a very expensive tactic and may serve to awaken a sleeping giant, depressing profits for the whole industry. This is what Kimberly-Clark did when it introduced Huggies disposable diapers against P&G's market-leading Pampers. The resulting competitive battle between the two firms depressed Kimberly-Clark's profits. In India one of the best examples of frontal attack strategy is in ice cream industry where Mother Dairy launched frontal attack on Amul by launching a blitz of brand awareness campaign, better discount to distribution channel, better packaging, and ensuring a reach equal to that of Amul. As a result of this strategy Mother Dairy was able to make inroads into the Mumbai market which was dominated earlier by Amul.
- ⇒ *Flanking maneuver:* Rather than going straight for a competitor's position of strength with a frontal assault, a firm may attack a part of the market where the competitor is weak. Texas Instruments, for example, avoided competing directly with Intel by developing microprocessors for consumer electronics, cell phones, and medical devices instead of computers. Taken together, these other applications are worth more in terms of dollars and influence than are computers, where Intel dominates. A good example of flanking strategy in India is again exhibited by Amul. The company adopted that strategy when it launched Amul Kool and Amul Masti Dahi at a low price with the same level of the quality as that of other competitors in the market. Similarly, in early 2000, the urban market for consumer durables was growing at 7–10% annually while the rural market was growing at 25% annually. This attracted the companies to want to enter the rural markets in India. LG outflanked the other colored TV producers in India, by launching the rural specific colored TV "Sampoorna". The launch of this television made LG the first company to tap rural India.
- ⇒ *Bypass attack:* Rather than directly attacking the established competitor frontally or on its flanks, a company or business unit may choose to change the rules of the game. This tactic attempts to cut the market out from under the established defender by offering a new type of product that makes the competitor's product unnecessary. For example, instead of competing directly against Microsoft's Pocket PC and Palm Pilot for the handheld computer market, Apple introduced the iPod as a personal digital music player. It was the most radical change to the way people listen to music since the Sony Walkman. By

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redefining the market, Apple successfully sidestepped both Intel and Microsoft, leaving them to play “catch-up.”

- ⇒ *Encirclement*: Usually evolving out of a frontal assault or flanking maneuver, encirclement occurs as an attacking company or unit encircles the competitor’s position in terms of products or markets or both. The encircler has greater product variety (e.g., a complete product line, ranging from low to high price) and/or serves more markets (e.g., it dominates every secondary market). For example, Steinway was a major manufacturer of pianos in the United States until Yamaha entered the market with a broader range of pianos, keyboards, and other musical instruments. The company was taken private in 2013 and focuses almost exclusively on the very high end of the market producing their 600,000th piano in 2015. Oracle is using this strategy in its battle against market leader SAP for enterprise resource planning (ERP) software by “surrounding” SAP with acquisitions.
- ⇒ *Guerrilla warfare*: Instead of a continual and extensive resource-expensive attack on a competitor, a firm or business unit may choose to “hit and run.” Guerrilla warfare is characterized by the use of small, intermittent assaults on different market segments held by the competitor. In this way, a new entrant or small firm can make some gains without seriously threatening a large, established competitor and evoking some form of retaliation. To be successful, the firm or unit conducting guerrilla warfare must be patient enough to accept small gains and avoid pushing the established competitor to the point that it must respond or else lose face. Microbreweries, which make beer for sale to local customers, use this tactic against major brewers such as AB InBev.

Defensive tactics. According to Porter, defensive tactics aim to lower the probability of attack, divert attacks to less threatening avenues, or lessen the intensity of an attack. Instead of increasing competitive advantage per se, they make a company’s or business unit’s competitive advantage more sustainable by causing a challenger to conclude that an attack is unattractive. These tactics deliberately reduce short-term profitability to ensure long-term profitability.

- ⇒ *Raise structural barriers*. Entry barriers act to block a challenger’s logical avenues of attack. Some of the most important, according to Porter, are to:
 1. Offer a full line of products in every market segment to close off any entry points (for example, Coca-Cola offers unprofitable non-carbonated beverages to keep competitors off store shelves).
 2. Block channel access by signing exclusive agreements with distributors.

3. Raise buyer switching costs by offering low-cost training to users.
4. Raise the cost of gaining trial users by keeping prices low on items new users are most likely to purchase.
5. Increase scale economies to reduce unit costs.
6. Foreclose alternative technologies through patenting or licensing.
7. Limit outside access to facilities and personnel.
8. Tie up suppliers by obtaining exclusive contracts or purchasing key locations.
9. Avoid suppliers that also serve competitors.
10. Encourage the government to raise barriers, such as safety and pollution standards or favorable trade policies.

⇒ *Increase expected retaliation:* This tactic is any action that increases the perceived threat of retaliation for an attack. For example, management may strongly defend any erosion of market share by drastically cutting prices or matching a challenger's promotion through a policy of accepting any price-reduction coupons for a competitor's product. This counterattack is especially important in markets that are very important to the defending company or business unit. For example, when Clorox Company challenged P&G in the detergent market with Clorox Super Detergent, P&G retaliated by test marketing its liquid bleach of the time, Lemon Fresh Comet, in an attempt to scare Clorox into retreating from the detergent market. Research suggests that retaliating quickly is not as successful in slowing market share loss as a slower, but more concentrated and aggressive response.

⇒ *Lower the inducement for attack:* A third type of defensive tactic is to reduce a challenger's expectations of future profits in the industry. Like Southwest Airlines, a company can deliberately keep prices low and constantly invest in cost-reducing measures. With prices kept very low, there is little profit incentive for a new entrant.

Budgets

After programs and tactical plans have been developed, the **budget** process begins. Planning a budget is the last real check a corporation has on the feasibility of its selected strategy. An ideal strategy might be found to be completely impractical only after specific implementation programs and tactics are costed in detail. Mondelez is the world's largest buyer of cocoa and in 2012 made a commitment to dramatically increase the supply of sustainably grown cocoa in the six big cocoa producing countries. The company budgeted US\$400 million to reach over 200,000 cocoa farmers by 2022.

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Procedures

After the divisional and corporate budgets are approved, **procedures** must be developed. Often called *Standard Operating Procedures (SOPs)*, they typically detail the various activities that must be carried out to complete a corporation's programs and tactical plans. Also known as *organizational routines*, procedures are the primary means by which organizations accomplish much of what they do. Once in place, procedures must be updated to reflect any changes in technology as well as in strategy. For example, a company following a differentiation competitive strategy manages its sales force more closely than does a firm following a low-cost strategy. Differentiation requires long-term customer relationships created out of close interaction with the sales force. An in-depth understanding of the customer's needs provides the foundation for product development and improvement.

In a retail store, procedures ensure that the day-to-day store operations will be consistent over time (that is, next week's work activities will be the same as this week's) and consistent among stores (that is, each store will operate in the same manner as the others). Properly planned procedures can help eliminate poor service by making sure that employees do not use excuses to justify poor behavior toward customers.

Before a new strategy can be successfully implemented, current procedures may need to be changed. For example, in order to implement The Home Depot's strategic move into services, such as kitchen and bathroom installation, the company had to first improve its productivity. Store managers were drowning in paperwork designed for a smaller and simpler company. "We'd get a fax, an e-mail, a call, and a memo, all on the same project," reported store manager Michael Jones. One executive used just three weeks of memos to wallpaper an entire conference room, floor to ceiling, windows included. Then CEO Robert Nardelli told his top managers to eliminate duplicate communications and streamline work projects. Directives not related to work orders had to be sent separately and only once a month. The company also spent US\$2 million on workload-management software.

8.2.2 Achieving Synergy

One of the goals to be achieved in strategy implementation is synergy between and among functions and business units. This is the reason corporations commonly reorganize after an acquisition. **Synergy** is said to exist for a divisional corporation if the return on investment of each division is greater than what the return would be if each division were an independent business. According to Goold and Campbell, synergy can take place in one of six forms:

- ⇒ *Shared know-how*: Combined units often benefit from sharing knowledge or skills. This is a leveraging of core competencies. One reason that Procter & Gamble purchased Gillette was to

combine P&G's knowledge of the female consumer with Gillette's knowledge of the male consumer.

- ⇒ *Coordinated strategies*: Aligning the business strategies of two or more business units may give a corporation significant advantage by reducing interunit competition and developing a coordinated response to common competitors (horizontal strategy). The merger between Comcast and NBC Universal in 2011 gave the combined company significant bargaining strength and flexibility with advertisers in the increasingly competitive television media industry.
- ⇒ *Shared tangible resources*: Combined units can sometimes save money by sharing resources, such as a common manufacturing facility or R&D lab. The big pharmaceutical companies were all looking for savings with the big mergers in the industry, such as Pfizer-Wyeth, Novartis-Alcon, and Roche-Genentech.
- ⇒ *Economies of scale or scope*: Coordinating the flow of products or services of one unit with that of another unit can reduce inventory, increase capacity utilization, and improve market access. This was a reason United Airlines bought Continental Airlines.
- ⇒ *Pooled negotiating power*: Units can combine their volume of purchasing to gain bargaining power over common suppliers to reduce costs and improve quality. The same can be done with common distributors. The acquisitions of Macy's and the May Company enabled Federated Department Stores (which changed its name to Macy's) to gain purchasing economies for all of its stores.
- ⇒ *New business creation*: Exchanging knowledge and skills can facilitate new products or services by extracting discrete activities from various units and combining them in a new unit or by establishing joint ventures among internal business units. Google has acquired more than 100 companies over the past five years.

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8.3 HOW IS STRATEGY TO BE IMPLEMENTED? ORGANIZING FOR ACTION

Before plans can lead to actual performance, a corporation should be organized to take advantage of its competitive advantages, programs should be adequately staffed, and activities should be directed toward achieving desired objectives. (Organizing activities are reviewed briefly in this chapter; staffing, directing, and control activities are discussed in **Chapters 8 and 10**.)

Any change in corporate strategy is very likely to require some sort of change in the way an organization is structured and in the kind of skills needed in particular positions. Managers must, therefore, closely examine the way their company is structured in order to decide what, if any, changes should be made in the way work is accomplished. Should activities be grouped differently?

- 8-3.** List the stages of corporate development and the structure that characterizes each stage

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Should the authority to make key decisions be centralized at headquarters or decentralized to managers in distant locations? Should the company be managed like a “tight ship” with many rules and controls, or “loosely” with few rules and controls? Should the corporation be organized into a “tall” structure with many layers of managers, each having a narrow span of control (that is, few employees per supervisor) to better control his or her subordinates; or should it be organized into a “flat” structure with fewer layers of managers, each having a wide span of control (that is, more employees per supervisor) to give more freedom to his or her subordinates?

8.3.1 Structure Follows Strategy

In a classic study of large U.S. corporations such as DuPont, General Motors, Sears, and Standard Oil, Alfred Chandler concluded that **structure follows strategy**—that is, changes in corporate strategy lead to changes in organizational structure. He also concluded that organizations follow a pattern of development from one kind of structural arrangement to another as they expand. According to Chandler, these structural changes occur because the old structure, having been pushed too far, has caused inefficiencies that have become too obviously detrimental to bear. Chandler, therefore, proposed the following as the sequence of what occurs:

1. New strategy is created.
2. New administrative problems emerge.
3. Economic performance declines.
4. New appropriate structure is created.
5. Economic performance rises.

Chandler found that in their early years, corporations such as DuPont tend to have a centralized, functional, organizational structure that is well suited to producing and selling a limited range of products. As they add new product lines, purchase their own sources of supply, and create their own distribution networks, they become too complex for highly centralized structures. To remain successful, this type of organization needs to shift to a decentralized structure with several semiautonomous divisions (referred to in **Chapter 4** as *divisional structure*).

Alfred P. Sloan, past CEO of General Motors, detailed how GM conducted such structural changes in the 1920s. He saw decentralization of structure as “centralized policy determination coupled with decentralized operating management.” After top management had developed a strategy for the total corporation, the individual divisions (Chevrolet, Buick, and so on) were free to choose how to implement that strategy. Patterned after DuPont, GM found the decentralized multidivisional structure to be extremely effective in allowing the maximum amount of



INNOVATION ISSUE

THE P&G INNOVATION MACHINE STUMBLES

As we have discussed throughout this text, innovation is a key element needed to organically grow a company. Developing an ever-widening portfolio of businesses has been a strategic approach used by many companies. None has been more successful with this approach than Procter & Gamble (P&G). Their 175-year history is filled with consumer-oriented product innovations including Ivory Soap (1879), Crisco (1911), Dreft which became Tide (1933), Crest (1955), Pampers (1961), Pringles (1968), Fabreze (1993), Swiffer (1998), and Crest Whitestrips (2002).

Known for their heavy investment in research and development, the company invested more than US\$2 billion in R&D in 2012. For most of its history, the company used a highly centralized R&D group to generate new ideas. This all came to an end in 2000 when then-CEO A. G. Lafley decentralized the operations to the operating units and opened product innovation to outside partners. Taking his cue for the dramatic growth in social media and crowdsourcing, Lafley sought to have 50% of innovative new products generated from people not employed by the company. The operating units were expected to be more closely tied to the consumers and thus be in a better position to know the potential for each new product idea.

Between 2003 and 2008, the sales of new launches shrank by half. The company's pipeline became focused on reformulating old products, adding scents to successful product lines, and adjusting the sizes that were sold.

In 2009, new CEO Bob McDonald started recentralizing R&D operations in an attempt to reverse the deterioration of innovation at the company. By 2012, between 20 and 30% of R&D had been centralized. The loss of focus cost the company a decade of innovations while competitors rolled out new products in virtually every product category in which P&G competes. There is no single means for generating innovative ideas or for turning those ideas into a blockbuster new product. Companies seek to organize their businesses so they can own the next big thing.

Big changes were in store for the company. In 2014 they announced a dramatic restructuring of the organization into four large industry groups and plans to sell off half the brands in the company portfolio. The company wanted to focus on specific areas of strength and then grow those areas with innovation. Whereas centralization failed to generate organic growth under the old structure, tightly focused areas could benefit from specifically-focused R&D facilities. In 2015, P&G

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announced plans to build a 500,000 square foot research and development center specifically for its new Beauty Division. It will be interesting to see if this carefully restructured organization grows its innovation engine again.

SOURCES: B. Brunsman, "P&G to build massive R&D center in Mason," Cincinnati Business Courier, March 17, 2015 (bizjournals.com/Cincinnati/news/2015/03/17/p-g-to-build-massive-r-d-center-in-mason.html); "Procter & Gamble to sell off half its brands," Associated Press via CBC News, August 1, 2014 (<http://www.cbc.ca/news/business/procter-gamble-to-sell-off-half-its-brands-1.2725214>); pg.com/en_US/downloads/investors/annual_reports/2013/2013_annualreport.pdf; L. Coleman-Lochner and C. Hymowitz, "At P&G, the Innovation Well Runs Dry," Bloomberg Businessweek (September 10, 2012), pp. 24–26; http://www.pg.com/en_US/brands/index.shtml

freedom for product development. Return on investment was used as a financial control. (ROI is discussed in more detail in **Chapter 9**.)

Research generally supports Chandler's proposition that structure follows strategy (as well as the reverse proposition that structure influences strategy). As mentioned earlier, changes in the environment tend to be reflected in changes in a corporation's strategy, thus leading to changes in a corporation's structure. In 2016, TiVo (the company that brought the world more control over their viewing options) announced a change in their strategy in response to strong moves by their competitors. They reorganized the company around just three areas—partnerships, international expansion, and innovation. The goal was to take the already growing firm and accelerate that growth around its core strengths.

Strategy, structure, and the environment need to be closely aligned; otherwise, organizational performance will likely suffer. For example, a business unit following a differentiation strategy needs more freedom from headquarters to be successful than does another unit following a low-cost strategy.

Although it is agreed that organizational structure must vary with different environmental conditions, which, in turn, affects an organization's strategy, there is no agreement about an optimal organizational design. What was appropriate for DuPont and General Motors in the 1920s might not be appropriate today. Firms in the same industry do, however, tend to organize themselves similarly to one another. For example, automobile manufacturers tend to emulate General Motors' divisional concept, whereas consumer-goods producers tend to emulate the brand-management concept (a type of matrix structure) pioneered by Procter & Gamble Company. See the **Innovation Issues** feature to see how P&G's structural decisions ended up derailing their innovation efforts. The general conclusion seems to be that firms following similar strategies in similar industries tend to adopt similar structures.

TABLE 8-1 Factors Differentiating Stage I, II, and III Companies

Function	Stage I	Stage II	Stage III
1. Sizing up: Major problems	Survival and growth dealing with short-term operating problems	Growth, rationalization, and expansion of resources, providing for adequate attention to product problems	Trusteeship in management and investment and control of large, increasing, and diversified resources. Also, important to diagnose and take action on problems at division level
2. Objectives	Personal and subjective	Profits and meeting functionally-oriented budgets and performance targets	ROI, profits, earnings per share
3. Strategy	Implicit and personal; exploitation of immediate opportunities seen by owner-manager	Functionally oriented moves restricted to "one product" scope; exploitation of one basic product or service field	Growth and product diversification; exploitation of general business opportunities
4. Organization: Major characteristic of structure	One unit, "one-man show"	One unit, functionally specialized group	Multiunit general staff office and decentralized operating divisions
5. (a) Measurement and control	Personal, subjective control based on simple accounting system and daily communication and observation	Control grows beyond one person; assessment of functional operations necessary; structured control systems evolve	Complex formal system geared to comparative assessment of performance measures, indicating problems and opportunities and assessing management ability of division managers
5. (b) Key performance indicators	Personal criteria, relationships with owner, operating efficiency, ability to solve operating problems	Functional and internal criteria such as sales, performance compared to budget, size of empire, status in group, personal, relationships, etc.	More impersonal application of comparisons such as profits, ROI, P/E ratio, sales, market share, productivity, product leadership, personnel development, employee attitudes, public responsibility
6. Reward–punishment system	Informal, personal, subjective; used to maintain control and divide small pool of resources for key performers to provide personal incentives	More structured; usually based to a greater extent on agreed policies as opposed to personal opinion and relationships	Allotment by "due process" of a wide variety of different rewards and punishments on a formal and systematic basis. Companywide policies usually apply to many different classes of managers and workers with few major exceptions for individual cases.

SOURCE: Donald H. Thain, "Stages of Corporate Development," *Ivey Business Journal* (formerly *Ivey Business Quarterly*), Winter 1969, p. 37. Copyright © 1969, Ivey Management Services. One-time permission to reproduce granted by Ivey Management Services.

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8.3.2 Stages of Corporate Development

Successful, large conglomerate organizations have tended to follow a pattern of structural development as they grow and expand. Beginning with the simple structure of the entrepreneurial firm (in which everybody does everything), these organizations tend to get larger and organize along functional lines, with marketing, production, and finance departments. With continuing success, the company adds new product lines in different industries and organizes itself into interconnected divisions. The differences among these three structural **stages of corporate development** in terms of typical problems, objectives, strategies, reward systems, and other characteristics are specified in detail in **Table 8–1**.

Stage I: Simple Structure

Stage I is typified by the entrepreneur or a small team, who founds a company to promote an idea (a product or a service). The entrepreneur or team tends to make all the important decisions and is involved in every detail and phase of the organization. The Stage I company has little formal structure, which allows the entrepreneur or team to directly supervise the activities of every employee (see **Figure 5–3** for an illustration of the simple, functional, and divisional structures). Planning is usually short range or reactive. The typical managerial functions of planning, organizing, directing, staffing, and controlling are usually performed to a very limited degree, if at all. The greatest strengths of a Stage I corporation are its flexibility and dynamism. The drive of the entrepreneur energizes the organization in its struggle for growth. Its greatest weakness is its extreme reliance on the entrepreneur to decide general strategies as well as detailed procedures. If the entrepreneur falters, the company usually flounders. This is labeled by Greiner as a *crisis of leadership*.

Stage I describes the early life of Oracle Corporation, the computer software firm, under the management of its co-founder and then CEO Lawrence Ellison. The company adopted a pioneering approach to retrieving data, called Structured Query Language (SQL). When IBM made SQL its standard, Oracle's success was assured. Unfortunately, Ellison's technical wizardry was not sufficient to manage the company. Often working at home, he lost sight of details outside his technical interests. Although the company's sales were rapidly increasing, its financial controls were so weak that management had to restate an entire year's results to rectify irregularities. After the company recorded its first loss, Ellison hired a set of functional managers to run the company while he retreated to focus on new product development.

Stage II: Functional Structure

Stage II is the point at which the entrepreneur is replaced by a team of managers who have functional specializations. The transition to this stage requires a substantial managerial style change

for the chief officer of the company, especially if he or she was the Stage I entrepreneur. He or she must learn to delegate; otherwise, having additional staff members yields no benefits to the organization. The previous example of Ellison's retreat from top management at Oracle Corporation to new product development manager is one way that technically brilliant founders are able to get out of the way of the newly empowered functional managers. In Stage II, the corporate strategy favors protectionism through dominance of the industry, often through vertical and horizontal growth. The great strength of a Stage II corporation lies in its concentration and specialization in one industry. Its great weakness is that all its eggs are in one basket.

By concentrating on one industry while that industry remains attractive, a Stage II company, such as Oracle Corporation in computer software, can be very successful. Once a functionally structured firm diversifies into other products in different industries, however, the advantages of the functional structure break down. A *crisis of autonomy* can now develop, in which people managing diversified product lines need more decision-making freedom than top management is willing to delegate to them. The company needs to move to a different structure.

Stage III: Divisional Structure

Stage III is typified by the corporation's managing diverse product lines in numerous industries; it decentralizes the decision-making authority. Stage III organizations grow by diversifying their product lines and expanding to cover wider geographical areas. They move to a divisional structure with a central headquarters and decentralized operating divisions—with each division or business unit a functionally organized Stage II company. They may also use a conglomerate structure if top management chooses to keep its collection of Stage II subsidiaries operating autonomously. A *crisis of control* can now develop, in which the various units act to optimize their own sales and profits without regard to the overall corporation, whose headquarters seems far away and almost irrelevant.

Over time, divisions have been evolving into SBUs to better reflect product-market considerations. Headquarters attempts to coordinate the activities of its operating divisions or SBUs through performance, results-oriented control, and reporting systems, and by stressing corporate planning techniques. The units are not tightly controlled but are held responsible for their own performance results. Therefore, to be effective, the company has to have a decentralized decision process. The greatest strength of a Stage III corporation is its almost unlimited resources. Its most significant weakness is that it is usually so large and complex that it tends to become relatively inflexible. General Electric, DuPont, and General Motors are examples of Stage III corporations.

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Stage IV: Beyond SBUs

Even with the evolution into SBUs during the 1970s and 1980s, the divisional structure is not the last word in organization structure. The use of SBUs may result in a *red tape crisis* in which the corporation has grown too large and complex to be managed through formal programs and rigid systems, and procedures take precedence over problem solving. For example, Pfizer's acquisitions of Warner-Lambert and Pharmacia resulted in 14 layers of management between scientists and top executives and thus forced researchers to spend most of their time in meetings. Under conditions of (1) increasing environmental uncertainty, (2) greater use of sophisticated technological production methods and information systems, (3) the increasing size and scope of worldwide business corporations, (4) a greater emphasis on multi-industry competitive strategy, and (5) a more educated cadre of managers and employees, new advanced forms of organizational structure are emerging. These structures emphasize collaboration over competition in the managing of an organization's multiple overlapping projects and developing businesses.

The matrix and the network are two possible candidates for a fourth stage in corporate development—a stage that not only emphasizes horizontal over vertical connections between people and groups but also organizes work around temporary projects in which sophisticated information systems support collaborative activities. According to Greiner, it is likely that this stage of development will have its own crisis as well—a sort of *pressure-cooker crisis*. He predicts that employees in these collaborative organizations will eventually grow emotionally and physically exhausted from the intensity of teamwork and the heavy pressure for innovative solutions.

Blocks to Changing Stages

Corporations often find themselves in difficulty because they are blocked from moving into the next logical stage of development. Blocks to development may be internal (such as lack of resources, lack of ability, or refusal of top management to delegate decision making to others) or external (such as economic conditions, labor shortages, or lack of market growth). For example, Chandler noted in his study that the successful founder/CEO in one stage was rarely the person who created the new structure to fit the new strategy, and as a result, the transition from one stage to another was often painful. This was true of General Motors Corporation under the management of William Durant, Ford Motor Company under Henry Ford I, Polaroid Corporation under Edwin Land, eBay under Pierre Omidyar, and Yahoo under Jerry Yang and David Filo.

Entrepreneurs who start businesses generally have four tendencies that work very well for small new ventures but become Achilles' heels for these same individuals when they try to manage a larger firm with diverse needs, departments, priorities, and constituencies:

- ⇒ *Loyalty to comrades*: This is good at the beginning but soon becomes a liability; seen as “favoritism.”
- ⇒ *Task oriented*: Focusing on the job is critical at first but then becomes excessive attention to detail.
- ⇒ *Single-mindedness*: A grand vision is needed to introduce a new product but can become tunnel vision as the company grows into more markets and products.
- ⇒ *Working in isolation*: This is good for a brilliant scientist but disastrous for a CEO with multiple constituencies.

This difficulty in moving to a new stage is compounded by the founder's tendency to maneuver around the need to delegate by carefully hiring, training, and grooming his or her own team of managers. The team tends to maintain the founder's influence throughout the organization long after the founder is gone. This is what happened at Walt Disney Productions when the family continued to emphasize Walt's policies and plans long after he was dead. The refrain that was often heard was “What would Walt have done?” Although in some cases this may be an organization's strength, it can also be a weakness—to the extent that the culture supports the status quo and blocks needed change.

8.3.3 Organizational Life Cycle

Instead of considering stages of development in terms of structure, the organizational life cycle approach places the primary emphasis on the dominant issue facing the corporation. Organizational structure becomes a secondary concern. The **organizational life cycle** describes how organizations grow, develop, and eventually decline. It is the organizational equivalent of the product life cycle in marketing. These stages are Birth (Stage I), Growth (Stage II), Maturity (Stage III), Decline (Stage IV), and Death (Stage V). The impact of these stages on corporate strategy and structure is summarized in **TABLE 8–2**. Note that the first three stages of the organizational life cycle are similar to the three commonly accepted stages of corporate development mentioned previously.

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TABLE 8–2 Organizational Life Cycle

	Stage I	Stage II	Stage III*	Stage IV	Stage V
Dominant Issue	Birth	Growth	Maturity	Decline	Death
Popular Strategies	Concentration in a niche	Horizontal and vertical growth	Concentric and conglomerate diversification	Profit strategy followed by retrenchment	Liquidation or bankruptcy
Likely Structure	Entrepreneur dominated	Functional management emphasized	Decentralization into profit or investment centers	Structural surgery	Dismemberment of structure

NOTE: *An organization may enter a Revival phase either during the Maturity or Decline stages and thus extend the organization's life, especially if it has significant financial reserves.

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The only significant difference is the addition of the Decline and Death stages to complete the cycle. Even though a company's strategy may still be sound, its aging structure, culture, and processes may be such that they prevent the strategy from being executed properly. Its core competencies become *core rigidities* that are no longer able to adapt to changing conditions—thus the company moves into Decline.

Movement from Growth to Maturity to Decline and finally to Death is not, however, inevitable. A Revival phase may occur sometime during the Maturity or Decline stages. The corporation's life cycle can be extended by managerial and product innovations. Developing new combinations of existing resources to introduce new products or acquiring new resources through acquisitions can enable firms with declining performance to regain growth—so long as the action is valuable and difficult to imitate. We have seen this play out with Apple. It was clearly in decline in the mid-1980s and many believed well on its way to dying. The company was rejuvenated with the return of Steve Jobs and a seemingly continuous stream of new products that took the company into numerous new markets. This can occur during the implementation of a turnaround strategy. Nevertheless, the fact that firms in decline are less likely to search for new technologies suggests that it is difficult to revive a company in decline.

Unless a company is able to resolve the critical issues facing it in the Decline stage, it is likely to move into Stage V, Death—also known as bankruptcy. This is what happened to Montgomery Ward, Pan American Airlines, Mervyn's, Borders, Eastern Airlines, Circuit City, Orion Pictures, and Levitz Furniture, as well as many other firms. As in the cases of Johns-Manville, Bennigan's, Macy's, and Kmart—all of which went bankrupt—a corporation can rise like a phoenix from its own ashes and live again under the same or a different name. The company may be reorganized or liquidated, depending on individual circumstances. For example, Kmart emerged from **Chapter 9** bankruptcy in 2003 with a new CEO and a plan to sell a number of its stores to The Home Depot and Sears. These sales earned the company close to US\$1 billion. Although store sales continued to erode, Kmart had sufficient cash reserves to continue with its turnaround. It used that money to acquire Sears in 2005. Unfortunately, however, fewer than 20% of firms entering **Chapter 9** bankruptcy in the United States emerge as going concerns; the rest are forced into liquidation (also known as **Chapter 6**).

Few corporations will move through these five stages in order. Some corporations, for example, might never move past Stage II. Others, such as General Motors, might go directly from Stage I to Stage III. A large number of entrepreneurial ventures jump from Stage I or II directly into Stage IV or V. Hayes Microcomputer Products, for example, went from the Growth to Decline stage under its founder Dennis Hayes. The key is to be able to identify indications that a firm

is in the process of changing stages and to make the appropriate strategic and structural adjustments to ensure that corporate performance is maintained or even improved.

8.4 FLEXIBLE TYPES OF ORGANIZATIONAL STRUCTURE

The basic structures (simple, functional, divisional, and conglomerate) are discussed in **Chapter 4** and summarized under the first three stages of corporate development in this chapter. A new strategy may require more flexible characteristics than the traditional functional or divisional structure can offer. Today's business organizations are becoming less centralized with a greater use of cross-functional work teams. Although many variations and hybrid structures exist, two forms stand out: the matrix structure and the network structure.

8.4.1 The Matrix Structure

Most organizations find that organizing around either functions (in the functional structure) or products and geography (in the divisional structure) provides an appropriate organizational structure. The matrix structure, in contrast, may be very appropriate when organizations conclude that neither functional nor divisional forms, even when combined with horizontal linking mechanisms such as SBUs, are right for their situations. In **matrix structures**, functional and product forms are combined simultaneously at the same level of the organization. (See **Figure 8-1**.) Employees have two superiors, a product or project manager, and a functional manager. The "home" department—that is, engineering, manufacturing, or sales—is usually functional and is reasonably permanent. People from these functional units are often assigned temporarily to one or more product units or projects. The product units or projects are usually temporary and act like divisions in that they are differentiated on a product-market basis.

Pioneered in the aerospace industry, the matrix structure was developed to combine the stability of the functional structure with the flexibility of the product form. The matrix structure is very useful when the external environment (especially its technological and market aspects) is very complex and changeable. It does, however, produce conflicts revolving around duties, authority, and resource allocation. To the extent that the goals to be achieved are vague and the technology used is poorly understood, a continuous battle for power between product and functional managers is likely. The matrix structure is often found in an organization or SBU when the following three conditions exist:

- ⇒ Ideas need to be cross-fertilized across projects or products.
- ⇒ Resources are scarce.

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- 8-4. Explain how matrix, network and modular structures are used to implement strategy

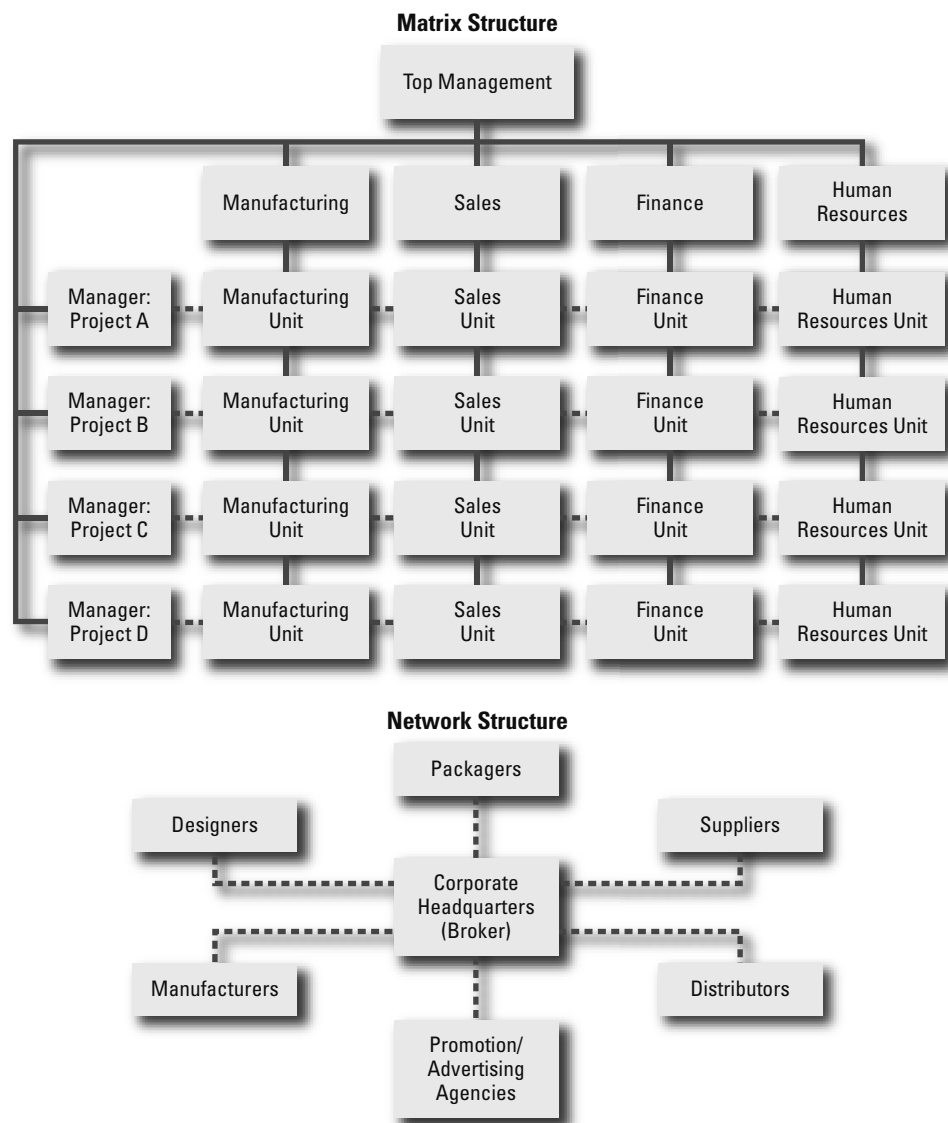


Figure 8.1 Matrix and Network Structures

⇒ Abilities to process information and to make decisions need to be improved.

Davis and Lawrence, authorities on the matrix form of organization, propose that *three distinct phases* exist in the development of the matrix structure:

⇒ *Temporary cross-functional task forces*: These are initially used when a new product line is being introduced. A project manager is in charge as the key horizontal link. J&J's experience with cross-functional teams in its drug group led it to emphasize teams crossing multiple units.

⇒ *Product/brand management*: If the cross-functional task forces become more permanent, the project manager becomes

a product or brand manager and a second phase begins. In this arrangement, function is still the primary organizational structure, but product or brand managers act as the integrators of semipermanent products or brands. Considered by many a key to the success of P&G, brand management has been widely imitated by other consumer products firms around the world.

⇒ *Mature matrix*: The third and final phase of matrix development involves a true dual-authority structure. Both the functional and product structures are permanent. All employees are connected to both a vertical functional superior and a horizontal product manager. Functional and product managers have equal authority and must work well together to resolve disagreements over resources and priorities. Vodafone, British American Tobacco, Boeing, and Philips are examples of companies that use a mature matrix.

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8.4.2 Network Structure—The Virtual Organization

A somewhat more radical organizational design, the **network structure** (see **Figure 8–1**) is an example of what could be termed a “non-structure” because of its virtual elimination of in-house business functions. Many activities are outsourced. A corporation organized in this manner is often called a **virtual organization** because it is composed of a series of project groups or collaborations linked by constantly changing nonhierarchical, cobweb-like electronic networks.

The network structure has been enabled by the rapid development of Internet-based tools that allow collaboration without physical presence. Rather than satisfying a company’s needs with locally available people (or paying to relocate people) more and more companies utilize a network structure to get the best and brightest. This structure is also quite useful when the environment of a firm is unstable and is expected to remain so. Under such conditions, there is usually a strong need for innovation and quick response. Instead of having salaried employees, the company may contract with people for a specific project or length of time. Long-term contracts with suppliers and distributors replace services that the company could provide for itself through vertical integration. Electronic markets and sophisticated information systems reduce the transaction costs of the marketplace, thus justifying a “buy” over a “make” decision. Rather than being located in a single building or area, the organization’s business functions are scattered worldwide. The organization is, in effect, only a shell, with a small headquarters acting as a “broker,” electronically connected to some completely owned divisions, partially owned subsidiaries, and other independent companies. In its purist form, a network organization is a series of independent firms or business units linked together by computers in an information system that designs, produces, and markets a product or service.

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GLOBAL ISSUE

OUTSOURCING COMES FULL CIRCLE

What happens when international companies who have developed their business model on cheaper labor in remote countries have to hire employees back in the originating country because the work demands local labor? That is exactly what is happening to many Indian firms who established their businesses as U.S. companies were seeking highly skilled, well-educated employees who worked for one-tenth the wage of U.S. workers. This was the classic cost-cutting model of the past two decades and no area on earth benefited as much as India. By 2011, U.S. companies were spending just shy of US\$28 billion on outsourcing.

The mood of the United States swung during the recession of 2009–2011 and the country instituted tough new regulations limiting the number of foreign nationals who could work in the United States. This effort coincided with a wave of companies trying to pitch speed, local knowledge, and U.S. employment growth as competitive factors in their business.

Bangalore-based Infosys acquired Marsh Consumer BPO and its 87 employees based in Des Moines, Iowa, and the gigantic Cognizant Technology Solutions, which, while based in New Jersey, has most of its 145,000 employees in India, and acquired centers in Iowa and North Dakota employing almost 1000 employees. The complexity of managing the workforces and catering to clients that simultaneously want cost controls, efficient work, and local expertise can be daunting. By 2015 the outsourced workforce in India was approaching 1.5 million.

Indian outsourcing companies moved to an adaptive model where they kept offices and operations in the home countries of their clients all around the world. This provided not only for better communication, but allowed for rapid response operations in addition to low-cost development.

SOURCES: E. Haaramo, "Indian outsourcing is booming in the Nordic countries," *Computer Weekly*, April 9, 2015 (computerweekly.com/news/4500244037/indian-outsourcing-is-booming-in-the-nordic-countries); "Indian Companies Seek a Passage to America," *Bloomberg Businessweek* (October 29, 2012), pp. 26–27; D. Thoppil, "Indian Outsourcing Firms Hire in the U.S.," *The Wall Street Journal* (August 7, 2012); <http://online.wsj.com/article/SB10000872396390443517104577572930208453186.html>

Developments in information technology are changing the way business is being done internationally. See the **Global Issue** feature to learn about the latest issue related to international outsourcing of IT.

Entrepreneurial ventures often start out as network organizations. For example, Randy and Nicole Wilburn of Dorchester, Massachusetts, ran real estate, consulting, design, and baby food companies out of their home. Nicole, a stay-at-home mom and graphic designer, farmed out design work to freelancers and cooked her own line of organic baby food. For US\$300, an Indian artist designed the logo for Nicole's "Baby Fresh Organic Baby Foods." A London freelancer wrote promotional materials. Instead of hiring a secretary, Randy hired "virtual assistants" in Jerusalem to transcribe voicemail, update his Web site, and design PowerPoint graphics. Retired brokers in Virginia and Michigan deal with his real estate paperwork.

Large companies such as Nike, Reebok, and Benetton use the network structure in their operations function by subcontracting (outsourcing) manufacturing to other companies in low-cost locations around the world. For control purposes, the Italian-based Benetton maintains what it calls an "umbilical cord" by assuring production planning for all its subcontractors, planning materials requirements for them, and providing them with bills of labor and standard prices and costs, as well as technical assistance to make sure their quality is up to Benetton's standards.

The network organizational structure provides an organization with increased flexibility and adaptability to cope with rapid technological change and shifting patterns of international trade and competition. It allows a company to concentrate on its distinctive competencies, while gathering efficiencies from other firms that are concentrating their efforts in their areas of expertise. The network does, however, have disadvantages. Some believe that the network is really only a transitional structure because it is inherently unstable and subject to tensions. The availability of numerous potential partners can be a source of trouble. Contracting out individual activities to separate suppliers/distributors may keep the firm from discovering any internal synergies by combining these activities. If a particular firm overspecializes on only a few functions, it runs the risk of choosing the wrong functions and thus becoming noncompetitive.

8.4.3 Cellular/Modular Organization: A New Type of Structure?

Some authorities in the field propose that the evolution of organizational forms is leading from the matrix and the network to the cellular (also called modular) organizational form. According to Miles and Snow et al., "a **cellular/modular organization** is composed of cells (self-managing teams, autonomous business units, etc.) which can operate alone but which can interact with other cells to produce a more potent and competent business mechanism." This combination of independence and interdependence allows the cellular/modular organizational form to generate and

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- 8-5. Discuss the issues related to centralization versus decentralization in structuring organizations

share the knowledge and expertise needed to produce continuous innovation. The cellular/modular form includes the dispersed entrepreneurship of the divisional structure, customer responsiveness of the matrix, and self-organizing knowledge and asset sharing of the network. Bombardier, for example, broke up the design of its Continental business jet into 12 parts provided by internal divisions and external contractors. The cockpit, center, and forward fuselage were produced in-house, but other major parts were supplied by manufacturers spread around the globe. The cellular/modular structure is used when it is possible to break up a company's products into self-contained modules or cells and when interfaces can be specified such that the cells/modules work when they are joined together. The cellular/modular structure is similar to a current trend in industry of using internal joint ventures to temporarily combine specialized expertise and skills within a corporation to accomplish a task which individual units alone could not accomplish.

The impetus for such a new structure is the pressure for a continuous process of innovation in all industries. Each cell/module has an entrepreneurial responsibility to the larger organization. Beyond knowledge creation and sharing, the cellular/modular form adds value by keeping the firm's total knowledge assets more fully in use than any other type of structure. It is beginning to appear in firms that are focused on rapid product and service innovation—providing unique or state-of-the-art offerings in industries such as automobile manufacture, bicycle production, consumer electronics, household appliances, power tools, computing products, and software.

8.5 REENGINEERING AND STRATEGY IMPLEMENTATION

Reengineering is the radical redesign of business processes to achieve major gains in cost, service, or time. It is not in itself a type of structure, but it is an effective program to implement a turnaround strategy.

Business process reengineering strives to break away from the old rules and procedures that develop and become ingrained in every organization over the years. They may be a combination of policies, rules, and procedures that have never been seriously questioned because they were established years earlier. These may range from "Credit decisions are made by the credit department" to "Local inventory is needed for good customer service." These rules of organization and work design may have been based on assumptions about technology, people, and organizational goals that may no longer be relevant. Rather than attempting to fix existing problems through minor adjustments and the fine-tuning of existing processes, the key to reengineering is asking "If this were a new company, how would we run this place?"

Michael Hammer, who popularized the concept of reengineering, suggests the following principles for reengineering:

- ⇒ *Organize around outcomes, not tasks:* Design a person's or a department's job around an objective or outcome instead of a single task or series of tasks.
- ⇒ *Have those who use the output of the process perform the process:* With computer-based information systems, processes can now be reengineered so that the people who need the result of the process can do it themselves.
- ⇒ *Subsume information-processing work into the real work that produces the information:* People or departments that produce information can also process it for use instead of just sending raw data to others in the organization to interpret.
- ⇒ *Treat geographically dispersed resources as though they were centralized:* With modern information systems, companies can provide flexible service locally while keeping the actual resources in a centralized location for coordination purposes.
- ⇒ *Link parallel activities instead of integrating their results:* Instead of having separate units perform different activities that must eventually come together, have them communicate while they work so they can do the integrating.
- ⇒ *Put the decision point where the work is performed and build control into the process:* The people who do the work should make the decisions and be self-controlling.
- ⇒ *Capture information once and at the source:* Instead of having each unit develop its own database and information processing activities, the information can be put on a network so all can access it.

Studies of the performance of reengineering programs show mixed results. Several companies have had success with business process reengineering. For example, the Mossville Engine Center, a business unit of Caterpillar Inc., used reengineering to decrease process cycle times by 50%, reduce the number of process steps by 45%, reduce human effort by 8%, and improve cross-divisional interactions and overall employee decision making.

One study of North American financial firms found that “the average reengineering project took 15 months, consumed 66 person-months of effort, and delivered cost savings of 24%.” In a survey of 782 corporations using reengineering, 75% of the executives said their companies had succeeded in reducing operating expenses and increasing productivity. A study of 134 large and small Canadian companies found that reengineering programs resulted in (1) an increase in productivity and product quality, (2) cost reductions, and (3) an increase in overall organization quality, for both large and small firms. Other studies report, however, that anywhere from 50% to 70% of reengineering programs fail to achieve their objectives. Reengineering thus appears to be more useful for redesigning specific processes like order entry, than for changing an entire organization.

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8.5.1 Six Sigma

Originally conceived by Motorola as a quality improvement program in the mid-1980s, Six Sigma has become a cost-saving program for all types of manufacturers. Briefly, **Six Sigma** is an analytical method for achieving near-perfect results on a production line. Although the emphasis is on reducing product variance in order to boost quality and efficiency, it is increasingly being applied to accounts receivable, sales, and R&D. In statistics, the Greek letter *sigma* denotes variation in the standard bell-shaped curve. One sigma equals 690,000 defects per 1 million. Most companies are able to achieve only three sigma, or 66,000 defects per million. Six Sigma reduces the defects to only 3.4 defects per million—thus saving money by preventing waste. The process of Six Sigma encompasses five steps.

1. *Define* a process where results are poorer than average.
2. *Measure* the process to determine exact current performance.
3. *Analyze* the information to pinpoint where things are going wrong.
4. *Improve* the process and eliminate the error.
5. *Establish* controls to prevent future defects from occurring.

Savings attributed to Six Sigma programs have ranged from 1.2% to 4.5% of annual revenue for a number of Fortune 500 firms. Firms that have successfully employed Six Sigma include General Electric, Allied Signal, ABB, and Ford Motor Company. Fifty-three percent of the Fortune 500 companies now have a Six Sigma program in place and more than 83% of the Fortune 100 have it in place despite its manufacturing origins. At Dow Chemical, each Six Sigma project has resulted in cost savings of US\$500,000 in the first year. According to Jack Welch, GE's past CEO, Six Sigma is an appropriate change program for the entire organization. Six Sigma experts at 3M have been able to speed up R&D and analyze why its top salespeople sold more than others. A disadvantage of the program is that training costs in the beginning may outweigh any savings. The expense of compiling and analyzing data, especially in areas where a process cannot be easily standardized, may exceed what is saved. Another disadvantage is that Six Sigma can lead to less-risky incremental innovation based on previous work than on riskier "blue-sky" projects.

The newer version of this is called *Lean Six Sigma* and as we pointed out earlier, it is becoming increasingly popular in companies. This program incorporates the statistical approach of Six Sigma with the lean manufacturing program originally developed by Toyota. Like reengineering, it includes the removal of unnecessary steps in any process and fixing those that remain. This is the 'lean' addition to Six Sigma. The U.S. Navy has employed Lean Six Sigma with a wide variety of efforts with spectacular success. One group eliminated more than 580,000 documents in the recruiting process

while another group reduced 118 man hours from the candidate tracking system used by the Navy.

8.5.2 Designing Jobs to Implement Strategy

Organizing a company's activities and people to implement strategy involves more than simply redesigning a corporation's overall structure; it also involves redesigning the way jobs are done. With the increasing emphasis on reengineering, many companies are beginning to rethink their work processes with an eye toward phasing unnecessary people and activities out of the process. Process steps that have traditionally been performed sequentially can be improved by performing them concurrently using cross-functional work teams. Harley-Davidson managed to reduce total plant employment by 25% while reducing by 50% the time needed to build a motorcycle. Restructuring through needing fewer people requires broadening the scope of jobs and encouraging teamwork. The design of jobs and subsequent job performance are, therefore, increasingly being considered as sources of competitive advantage.

Job design refers to the study of individual tasks in an attempt to make them more relevant to the company and to the employee(s). To minimize some of the adverse consequences of task specialization, corporations have turned to new job design techniques: *job enlargement* (combining tasks to give a worker more of the same type of duties to perform), *job rotation* (moving workers through several jobs to increase variety), *job characteristics* (using task characteristics to improve employee motivation), and *job enrichment* (altering the jobs by giving the worker more autonomy and control over activities). Although each of these methods has its adherents, no one method seems to work in all situations.

A good example of modern job design is the introduction of team-based production by the glass manufacturer Corning Inc., in its Blacksburg, Virginia, plant. With union approval, Corning reduced job classifications from 47 to 4 to enable production workers to rotate jobs after learning new skills. The workers were divided into 14-member teams that, in effect, managed themselves. The plant had only two levels of management: The Plant Manager and two line leaders who only advised the teams. Employees worked very demanding 12 ½-hour shifts, alternating three-day and four-day weeks. The teams made managerial decisions, imposed discipline on fellow workers, and were required to learn three “skill modules” within two years or else lose their jobs. As a result of this new job design, a Blacksburg team, made up of workers with interchangeable skills, can retool a line to produce a different type of filter in only 10 minutes—six times faster than workers in a traditionally designed filter plant. The Blacksburg plant earned a US\$2 million profit in its first eight

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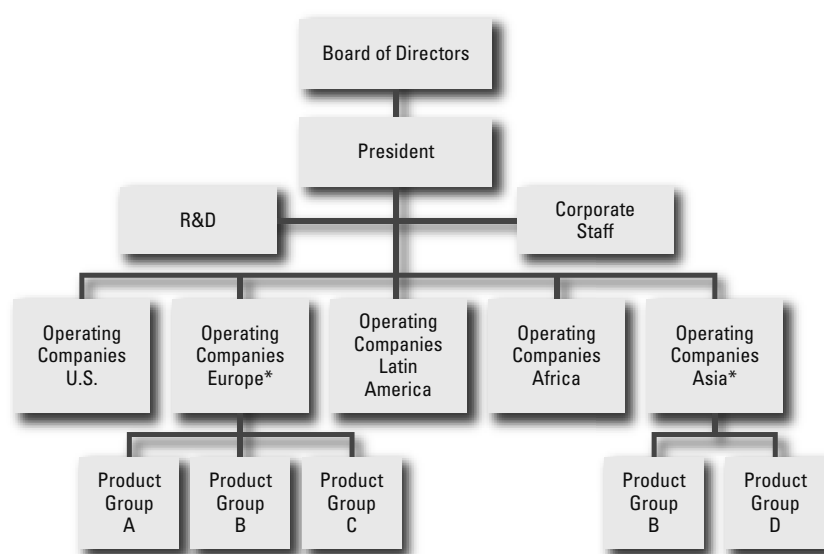
NOTES

months of production instead of losing the US\$2.3 million projected for the startup period. The plant performed so well that Corning's top management acted to convert the company's 27 other factories to team-based production.

8.5.3 Centralization Versus Decentralization

A basic dilemma an MNC faces is how to organize authority centrally so it operates as a vast interlocking system that achieves synergy and at the same time decentralize authority so that local managers can make the decisions necessary to meet the demands of the local market or host government. To deal with this problem, MNCs tend to structure themselves either along product groups or geographic areas. They may even combine both in a matrix structure—the design chosen by 3M Corporation, Philips, and Asea Brown Boveri (ABB), among others. One side of 3M's matrix represents the company's product divisions; the other side includes the company's international country and regional subsidiaries.

Two examples of the usual international structure are Nestlé and American Cyanamid. Nestlé's structure is one in which significant power and authority have been decentralized to geographic entities. This structure is similar to that depicted in **Figure 8-2**, in which each geographic set of operating companies has a different group of products. In contrast, American Cyanamid has a series of centralized product groups with worldwide responsibilities. To depict Cyanamid's structure, the geographical entities in **Figure 8-2** would have to be replaced by product groups or SBUs.



*NOTE: Because of space limitations, product groups for only Europe and Asia are shown here.

Figure 8.2 Geographic Area Structure for an MNC

The **product-group structure** of American Cyanamid enables the company to introduce and manage a similar line of products around the world. This enables the corporation to centralize decision making along product lines and to reduce costs. The **geographic-area structure** of Nestlé, in contrast, allows the company to tailor products to regional differences and to achieve regional coordination. For instance, Nestlé markets 200 different varieties of its instant coffee, Nescafé. The geographic-area structure decentralizes decision making to the local subsidiaries.

As industries move from being multidomestic to being more globally integrated, MNCs are increasingly switching from the geographic-area to the product-group structure. Nestlé, for example, found that its decentralized area structure had become increasingly inefficient. As a result, operating margins at Nestlé have trailed those at rivals Unilever, Group Danone, and Kraft Foods by as much as 50%. Then CEO Peter Brabeck-Letmathe acted to eliminate country-by-country responsibilities for many functions. In one instance, he established five centers worldwide to handle most coffee and cocoa purchasing.

Simultaneous pressures for decentralization to be locally responsive and centralization to be maximally efficient are causing interesting structural adjustments in most large corporations. This is what is meant by the phrase “think globally, act locally.” Companies are attempting to decentralize those operations that are culturally oriented and closest to the customers—manufacturing, marketing, and human resources. At the same time, the companies are consolidating less visible internal functions, such as research and development, finance, and information systems, where there can be significant economies of scale.

McKinsey’s 7S Framework is a management model introduced by the consulting firm McKinsey & Company during the late 1970s. This model is crafted to facilitate organizational analysis and alignment of internal components to enhance strategy execution. Comprising seven interconnected elements, the framework aids in comprehensively shaping an organization’s capability to implement its strategy successfully. These elements encompass Strategy, Structure, Systems, Shared Values, Skills, Style, and Staff.

1. Strategy:

Central to McKinsey’s 7S Framework is the strategic element, delineating the organization’s blueprint for achieving its objectives. This entails decisions concerning resource allocation, market positioning, and approaches to securing a competitive edge. Strategy serves as the linchpin that harmonizes and influences the remaining elements.

2. Structure:

The structural facet addresses organizational design and hierarchy, encompassing the delineation and distribution of tasks,

N O T E S

roles, and responsibilities. A well-aligned structure is imperative to support the strategy and ensure appropriate personnel placement for effective strategy execution.

3. Systems:

Systems encompass the processes and procedures governing internal operations, spanning formal and informal mechanisms such as communication channels, decision-making protocols, and performance evaluation systems. Alignment with the overarching strategy is pivotal for system efficacy in realizing desired outcomes.

4. Shared Values:

Termed as “Superordinate Goals,” shared values embody the collective beliefs and guiding tenets that unify the organization. These values underpin organizational culture, guiding decision-making and behavior. Synchronization of shared values with the strategy is vital for organizational coherence and commitment.

5. Skills:

The skills dimension concentrates on the competencies requisite for executing the organizational strategy, spanning technical, managerial, and interpersonal proficiencies of the workforce. Identification and cultivation of requisite skills are indispensable to facilitate effective strategy implementation.

6. Style:

Style denotes the leadership and management ethos prevalent within the organization, encompassing leadership approaches, managerial philosophies, and organizational culture. Alignment with the strategy cultivates an environment conducive to successful execution.

7. Staff:

The staff component pertains to human resource considerations, encompassing recruitment, training, and development endeavors. Ensuring alignment between staffing decisions and strategic objectives is essential for successful strategy implementation.

A few examples can be, Apple, Toyota, Starbucks

Apple (Technology Company):

Strategy: Become the leading provider of user-friendly and innovative technology products.

Structure: Maintain a centralized decision-making structure while fostering collaboration across different product lines.

Skills: Focus on design thinking, engineering excellence, and software development capabilities.

Shared Values: Cultivate a culture of simplicity, innovation, and customer focus.

Systems: Utilize efficient supply chain management and proprietary software platforms for product development and manufacturing.

Style: Maintain a secretive and data-driven leadership style with a focus on product perfection.

Staff: Attract and retain top talent in design, engineering, and marketing with a passion for innovation.

McKinsey's 7S Framework derives strength from its holistic approach to organizational effectiveness, elucidating the interconnectedness of its elements. This dynamic model recognizes the potential ripple effects of changes within one element across the organization, necessitating a cohesive and integrated management approach.

Effective utilization of McKinsey's 7S Framework entails collective assessment and adjustment of its seven elements. Organizations are prompted to critically evaluate their status quo and make informed decisions to ensure alignment with the chosen strategy. Particularly valuable during periods of transition, such as mergers, acquisitions, or market shifts, the framework facilitates navigation of complexities and attainment of synergy across operational dimensions.

In summary, McKinsey's 7S Framework furnishes a systematic and interrelated methodology for analyzing and aligning organizational elements. Addressing Strategy, Structure, Systems, Shared Values, Skills, Style, and Staff holistically, the framework furnishes a comprehensive lens to guide strategy implementation effectively. Organizations leveraging this model gain insights into their internal dynamics, fostering coherence and adaptability amidst strategic challenges and transformations.

NOTES

8.6 SUMMARY

Strategy implementation is where “the rubber hits the road.” Environmental scanning and strategy formulation are crucial to strategic management but are only the beginning of the process. The failure to carry a strategic plan into the day-to-day operations of the workplace is a major reason why strategic planning often fails to achieve its objectives. It is discouraging to note that in one study nearly 70% of the strategic plans were never successfully implemented.

For a strategy to be successfully implemented, it must be made action-oriented. This is done through a series of programs that are funded through specific budgets and contain new detailed procedures. This is what Sergio Marchionne did when he implemented a turnaround strategy as the new Fiat Group CEO in 2004. He attacked the lethargic, bureaucratic system by flattening Fiat’s structure and giving younger managers a larger amount of authority and responsibility. He

and other managers worked to reduce the number of auto platforms from 19 to 6 by 2012. The time from the completion of the design process to new car production was cut from 26 to 18 months. By 2008, the Fiat auto unit was again profitable. Marchionne reintroduced Fiat to the U.S. market in 2012 after a 27-year absence. Unfortunately, Fiat struggled to gain any traction in the U.S. market. Despite a strong marketing campaign and a number of cars designed specifically for the market, by 2016 sales had stalled at 44,000 cars a year. The company has remained strongly profitable and even acquired 100% of Chrysler in 2014.

This chapter explains how jobs and organizational units can be designed to support a change in strategy. We will continue with staffing and directing issues in strategy implementation in the next chapter.

8.7 KEY TERM

budget (p. 242)
cellular/modular organization (p. 254)
first mover (p. 239)
geographic-area structure (p. 258)
job design (p. 257)
late movers (p. 239)
market location tactic (p. 239)
matrix structures (p. 251)
network structure (p. 252)
organizational life cycle (p. 249)
procedures (p. 242)

product-group structure (p. 258)
program (p. 238)
reengineering (p. 255)
Six Sigma (p. 257)
stages of corporate development (p. 246)
strategy implementation (p. 236)
structure follows strategy (p. 244)
synergy (p. 242)
timing tactic (p. 239)
virtual organization (p. 252)

8.8 REVIEW QUESTIONS

- 8-1. How should a corporation attempt to achieve synergy among functions and business units?
- 8-2. How should an owner-manager prepare a company for its movement from Stage I to Stage II?
- 8-3. How can a corporation keep from sliding into the Decline stage of the organizational life cycle?
- 8-4. Is reengineering just another management fad, or does it offer something of lasting value?
- 8-5. How is the cellular/modular structure different from the network structure?
- 8-6. Discuss in detail the stages of strategy implementation. What are the factors which influence the strategy implementation process?

- 8-7. Discuss in detail the process of developing programs, budgets and procedures to implement strategic change.
- 8-8. Highlight the different types of tactics. Why is it important to understand different types of tactics?
- 8-9. “Structure follows strategy.” Do you agree or disagree with the statement? Support your answer.
- 8-10. What do you understand by synergy? What are the six forms that synergy can take? Give examples.
- 8-11. Discuss different stages of corporate development.
- 8-12. What does an organization lifecycle mean? How is it different from stages of corporate development?

8.9 STRATEGIC PRACTICE EXERCISE

The Synergy Game

Yolanda Sarason and Catherine Banbury

Setup

Put three to five chairs on either side of a room, facing each other, in the front of the class. Put a table in the middle, with a bell in the middle of the table.

Procedure

The instructor/moderator divides the class into teams of three to five people. Each team selects a name for itself. The instructor/moderator lists the team names on the board. The first two teams come to the front and sit in the chairs facing each other. The instructor/moderator reads a list of products or services being provided by an actual company. The winning team must identify (1) possible sources of synergy and (2) the actual company being described. For example, if the products/services listed are family restaurants, airline catering, hotels, and retirement centers, the synergy is **standardized food service and hospitality settings** and the company is **The Marriott Corporation**. The first team to

successfully name the company *and* the synergy wins the round.

After one practice session, the game begins. Each of the teams is free to discuss the question with other team members. When one of the two teams thinks it has the answer to both parts of the question, it must be the first to ring the bell in order to announce its answer. If it gives the correct answer, it is deemed the winner of round one. Both parts of the answer must be given for a team to have the correct answer. If a team correctly provides only one part, that answer is still wrong—there is no partial credit. The instructor/moderator does not say which part of the answer, if either, was correct. The second team then has the opportunity to state the answer. If the second team is wrong, both teams may try once more. If neither chooses to try again, the instructor/moderator may (1) declare no round winner and both teams sit down, (2) allow the next two teams to provide the answer to round one, or (3) go on to the next round with the same two teams. Two new teams then come to the front for the next round. Once all groups have played once, the winning teams play each other. Rounds continue until there is a grand champion. The instructor should provide a suitable prize, such as candy bars, for the winning team.

SOURCE: This exercise was developed by Professors Yolanda Sarason of Colorado State University and Catherine Banbury of St. Mary's College and Purdue University and presented at the Organizational Behavior Teaching Conference, June 1999. Copyright © 1999 by Yolanda Sarason and Catherine Banbury. Adapted with permission.

Note from Wheelen, Hunger, Hoffman, and Bamford

The *Instructors' Manual* for this book contains a list of products and services with their synergy and the name of the company. In case your instructor does not use this exercise, try the following examples:

Example 1: Motorcycles, autos, lawn mowers, generators

Example 2: Athletic footwear, Rockport shoes, Greg Norman clothing, sportswear

For each example, did you guess the company providing these products/services and the synergy obtained?

Example 1: Engine technology by Honda

Example 2: Marketing and distribution for the athletically oriented by Reebok

8.10 MULTIPLE-CHOICE QUESTIONS

- 8-1. The sum total of the activities and choices required for the execution of a strategic plan is known as
 - A. strategic formulation.
 - B. environmental scanning.
 - C. strategy implementation.
 - D. evaluation and control.
 - E. strategic development.
- 8-2. Which statement below is not true of strategy implementation?
 - A. It is the process by which strategies and policies are put into action through the development of programs/tactics, budgets, and procedures.
 - B. Implementation is often considered after strategy has been formulated.
 - C. Strategy implementation is the sum total of the activities and choices required for the execution of a strategic plan.
 - D. Strategy implementation should be kept separate and distinct from that of strategic management.
 - E. Strategy formulation and strategy implementation are two sides of the same coin.
- 8-3. A survey of 93 Fortune 500 firms found ten major problems that over half of the group experienced when they attempted to implement a strategic change. Which of the following is not one of the implementation problems?
 - A. ineffective coordination of activities
 - B. uncontrollable external environmental factors
 - C. time allocated for implementation was adequate, but was used inappropriately
 - D. poor definition of key implementation tasks and activities
 - E. crises that distracted attention away from implementation

- 8-4.** Who typically implements strategy in large, multi-industry corporations?
A. the board of directors
B. top management
C. middle management
D. first level management
E. everyone in the organization
- 8-5.** It is advisable to have management from all levels participate in the strategy formulation process
A. because it is a legal requirement.
B. because collective bargaining agreements often mandate worker participation.
C. to gain an insight as to what work needs to be done and to gain cooperation in the implementation of the strategy.
D. because it is part of their job responsibilities to provide input regarding their respective area of expertise.
E. because it helps boost the self-image and ego of all managers to be asked for advice.
- 8-6.** The term used in strategic implementation that describes a statement of activities or steps needed to accomplish a plan and whose use is to make the strategy action-oriented is
A. a program.
B. a guideline.
C. a budget.
D. a course of action.
E. a procedure.
- 8-7.** The innovative bottle design of Ecologic Brands was influenced by a pulp tray used to ship
A. soda.
B. iPhones.
C. beer.
D. yogurt.
E. reusable totes.
- 8-8.** The term used in strategic implementation that describes a system of sequential steps or techniques that describe in detail how a particular task or job is to be done is
A. a program.
B. a guideline.
C. a budget.
D. a course of action.
E. a procedure.
- 8-9.** When the return on investment for each division of a corporation is greater than what the return would be if each division were an independent business, that corporation is said to have achieved
A. synergy.
B. a leveraged buyout.
C. its hurdle rate.
D. the status of a true conglomerate.
E. Stage III.
- 8-10.** Which form of synergy was demonstrated when P&G purchased Gillette to combine P&G's knowledge of the female consumer with Gillette's knowledge of the male consumer?
A. shared tangible resources
B. shared know-how
C. coordinated strategies
D. economies of scale
E. new business creation

Answer Keys: 8-1. C 8-2. D 8-3. C 8-4. E 8-5. C 8-6. A 8-7. B 8-8. E 8-9. A 8-10. B

9

CHAPTER

STRATEGY IMPLEMENTATION: STAFFING AND DIRECTING

- 9.1 Staffing
 - 9.1.1 Staffing Follows Strategy
 - 9.1.2 Selection and Management Development
 - 9.1.3 Problems in Retrenchment
- 9.2 Leading
 - 9.2.1 Managing Corporate Culture
- 9.3 Action Planning
 - 9.3.1 Management by Objectives
 - 9.3.2 Total Quality Management
- 9.4 Summary
- 9.5 Key Term
- 9.6 Review Questions
- 9.7 Strategic Practice Exercise
- 9.8 Multiple-choice Questions

NOTES

INDIAN WORKERS STRIKE: STAFFING ISSUES IN STRATEGIC MANAGEMENT



The year 2016, was the 25th anniversary of India's globalization strategy since India publicly announced its integration into the world market in 1991. It was in this year itself i.e., in early September 2016, that India experienced a nationwide strike by tens of millions of Indian public sector workers. The strike was hailed by union officials as "the world's largest ever" industrial action and it is estimated that the cost of the strike to the economy was around ₹ 180 bn. The workers were agitating against Prime Minister Narendra Modi's economic policy and his rise to push for greater privatization. The government said that the reforms were needed to boost the economic growth rate. The 180 million agitating workers which included state bank employees, school teachers, postal workers, minors and construction workers were demanding changes in labor laws including establishing the \$270 monthly minimum wage for unskilled laborers and insurance and social security for every worker.

India has about 1.2 billion people, or 17.5% of the world's population and a workforce of 500 million people and according to The Guardian fewer than 4% of workers "come under labor protection" and that "private employers who wish to discourage any kind of unionisation are being actively encouraged by the central government". The strike was a case illustration of the extent to which globalization strategy adopted by the nation had shaped Indian class struggle and politics. It is also the case for the staffing and directing issues that a strategic manager needs to deal with while implementing a strategy.

This chapter discusses strategy implementation in terms of staffing and leading. **Staffing** focuses on the selection and use of employees. **Leading** emphasizes the use of programs to better align employee interests and attitudes with a new strategy.

9-1. Explain the link between strategy and staffing decisions

9.1 STAFFING

The implementation of new strategies and policies often calls for new human resource management priorities and a different use of personnel. Such staffing issues can involve hiring new people with new skills, firing people with inappropriate or substandard skills, and/or training existing employees to learn new skills. Research demonstrates that companies with enlightened talent-management policies and programs have higher returns on sales, investments, assets, and equity. This is especially important given that the average time it takes to fill a position in India is 42 days with an average

employee tenure of 8 years and the average cost-per-hire is \$4129 according to SHRM's (Society for Human Resource Management) Human Capital Benchmarking report.

Many companies realized this cost and started implementing talent acquisition and management strategies. Aditya Birla Group (ABG) is a \$41 billion (₹2,50,000 crore) corporation, an Indian company that is considered to be in the league of *Fortune 500* companies, which has proactively implemented talent management strategies. It has an extraordinary force of 120,000 employees, belonging to 42 nationalities. The company has an exhaustive talent management process in line with its belief that talent is 'omnipresent'. The main objective of talent management program at ABG is to institutionalize a set of core talent management processes; to provide a common standard by which to assess talent; and to establish common minimum standards for attracting, identifying, and developing talent company-wide. Other companies like Infosys and Wipro are all taking steps in this direction. In pharmaceutical industry, too, companies are clearly looking at more stable methods of finding and retaining talent.

If growth strategies are to be implemented, new people may need to be hired and trained. Experienced people with the necessary skills need to be found for promotion to newly created managerial positions. When a corporation follows a growth through acquisition strategy, it may find that it needs to replace several managers in the acquired company. The percentage of an acquired company's top management team that either quit or is asked to leave is around 25% after the first year, 35% after the second year, 48% after the third year, 55% after the fourth year, and 61% after five years. In addition, executives who join an acquired company after the acquisition quit at significantly higher-than-normal rates beginning in their second year. Executives continue to depart at higher-than-normal rates for nine years after the acquisition. Turnover rates of executives in firms acquired by foreign firms are significantly higher than for firms acquired by domestic firms, primarily in the fourth and fifth years after the acquisition.

It is one thing to lose excess employees after a merger, but it is something else to lose highly skilled people who are difficult to replace. In a study of 40 mergers, 90% of the acquiring companies in the 15 successful mergers identified key employees and targeted them for retention within 30 days after the announcement. In contrast, this task was carried out only in one-third of the unsuccessful acquisitions. To deal with integration issues such as these, some companies are appointing special **integration managers** to shepherd companies through the implementation process. The job of the integrator is to prepare a competitive profile of the combined company in terms of its strengths and weaknesses, draft an ideal profile of what the combined company should look like, develop action plans to close the gap between the actuality and the ideal,

NOTES

NOTES

and establish training programs to unite the combined company and make it more competitive. To be a successful integration manager, a person should have (1) a deep knowledge of the acquiring company, (2) a flexible management style, (3) an ability to work in cross-functional project teams, (4) a willingness to work independently, and (5) sufficient emotional and cultural intelligence to work well with people from all backgrounds.

If a corporation adopts a retrenchment strategy, however, a large number of people may need to be laid off or fired (in many instances, being laid off is the same as being fired)—and top management, as well as the divisional managers, needs to specify the criteria to be used in making these personnel decisions. Should employees be fired on the basis of low seniority or on the basis of poor performance? Sometimes corporations find it easier to close or sell off an entire division than to choose which individuals to fire.

9.1.1 Staffing Follows Strategy

As in the case of structure, staffing requirements should follow a change in strategy. For example, promotions should be based not only on current job performance but also on whether a person has the skills and abilities to do what is needed to implement the new strategy.

Changing Hiring and Training Requirements

Having formulated a new strategy, a corporation may find that it needs to either hire different people or retrain current employees to implement the new strategy. Consider the introduction of team-based production at Corning's filter plant. Employee selection and training were crucial to the success of the new manufacturing strategy. The plant manager sorted through 8,000 job applications before hiring 150 people with the best problem-solving abilities and a willingness to work in a team setting. Those selected received extensive training in technical and interpersonal skills. During the first year of production, 25% of all hours worked were devoted to training, at a cost of US\$750,000.

One way to implement a company's business strategy, such as overall low cost, is through training and development. Unfortunately in India, the corporate training market is smaller than that of the USA and is estimated that Indian companies spend only 1–2% of employee costs on corporate training and a total outlay of less than \$1 billion. Even though the Indian corporate training industry is run by low corporate training budgets and a significant focus is only on entry-level skills training, it is generally well understood that training is important for a differentiation strategy emphasizing quality or customer service. At innovative online retailer Zappos, the whole company strategy is built around extraordinary customer service. Employees are screened and then

screened again. At the end of each new employee training session, Zappos offers new employees US\$2,000 to quit. The company has found that less than 2% accept that offer each year. They are not interested in employees that are simply there to get a paycheck. Training lasts seven weeks and there are tests along the way. A trainee has to graduate to be an employee. Training is also important when implementing a retrenchment strategy. As suggested earlier, successful downsizing means that a company has to invest in its remaining employees. General Electric's Aircraft Engine Group used training to maintain its share of the market even though it had cut its workforce from 42,000 to 33,000 in the 1990s.

Matching the Manager to the Strategy

Executive characteristics influence strategic outcomes for a corporation. It is possible that a current CEO may not be appropriate to implement a new strategy. Research indicates that there may be a career life cycle for top executives. During the early years of executives' tenure, for example, they tend to experiment intensively with product lines to learn about their business. This is their learning stage. Later, their accumulated knowledge allows them to reduce experimentation and increase performance. This is their harvest stage. They enter a decline stage in their later years, when they reduce experimentation still further, and performance declines. Thus, there is an inverted U-shaped relationship between top executive tenure and the firm's financial performance. Some executives retire before any decline occurs. Others stave off decline longer than their counterparts. Because the length of time spent in each stage varies among CEOs, it is up to the board to decide when a top executive should be replaced.

The most appropriate type of general manager needed to effectively implement a new corporate or business strategy depends on the desired strategic direction of that firm or business unit. Executives with a particular mix of skills and experiences may be classified as an **executive type** and paired with a specific corporate strategy. For example, a corporation following a concentration strategy emphasizing vertical or horizontal growth would probably want an aggressive new chief executive with a great deal of experience in that particular industry—a *dynamic industry expert*. A diversification strategy, in contrast, might call for someone with an analytical mind who is highly knowledgeable in other industries and can manage diverse product lines—an *analytical portfolio manager*. A corporation choosing to follow a stability strategy would probably want as its CEO a *cautious profit planner*, a person with a conservative style, a production or engineering background, and experience with controlling budgets, capital expenditures, inventories, and standardization procedures.

Weak companies in a relatively attractive industry tend to turn to a type of challenge-oriented executive known as a *turnaround specialist* to save the company. Julia Stewart started her career as

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an IHOP (International House of Pancakes) waitress. Years later she left the Applebee's restaurant chain to become CEO of IHOP, she worked to rebuild the company with better food, better ads, and a better atmosphere. Six years later, a much improved IHOP acquired the struggling Applebee's restaurant chain. CEO Stewart vowed to turnaround Applebee's within a year by improving service and food quality and by focusing the menu on what the restaurant does best: riblets, burgers, and salads. She wanted Applebee's to again be the friendly, neighborhood bar and grill that it once was. As of 2016 that was still a work in progress. With sales dropping year after year, she announced a new plan to break through the clutter in the market. Despite all the effort, Applebee's was still not a distinctive destination restaurant.

If a company cannot be saved, a *professional liquidator* might be called on by a bankruptcy court to close the firm and liquidate its assets. This is what happened to Montgomery Ward Inc., the nation's first catalog retailer, which closed its stores for good in 2001, after declaring bankruptcy for the second time. Research supports the conclusion that as a firm's environment changes, it tends to change the type of top executive needed to implement a new strategy.

For example, during the 1990s when the emphasis was on growth in a company's core products/services, the most desired background for a U.S. CEO was either in marketing or international experience. With the current decade's emphasis on mergers, acquisitions, and divestitures, the most desired background is finance. One study found that one out of five American and UK CEOs are former Chief Financial Officers, twice the percentage during the previous decade.

This approach is in agreement with Chandler, who proposes that the most appropriate CEO of a company changes as a firm moves from one stage of development to another. Because priorities certainly change over an organization's life, successful corporations need to select managers who have skills and characteristics appropriate to the organization's particular stage of development and position in its life cycle. For example, founders of firms tend to have functional backgrounds in technological specialties, whereas successors tend to have backgrounds in marketing and administration. A change in the environment leading to a change in a company's strategy also leads to a change in the top management team. For example, a change in the U.S. utility industry's environment in 1992 supporting internally focused, efficiency-oriented strategies, led to top management teams being dominated by older managers with longer company and industry tenure, and with efficiency-oriented backgrounds in operations, engineering, and accounting. Research reveals that executives having a specific personality characteristic (external locus of control) are more effective in regulated industries than are executives with a different characteristic (internal locus of control).

Other studies have found a link between the type of CEO and a firm's overall strategic type. (Strategic types were presented in **Chapter 3**.) For example, successful prospector firms tended to be headed by CEOs from research/engineering and general management backgrounds. High-performance defenders tended to have CEOs with accounting/finance, manufacturing/production, and general management experience. Analyzers tended to have CEOs with a marketing/sales background.

A study of 173 firms over a 25-year period revealed that CEOs in these companies tended to have the same functional specialization as the former CEO, especially when the past CEO's strategy continued to be successful. This may be a pattern for successful corporations. In particular, it explains why so many prosperous companies tend to recruit their top executives from one particular area. At Procter & Gamble (P&G)—a good example of an analyzer firm—the route to the CEO's position has traditionally been through brand management, with a strong emphasis on marketing—and more recently international experience. In other firms, the route may be through manufacturing, marketing, accounting, or finance—depending on what the corporation has always considered its core capability (and its overall strategic orientation).

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9.1.2 Selection and Management Development

Selection and development are important not only to ensure that people with the right mix of skills and experiences are initially hired but also to help them grow on the job so they might be prepared for future promotions. For an interesting view of executive selection, take a look at the **Innovation Issue** on keeping Apple “cool.”

Executive Succession: Insiders vs. Outsiders

Executive succession is the process of replacing a key top manager. The average tenure of a chief executive of a large U.S. company declined from nearly 10 years in 2000 to six years in 2015. Given that two-thirds of all major corporations worldwide replace their CEO at least once in a five-year period, it is important that the firm plan for this eventuality. It is especially important for a company that usually promotes from within to prepare its current managers for promotion. For example, companies using so-called “relay” executive succession, in which a particular candidate is groomed to take over the CEO position, have significantly higher performance than those that hire someone from the outside or hold a competition between internal candidates. These “heirs apparent” are provided special assignments including membership on other firms' boards of directors. For over a century, family-run business empires have dominated the Indian business portfolio. The big brands such as Tata, Birla, Godrej and Reliance, dominate the scene and their business' range from steel to concrete, autos,

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INNOVATION ISSUE

HOW TO KEEP APPLE “COOL”

Arguably, one of the most iconic “cool” companies in the past few decades has to be Apple. The designs, the feel of the products, and the ease with which the products work has made the company a standout with consumers. The innovative demands of a company that has the “cool” cache requires a balance of creative new products while maintaining a feel for what it means to be an Apple product. Much of this innovative ability was attributed to cofounder Steve Jobs. With his death in 2011, the company turned to Phil Schiller (then–Vice President of Product Marketing) to maintain the cache of the brand. Inside Apple, Phil Schiller was known as “mini-me”—a reference from the Austin Powers films that equated Phil Schiller with Steve Jobs.

Apple determined long ago that it took a consistent and persistent voice to develop and maintain the look and feel of something that would be called an Apple. Eschewing the approach of much of corporate America, Apple placed that authority in one person. This exposes the innovation engine of an organization to both a staffing issue as well as a leading issue.

Schiller has been referred to as overly controlling and virtually dictatorial. Insiders called him “Dr. NO” for the way he dealt with most new ideas. While potentially a positive when controlling content, this approach may be seen as a reticence within the corporation to be creative. If anything happens to Schiller, the company would face a big issue if it tried to either pass the baton to another executive or revert to standard corporate practice and create guidelines for designers to follow. This is a very similar path to that taken by Sony as it transitioned in the 1990s. Unfortunately, Sony became mired in its own procedures and lost its cache as the “cool” product company.

In late 2015, having been a part of the Apple Watch effort along with new editions of the iPhone, iPad and Apple TV, Schiller was placed in charge of the most important area of growth and innovation in the company—The App Store and all of its components. The company sees this as the area of greatest opportunity to maintain and grow its influence.

Does Apple still have that “cool” feel to it? Are the products /offerings innovative?

SOURCES: C. Welsh, “Apple’s Phil Schiller is now in charge of the App Store,” *The Verge*, December 17, 2015 (<http://www.theverge.com/2015/12/17/10412204/apple-phil-schiller-now-leads-app-store>); P. Burrows and A. Satariano, “Can This Guy Keep Apple Cool?” *Bloomberg Businessweek* (June 11, 2012), pp. 47–48; <http://www.apple.com/pr/bios/philip-w-schiller.html>; E. Kolawole, “Apple Reveals iPhone 5: But Is It Innovative?” *The Washington Post* (September 12, 2012), http://www.washingtonpost.com/blogs/innovations/post/apple-reveals-iphone-5-but-is-it-innovative/2012/09/12/fb257a4-fcda-11e1-8adc-499661afe377_blog.html

telecoms and petrochemicals. Some of India's largest conglomerates are still a family affair. Stakeholders, of these companies over the years have seen them implode as the founders have died and their children have squabbled over the business empire. Such companies are known to throw discretion to the wind and spend time on dividing the family fortune rather than grooming the successor.

An empirical study based on 252 small and medium sized family businesses in India indicated that 52.2 % of Indian family business CEOs are expected to continue in the business until their death or disability and had no succession plans in place.

Companies known for being excellent training grounds for executive talent are AlliedSignal, Bain & Company, Bankers Trust, Boeing, Bristol Myers Squibb, Citicorp, General Electric, Hewlett-Packard, McDonald's, McKinsey & Company, Microsoft, Nike, Pfizer, and P&G. For example, one study showed that hiring 19 GE executives into CEO positions added US\$24.5 billion to the share prices of the companies that hired them. One year after people from GE started their new jobs, 11 of the 19 companies they joined were outperforming their competitors and the overall market.

Some of the best practices for top management succession are encouraging boards to help the CEO create a succession plan, identifying succession candidates below the top layer, measuring internal candidates against outside candidates to ensure the development of a comprehensive set of skills, and providing appropriate financial incentives. Succession planning has become the most important topic discussed by boards of directors.

Prosperous firms tend to look outside for CEO candidates only if they have no obvious internal candidates. Eighty percent of the CEOs selected to run S&P 500 companies in 2014 were insiders, according to executive search firm Spencer Stuart. Hiring an outsider to be a CEO is a risky gamble. CEOs from the outside tend to introduce significant change and high turnover among the current top management. For example, in one study, the percentage of senior executives that left a firm after a new CEO took office was 20% when the new CEO was an insider, but increased to 34% when the new CEO was an outsider. CEOs hired from outside the firm tend to have a low survival rate. According to RHR International, 40% to 60% of high-level executives brought in from outside a company failed within two years. A study of 392 large U.S. firms revealed that only 16.6% of them had hired outsiders to be their CEOs. The outsiders tended to perform slightly worse than insiders but had a very high variance in performance. Compared to that of insiders, the performance of outsiders tended to be either very good or very poor. Although outsiders performed much better (in terms of shareholder returns) than insiders in the first half of their tenures, they did much worse in their second half. As a result, the average tenure of an outsider was significantly less than for insiders.

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Firms in trouble, however, overwhelmingly choose outsiders to lead them. For example, one study of 22 firms undertaking turnaround strategies over a 13-year period found that the CEO was replaced in all but two companies. Of 27 changes of CEO (several firms had more than one CEO during this period), only seven were insiders—20 were outsiders. The probability of an outsider being chosen to lead a firm in difficulty increases if there is no internal heir apparent, if the last CEO was fired, and if the board of directors is composed of a large percentage of outsiders. Boards realize that the best way to force a change in strategy is to hire a new CEO who has no connections to the current strategy. For example, outsiders have been found to be very effective in leading strategic change for firms in **Chapter 9** bankruptcy.

Identifying Abilities and Potential

A company can identify and prepare its people for important positions in several ways. One approach is to establish a sound *performance appraisal system* to identify good performers with promotion potential. A survey of 34 corporate planners and human resource executives from 24 large U.S. corporations revealed that approximately 80% made some attempt to identify managers' talents and behavioral tendencies so they could place a manager with a likely fit to a given competitive strategy. Companies select those people with promotion potential to be in their executive development training program. GE spends more than US\$1 billion per year for employee training at the company's famous Leadership Development Center in Crotonville, New York. Doug Pelino, chief talent officer at Xerox, keeps a list of about 100 managers in middle management and at the vice presidential levels who have been selected to receive special training, leadership experience, and mentorship to become the next generation of top management.

A company should examine its human resource system to ensure not only that people are being hired without regard to their racial, ethnic, or religious background, but also that they are being identified for training and promotion in the same manner. Management diversity can be a competitive advantage in a multiethnic world. With more women in the workplace, an increasing number are moving into top management, but are demanding more flexible career ladders to allow for family responsibilities.

Many large organizations are using *assessment centers* to evaluate a person's suitability for an advanced position. Corporations such as AT&T, Rolls Royce, KPMG, and GE have successfully used assessment centers. Because each is specifically tailored to its corporation, these assessment centers are unique. They use special interviews, management games, in-basket exercises, leaderless group discussions, case analyses, decision-making exercises, and oral presentations to assess the potential of employees for specific positions. Promotions into these positions are based on performance levels in the assessment center. Assessment centers have

generally been able to accurately predict subsequent job performance and career success.

Job rotation—moving people from one job to another—is also used in many large corporations to ensure that employees are gaining the appropriate mix of experiences to prepare them for future responsibilities. Rotating people among divisions is one way that a corporation can improve the level of organizational learning. General Electric, for example, routinely rotates its executives from one sector to a completely different one to learn the skills of managing in different industries. Jeffrey Immelt, who took over as CEO from Jack Welch, had managed businesses in plastics, appliances, and medical systems. Companies that pursue related diversification strategies through internal development make greater use of interdivisional transfers of people than do companies that grow through unrelated acquisitions. Apparently, the companies that grow internally attempt to transfer important knowledge and skills throughout the corporation in order to achieve some sort of synergy.

9.1.3 Problems in Retrenchment

In 2016, Office Depot/Office Max announced that it would close 400 stores in an effort to return the company to health. Meanwhile, major U.S. retail chains like Wal*Mart, Barnes & Noble, Walgreens, and American Eagle Outfitters announced triple-digit store closing plans. **Downsizing** (sometimes called “rightsizing” or “resizing”) refers to the planned elimination of positions or jobs. This program is often used to implement retrenchment strategies. Because the financial community is likely to react favorably to announcements of downsizing from a company in difficulty, such a program may provide some short-term benefits such as raising the company’s stock price. If not done properly, however, downsizing may result in less, rather than more, productivity. One study found that a 10% reduction in people resulted in only a 1.5% reduction in costs, profits increased in only half the firms downsizing, and the stock prices of downsized firms increased over three years, but not as much as did those of firms that did not downsize. Why were the results so marginal?

A study of downsizing at automobile-related U.S. industrial companies revealed that at 20 out of 30 companies, either the wrong jobs were eliminated or blanket offers of early retirement prompted managers, even those considered invaluable, to leave. After the layoffs, the remaining employees had to do not only their work but also the work of the people who had gone. Because the survivors often didn’t know how to do the work of those who had left the company, morale and productivity plummeted. Downsizing can seriously damage the learning capacity of organizations. Creativity drops significantly (affecting new product development), and it becomes very difficult to keep high performers from

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leaving the company. In addition, cost-conscious executives tend to defer maintenance, skimp on training, delay new product introductions, and avoid risky new businesses—all of which leads to lower sales and eventually to lower profits. These are some of the reasons why layoffs worry customers and have a negative effect on a firm's reputation.

A good retrenchment strategy can thus be implemented well in terms of organizing but poorly in terms of staffing. A situation can develop in which retrenchment feeds on itself and acts to further weaken instead of strengthen the company. Research indicates that companies undertaking cost-cutting programs are four times more likely than others to cut costs again, typically by reducing staff. This has been the story at such well-known operations like Sears, Gannet, RIM, HSBC, and Borders, which eventually went into bankruptcy. In contrast, successful downsizing firms undertake a strategic reorientation, not just a bloodletting of employees. Research shows that when companies use downsizing as part of a larger restructuring program to narrow company focus, they enjoy better performance. This was the situation at Starbucks in 2008 as it closed stores and laid off more than 7,000 people in its effort to refocus the business on the coffee experience. In the ensuing years, the company roared back to life without having to revert to layoffs again.

Consider the following guidelines that have been proposed for successful downsizing:

- ⇒ *Eliminate unnecessary work instead of making across-the-board cuts:* Spend the time to research where money is going and eliminate the task, not the workers, if it doesn't add value to what the firm is producing. Reduce the number of administrative levels rather than the number of individual positions. Look for interdependent relationships before eliminating activities. Identify and protect core competencies.
- ⇒ *Contract out work that others can do cheaper:* We have discussed this topic extensively throughout the text. Outsourcing may be cheaper than vertical integration.
- ⇒ *Plan for long-run efficiencies:* Don't simply eliminate all expenses that could be potentially postponed, such as maintenance, R&D, and advertising, in the unjustifiable hope that the environment will become more supportive. Continue to hire, grow, and develop—particularly in critical areas.
- ⇒ *Communicate the reasons for actions:* Tell employees not only why the company is downsizing but also what the company is trying to achieve. Promote educational programs.
- ⇒ *Invest in the remaining employees:* Because most “survivors” in a corporate downsizing will probably be doing different tasks from what they were doing before the change, firms need to draft new job specifications, performance standards, appraisal techniques, and compensation packages. Additional training is needed to ensure that everyone has the proper skills

to deal with expanded jobs and responsibilities. Empower key individuals/groups and emphasize team building. Identify, protect, and mentor people who have leadership talent.

- ⇒ *Develop value-added jobs to balance out job elimination:* When no other jobs are currently available within the organization to transfer employees to, management must consider other staffing alternatives. Harley-Davidson worked with the company's unions to find other work for surplus employees by moving into Harley plants work that had previously been done by suppliers.

9.2 LEADING

Implementation also involves leading through coaching people to use their abilities and skills most effectively and efficiently to achieve organizational objectives. Without direction, people tend to do their work according to their personal view of what tasks should be done, how, and in what order. They may approach their work as they have in the past or emphasize those tasks that they most enjoy—regardless of the corporation's priorities. This can create real problems, particularly if the company is operating internationally and must adjust to customs and traditions in other countries. This direction may take the form of management leadership, communicated norms of behavior from the corporate culture, or agreements among workers in autonomous work groups. For an example of how a company can lead by radically changing the business model and the way it is staffed, see the **Sustainability Issue** feature. It may be accomplished more formally through action planning or through programs, such as Management by Objectives and Total Quality Management. Procedures can be changed to provide incentives to motivate employees to align their behavior with corporate objectives.

9.2.1 Managing Corporate Culture

Because an organization's culture can exert a powerful influence on the behavior of all employees, it can strongly affect a company's ability to shift its strategic direction. A problem for a strong culture is that a change in mission, objectives, strategies, or policies and tactics is not likely to be successful if it is in opposition to the accepted culture of the company. Corporate culture has a strong tendency to resist change because its very reason for existence often rests on preserving stable relationships and patterns of behavior. For example, when Robert Nardelli became CEO at The Home Depot in 2000, he changed the corporate strategy to growing the company's small professional supply business (sales to building contractors) through acquisitions and making the mature retail business cost-effective. He attempted to replace the old informal entrepreneurial collaborative culture with one of military efficiency. Before Nardelli's arrival, most store managers

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- 9-2. Discuss how leaders manage corporate culture

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**SUSTAINABILITY ISSUE****PANERA AND THE “PANERA CARES COMMUNITY CAFÉ”**

Sometimes the staffing model for a business can be adapted to provide long-term value to the community and help that company lead an industry. As of early 2016, Panera Bread Company had just shy of 2,000 restaurants in 46 states, had sales of more than US\$2.6 billion and net income of US\$149 million. The company had grown into an institution in the United States, catering to those who could afford to eat there (in other words, those who are employed). They steadfastly refused to lower prices during the latest recession and posted sales gains through that time period.

In an effort to lead in the business community as well as provide work for individuals in training programs supported by the company, Panera came up with a creative business approach when it opened its pilot “Panera Cares Community Café” in Clayton, Missouri, in 2010. Known by most as the “pay what you want” restaurant, the restaurant offered suggested donation levels instead of prices.

To make the business model work, the company created the Panera Bread Foundation in order to separate it from the for-profit business. Consumers who are most able to pay are asked to donate extra, while those who are short on cash can pay less, and those who can’t pay anything can volunteer for an hour to pay for their meal.

As of 2016, the Foundation had four stores open in Clayton, MO, Dearborn, MI, Portland, OR, and Boston, MA. An additional store in Chicago, IL was closed when the lease ran out and the business model was failing to work as planned.

The company limits ‘free’ meals (that is meals to people who cannot pay) to one per week, but provides an opportunity to work in the store for one hour and earn a meal voucher. To date the stores are bringing in approximately 75% of retail value with approximately 60% of people leaving the suggested donation, 15–20% leaving more and the rest leaving less or nothing.

SOURCES: <http://paneracares.org/faqs/>; D. Goodison, “Pay-What-You-Can Panera Donation Café Will Grace Hub,” (November 5, 2012), E. York, “Panera to Open First Local Pay-What-You-Can Café in Lakeview,” Chicago Tribune (June 20, 2012), http://articles.chicagotribune.com/2012-06-20/business/chi-panera-adds-paywhatyoucan-cafe-in-chicago-20120620_1_ron-shaich-lakeview-open-first; ATPs: <http://www.panerabread.com/en-us/company/about-panera/our-history.html>; <http://www.nasdaq.com/symbol/pnra/financials>

had based their decisions upon their personal knowledge of their customers’ preferences. Under Nardelli, they were given weekly sales and profit targets. Underperforming managers were asked to leave the company. The once-heavy ranks of full-time employees

were replaced with cheaper part-timers who had far less experience to help the DIY customer. In this “culture of fear,” morale fell and The Home Depot’s customer satisfaction score dropped to last place among major U.S. retailers. Nardelli was asked to leave the company in 2007 and the company’s resurgence over the next few years as it moved back to its roots is a testament to the strength of corporate culture.

There is no one best corporate culture. An optimal culture is one that best supports the mission and strategy of the company of which it is a part. This means that *corporate culture should support the strategy*. Unless strategy is in complete agreement with the culture, any significant change in strategy should be followed by a modification of the organization’s culture. Although corporate culture can be changed, it often takes a long time, and it requires a lot of effort. At The Home Depot, for example, CEO Nardelli attempted to change the corporate culture by hiring GE veterans like himself into top management positions, hiring ex-military officers as store managers, and instituting a top-down command structure.

A key job of management involves managing corporate culture. In doing so, management must evaluate what a particular change in strategy means to the corporate culture, assess whether a change in culture is needed, and decide whether an attempt to change the culture is worth the likely costs.

Assessing Strategy-Culture Compatibility

When implementing a new strategy, a company should take the time to assess *strategy-culture compatibility*. (See **Figure 9–1**.) Consider the following questions regarding a corporation’s culture:

1. *Is the proposed strategy compatible with the company’s current culture? If yes*, full steam ahead. Tie organizational changes into the company’s culture by identifying how the new strategy will achieve the mission better than the current strategy does. *If not . . .*
2. *Can the culture be easily modified to make it more compatible with the new strategy? If yes*, move forward carefully by introducing a set of culture-changing activities such as minor structural modifications, training and development activities, and/or hiring new managers who are more compatible with the new strategy. When Proctor & Gamble’s top management decided to implement a strategy aimed at reducing costs, for example, it made some changes in how things were done, but it did not eliminate its brand-management system. The culture adapted to these modifications over a couple of years and productivity increased. *If not . . .*
3. *Is management willing and able to make major organizational changes and accept probable delays and a likely increase in costs? If yes*, manage around the culture by establishing a new structural unit to implement the new strategy. In

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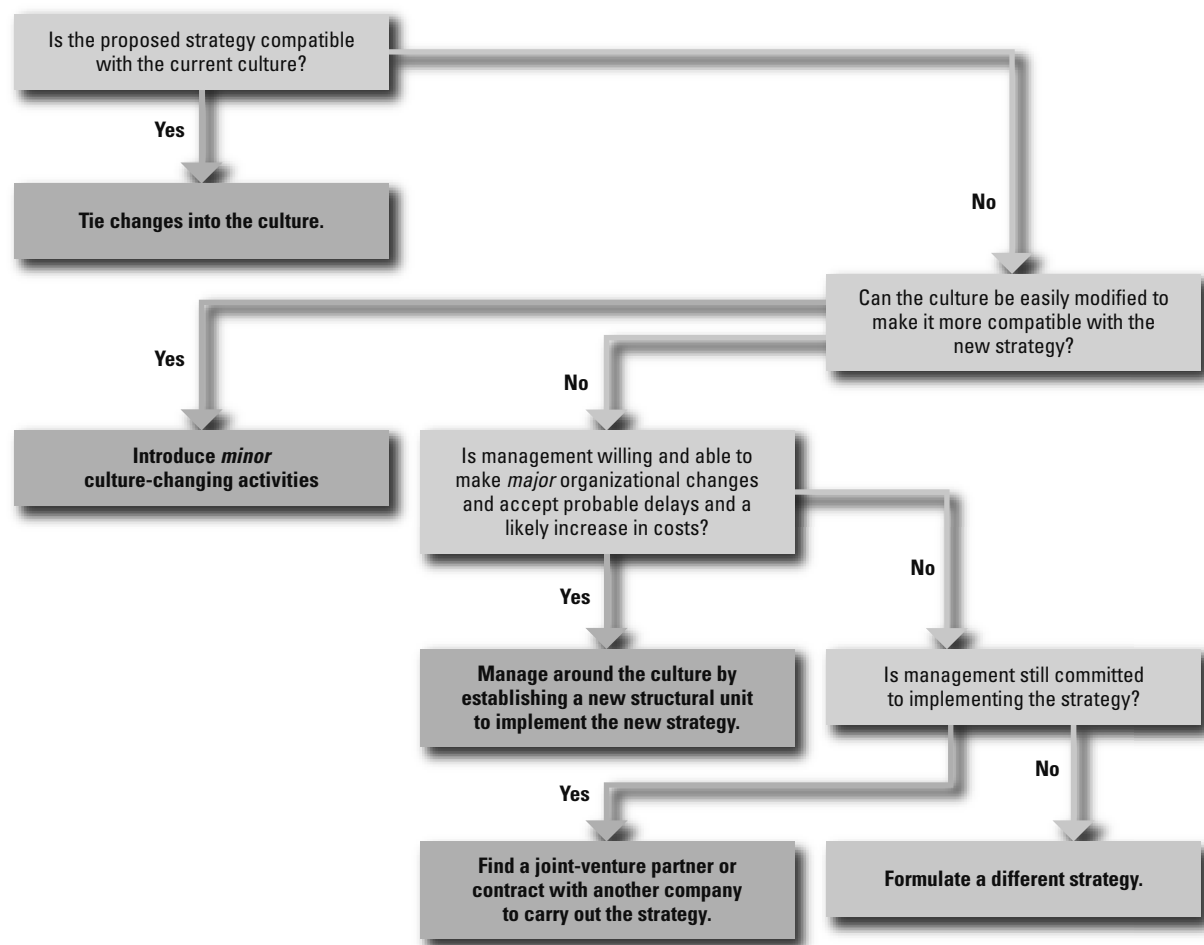


Figure 9.1 Assessing Strategy–Culture Compatibility

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2012, Saab Automobile Parts AB established a subsidiary to provide original parts in the United States after running into a decade of issues resulting from a lack of focus on U.S. Saab owners. By creating a separate subsidiary whose sole responsibility was providing U.S. customers with spare parts for their cars, the company was able to bypass the established focus of the company, which was clearly not on U.S. Saab owners. *If not . . .*

4. *Is management still committed to implementing the strategy?*
If yes, find a joint-venture partner or contract with another company to carry out the strategy. *If not*, formulate a different strategy.

Based on Robert Nardelli's decisions when he initially started as The Home Depot's CEO, he probably answered "no" to the first question and "yes" to the second question—thus justifying his many changes in staffing and leading. Unfortunately, these

changes didn't work very well. Instead, he should have replied "no" to the first and second questions and stopped at the third question. As suggested by this question, he should have considered a different corporate strategy, such as growing the professional side of the business without changing the collegial culture of the retail stores. Not surprisingly, once Nardelli was replaced by a new CEO, the company divested the professional supply companies that Nardelli had spent so much time and money acquiring and returned to its previous strategy of concentrating on The Home Depot retail stores.

Managing Cultural Change through Communication

Communication is key to the effective management of change. A survey of 3,199 worldwide executives by McKinsey & Company revealed that ongoing communication and involvement was the approach most used by companies that successfully transformed themselves. Rationale for strategic changes should be communicated to workers not only in newsletters and speeches, but also in training and development programs. This is especially important in decentralized firms where a large number of employees work in far-flung business units. Companies in which major cultural changes have successfully taken place had the following characteristics in common:

- ⇒ The CEO and other top managers had a strategic vision of what the company could become and communicated that vision to employees at all levels. The current performance of the company was compared to that of its competition and constantly updated.
- ⇒ The vision was translated into the key elements necessary to accomplish that vision. For example, if the vision called for the company to become a leader in quality or service, aspects of quality and service were pinpointed for improvement, and appropriate measurement systems were developed to monitor them. These measures were communicated widely through contests, formal and informal recognition, and monetary rewards, among other devices.

When Pizza Hut, Taco Bell, and KFC were purchased by Tricon Global Restaurants (now Yum! Brands) from PepsiCo, the new management knew that it had to create a radically different culture than the one at PepsiCo if the company was to succeed. To begin, management formulated a statement of shared values—"How We Work Together" principles. They declared their differences with the "mother country" (PepsiCo) and wrote a "Declaration of Independence" stating what the new company would stand for. Restaurant managers participated in team-building activities at the corporate headquarters and finished by signing the company's "Declaration of Independence" as "founders" of the company. Since then, "Founders Day" has become an annual event celebrating the

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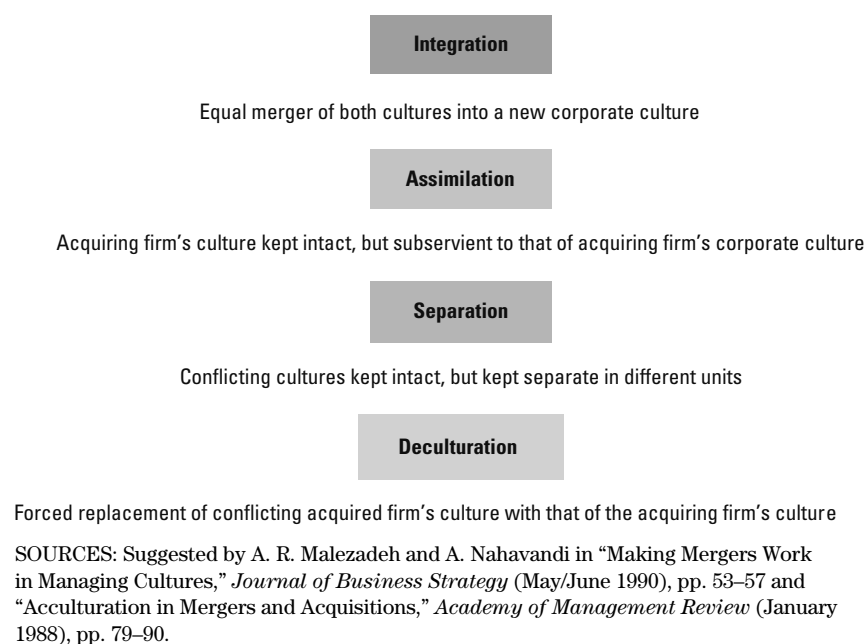
culture of the company. Headquarters was renamed the “Restaurant Support Center,” signifying the cultural value the restaurants held as the central focus of the company. People measures were added to financial measures and customer measures, reinforcing the “putting people first” value. In an unprecedented move in the industry, restaurant managers were given stock options and stock was added to the list of performance incentives. The company created values-focused 360-degree performance reviews, which were eventually pushed to the restaurant manager level.

Managing Diverse Cultures Following an Acquisition

When merging with or acquiring another company, top management must give some consideration to a potential clash of corporate cultures. According to a Hewitt Associates survey of 218 major U.S. corporations, integrating culture was a top challenge for 69% of the reporting companies. Cultural differences are even more problematic when a company acquires a firm in another country. Daimler-Benz has dealt with this on a number of occasions, including its merger with Chrysler in 1998 and its purchase of a controlling interest in Mitsubishi Motors in 2001. Resistance to change led Daimler-Benz to eject both organizations from the parent company. It’s dangerous to assume that the firms can simply be integrated into the same reporting structure. The greater the gap between the cultures of the acquired firm and the acquiring firm, the faster executives in the acquired firm quit their jobs and valuable talent is lost. Conversely, when corporate cultures are similar, performance problems are minimized.

There are four general methods of managing two different cultures. (See **Figure 9–2**.) The choice of which method to use should be based on (1) how much members of the acquired firm value preserving their own culture and (2) how attractive they perceive the culture of the acquirer to be.

1. *Integration* involves a relatively balanced give-and-take of cultural and managerial practices between the merger partners, and no strong imposition of cultural change on either company. It merges the two cultures in such a way that the separate cultures of both firms are preserved in the resulting culture. This is what occurred when France’s Renault purchased a controlling interest in Japan’s Nissan Motor Company and installed Carlos Ghosn as Nissan’s new CEO to turn the company around. Ghosn was very sensitive to Nissan’s culture and allowed the company room to develop a new corporate culture based on the best elements of Japan’s national culture. His goal was to form one successful auto group from two very distinct companies.
2. *Assimilation* involves the domination of one organization over the other. The domination is not forced, but it is welcomed by members of the acquired firm, who may feel for many reasons that their culture and managerial practices have not produced success. The acquired firm surrenders its culture and adopts the



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Figure 9.2 Methods of Managing the Culture of an Acquired Firm

culture of the acquiring company. This was the case when Maytag Company (now part of Whirlpool) acquired Admiral. Because Admiral's previous owners had not kept the manufacturing facilities up to date, quality had drastically fallen over the years. Admiral's employees were willing to accept the dominance of Maytag's strong quality-oriented culture because they respected it and knew that without significant changes at Admiral, they would soon be out of work. In turn, they expected to be treated with some respect for their skills in refrigeration technology.

3. *Separation* is characterized by a separation of the two companies' cultures. They are structurally separated, without cultural exchange. When Boeing acquired McDonnell-Douglas, known for its expertise in military aircraft and missiles, Boeing created a separate unit to house both McDonnell's operations and Boeing's own military business. McDonnell executives were given top posts in the new unit and other measures were taken to protect the strong McDonnell culture. On the commercial side, where Boeing had the most expertise, McDonnell's commercial operations were combined with Boeing's in a separate unit managed by Boeing executives.
4. *Deculturation* involves the disintegration of one company's culture resulting from unwanted and extreme pressure from the other to impose its culture and practices. This is the most common and most destructive method of dealing with two different cultures. It is often accompanied by much confusion, conflict, resentment, and stress. This is a primary reason why so many executives tend to leave after their firm is acquired. Such a merger

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- 9-3. Utilize an action planning framework to implement an organization's MBO and TQM initiatives

typically results in poor performance by the acquired company and its eventual divestment. This is what happened when AT&T acquired NCR Corporation in 1990 for its computer business. It replaced NCR managers with an AT&T management team, reorganized sales, forced employees to adhere to the AT&T code of values (called the "Common Bond"), and even dropped the proud NCR name (successor to National Cash Register) in favor of a sterile GIS (Global Information Solutions) nonidentity. By 1995, AT&T was forced to take a US\$1.2 billion loss and lay off 10,000 people. The NCR unit was consequently sold.

9.3 ACTION PLANNING

Activities can be directed toward accomplishing strategic goals through action planning. At a minimum, an **action plan** states what actions are going to be taken, by whom, during what time frame, and with what expected results. After a program has been selected to implement a particular strategy, an action plan should be developed to put the program in place. **Table 9-1** shows an example of an action plan for a new advertising and promotion program.

Take the example of a company choosing forward vertical integration through the acquisition of a retailing chain as its growth strategy. Once it owns its own retail outlets, it must integrate the stores into the company. One of the many programs it would have to develop is a new advertising program for the stores. The resulting action plan to develop a new advertising program should include much of the following information:

1. *Specific actions to be taken to make the program operational:* One action might be to contact three reputable advertising agencies and ask them to prepare a proposal for a new radio and newspaper ad campaign based on the theme "Jones Surplus is now a part of Ajax Continental. Prices are lower. Selection is better."
2. *Dates to begin and end each action:* Time would have to be allotted not only to select and contact three agencies, but to allow them sufficient time to prepare a detailed proposal. For example, allow one week to select and contact the agencies, plus three months for them to prepare detailed proposals to present to the company's marketing director. Also allow some time to decide which proposal to accept.
3. *Person (identified by name and title) responsible for carrying out each action:* List someone—such as Jan Lewis, advertising manager—who can be put in charge of the program.
4. *Person responsible for monitoring the timeliness and effectiveness of each action:* Indicate that Jan Lewis is responsible for ensuring that the proposals are of good quality and are priced within the planned program budget. She will be the primary company contact

TABLE 9-1 Example of an Action Plan

Action Plan for Jan Lewis, Advertising Manager, and Rick Carter, Advertising Assistant, Ajax Continental

Program Objective: To run a new advertising and promotion campaign for the combined Jones Surplus/Ajax Continental retail stores for the coming Christmas Season within a budget of \$XX.

Program Activities:

Identify three best ad agencies for new campaign.

Ask three ad agencies to submit a proposal for a new advertising and promotion campaign for combined stores.

Agencies present proposals to marketing manager.

Select best proposal and inform agencies of decision.

Agency presents winning proposal to top management.

Ads air on TV and promotions appear in stores.

Measure results of campaign in terms of viewer recall and increase in store sales.

ACTION STEPS	RESPONSIBILITY	START-END
1. A. Review previous programs	Lewis & Carter	1/1-2/1
B. Discuss with boss	Lewis & Smith	2/1-2/3
C. Decide on three agencies	Lewis	2/4
2. A. Write specifications for ad	Lewis	1/15-1/20
B. Assistant writes ad request	Carter	1/20-1/30
C. Contact ad agencies	Lewis	2/5-2/8
D. Send request to three agencies	Carter	2/10
E. Meet with agency acct. execs	Lewis & Carter	2/16-2/20
3. A. Agencies work on proposals	Acct. Execs	2/23-5/1
B. Agencies present proposals	Carter	5/1-5/15
4. A. Select best proposal	Lewis	5/15-5/20
B. Meet with winning agency	Lewis	5/22-5/30
C. Inform losers	Carter	6/1
5. A. Fine-tune proposal	Acct. Exec	6/1-7/1
B. Presentation to management	Lewis	7/1-7/3
6. A. Ads air on TV	Lewis	9/1-12/24
B. Floor displays in stores	Carter	8/20-8/30
7. A. Gather recall measures of ads	Carter	9/1-12/24
B. Evaluate sales data	Carter	1/1-1/10
C. Prepare analysis of campaign	Carter	1/10-2/15

for the ad agencies and will report on the progress of the program once a week to the company's marketing director.

5. *Expected financial and physical consequences of each action:* Estimate when a completed ad campaign will be ready to show top management and how long it will take after approval to begin to air the ads. Estimate the expected increase in store sales over the six-month period after the ads are first aired. Indicate whether "recall" measures will be used to help assess the ad campaign's effectiveness, plus how, when, and by whom the recall data will be collected and analyzed.

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6. *Contingency plans*: Indicate how long it will take to get an acceptable ad campaign to show top management if none of the initial proposals is acceptable.

Action plans are important for several reasons. First, action plans serve as a link between strategy formulation and evaluation and control. Second, the action plan specifies what needs to be done differently from the way operations are currently carried out. Third, during the evaluation and control process that comes later, an action plan helps in both the appraisal of performance and in the identification of any remedial actions, as needed. In addition, the explicit assignment of responsibilities for implementing and monitoring the programs may contribute to better motivation.

9.3.1 Management by Objectives

Management by Objectives (MBO) is a technique that encourages participative decision making through shared goal setting at all organizational levels and performance assessment based on the achievement of stated objectives. MBO links organizational objectives and the behavior of individuals. Because it is a system that links plans with performance, it is a powerful implementation technique.

The MBO process involves:

1. Establishing and communicating organizational objectives.
2. Setting individual objectives (through superior-subordinate interaction) that help implement organizational ones.
3. Developing an action plan of activities needed to achieve the objectives.
4. Periodically (at least quarterly) reviewing performance as it relates to the objectives and including the results in the annual performance appraisal.

MBO provides an opportunity for the corporation to connect the objectives of people at each level to those at the next higher level. MBO, therefore, acts to tie together corporate, business, and functional objectives, as well as the strategies developed to achieve them. Although MBO originated in the 1950s, 90% of surveyed practicing managers feel that MBO is applicable today. The principles of MBO are a part of self-managing work teams and quality circles.

One of the real benefits of MBO is that it can reduce the amount of internal politics operating within a large corporation. Political actions within a firm can cause conflict and create divisions between the very people and groups who should be working together to implement strategy. People are less likely to jockey for position if the company's mission and objectives are clear and they know that the reward system is based not on game playing, but on achieving clearly communicated, measurable objectives.

9.3.2 Total Quality Management

Total Quality Management (TQM) is an operational philosophy committed to *customer satisfaction* and *continuous improvement*. TQM is committed to quality/excellence and to being the best in all functions. Because TQM aims to reduce costs and improve quality, it can be used as a program to implement an overall low-cost or a differentiation business strategy. Many TQM principles have been incorporated into the ISO 9000 series of standards and certifications. While TQM is focused upon employee participation, refinement, and improvement, the ISO standards are tied to the reporting and data analysis of the process. The two can go hand in hand with ISO 9000 series approaches used to document and measure the efforts.

According to TQM, faulty processes, not poorly motivated employees, are the cause of defects in quality. The program involves a significant change in corporate culture, requiring strong leadership from top management, employee training, empowerment of lower-level employees (giving people more control over their work), and teamwork in order to succeed in a company. TQM emphasizes prevention, not correction. Inspection for quality still takes place, but the emphasis is on improving the process to prevent errors and deficiencies. Thus, quality circles or quality improvement teams are formed to identify problems and to suggest how to improve the processes that may be causing the problems.

TQM's essential ingredients are:

- ⇒ *An intense focus on customer satisfaction:* Everyone (not just people in the sales and marketing departments) understands that their jobs exist only because of customer needs. Thus all jobs must be approached in terms of how they will affect customer satisfaction.
- ⇒ *Internal as well as external customers:* An employee in the shipping department may be the internal customer of another employee who completes the assembly of a product, just as a person who buys the product is a customer of the entire company. An employee must be just as concerned with pleasing the internal customer as in satisfying the external customer.
- ⇒ *Accurate measurement of every critical variable in a company's operations:* This means that employees have to be trained in what to measure, how to measure, and how to interpret the data. A rule of TQM is that *you only improve what you measure*.
- ⇒ *Continuous improvement of products and services:* Everyone realizes that operations need to be continuously monitored to find ways to improve products and services.
- ⇒ *New work relationships based on trust and teamwork:* Important is the idea of empowerment—giving employees wide latitude in how they go about achieving the company's goals. Research indicates that the keys to TQM success lie in executive

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**GLOBAL ISSUE****CULTURAL DIFFERENCES CREATE IMPLEMENTATION PROBLEMS IN MERGER**

When Upjohn Pharmaceuticals of Kalamazoo, Michigan, and Pharmacia AB of Stockholm, Sweden, merged in 1995, employees of both sides were optimistic for the newly formed Pharmacia & Upjohn, Inc. Both companies were second-tier competitors fighting for survival in a global industry. Together, the firms would create a global company that could compete scientifically with its bigger rivals.

Because Pharmacia had acquired an Italian firm in 1993, it also had a large operation in Milan. U.S. executives scheduled meetings throughout the summer of 1996—only to cancel them when their European counterparts could not attend. Although it was common knowledge in Europe that most Swedes take the entire month of July for vacation and that Italians take off all of August, this was not common knowledge in Michigan. Differences in management styles became a special irritant. Swedes were used to an open system, with autonomous work teams. Executives sought the whole group's approval before making an important decision. Upjohn executives followed the more traditional American top-down approach. Upon taking command of the newly merged firm, Dr. Zabriskie (who had been Upjohn's CEO), divided the company into departments reporting to the new London headquarters. He required frequent reports, budgets, and staffing updates. The Swedes reacted negatively to this top-down management hierarchical style. "It was degrading," said Stener Kvinnsland, head of Pharmacia's cancer research in Italy before he quit the new company.

The Italian operations baffled the Americans, even though the Italians felt comfortable with a hierarchical management style. Italy's laws and unions made layoffs difficult. Italian data and accounting were often inaccurate. Because the Americans didn't trust the data, they were constantly asking for verification. In turn, the Italians were concerned that the Americans were trying to take over Italian operations. At Upjohn, all workers were subject to testing for drug and alcohol abuse. Upjohn also banned smoking. At Pharmacia's Italian business center, however, waiters poured wine freely every afternoon in the company dining room. Pharmacia's boardrooms were stocked with humidors for executives who smoked cigars during long meetings. After a brief attempt to enforce Upjohn's policies, the company dropped both the no-drinking and no-smoking policies for European workers.

In order to assert more control over the whole operation, the company moved its HQ back to the United States in 1998. In 2000, the company acquired Monsanto and Searle, both large pharmaceutical companies. The new company, called Pharmacia, didn't last long. The company was bought out by Pfizer in 2003.

SOURCES: Summarized from R. Frank and T. M. Burton, "Cross-Border Merger Results in Headaches for a Drug Company," *The Wall Street Journal* (February 4, 1997), pp. A1, A12; http://www.pfizer.com/about/history/pfizer_pharmacia.jsp

commitment, an open organizational culture, and employee empowerment.

See the **Global Issue** feature to learn how differences in national and corporate cultures created conflict when Upjohn Company of the United States and Pharmacia AB of Sweden merged.

Learning to exploit existing businesses and explore new businesses

Learning to exploit existing businesses and explore new businesses is a crucial aspect of strategic management, as it involves a balanced approach to optimizing current operations while seeking growth opportunities in uncharted territories. This dual strategy recognizes the need for both efficiency and innovation to ensure an organization's long-term success in a dynamic business environment.

Exploiting existing businesses entails maximizing the potential of current operations, products, or services. This involves optimizing efficiency, streamlining processes, and extracting the maximum value from established markets. It is grounded in the idea of leveraging existing resources and capabilities to enhance performance and profitability. This learning process involves a deep understanding of market dynamics, customer needs, and operational efficiencies to identify areas for improvement and growth within the current business landscape.

Effective exploitation of existing businesses often involves continuous improvement initiatives, cost optimization, and strategic marketing efforts. Learning in this context may focus on refining production processes, enhancing supply chain management, or implementing customer relationship management strategies. It requires a keen awareness of industry trends and a commitment to staying competitive in established markets.

On the other hand, **learning to explore new businesses** involves venturing into unfamiliar territories to identify and seize opportunities for growth and innovation. This approach acknowledges the limitations of relying solely on existing business models and markets. Learning to explore new businesses requires a strategic mindset that is open to risk-taking and experimentation.

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It involves evaluating emerging trends, disruptive technologies, and untapped markets to diversify and expand an organization's portfolio.

Exploration often includes activities such as research and development, market diversification, and strategic partnerships or acquisitions. Learning in this context involves assessing the viability of new business ideas, understanding the unique challenges of different industries, and adapting organizational capabilities to meet the demands of novel ventures.

A successful example of a company that has effectively balanced exploiting existing businesses and exploring new ones is Apple Inc. While Apple continues to optimize its existing product lines, such as iPhones and MacBooks, it has consistently ventured into new markets. The introduction of the iPod, iPhone, iPad, and Apple Watch exemplifies the company's ability to explore and dominate new business spaces. Learning from consumer behavior, technological advancements, and market trends has allowed Apple to sustain its position as an industry leader.

The learning process in the context of exploiting existing businesses and exploring new ones involves strategic foresight, adaptability, and a willingness to embrace change. It requires organizational agility to navigate uncertainties and the ability to manage the inherent tensions between efficiency and innovation. Learning to strike the right balance between exploitation and exploration is a dynamic and ongoing process that demands a commitment to continuous improvement and strategic flexibility.

Frameworks like the Ambidextrous Organization model provide a structured approach to simultaneously managing exploitation and exploration. This model encourages organizations to create separate units or teams dedicated to exploiting existing businesses and exploring new opportunities. This division allows for a focused and dedicated approach to each aspect of the business, mitigating the risk of neglecting one for the other.

In conclusion, learning to exploit existing businesses and explore new businesses is a strategic imperative for organizations seeking sustainable growth and competitiveness. It involves optimizing current operations while venturing into uncharted territories. The balance between exploitation and exploration requires a nuanced understanding of market dynamics, a commitment to innovation, and the ability to adapt to changing circumstances. Successful organizations adeptly navigate this dual strategy, learning from both their existing businesses and new ventures to position themselves for long-term success in an ever-evolving business landscape.

9.4 SUMMARY

Strategy is implemented by modifying structure (organizing), selecting the appropriate people to carry out the strategy (staffing), and communicating clearly how the strategy can be put into action (leading). A number of programs, such as organizational and job design, reengineering, Six Sigma, MBO, TQM, and action planning, can be used to implement a new strategy. Executives must manage the corporate culture and find the right mix of qualified people to put a strategy in place.

Research on executive succession reveals that it is very risky to hire new top managers from outside the corporation. Although this is often done when a company is in trouble, it can be dangerous for a successful firm. This is also true when hiring people for non-executive positions. An in-depth study of 1,052 stock analysts at 78 investment banks revealed that hiring a star (an outstanding performer) from another company did not improve the hiring company's performance. When a company hires a star, the star's performance plunges, there is a sharp decline in the functioning of the team the person works with, and the company's market value declines. Their performance dropped about 20% and did not return to the level before the job change—even after five years. Interestingly, around 36% of the stars left the investment banks that hired them within 36 months. Another 29% quit in the next 24 months.

This phenomenon occurs not because a star doesn't suddenly become less intelligent when switching firms, but because the star cannot take to the new firm the firm-specific resources that contributed to her or his achievements at the previous company. As a result, the star is unable to repeat the high performance in another company until he or she learns the new system. This may take years, but only if the new company has an aligned support system in place. Otherwise, the performance may never improve. For these reasons, companies rarely obtain competitive advantage by hiring stars from the outside. Instead, they should emphasize growing their own talent and developing the infrastructure necessary for high performance.

It is important to not ignore the majority of the workforce who, while not being stars, are the solid performers that keep a company going over the years. An undue emphasis on attracting stars often wastes money and destroys morale. The CEO of McKesson, a pharmaceutical wholesaler, calls these B players "performers in place. . . . They are happy living in Dubuque. I have more time and admiration for them than the A player who is at my desk every six months asking for the next promotion." With few exceptions, coaches who try to forge a sports team composed of stars courts disaster.

9.5 KEY TERM

action plan (p. 281)
downsizing (p. 274)
executive succession (p. 271)
executive type (p. 270)
integration managers (p. 268)

leading (p. 268)
Management by Objectives (MBO) (p. 283)
staffing (p. 268)
Total Quality Management (TQM) (p. 283)

9.6 REVIEW QUESTIONS

- 9-1. What skills should a person have for managing a business unit following a differentiation strategy? Why? What should a company do if no one is available internally and the company has a policy of promotion from within?
- 9-2. When should someone from outside a company be hired to manage the company or one of its business units?
- 9-3. What are some ways to implement a retrenchment strategy without creating a lot of resentment and conflict with labor unions?
- 9-4. How can corporate culture be changed?
- 9-5. Why is an understanding of national cultures important in strategic management?
- 9-6. How does the staffing strategies adopted by a company influence the strategic management process of the company? Give examples.

- 9-7. "Staffing follows strategy". Elaborate this statement.
- 9-8. List the pros and cons of insider executive succession vs outsider executive succession.
- 9-9. Discuss the various guidelines which have been suggested for successful downsizing.
- 9-10. What do you understand by corporate culture? How does a company assess strategy culture compatibility?
- 9-11. Write short notes on the following:
 - Total quality management.
 - Management by objectives.

9.7 STRATEGIC PRACTICE EXERCISE

Staffing involves finding the person with the right blend of characteristics, such as personality, training, and experience, to implement a particular strategy. The Kersey Temperament Sorter is designed to identify different kinds of personality temperament. It is similar to other instruments derived from Carl Jung's theory of psychological types, such as the Myers-Briggs, the Singer-Loomis, and the Grey-Wheelwright. The questionnaire identifies four temperament types: **Guardian (SJ)**, **Artisan (SP)**, **Idealist (NF)**, and **Rational (NT)**. **Guardians** have natural talent in managing goods and services. They are dependable and trustworthy. **Artisans** have keen senses and are at home with tools, instruments, and vehicles. They are risk-takers and like action. **Idealists** are concerned with growth and development and like to work with people. They prefer friendly cooperation over confrontation and conflict. **Rationalists** are problem solvers who like to know how things work. They work tirelessly to accomplish their goals. Each of these four types has four variants.

Kersey challenges the assumption that people are basically the same in the ways that they think, feel, and approach problems. Kersey argues that it is far less desirable to attempt to change others (because it has little likelihood of success) than to attempt to understand, work with, and take advantage of normal differences. Companies can use this type of questionnaire to help team members understand how each person can contribute to team performance. For example, Lucent Technology used the Myers-Briggs Type Indicator to help build trust and understanding among 500 engineers in 13 time zones and three continents in a distributed development project.

- 9-12.** Access the Keirsey Temperament Sorter using your Internet browser. Type in the following URL: www.advisorteam.com
- 9-13.** Complete and score the questionnaire. Print the description of your personality type.

- 9-14.** Read the information on the Web site about each personality type. Become familiar with each.
- 9-15.** Bring to class a sheet of paper containing your name and your personality type: *Guardian*, *Artisan*, *Idealist*, or *Rational*. Your instructor will either put you into a group containing people with the same predominant style or into a group with representatives from each type. The instructor will then give the teams a task to accomplish. Each group will have approximately 30 minutes to do the task. It may be to solve a problem, analyze a short case, or propose a new entrepreneurial venture. The instructor will provide you with very little guidance other than to form and number the groups, give them a task, and keep track of time. He or she may move from group to group to sit in on each team's progress. When the time is up, the instructor will ask a spokesperson from each group to (1) describe the process the group went through and (2) present orally each group's ideas. After each group makes its presentation, the instructor may choose one or more of the following:
- On a sheet of paper, each person in the class identifies his/her personality type and votes which team did the best on the assignment.
 - The class as a whole tries to identify each group's dominant decision-making style in terms of how they did their assignment. See how many people vote for one of the four types for each team.
 - Each member of a group guesses if she/he was put into a team composed of the same personality types or in one composed of all four personality types.

9.8 MULTIPLE-CHOICE QUESTIONS

- 9-1.** The hiring of new people with new skills, firing of people with inappropriate or substandard skills, and/or training existing employees to learn new skills are included in the process of
- A. training.
 - B. staffing.
 - C. structuring.
 - D. operating.
 - E. financing.
- 9-2.** All of the following reflect characteristics of a successful integration manager EXCEPT
- A. a deep knowledge of the acquiring company.
 - B. a flexible management style.
 - C. an ability to work in cross-functional project teams.
 - D. a propensity to hire like-minded people.
 - E. a willingness to work independently.
- 9-3.** Training is especially important in reinforcing the customer service culture at Zappos where
- A. new employees are offered money to quit.
 - B. employees are just interested in getting a paycheck.
 - C. training does not include any tests.
 - D. a cost leadership strategy is being used.
 - E. little screening of employees occurs.
- 9-4.** According to the Association for Talent Development, the average annual expenditure per employee on corporate training and development is
- A. \$0.
 - B. \$362.
 - C. \$748.
 - D. \$1,229.
 - E. \$2,361.

- 9-5.** Executives with a particular mix of skills and experiences may be classified as an executive type and paired with
- A. a specific personal characteristic.
 - B. a specific corporate strategy.
 - C. a certain educational background.
 - D. a specific experience background.
 - E. a specific industry.
- 9-6.** Which of the following statements is not true concerning the career life cycle for top executives?
- A. During the early years of executives' tenures, they tend to experiment extensively with product lines to learn about their business.
 - B. It is possible that a current CEO may not be appropriate to implement a new strategy.
 - C. The harvest stage occurs when executives' accumulated knowledge allows them to reduce experimentation and increase performance.
 - D. There is an inverted U-shaped relationship between top executive tenure and the firm's financial performance.
 - E. The length of time spent in each stage is relatively stable for all CEOs.
- 9-7.** Which type of chief executive officer with a great deal of experience in that particular industry would be appropriate for a corporation following a concentration strategy emphasizing vertical or horizontal growth?
- A. professional liquidator
 - B. dynamic industry expert
 - C. turnaround specialist
 - D. analytical portfolio manager
 - E. cautious profit planner
- 9-8.** Which type of chief executive officer who is highly knowledgeable in other industries and can manage diverse product lines would be appropriate for a corporation following a diversification strategy?
- A. professional liquidator
 - B. dynamic industry expert
 - C. turnaround specialist
 - D. analytical portfolio manager
 - E. cautious profit planner
- 9-9.** Which type of chief executive officer with a conservative style, a production or engineering background, and experience with controlling budgets, capital expenditures, inventories, and standardization procedures would be appropriate for a corporation following a stability strategy?
- A. professional liquidator
 - B. dynamic industry expert
 - C. turnaround specialist
 - D. analytical portfolio manager
 - E. cautious profit planner
- 9-10.** Successful prospector firms tend to be headed by CEOs with backgrounds in the areas of
- A. research/engineering and general management.
 - B. accounting/finance, manufacturing/production, and general management.
 - C. marketing/sales.
 - D. human resources and strategy.
 - E. purchasing and logistics.

Answer Keys: 9-1. B 9-2. D 9-3. A 9-4. D 9-5. B 9-6. E 9-7. B 9-8. D 9-9. E 9-10. A

10

CHAPTER

EVALUATION AND CONTROL

10.1	Measuring Performance
10.1.1	Appropriate Measures
10.1.2	Types of Controls
10.1.3	Activity-Based Costing
10.1.4	Enterprise Risk Management
10.1.5	Primary Measures of Corporate Performance
10.2	Balanced Scorecard Approach: Using Key Performance Measures
10.2.1	Primary Measures of Divisional and Functional Performance
10.2.2	Responsibility Centers
10.3	Using Benchmarking To Evaluate Performance
10.4	Strategic Information Systems
10.4.1	Enterprise Resource Planning
10.4.2	Radio Frequency Identification and Near Field Communication
10.4.3	Divisional and Functional IS Support
10.5	Problems in Measuring Performance
10.5.1	Short-Term Orientation
10.5.2	Goal Displacement
10.5.3	Guidelines for Proper Control
10.5.4	Aligning Incentives
10.6	Summary
10.7	Key Term
10.8	Review Questions
10.9	Strategic Practice Exercise
10.10	Multiple-choice Questions

STUCK IN THE MIDDLE – PIZZA HUT



If you want to be in a business with thousands of competitors, then you must execute exceptionally well and keep up with the competitive environment. While Pizza Hut was growing their business, they failed to keep up with the changes in the industry. Pizza Hut was founded in 1958 and in 2016 had more than 14,100 locations in over 90 countries and was still the number one pizza chain in the world with sales in excess of US\$5.5 billion. Unfortunately, that number was down 3.5% from the previous year as competitors who are more attuned to the customer have taken market share.

Making pizza is a staple of restaurants around the world and there is little rocket science in the effort. What has changed over time is the means by which customers want to order, what they want as ingredients and how they want to consume their pizza. Online and mobile ordering now accounts for more than 50% of rival Domino's business. Customers are demanding fresh ingredients, gluten-free options, and high-speed preparation. The advent of fast-casual restaurants where customers watch the preparation of their food has only exasperated this situation.

Into this new era comes a Pizza Hut empire that was built around a hidden kitchen, pizzas that take 15–20 minutes to prepare and a 1950s style eating area that is anything but comfortable. After evaluating the best way to address the new reality, Pizza Hut began experimenting with new ovens that could cook a pizza in three-and-a-half minutes, redesigned interiors that included a bar and new, simpler procedures for running a storefront. After testing the new ideas at two restaurants in Texas, Pizza Hut announced plans to remodel 700 of its U.S. stores a year through 2022.

Tracking the effect of these changes and crafting those changes systemwide will be a true evaluation and control challenge for the organization.

SOURCES: B. Sozzi, "Pizza Hut Continues Its U.S. Revival," *The Street*, March 16, 2016 (<http://www.thestreet.com/story/13496112/1/pizza-hut-continues-its-u-s-revival.html>); "Pizza Hut's Shrinking Piece of the Pie," *Bloomberg BusinessWeek*, January 25–31, 2016, pp. 20–21 <http://www.yum.com/brands/ph.asp>

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10.1 MEASURING PERFORMANCE

Evaluation and control information consists of performance data and activity reports (gathered in Step 3 in **Figure 10–1**). If undesired performance results because the strategic management

10-1. Explain how various types of measures and controls are utilized to properly assess performance including activity-based costing, ERM, ROI, and EVA

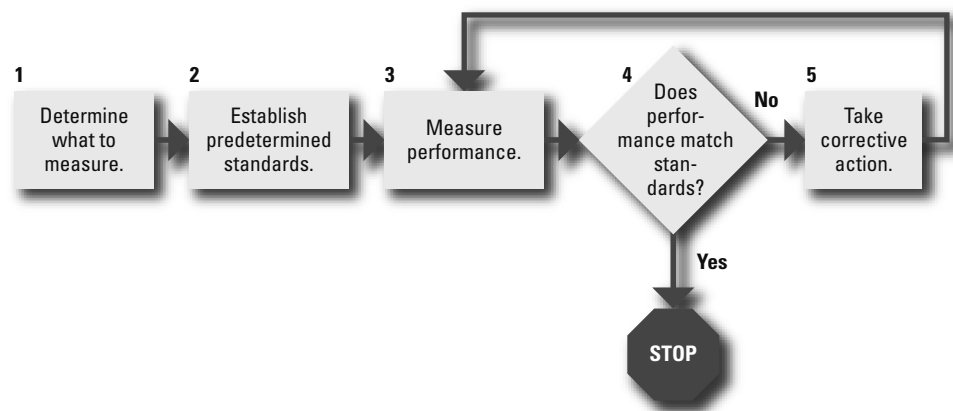


Figure 10.1 Evaluation and Control Process

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processes were inappropriately used, operational managers must know about it so they can correct the employee activity. Top management need not be involved. If, however, undesired performance results from the processes themselves, top managers, as well as operational managers, must know about it so they can develop new implementation programs or procedures. Evaluation and control information must be relevant to what is being monitored. One of the obstacles to effective control is the difficulty in developing appropriate measures of important activities and outputs. **Performance** is the end result of activity. Select measures to assess performance based on the organizational unit to be appraised and the objectives to be achieved. The objectives that were established earlier in the strategy formulation part of the strategic management process (dealing with profitability, market share, and cost reduction, among others) should certainly be used to measure corporate performance once the strategies have been implemented.

10.1.1 Appropriate Measures

Some measures, such as return on investment (ROI) and earnings per share (EPS), are appropriate for evaluating a corporation's or a division's ability to achieve a profitability objective. This type of measure, however, is inadequate for evaluating additional corporate objectives such as social responsibility or employee development. Even though profitability is a corporation's major objective, ROI and EPS can be computed only after profits are totaled for a period. It tells what happened after the fact—not what is happening or what will happen. A firm, therefore, needs to develop measures that predict likely profitability. These are referred to as **steering controls** because they measure variables that influence future profitability. Every industry has its own set of key metrics that tend to predict profits. Airlines, for example, closely monitor cost per available seat mile (CASM). In 2002,

Southwest's cost per passenger mile was 7.4¢, the lowest among the major airlines in the industry, contrasted with U.S. Airways 11.6¢, the highest in the industry. Its low costs gave Southwest a significant competitive advantage. By 2015, Southwest's costs had risen substantially to 12.4¢, while U.S. Airways had moved to 12.7¢ just ahead of its merger with American Airlines. In the meantime, Southwest had been replaced as the most low-cost airline by Spirit Airlines, whose cost per ASM in 2015 was 10.1¢.

An example of a steering control used by retail stores is the *inventory turnover ratio*, in which a retailer's cost of goods sold is divided by the average value of its inventories. This measure shows how hard an investment in inventory is working; the higher the ratio, the better. Not only does quicker moving inventory tie up less cash in inventories, it also reduces the risk that the goods will grow obsolete before they're sold—a crucial measure for computers and other technology items. For example, Office Depot increased its inventory turnover ratio from 6.9 in one year to 7.5 the next year, leading to improved annual profits.

Another steering control is customer satisfaction. Research reveals that companies that score high on the *American Customer Satisfaction Index (ACSI)*, a measure developed by the University of Michigan's National Research Center, have higher stock returns and better cash flows than those companies that score low on the ACSI. A change in a firm's customer satisfaction typically works its way through a firm's value chain and is eventually reflected in quarterly profits. Other approaches to measuring customer satisfaction include Oracle's use of the ratio of quarterly sales divided by customer service requests and the total number of hours that technicians spend on the phone solving customer problems. To help executives keep track of important steering controls, Netsuite developed *dashboard* software that displays critical information in easy-to-read computer graphics assembled from data pulled from other corporate software programs.

10.1.2 Types of Controls

Controls can be established to focus on actual performance results (output), the activities that generate the performance (behavior), or on resources that are used in performance (input). **Output controls** specify what is to be accomplished by focusing on the end result of the behaviors through the use of objectives and performance targets or milestones. **Behavior controls** specify how something is to be done through policies, rules, standard operating procedures, and orders from a superior. **Input controls** emphasize resources, such as knowledge, skills, abilities, values, and motives of employees.

Output, behavior, and input controls are not interchangeable. Output controls (such as sales quotas, specific cost-reduction or profit objectives, and surveys of customer satisfaction) are most

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appropriate when specific output measures have been agreed on but the cause–effect connection between activities and results is not clear. Behavior controls (such as following company procedures, making sales calls to potential customers, and getting to work on time) are most appropriate when performance results are hard to measure, but the cause–effect connection between activities and results is relatively clear. Input controls (such as number of years of education and experience) are most appropriate when output is difficult to measure and there is no clear cause–effect relationship between behavior and performance (such as in college teaching). Corporations following the strategy of conglomerate diversification tend to emphasize output controls with their divisions and subsidiaries (presumably because they are managed independently of each other), whereas, corporations following concentric diversification use all three types of controls (presumably because synergy is desired). Even if all three types of control are used, one or two of them may be emphasized more than another depending on the circumstances. For example, Muralidharan and Hamilton propose that as a multinational corporation moves through its stages of development, its emphasis on control should shift from being primarily output at first, to behavioral, and finally to input control.

Examples of increasingly popular behavior controls are the ISO 9000 and 14000 Standards Series on quality and environmental assurance, developed by the International Standards Association of Geneva, Switzerland. Using the **ISO 9000 Standards Series** (now a family of standards with eight management principles which we discussed in **Chapter 9**) is a way of objectively documenting a company's high level of quality operations. The **ISO 14000 Standards Series** establishes how to document the company's impact on the environment. A company wanting ISO 9000 certification would document its process for product introductions, among other things. ISO 9001 would require this firm to separately document design input, design process, design output, and design verification—a large amount of work. ISO 14001 would specify how companies should establish, maintain and continually improve an environmental management system. The benefits from ISO certification are partially in cost savings, but primarily they are a signal to suppliers and buyers about the focus of the company. For an example of how one company that is steeped in controls is using an innovative idea to improve their systems, see the **Innovation Issue** feature.

Many corporations view ISO 9000 certification as assurance that a supplier sells quality products. Companies in more than 119 countries require ISO 9000 and/or ISO 14000 certification of their suppliers.

Airmax is a fleet management company that earned its ISO 14000 certification in 2013 by rigorously working to improve its environmental efforts. This included creating a monitor that



INNOVATION ISSUE

SOLAR POWER AND THE GRID

No industry is more concerned about established procedures and minimizing fluctuations in their business model than the electric utility industry. Beyond storms that bring down the power grid, the biggest issue is dealing with fluctuations in power demand. Backup generators, purchasing power from other utilities, and keeping excess power available has been used for decades. However, the wide-scale introduction of solar arrays has added a whole new wrinkle to the issue in the industry. While solar arrays work quite well when the sun is shining, even modest cloud cover can cause large fluctuations in output.

Duke Energy in partnership with startup Aquion Energy's environmentally developed batteries in combination with ultracapacitors made by Maxwell, is looking to smooth out fluctuations in the power grid. Not only would the system be good for the environment, but it would provide an innovative solution to a known problem in the industry. Duke Energy had over 600 megawatts of solar capacity by early 2016.

Ultracapacitors are like a battery, but store energy in an electric field instead of a chemical reaction. Ultracapacitors can provide short bursts of high power, while the grid batteries can deliver lower sustained power over several hours. Some utilities are using lithium-ion batteries similar to those used in laptops and automobiles. Elon Musk publically stated that the demand for Tesla Grid Batteries had been enormous. One study found that the market for energy storage in the United States grew 243% last year and is expected to reach a value of \$2.5 billion by 2020. The batteries developed by Aquion are low cost, non-toxic batteries made from salt water, carbon, and manganese oxide.

Duke sees battery systems as a means for smoothing out sudden swings in output from solar arrays, thus helping the whole grid work more smoothly. The solar arrays could be used to provide power (when the sun is shining) to the grid, as well as to the recharging of battery systems.

SOURCES: K. Fehrenbacher, "Unusual Battery Plugs Into North Carolina Power Grid," *Fortune*, March 10, 2016 (<http://fortune.com/2016/03/10/duke-energy-unusual-battery-north-carolina-grid/>); <http://www.duke-energy.com/news/releases/2015042201.asp>; B. Henderson, "Duke to Test Uses for EV Batteries," *The Charlotte Observer* (November 16, 2012), pg. 2B.

tracked the actual CO₂ output of their vehicle fleet based on actual fuel burn and not the estimates generally used in the industry.

Another example of a behavior control is a company's monitoring of employee phone calls and PCs to ensure that employees

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are behaving according to company guidelines. In a survey done in 2015, 67.3% of U.S. employers reported using some form of electronic monitoring in the workplace. The average time spent online on non-work issues by employees has been estimated at one to three hours per day. In one company, a disgruntled supervisor was spending six to seven hours a day doing everything from job searching to looking up recipes and downloading coupons.

10.1.3 Activity-Based Costing

Activity-based costing (ABC) is an accounting method for allocating indirect and fixed costs to individual products or product lines based on the value-added activities going into that product. This accounting method is very useful in constructing a value-chain analysis of a firm's activities for making outsourcing decisions. Traditional cost accounting, in contrast, focuses on valuing a company's inventory for financial reporting purposes. To obtain a unit's cost, cost accountants typically add direct labor to the cost of materials. Then they compute overhead from rent to R&D expenses, based on the number of direct labor hours it takes to make a product. To obtain unit cost, they divide the total by the number of items made during the period under consideration.

Traditional cost accounting is useful when direct labor accounts for most of total costs and a company produces just a few products requiring the same processes. This may have been true of companies during the early part of the twentieth century, but it is no longer relevant today, when overhead may account for as much as 70% of manufacturing costs. The appropriate allocation of indirect costs and overhead is crucial for decision making. The traditional volume-based cost-driven system systematically understates the cost per unit of products with low sales volumes and products with a high degree of complexity. Similarly, it overstates the cost per unit of products with high sales volumes and a low degree of complexity. When Chrysler used ABC, it discovered that the true cost of some of the parts used in making cars was 30 times what the company had previously estimated.

ABC accounting allows accountants to charge costs more accurately than the traditional method because it allocates overhead far more precisely. For example, imagine a production line in a pen factory where black pens are made in high volume and blue pens in low volume. Assume that it takes eight hours to retool (reprogram the machinery) to shift production from one kind of pen to the other. The total costs include supplies (the same for both pens), the direct labor of the line workers, and factory overhead. In this instance, a very significant part of the overhead cost is the cost of reprogramming the machinery to switch from one pen to another. If the company produces 10 times as many black pens as blue pens, 10 times the cost of the reprogramming expenses will be allocated to the black pens as to the blue pens.

under traditional cost accounting methods. This approach underestimates, however, the true cost of making the blue pens.

ABC accounting, in contrast, first breaks down pen manufacturing into its activities. It is then very easy to see that it is the activity of changing pens that triggers the cost of retooling. The ABC accountant calculates an average cost of setting up the machinery and charges it against each batch of pens that requires retooling, regardless of the size of the run. Thus, a product carries only those costs for the overhead it actually consumes. Management is now able to discover that its blue pens cost almost twice as much as do the black pens. Unless the company is able to charge a higher price for its blue pens, it cannot make a profit on these pens. Unless there is a strategic reason why it must offer blue pens (such as a key customer who must have a small number of blue pens with every large order of black pens or a marketing trend away from black to blue pens), the company will earn significantly greater profits if it completely stops making blue pens.

10.1.4 Enterprise Risk Management

Enterprise Risk Management (ERM) is a corporatewide, integrated process for managing the uncertainties that could negatively or positively influence the achievement of the corporation's objectives. In the past, managing risk was done in a fragmented manner within functions or business units. Individuals would manage process risk; safety risk; and insurance, financial, and other assorted risks. As a result of this fragmented approach, companies would take huge risks in some areas of the business while over-managing substantially smaller risks in other areas. ERM is being adopted because of the increasing amount of environmental uncertainty that can affect an entire corporation. As a result, the position Chief Risk Officer is one of the fastest growing executive positions in U.S. corporations. Microsoft uses scenario analysis to identify key business risks. According to Microsoft's treasurer, Brent Callinicos, "The scenarios are really what we're trying to protect against." The scenarios were the possibility of an earthquake in the Seattle region and a major downturn in the stock market.

The process of rating risks involves three steps:

1. Identify the risks using scenario analysis, brainstorming, or by performing risk self-assessments.
2. Rank the risks, using some scale of impact and likelihood.
3. Measure the risks, using some agreed-upon standard.

Some companies are using value at risk, or VAR (effect of unlikely events in normal markets), and stress testing (effect of plausible events in abnormal markets) methodologies to measure the potential impact of the financial risks they face. DuPont uses earnings at risk (EAR) measuring tools to measure the effect of

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risk on reported earnings. It can then manage risk to a specified earnings level based on the company's "risk appetite." With this integrated view, DuPont can view how risks affect the likelihood of achieving certain earnings targets. Research has shown that companies with integrative risk management capabilities achieve superior economic performance.

10.1.5 Primary Measures of Corporate Performance

The days when simple financial measures such as ROI or EPS were used alone to assess overall corporate performance have generally come to an end. Analysts recommend a broad range of methods to evaluate the success or failure of a strategy. Some of these methods are stakeholder measures, shareholder value, and the balanced scorecard approach. Even though each of these methods has supporters as well as detractors, the current trend is clearly toward more complicated financial measures and an increasing use of non-financial measures of corporate performance. For example, research indicates that companies pursuing strategies founded on innovation and new product development now tend to favor non-financial over financial measures.

Traditional Financial Measures

The most commonly used measure of corporate performance (in terms of profits) is **return on investment (ROI)**. It is simply the result of dividing net income before taxes by the total amount invested in the company (typically measured by total assets). Although using ROI has several advantages, it also has several distinct limitations. While ROI gives the impression of objectivity and precision, it can be easily manipulated.

Earnings per share (EPS), which involves dividing net earnings by the amount of common stock, also has several deficiencies as an evaluation of past and future performance. First, because alternative accounting principles are available, EPS can have several different but equally acceptable values, depending on the principle selected for its computation. Second, because EPS is based on accrual income, the conversion of income to cash can be near term or delayed. Therefore, EPS does not consider the time value of money. **Return on equity (ROE)**, which involves dividing net income by total equity, also has limitations because it is also derived from accounting-based data. In addition, EPS and ROE are often unrelated to a company's stock price.

Operating cash flow, the amount of money generated by a company before the cost of financing and taxes, is a broad measure of a company's funds. This is the company's net income plus depreciation, depletion, amortization, interest expense, and income tax expense. Some takeover specialists look at a much narrower **free cash flow**: the amount of money a new owner can take out of the firm without harming the business. This is net income plus depreciation,

depletion, and amortization less capital expenditures and dividends. The free cash flow ratio is very useful in evaluating the stability of an entrepreneurial venture. Although cash flow may be harder to manipulate than earnings, the number can be increased by selling accounts receivable, classifying outstanding checks as accounts payable, trading securities, and capitalizing certain expenses, such as direct-response advertising.

Because of these and other limitations, ROI, EPS, ROE, and operating cash flow are not by themselves adequate measures of corporate performance. At the same time, these traditional financial measures are very appropriate when used with complementary financial and non-financial measures. For example, some non-financial performance measures used by Internet business ventures are *stickiness* (length of Web site visit), *eyeballs* (number of people who visit a Web site), and *mindshare* (brand awareness). Mergers and acquisitions may be priced on multiples of *MUUs* (monthly unique users) or even on registered users.

Shareholder Value

Because of the belief that accounting-based numbers such as ROI, ROE, and EPS are not reliable indicators of a corporation's economic value, many corporations are using shareholder value as a better measure of corporate performance and strategic management effectiveness.

Shareholder value can be defined as the present value of the anticipated future stream of cash flows from the business plus the value of the company if liquidated. Arguing that the purpose of a company is to increase shareholder wealth, shareholder value analysis concentrates on cash flow as the key measure of performance. The value of a corporation is thus the value of its cash flows discounted back to their present value, using the business's cost of capital as the discount rate. As long as the returns from a business exceed its cost of capital, the business will create value and be worth more than the capital invested in it. For example, Deere and Company charges each business unit a cost of capital of 1% of assets a month. Each business unit is required to earn a shareholder value-added profit margin of 20%, on average, over the business cycle. Financial rewards are linked to this measure.

The New York consulting firm Stern Stewart & Company devised and popularized two shareholder value measures: economic value added (EVA) and market value added (MVA). A basic tenet of EVA and MVA is that businesses should not invest in projects unless they can generate a profit above the cost of capital. Stern Stewart argues that a deficiency of traditional accounting-based measures is that they assume the cost of capital to be zero. Well-known companies, such as Coca-Cola, General Electric, AT&T, Whirlpool, Quaker Oats, Eli Lilly, Georgia-Pacific, Polaroid, Sprint, Toyota, and Tenneco have adopted MVA and/or EVA as the best yardstick for corporate performance.

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Economic value added (EVA) has become an extremely popular shareholder value method of measuring corporate and divisional performance and may be on its way to replacing ROI as the standard performance measure. EVA measures the difference between the pre-strategy and post-strategy values for the business. Simply put, EVA is after-tax operating income minus the total annual cost of capital. The formula to measure EVA is:

$$\text{EVA} = \text{after-tax operating income} - (\text{investment in assets} \times \text{weighted average cost of capital})^{26}$$

The cost of capital combines the cost of debt and equity. The annual cost of borrowed capital is the interest charged by the firm's banks and bondholders. To calculate the cost of equity, assume that shareholders generally earn about 6% more on stocks than on government bonds. If long-term treasury bills are selling at 2.5%, the firm's cost of equity should be 8.5%—more if the firm is in a risky industry. A corporation's overall cost of capital is the weighted-average cost of the firm's debt and equity capital. The investment in assets is the total amount of capital invested in the business, including buildings, machines, computers, and investments in R&D and training (allocating costs annually over their useful life). Because the typical balance sheet understates the investment made in a company, Stern Stewart has identified more than 160 possible adjustments, before EVA is calculated. Multiply the firm's total investment in assets by the weighted-average cost of capital. Subtract that figure from after-tax operating income. If the difference is positive, the strategy (and the management employing it) is generating value for the shareholders. If it is negative, the strategy is destroying shareholder value.

Roberto Goizueta, past-CEO of Coca-Cola, explained, "We raise capital to make concentrate, and sell it at an operating profit. Then we pay the cost of that capital. Shareholders pocket the difference." Managers can improve their company's or business unit's EVA by: (1) earning more profit without using more capital, (2) using less capital, and (3) investing capital in high-return projects. Studies have found that companies using EVA outperform their median competitor by an average of 8.43% of total return annually. EVA does, however, have some limitations. For one thing, it does not control for size differences across plants or divisions. As with ROI, managers can manipulate the numbers. As with ROI, EVA is an after-the-fact measure and cannot be used like a steering control. Although proponents of EVA argue that EVA (unlike return on investment, equity, or sales) has a strong relationship to stock price, other studies do not support this contention.

Market value added (MVA) is the difference between the market value of a corporation and the capital contributed by shareholders and lenders. Like net present value, it measures the stock market's estimate of the net present value of a firm's past

and expected capital investment projects. As such, MVA is the present value of future EVA. To calculate MVA:

1. Add all the capital that has been put into a company—from shareholders, bondholders, and retained earnings.
2. Reclassify certain accounting expenses, such as R&D, to reflect that they are actually investments in future earnings. This provides the firm's total capital. So far, this is the same approach taken in calculating EVA.
3. Using the current stock price, total the value of all outstanding stock, adding it to the company's debt. This is the company's market value. If the company's market value is greater than all the capital invested in it, the firm has a positive MVA—meaning that management (and the strategy it is following) has created wealth. In some cases, however, the market value of the company is actually less than the capital put into it, which means shareholder wealth is being destroyed.

Studies have shown that EVA is a predictor of MVA. Consecutive years of positive EVA generally lead to a soaring MVA. Research also reveals that CEO turnover is significantly correlated with MVA and EVA, whereas ROA and ROE are not. This suggests that EVA and MVA may be more appropriate measures of the market's evaluation of a firm's strategy and its management than are the traditional measures of corporate performance. Nevertheless, these measures consider only the financial interests of the shareholder and ignore other stakeholders, such as environmentalists and employees.

Climate change is likely to lead to new regulations, technological remedies, and shifts in consumer behavior. It will thus have a significant impact on the financial performance of many corporations. To see how companies are using new techniques that are simultaneously good for the environment as well as being good for the company, see the **Sustainability Issue** feature.

10.2 BALANCED SCORECARD APPROACH: USING KEY PERFORMANCE MEASURES

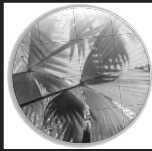
Rather than evaluate a corporation using a few financial measures, Kaplan and Norton suggested a “balanced scorecard” that includes non-financial as well as financial measures. This approach is especially useful given that research indicates that non-financial assets explain 50% to 80% of a firm's value. The **balanced scorecard** combines financial measures that tell the results of actions already taken with operational measures on customer satisfaction, internal processes, and the corporation's innovation and improvement activities—the drivers of future financial performance. Thus, steering controls are combined with output controls. In the balanced scorecard, management develops goals or objectives in each of four areas:

⇒ **Financial:** How do we appear to shareholders?

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- 10-2. Develop a balanced scorecard to examine key performance measures of a company

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SUSTAINABILITY ISSUE

THE END OF THE CASH REGISTER RECEIPT

More than 9 million trees are cut down each year to make cash register receipts in the United States and most of those receipts are simply thrown away. A number of companies were moving toward e-receipts in the late 1990s, but the dot-com bust brought all that to a temporary end. In 2005, Apple introduced e-receipts at its stylish Apple stores and the wave began.

E-receipts not only save on unnecessary printing and landfill waste; they also provide the customer with an electronic record of purchases (for taxes, expense reports, or gift returns). While thousands of companies have gone to an e-receipts option, some are taking it all a step further. Wal*Mart has developed an e-receipts locker app that keeps all purchase receipts easily available for the customer. The advantage beyond cost savings for the retailer is having the customer's e-mail address for use with promotions.

Some companies are using this new opportunity to provide real value to the consumer with the creation of the "smart receipt." The smart receipt shows up in your e-mail and might include links to videos on how to install the product or links to social media. It might have links to coupons or surveys. Meanwhile, all sorts of information is being gathered by the retailer so you can be targeted more precisely.

SOURCES: J. Kelly, "We may be hearing the last of, 'Do you just want the receipt in the bag?'" The Washington Post, June 8, 2015 (https://www.washingtonpost.com/local/we-may-be-hearing-the-last-of-do-you-just-want-the-receipt-in-the-bag/2015/06/08/bb81e340-0ba7-11e5-a7ad-b430fc1d3f5c_story.html); C. Tode, "Walmart builds ereceipts platform for better mobile in-store experiences," Mobile Commerce Daily, May 20, 2014 (<http://www.mobilecommercedaily.com/walmart-builds-ereceipts-platform-for-better-mobile-in-store-experiences>); W. Koch, "Retailers Find Profits with Paperless Receipts," USA Today (November 3, 2012), <http://www.usatoday.com/story/news/nation/2012/11/03/retailers-e-mail-digital--paperless-receipts/1675069/#>; S. Clifford, "Shopper Receipts Join Paperless Age," The New York Times (August 7, 2011), http://www.nytimes.com/2011/08/08/technology/digital-receipts-at-stores-gain-in-popularity.html?_r=0

- ⇒ **Customer:** How do customers view us?
- ⇒ **Internal business perspective:** What must we excel at?
- ⇒ **Innovation and learning:** Can we continue to improve and create value?

Each goal in each area (for example, avoiding bankruptcy in the financial area) is then assigned one or more measures, as well as a target and an initiative. These measures can be thought of as **key performance measures**—measures that are essential for achieving a desired strategic option. For example, a company

could include cash flow, quarterly sales growth, and ROE as measures for success in the financial area. It could include market share (competitive position goal), customer satisfaction, and percentage of new sales coming from new products (customer acceptance goal) as measures under the customer perspective. It could include cycle time and unit cost (manufacturing excellence goal) as measures under the internal business perspective. It could include time to develop next-generation products (technology leadership objective) under the innovation and learning perspective.

A 2013 global survey by Bain & Company reported that 73% of Fortune 1,000 companies in North America were projected to use a version of the balanced scorecard. A study of the Fortune 500 firms in the United States and the Post 300 firms in Canada revealed the most popular non-financial measures to be customer satisfaction, customer service, product quality, market share, productivity, service quality, and core competencies. New product development, corporate culture, and market growth were not far behind. DuPont's Engineering Polymers Division uses the balanced scorecard to align employees, business units, and shared services around a common strategy involving productivity improvements and revenue growth. Corporate experience with the balanced scorecard reveals that a firm should tailor the system to suit its situation, not just adopt it as a cookbook approach. When the balanced scorecard complements corporate strategy, it improves performance. Using the method in a mechanistic fashion without any link to strategy hinders performance and may even decrease it.

Evaluating Top Management and the Board of Directors

Through its strategy, audit, and compensation committees, a board of directors is charged with closely evaluating the job performance of the CEO and the top management team. A recent study found that 98% of Boards used financial measures as the key criteria for CEO and top management team performance evaluation while less than half of organizations look at more qualitative measures, such as customer satisfaction (37%) or innovation (24%). The board, however, is also concerned with other factors.

Members of the compensation committees of today's boards of directors generally agree that a CEO's ability to establish strategic direction, build a management team, and provide leadership are more critical in the long run than are a few quantitative measures. The board should evaluate top management not only on the typical output-oriented quantitative measures, but also on behavioral measures—factors relating to its strategic management practices. According to the same survey by Hay Group, some softer skills such as leadership (77%) and succession planning (65%) were reported as showing up in evaluations. The specific items that a board uses to evaluate its top management should be derived from the objectives that both the board and top management agreed on earlier. If better

N O T E S

NOTES

relations with the local community and improved safety practices in work areas were selected as objectives for the year (or for five years), these items should be included in the evaluation. In addition, other factors that tend to lead to profitability might be included, such as market share, product quality, or investment intensity.

Performance evaluations of the overall board's performance were generally standard practice, but not mandated prior to 2013. After that date, boards were required to make a statement in the Board's report indicating how formal evaluations were made by the Board of its own performance and that of its committees and most importantly the individual directors.

Chairman-CEO Feedback Instrument. Many companies evaluate their CEO by using a 17-item questionnaire developed by Ram Charon, an authority on corporate governance. The questionnaire focuses on four key areas: (1) company performance, (2) leadership of the organization, (3) team-building and management succession, and (4) leadership of external constituencies. The difficulty that some board members have is understanding what a CEO should be evaluated on beyond financial performance. One recommendation is to have Board members "grade" the CEO on six characteristics: (1) vision, (2) HR, (3) proper capital allocation, (4) culture of the organization, (5) decision making, and (6) performance. These approaches are aimed at improving the conversation, mentoring, and effectiveness of the CEO.

Management Audit. Management audits are very useful to boards of directors in evaluating management's handling of various corporate activities. Management audits have been developed to evaluate activities such as corporate social responsibility, functional areas like the marketing department, and divisions such as the international division. These can be helpful if the board has selected particular functional areas or activities for improvement.

Strategic Audit. The strategic audit, presented in the **Chapter 1 Appendix 1.A**, is a type of management audit. The strategic audit provides a checklist of questions, by area or issue, that enables a systematic analysis of various corporate functions and activities to be made. It is a type of management audit and is extremely useful as a diagnostic tool to pinpoint corporatwide problem areas and to highlight organizational strengths and weaknesses. A strategic audit can help determine why a certain area is creating problems for a corporation and help generate solutions to the problem. As such, it can be very useful in evaluating the performance of top management.

10.2.1 Primary Measures of Divisional and Functional Performance

Companies use a variety of techniques to evaluate and control performance in divisions, strategic business units (SBUs), and

functional areas. If a corporation is composed of SBUs or divisions, it will use many of the same performance measures (ROI or EVA, for instance) that it uses to assess overall corporate performance. To the extent that it can isolate specific functional units such as R&D, the corporation may develop responsibility centers. It will also use typical functional measures, such as market share and sales per employee (marketing), unit costs and percentage of defects (operations), percentage of sales from new products and number of patents (R&D), and turnover and job satisfaction (HRM). FedEx used Enhanced Tracker software with its COSMOS database to track the progress of its 2.5 to 3.5 million shipments daily. As a courier was completing her or his day's activities, the Enhanced Tracker asked whether the person's package count equals the Enhanced Tracker's count. If the count was off, the software helped reconcile the differences.

During strategy formulation and implementation, top management approves a series of programs and supporting *operating budgets* from its business units. During evaluation and control, actual expenses are contrasted with planned expenditures, and the degree of variance is assessed. This is typically done on a monthly basis. In addition, top management will probably require *periodic statistical reports* summarizing data on such key factors as the number of new customer contracts, the volume of received orders, and productivity figures.

10.2.2 Responsibility Centers

Control systems can be established to monitor specific functions, projects, or divisions. Budgets are one type of control system that is typically used to control the financial indicators of performance. **Responsibility centers** are used to isolate a unit so it can be evaluated separately from the rest of the corporation. Each responsibility center, therefore, has its own budget and is evaluated on its use of budgeted resources. It is headed by the manager responsible for the center's performance. The center uses resources (measured in terms of costs or expenses) to produce a service or a product (measured in terms of volume or revenues). There are five major types of responsibility centers. The type is determined by the way the corporation's control system measures these resources and services or products.

- ⇒ **Standard cost centers:** **Standard cost centers** are primarily used in manufacturing facilities. Standard (or expected) costs are computed for each operation on the basis of historical data. In evaluating the center's performance, its total standard costs are multiplied by the units produced. The result is the *expected* cost of production, which is then compared to the *actual* cost of production.
- ⇒ **Revenue centers:** With **revenue centers**, production, usually in terms of unit or dollar sales, is measured without consider-

NOTES

N O T E S

ation of resource costs (for example, salaries). The center is thus judged in terms of effectiveness rather than efficiency. The effectiveness of a sales region, for example, is determined by comparing its actual sales to its projected or previous year's sales. Profits are not considered because sales departments have very limited influence over the cost of the products they sell.

- ⇒ **Expense centers:** Resources are measured in dollars, without consideration for service or product costs. Thus, budgets will have been prepared for engineered expenses (costs that can be calculated) and for discretionary expenses (costs that can be only estimated). Typical **expense centers** are administrative, service, and research departments. They cost a company money, but they only indirectly contribute to revenues.
- ⇒ **Profit centers:** Performance is measured in terms of the difference between revenues (which measure production) and expenditures (which measure resources). A **profit center** is typically established whenever an organizational unit has control over both its resources and its products or services. By having such centers, a company can be organized into divisions of separate product lines. The manager of each division is given autonomy to the extent that he or she is able to keep profits at a satisfactory (or better) level.

Some organizational units that are not usually considered potentially autonomous can, for the purpose of profit center evaluations, be made so. A manufacturing department, for example, can be converted from a standard cost center (or expense center) into a profit center; it is allowed to charge a transfer price for each product it “sells” to the sales department. The difference between the manufacturing cost per unit and the agreed-upon transfer price is the unit’s “profit.”

Transfer pricing is commonly used in vertically integrated corporations and can work well when a price can be easily determined for a designated amount of product. Transfer pricing is being increasingly scrutinized by tax authorities around the world. The latest survey suggests that companies are utilizing either a Mutual Agreement Procedure (28%) or the Advance Pricing Agreement Process (26%). At the same time 28% of companies reported having unresolved transfer pricing examinations. When a price cannot be set easily, however, the relative bargaining power of the centers, rather than strategic considerations, tends to influence the agreed-upon price. Top management has an obligation to make sure that these political considerations do not overwhelm the strategic ones. Otherwise, profit figures for each center will be biased and provide poor information for strategic decisions at both the corporate and divisional levels.

- ⇒ **Investment centers:** Because many divisions in large manufacturing corporations use significant assets to make their products, their asset base should be factored into their performance

evaluation. Thus, it is insufficient to focus only on profits, as in the case of profit centers. An **investment center's** performance is measured in terms of the difference between its resources and its services or products. For example, two divisions in a corporation make identical profits, but one division owns a \$3 million plant, whereas the other owns a \$1 million plant. Both make the same profits, but one is obviously more efficient; the smaller plant provides the shareholders with a better return on their investment. The most widely used measure of investment center performance is ROI.

Most single-business corporations, such as Buffalo Wild Wings, tend to use a combination of cost, expense, and revenue centers. In these corporations, most managers are functional specialists and manage against a budget. Total profitability is integrated at the corporate level. Multidivisional corporations with one dominating product line (such as ABInBev) that have diversified into a few businesses but that still depend on a single product line (such as beer) for most of their revenue and income, generally use a combination of cost, expense, revenue, and profit centers. Multidivisional corporations, such as General Electric, tend to emphasize investment centers—although in various units throughout the corporation other types of responsibility centers are also used. One problem with using responsibility centers, however, is that the separation needed to measure and evaluate a division's performance can diminish the level of cooperation among divisions that is needed to attain synergy for the corporation as a whole. (This problem is discussed later in this chapter, under "Suboptimization.")

10.3 USING BENCHMARKING TO EVALUATE PERFORMANCE

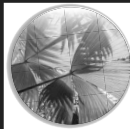
According to Xerox Corporation, the company that pioneered this concept in the United States, **benchmarking** is "the continual process of measuring products, services, and practices against the toughest competitors or those companies recognized as industry leaders." Benchmarking, an increasingly popular program, is based on the concept that it makes no sense to reinvent something that someone else is already using. It involves openly learning how others do something better than one's own company so that the company not only can imitate, but perhaps even improve upon its techniques. The benchmarking process usually involves the following steps:

1. Identify the area or process to be examined. It should be an activity that has the potential to determine a business unit's competitive advantage.
2. Find behavioral and output measures of the area or process and obtain measurements.

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- 10-3. Apply the benchmarking process to a function or an activity

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GLOBAL ISSUE

COUNTERFEIT GOODS AND PIRATED SOFTWARE: A GLOBAL PROBLEM

“We know that 15% to 20% of all goods in China are counterfeit,” states Dan Chow, a law professor at Ohio State University. This includes products from Tide detergent and Budweiser beer to Marlboro cigarettes. There is a saying in Shanghai, China: “We can copy everything except your mother.” Yamaha estimates that five out of every six bikes bearing its brand name are fake. Fake Cisco network routers (known as “Chiscos”) and counterfeit Nokia mobile phones can be easily found throughout China. Procter & Gamble estimates that 15% of the soaps and detergents under its Head & Shoulders, Vidal Sassoon, Safeguard, and Tide brands in China are counterfeit, costing the company \$150 million in lost sales.

In Yiwu, a few hours from Shanghai, one person admitted to a 60 Minutes reporter that she could make 1,000 pairs of counterfeit Nike shoes in 10 days for \$4.00 a pair. According to the market research firm Automotive Resources, the profit margins on counterfeit shock absorbers can reach 80% versus only 15% for the real ones. The World Custom Organization estimates that 7% of the world’s merchandise is bogus.

Tens of thousands of counterfeiters are active in China. They range from factories mixing shampoo and soap in back rooms to large state-owned enterprises making copies of soft drinks and beer. Other factories make everything from car batteries to automobiles. Mobile CD factories with optical disc-mastering machines counterfeit music and software. 60 Minutes found a small factory in Donguan making fake Callaway golf clubs and bags at a rate of 500 bags per week. Factories in the southern Guangdong and Fujian provinces truck their products to a central distribution center, such as the one in Yiwu. They may also be shipped across the border into Russia, Pakistan, Vietnam, or Burma. Chinese counterfeiters have developed a global reach through their connections with organized crime.

As much as 35% of software on personal computers worldwide is pirated, according to the Business Software Alliance and ISDC, a market research firm. The worldwide cost of software piracy was estimated to be around \$63 billion in 2016. For example, 21% of the software sold in the United States is pirated. That figure increases to 26%–30% in the European Union, 83% in Russia, Algeria, and Bolivia, to 86% in China, 87% in Indonesia, and 90% in Vietnam.

SOURCES: T. Miracco, “The Hidden Cost Of Software Piracy In The Manufacturing Industry,” MBT Magazine, February 2016 (<http://www.mbtmag.com/article/2016/02/hidden-cost-software-piracy-manufacturing-industry>); “The Sincerest Form of Flattery,” *The Economist* (April 7, 2007), pp. 64–65; F. Balfour, “Fakes!” *BusinessWeek* (February 7, 2005), pp. 54–64; “PC Software Piracy,” *The Economist* (June 10, 2006), p. 102 “The World’s Greatest Fakes,” 60 Minutes, CBS News (August 8, 2004); “Business Software Piracy,” *Pocket World in Figures 2004* (London: Economist & Profile Book, 2003), p. 60 D. Roberts, F. Balfour, P. Magnusson, P. Engardio, and J. Lee, “China’s Piracy Plague,” *BusinessWeek* (June 5, 2000), pp. 44–48.

3. Select an accessible set of competitors and best-in-class companies against which to benchmark. These may very often be companies that are in completely different industries, but perform similar activities. For example, when Xerox wanted to improve its order fulfillment, it went to L.L.Bean, the successful mail order firm, to learn how it achieved excellence in this area.
4. Calculate the differences among the company's performance measurements and those of the best-in-class and determine why the differences exist.
5. Develop tactical programs for closing performance gaps.
6. Implement the programs and then compare the resulting new measurements with those of the best-in-class companies.

Benchmarking has been found to produce best results in companies that are already well managed. Apparently poorer performing firms tend to be overwhelmed by the discrepancy between their performance and the benchmark—and tend to view the benchmark as too difficult to reach. Nevertheless, a 2015 survey by Bain & Company of companies of various sizes across the globe found that benchmarking was the second most used tool (tied with strategic planning). Benchmarking can also increase sales, improve goal setting, and boost employee motivation. Manco Inc., a small Cleveland-area producer of duct tape, regularly benchmarks itself against Wal-Mart, Rubbermaid, and PepsiCo to enable it to better compete with giant 3M. APQC (American Productivity & Quality Center), a Houston research group, established the Open Standards Benchmarking Collaborative database, composed of more than 1,200 commonly used measures and individual benchmarks, to track the performance of core operational functions. Firms can submit their performance data to this online database to learn how they compare to top performers and industry peers (see www.apqc.org).

In an odd twist to benchmarking, an issue in international trade is counterfeiting/piracy. Firms in developing nations around the world make money by making counterfeit/pirated copies of well-known name-brand products and selling them globally as well as locally. See the **Global Issue** feature to learn about this important problem.

10.4 STRATEGIC INFORMATION SYSTEMS

Before performance measures can have any impact on strategic management, they must first be communicated to the people responsible for formulating and implementing strategic plans. Strategic information systems can perform this function. They can be computer-based or manual, formal or informal. One of the key reasons given for the bankruptcy of International Harvester was the inability of the corporation's top management to precisely determine income by major class of similar products. Because of this inability, management kept trying to fix ailing businesses and

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- 10-4. Explain how strategic information systems are being utilized to support specific strategies

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was unable to respond flexibly to major changes and unexpected events. In contrast, one of the key reasons for the success of Wal-Mart has been management's use of the company's sophisticated information system to control purchasing decisions. Checkout registers in Wal-Mart retail stores transmit information hourly to computers at the company headquarters. Consequently, managers know every morning exactly how many of each item were sold the day before, how many have been sold so far in the year, and how this year's sales compare to last year's. The information system allows all reordering to be done automatically by computers, without any managerial input. It also allows the company to experiment with new products without committing to big orders in advance. In effect, the system allows the customers to decide through their purchases what gets reordered.

10.4.1 Enterprise Resource Planning

Many corporations around the world have adopted **enterprise resource planning (ERP)** software. ERP unites all of a company's major business activities, from order processing to production, within a single family of software modules. The system provides instant access to critical information to everyone in the organization, from the CEO to the factory floor worker. Because of the ability of ERP software to use a common information system throughout a company's many operations around the world, it is becoming the business information systems' global standard. The major providers of this software are SAP, Oracle, and Infor.

The German company SAP AG originated the concept with its R/3 software system. Microsoft, for example, used R/3 to replace a tangle of 33 financial tracking systems in 26 subsidiaries. Even though it cost the company \$25 million and took 10 months to install, R/3 annually saves Microsoft \$18 million. Coca-Cola uses the R/3 system to enable a manager in Atlanta to use her personal computer to check the latest sales of 20-ounce bottles of Coke Classic in India. Owens-Corning envisioned that its R/3 system allowed salespeople to learn what was available at any plant or warehouse and to quickly assemble orders for customers.

ERP may not fit every company, however. The system is extremely complicated and demands a high level of standardization throughout a corporation. Its demanding nature often forces companies to change the way they do business. There are three reasons ERP could fail: (1) insufficient tailoring of the software to fit the company, (2) inadequate training, and (3) insufficient implementation support. Over the two-year period of installing R/3, Owens-Corning had to completely overhaul its operations. Because R/3 was incompatible with Apple's very organic corporate culture, the company was able to apply it only to its order management and financial operations, but not to manufacturing. Other companies that had difficulty installing and using ERP are Whirlpool,

Hershey Foods, Volkswagen, and Stanley Works. At Whirlpool, SAP's software led to missed and delayed shipments, causing The Home Depot to cancel its agreement for selling Whirlpool products. One survey found that 65% of executives believed that ERP had a moderate chance of hurting their business because of implementation problems. Nevertheless, the payoff from ERP software can be worth the effort. In an industry where one company implements ERP ahead of its competitors, it can be used to gain some competitive advantage, streamline operations, and help manage a lean manufacturing system.

10.4.2 Radio Frequency Identification and Near Field Communication

Radio frequency identification (RFID) is an electronic tagging technology used in a number of companies to improve supply-chain efficiency while near field communication (NFC) stands for contactless communication between devices like smartphones or tablets. By tagging containers and items with tiny chips, companies use the tags as wireless barcodes to track inventory more efficiently. Both Wal-Mart and the U.S. Department of Defense began requiring their largest suppliers to incorporate RFID tags in their goods in 2003. After trying to implement RFID for the past decade, the UK-based supermarket chain Tesco postponed their full implementation of RFID technology in late 2012. Tesco had planned to deploy RFID tags and readers in 1,400 stores and in its distribution centers by the middle of 2012. However, it had installed RFID tags in only 40 stores and one depot before it brought the program to a halt.

Nevertheless, some suppliers and retailers of expensive consumer products view the cost of the tag as worthwhile because it reduces losses from counterfeiting and theft. Decathlon uses RFID technology at its 43 distribution centers and 1,030 stores to improve on-shelf availability and reduce shrinkage while Qinshan Nuclear Power Plant (Zhejiang, the People's Republic of China) uses RFID to track its 7,000 workers. RFID technology is currently in wide use as wireless commuter passes for toll roads, tunnels, and bridges. A take on this type of communication is NFC which has been used by Targetto transform the in-store shopping experience and is the means being used by Apple and Samsung to take over how mobile payments are transacted.

10.4.3 Divisional and Functional IS Support

At the divisional or SBU level of a corporation, the information system should be used to support, reinforce, or enlarge the business-level strategy through its decision support system. An SBU pursuing a strategy of overall cost leadership could use its information system to reduce costs either by improving labor productivity or

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- 10-5.** Discuss the issues with measuring organizational performance and how organizations can establish proper controls to achieve objectives

improving the use of other resources such as inventory or machinery. Kaiser Health had 37 hospitals, 15,857 physicians, and 9 million plus members all tied together in a single system that allowed the organization to improve health services and increase its ability to reduce problems in the system. An internal study of heart attacks among 46,000 patients in Northern California who were 30 years and older showed a decline of 24%. Kaiser has also reduced mortality rates by 40% since 2008 for its hospital patients who contract sepsis, a dangerous infectious disease. Another SBU, in contrast, might want to pursue a differentiation strategy. It could use its information system to add uniqueness to the product or service and contribute to quality, service, or image through the functional areas. FedEx wanted to use superior service to gain a competitive advantage. It invested significantly in several types of information systems to measure and track the performance of its delivery service. Together, these information systems gave FedEx the fastest error-response time in the overnight delivery business.

10.5 PROBLEMS IN MEASURING PERFORMANCE

The measurement of performance is a crucial part of evaluation and control. The lack of quantifiable objectives or performance standards and the inability of the information system to provide timely and valid information are two obvious control problems. Without objective and timely measurements, it would be extremely difficult to make operational, let alone strategic, decisions. Nevertheless, the use of timely, quantifiable standards does not guarantee good performance. The very act of monitoring and measuring performance can cause side effects that interfere with overall corporate performance. Among the most frequent negative side effects are a short-term orientation and goal displacement.

10.5.1 Short-Term Orientation

Top executives report that in many situations, they analyze neither the long-term implications of present operations on the strategy they have adopted nor the operational impact of a strategy on the corporate mission. Long-term evaluations may not be conducted because executives (1) don't realize their importance, (2) believe that short-term considerations are more important than long-term considerations, (3) aren't personally evaluated on a long-term basis, or (4) don't have the time to make a long-term analysis. There is no real justification for the first and last reasons. If executives realize the importance of long-term evaluations, they make the time needed to conduct them. Even though many chief executives point to immediate pressures from the investment community and to short-term incentive and promotion plans to support the second and third reasons, evidence does not always support their claims.

At one international heavy-equipment manufacturer, managers were so strongly motivated to achieve their quarterly revenue target that they shipped unfinished products from their plant in England to a warehouse in the Netherlands for final assembly. By shipping the incomplete products, they were able to realize the sales before the end of the quarter—thus fulfilling their budgeted objective and making their bonuses. Unfortunately, the high cost of assembling the goods at a distant location (requiring not only renting the warehouse but also paying additional labor) ended up reducing the company's overall profit.

Many accounting-based measures, such as EPS and ROI, encourage a **short-term orientation** in which managers consider only current tactical or operational issues and ignore long-term strategic ones. Because growth in EPS (earnings per share) is an important driver of near-term stock price, top managers are biased against investments that might reduce short-term EPS. This is compounded by pressure from financial analysts and investors for quarterly *earnings guidance*—that is, estimates of future corporate earnings. Hewlett-Packard (HP) acquired British firm Autonomy for \$11.1 billion in 2011 and had to write down (eliminate from the financial reports) \$8.8 billion of that amount in 2012 as the company found significant accounting errors. Multiple lawsuits were filed against HP, its officers, directors, and the accounting firms involved with Autonomy before the acquisition. HP later broke up into two companies and HP Enterprise was able to use some unique capabilities that Autonomy owned in order to dramatically push into cloud computing with developers.

One of the limitations of ROI as a performance measure is its short-term nature. In theory, ROI is not limited to the short run, but in practice it is often difficult to use this measure to realize long-term benefits for a company. Because managers can often manipulate both the numerator (earnings) and the denominator (investment), the resulting ROI figure can be meaningless. Advertising, maintenance, and research efforts can be reduced. Estimates of pension-fund profits, unpaid receivables, and old inventory, are easy to adjust. Optimistic estimates of returned products, bad debts, and obsolete inventory inflate the present year's sales and earnings.

Expensive retooling and plant modernization can be delayed as long as a manager can manipulate figures on production defects and absenteeism. In one survey of financial executives, 80% of the managers stated that they would decrease spending on research and development, advertising, maintenance, and hiring in order to meet earnings targets. More than half said they would delay a new project even if it meant sacrificing value.

Mergers can be undertaken that will do more for the present year's earnings (and the next year's paycheck) than for the division's or corporation's future profits. For example, research on 55 firms that engaged in major acquisitions revealed that even though

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the firms performed poorly after the acquisition, the acquiring firms' top management still received significant increases in compensation. Determining CEO compensation on the basis of firm size rather than performance is typical and is particularly likely for firms that are not monitored closely by independent analysts.

Research supports the conclusion that many CEOs and their friends on the board of directors' compensation committee manipulate information to provide themselves a pay raise. For example, CEOs tend to announce bad news—thus reducing the company's stock price—just before the issuance of stock options. Once the options are issued, the CEOs tend to announce good news—thus raising the stock price and making their options more valuable. Board compensation committees tend to expand the peer group comparison outside their industry to include lower-performing firms to justify a high raise to the CEO. They tend to do this when the company performs poorly, the industry performs well, the CEO is already highly paid, and shareholders are powerful and active.

10.5.2 Goal Displacement

If not carefully done, monitoring and measuring of performance can actually result in a decline in overall corporate performance. **Goal displacement** is the confusion of means with ends and occurs when activities originally intended to help managers attain corporate objectives become ends in themselves—or are adapted to meet ends other than those for which they were intended. Two types of goal displacement are behavior substitution and suboptimization.

Behavior Substitution

Behavior substitution refers to the phenomenon of pursuing substitute activities that do not lead to goal accomplishment instead of activities that do lead to goal accomplishment because the wrong activities are being rewarded. Managers, like most other people, tend to focus more of their attention on behaviors that are clearly measurable than on those that are not. Employees often receive little or no reward for engaging in hard-to-measure activities such as cooperation and initiative. However, easy-to-measure activities might have little or no relationship to the desired good performance. Rational people, nevertheless, tend to work for the rewards that the system has to offer. Therefore, people tend to substitute behaviors that are recognized and rewarded for behaviors that are ignored, without regard to their contribution to goal accomplishment. A research study of 157 corporations revealed that most of the companies made little attempt to identify areas of non-financial performance that might advance their chosen strategy. Only 23% consistently built and verified cause-and-effect relationships between intermediate controls (such as number of patents filed or product flaws) and company performance.

A U.S. Navy quip sums up this situation: “What you inspect (or reward) is what you get.” If the reward system emphasizes quantity while merely asking for quality and cooperation, the system is likely to produce a large number of low-quality products and unsatisfied customers. A proposed law governing the effect of measurement on behavior is that *quantifiable measures drive out non-quantifiable measures*.

A classic example of behavior substitution happened at Sears. Sears’ management thought it could improve employee productivity by tying performance to rewards. It, therefore, paid commissions to its auto shop employees as a percentage of each repair bill. Behavior substitution resulted as employees altered their behavior to fit the reward system. The results were over-billed customers, charges for work never done, and a scandal that tarnished Sears’ reputation for many years.

Suboptimization

Suboptimization refers to the phenomenon of a unit optimizing its goal accomplishment to the detriment of the organization as a whole. The emphasis in large corporations on developing separate responsibility centers can create some problems for the corporation as a whole. To the extent that a division or functional unit views itself as a separate entity, it might refuse to cooperate with other units or divisions in the same corporation if cooperation could in some way negatively affect its performance evaluation. The competition between divisions to achieve a high ROI can result in one division’s refusal to share its new technology or work process improvements. One division’s attempt to optimize the accomplishment of its goals can cause other divisions to fall behind and, thus, negatively affect overall corporate performance. Interestingly, Sears in 2016 is a classic example of this type of dysfunction. For over a decade, the company has spiraled downward at the hand of investor and CEO Eddie Lampert. An Ayn Rand fan, he split the company into more than 30 autonomous units, each with its own executives and board of directors, to boost “visibility and accountability.” Instead, the divisions engaged in cutthroat competition and sabotage. Incentives were tied to the success of the individual divisions, which often came at the expense of other parts of the company.

10.5.3 Guidelines for Proper Control

In designing a control system, top management should remember that controls should follow strategy. Unless controls ensure the use of the proper strategy to achieve objectives, there is a strong likelihood that dysfunctional side effects will completely undermine the implementation of the objectives. The following guidelines are recommended:

1. **Control should involve only the minimum amount of information needed to give a reliable picture of events:** Too

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N O T E S

many controls create confusion. Focus on the strategic factors by following the **80/20 rule**: *Monitor those 20% of the factors that determine 80% of the results.*

- 2. Controls should monitor only meaningful activities and results, regardless of measurement difficulty:** If cooperation between divisions is important to corporate performance, some form of qualitative or quantitative measure should be established to monitor cooperation.
- 3. Controls should be timely so that corrective action can be taken before it is too late:** Steering controls, controls that monitor or measure the factors influencing performance, should be stressed so that advance notice of problems is given.
- 4. Long-term and short-term controls should be used:** If only short-term measures are emphasized, a short-term managerial orientation is likely.
- 5. Controls should aim at pinpointing exceptions:** Only activities or results that fall outside a predetermined tolerance range should call for action.
- 6. Emphasize the reward of meeting or exceeding standards rather than punishment for failing to meet standards:** Heavy punishment of failure typically results in goal displacement. Managers will “fudge” reports and lobby for lower standards.

If corporate culture complements and reinforces the strategic orientation of a firm, there is less need for an extensive formal control system. In their book *In Search of Excellence*, Peters and Waterman state that “the stronger the culture and the more it was directed toward the marketplace, the less need was there for policy manuals, organization charts, or detailed procedures and rules. In these companies, people way down the line know what they are supposed to do in most situations because the handful of guiding values is crystal clear.” For example, at Eaton Corporation, the employees are expected to enforce the rules themselves. If someone misses too much work or picks fights with co-workers, other members of the production team point out the problem. According to Randy Savage, a long-time Eaton employee, “They say there are no bosses here, but if you screw up, you find one pretty fast.”

10.5.4 Aligning Incentives

To ensure congruence between the needs of a corporation as a whole and the needs of the employees as individuals, management and the board of directors should develop an incentive program that rewards desired performance. This reduces the likelihood of the agency problems (when employees act to feather their own nests instead of building shareholder value). Incentive plans should be linked in some way to corporate and divisional

strategy. Research reveals that firm performance is affected by its compensation policies. Companies using different strategies tend to adopt different pay policies. For example, a survey of 600 business units indicated that the pay mix associated with a growth strategy emphasizes bonuses and other incentives over salary and benefits, whereas the pay mix associated with a stability strategy has the reverse emphasis. Research indicates that SBU managers having long-term performance elements in their compensation program favor a long-term perspective and thus greater investments in R&D, capital equipment, and employee training. The average CEO pay package in 2015 was US\$22.6 million about a third of which was in cash. There is some evidence that stock options are being replaced by greater emphasis on performance-related pay.

The following three approaches are tailored to help match measurements and rewards with explicit strategic objectives and time frames:

- ⇒ **Weighted-factor method:** The **weighted-factor method** is particularly appropriate for measuring and rewarding the performance of top SBU managers and group-level executives when performance factors and their importance vary from one SBU to another. Using portfolio analysis, one corporation's measurements might contain the following variations: the performance of high-performing (star) SBUs is measured equally in terms of ROI, cash flow, market share, and progress on several future-oriented strategic projects; the performance of low-growth, but strong (cash cow) SBUs, in contrast, is measured in terms of ROI, market share, and cash generation; and the performance of developing question mark SBUs is measured in terms of development and market share growth with no weight on ROI or cash flow. (Refer to **Figure 10-2**.)
- ⇒ **Long-term evaluation method:** The **long-term evaluation method** compensates managers for achieving objectives set over a multiyear period. An executive is promised some compensation based on long-term performance. A board of directors, for example, might set a particular objective in terms of growth in earnings per share during a five-year period. The giving of awards would be contingent on the corporation's meeting that objective within the designated time. Any executive who leaves the corporation before the objective is met receives nothing. The typical emphasis on stock prices makes this approach more applicable to top management than to business unit managers.
- ⇒ **Strategic-funds method:** The **strategic-funds method** encourages executives to look at developmental expenses as being different from expenses required for current operations. The accounting statement for a corporate unit enters strategic funds as a separate entry below the current ROI. It is, therefore, possible to distinguish between expense dollars consumed in the generation of current revenues and

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		Business Strength/Competitive Position	
		High	Low
Industry Attractiveness	High	Star	Question Mark
		ROI (25%)	ROI (0%)
		Cash Flow (25%)	Cash Flow (0%)
		Strategic Funds (25%)	Strategic Funds (50%)
		Market Share (25%)	Market Share Growth (50%)
	Low	Cash Cow	DOG
		ROI (20%)	ROI (50%)
		Cash Flow (60%)	Cash Flow (50%)
		Strategic Funds (0%)	Strategic Funds (0%)
		Market Share (20%)	Market Share (0%)

SOURCE: Suggested by Paul J. Stomach in "The Performance Measurement and Reward System: Critical to Strategic Management," *Organizational Dynamics*, (Winter 1984), pp. 45–57.

Figure 10.2 Business Strength/Competitive Position

those invested in the future of a business. Therefore, a manager can be evaluated on both a short- and a long-term basis and has an incentive to invest strategic funds in the future. For example, begin with the total sales of a unit (\$12,300,000). Subtract cost of goods sold (\$6,900,000) leaving a gross margin of \$5,400,000. Subtract general and administrative expenses (\$3,700,000) leaving an operating profit/ROI of \$1,700,000. So far, this is standard accounting procedure. The strategic-funds approach goes one step further by subtracting an additional \$1,000,000 for "strategic funds/development expenses." This results in a pretax profit of \$700,000. This strategic-funds approach is a good way to ensure that the manager of a high-performing unit (e.g., star) not only generates \$700,000 in ROI, but also invests \$1 million in the unit for its continued growth. It also ensures that a manager of a developing unit is appropriately evaluated on the basis of market share growth and product development and not on ROI or cash flow.

An effective way to achieve the desired strategic results through a reward system is to combine the three approaches:

1. Segregate strategic funds from short-term funds, as is done in the strategic-funds method.
2. Develop a weighted-factor chart for each SBU.
3. Measure performance on three bases: The pretax profit indicated by the strategic-funds approach, the weighted factors, and the long-term evaluation of the SBUs' and the corporation's performance.

Walt Disney Company, Dow Chemical, IBM, and General Motors are just some firms in which top management compensation is contingent upon the company's achieving strategic objectives.

The board of directors and top management must be careful to develop a compensation plan that achieves the appropriate objectives. One reason why top executives are often criticized for being overpaid (the ratio of CEO to average worker pay is currently 373 to 1) is that in a large number of corporations the incentives for sales growth exceed those for shareholder wealth, resulting in too many executives pursuing growth to the detriment of shareholder value.

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10.6 SUMMARY

Having strategic management without evaluation and control is like playing football without any scoring or referees. Unless strategic management improves performance, it is only an exercise. In business, the bottom-line measure of performance is making a profit that exceeds that of our competitors. If people aren't willing to pay more than what it costs to make a product or provide a service, that business will not continue to exist. **Chapter 1** explains that organizations engaging in strategic management outperform those that do not. The sticky issue is: How should we measure performance? Is measuring profits sufficient? Does an income statement tell us what we need to know? The accrual method of accounting enables us to count a sale even when the cash has not yet been received. Therefore, a firm might be profitable, but still go bankrupt because it can't pay its bills. Is profit the amount of cash on hand at the end of the year after paying costs and expenses? What if you made a big sale in December and must wait until January to get paid? Many retail stores use a fiscal year ending January 31 (to include returned Christmas items that were bought in December) instead of a calendar year ending December 31. Should two managers receive the same bonus when their divisions earn the same profit, even though one division is much smaller than the other? What of the manager

who is managing a new product introduction that won't make a profit for another two years?

Evaluation and control is one of the most difficult parts of strategic management. No one measure can tell us what we need to know. That's why we need to use not only the traditional measures of financial performance, such as net earnings, ROI, and EPS, but we need to consider using EVA or MVA and a balanced scorecard, among other possibilities. On top of that, science informs us that just attempting to measure something changes what is being measured. The measurement of performance can and does result in short-term-oriented actions and goal displacement. That's why experts suggest we use multiple measures of only those things that provide a meaningful and reliable picture of events: Measure those 20% of the factors that determine 80% of the results. Once the appropriate performance measurements are taken, it is possible to get closer to determining whether the strategy was successful. As shown in the model of strategic management depicted at the beginning of this chapter, the measured results of corporate performance allow us to decide whether we need to reformulate the strategy, improve its implementation, or gather more information about our competition.

10.7 KEY TERM

80/20 rule (p. 310)
activity-based costing (ABC) (p. 295)
balanced scorecard (p. 300)
behavior controls (p. 293)
behavior substitution (p. 309)
benchmarking (p. 304)
earnings per share (EPS) (p. 297)
economic value added (EVA) (p. 298)
enterprise resource planning (ERP) (p. 306)
enterprise risk management (ERM) (p. 296)
expense centers (p. 303)
free cash flow (p. 297)

goal displacement (p. 309)
input controls (p. 293)
investment center (p. 303)
ISO 9000 Standards Series (p. 294)
ISO 14000 Standards Series (p. 294)
key performance measures (p. 300)
long-term evaluation method (p. 311)
management audits (p. 301)
market value added (p. 298)
operating cash flow (p. 297)
output controls (p. 293)
performance (p. 292)

profit center (p. 303)
 responsibility centers (p. 302)
 return on equity (ROE) (p. 297)
 return on investment (ROI) (p. 297)
 revenue centers (p. 302)
 shareholder value (p. 297)
 short-term orientation (p. 308)

standard cost centers (p. 302)
 steering controls (p. 292)
 strategic-funds method (p. 312)
 suboptimization (p. 310)
 transfer pricing (p. 303)
 weighted-factor method (p. 311)

10.8 REVIEW QUESTIONS

- 10-1. Is Figure 10-1 a realistic model of the evaluation and control process?
- 10-2. What are some examples of behavior controls? Output controls? Input controls?
- 10-3. How does EVA improve our knowledge of performance over ROI, ROE, or EPS?

- 10-4. What issues affect your faith in a transfer price as a substitute for a market price in measuring a profit center's performance?
- 10-5. Is the evaluation and control process appropriate for a corporation that emphasizes creativity? Are control and creativity compatible?

10.9 STRATEGIC PRACTICE EXERCISE

Each year, *Fortune* magazine publishes an article entitled, "America's Most Admired Companies." It lists the 50 most admired companies in the United States and in the world. *Fortune's* rankings are based on scoring publicly held companies on what it calls nine key attributes of reputation: ability to attract and retain talented people; quality of management; social responsibility to the community and the environment; innovativeness; quality of products or services; wise use of corporate assets; financial soundness; long-term investment value; and effectiveness in doing business globally. In 2016, *Fortune* asked Hay Group to survey more than 15,000 people from multiple industries. Respondents were asked to choose the companies they admired most, regardless of industry. *Fortune* has been publishing this list since 1982. The 2016 *Fortune* list of the top 10 most admired U.S. companies were (starting with #1): Apple, Alphabet (Google), *Amazon.com*, Berkshire Hathaway, Disney, Starbucks, Southwest Airlines, FedEx, Nike, and General Electric.

Twelve years earlier in 2004, the list of the 10 most admired U.S. companies was: Wal-Mart, Berkshire Hathaway, Southwest Airlines, General Electric, Dell Computer, Microsoft, Johnson & Johnson, Starbucks, FedEx, and IBM.

- Why did the most admired U.S. firm in 2004 (Wal-Mart) drop off the top 10 listing in 2016?

- Why did Apple go from not even being on the 10 U.S. listing in 2004 to No. 1 in 2016?
- Which firms appeared on both top 10 lists? Why?
- Why did some firms drop off the list from 2004 to 2016 and why did others get included?
- What companies should be on the most admired list this year? Why?

Try One of These Exercises

- 10-8.** Go to the library and find a "Most Admired Companies" *Fortune* article from the 1980s or early 1990s and compare that list to the latest one. (See <http://fortune.com/worlds-most-admired-companies/> for the latest list.) Which companies have fallen out of the top 10? Pick one of the companies and investigate why it is no longer on the list.
- 10-9.** Given the impact of technology on various industrial sectors, which companies are likely to be on *Fortune's* "Most Admired Companies" in 10 years?
- 10-10.** Compare *Fortune's* list to that compiled by the Reputation Institute (www.reputationinstitute.com). Why is there a difference between the ratings?

10.10 MULTIPLE-CHOICE QUESTIONS

- 10-1.** Which one of the following is not a part of the evaluation and control of performance?
A. Establish corporate strategies.
B. Determine what to measure.
C. Establish standards for performance.
D. Measure actual performance.
E. Take corrective actions.
- 10-2.** If performance data and activity reports indicate undesirable performance as a result of inappropriate use of the strategic management process, operational managers must
A. immediately notify the board of directors.
B. change the strategic management model.
C. know about it so that they can correct the employee activity.
D. allow sufficient time to pass to verify if it is the process or just the usage that is the problem.
E. check the performance data to ensure their accuracy and take two more measurements.
- 10-3.** The end result of activity is known as
A. measurement.
B. gratuity.
C. performance.
D. return on equity.
E. achievement.
- 10-4.** Controls which measure variables that influence future profitability are called
A. steering controls.
B. activity controls.
C. behavior controls.
D. output controls.
E. influencing controls.
- 10-5.** The inventory turnover ratio is an example of a(n)
A. steering control.
B. activity control.
C. behavior control.
D. output control.
E. influencing control.
- 10-6.** Which type of control specifies how something is to be done through policies, rules, standard operating procedures, and orders from a superior?
A. tactical control
B. strategic control
C. output control
D. behavior control
E. functional control
- 10-7.** Which type of control specifies what is to be accomplished by focusing on the end result of behaviors through the use of objectives and performance targets or milestones?
A. tactical control
B. strategic control
C. output control
D. functional control
E. behavior control
- 10-8.** The ISO 9000 and 14000 Standards Series as a way to objectively document a company's high level of quality operations are examples of
A. tactical control.
B. strategic control.
C. output control.
D. functional control.
E. behavior control.
- 10-9.** All of the following are examples of behavior controls EXCEPT
A. monitoring employees' phone calls.
B. monitoring employees' PCs.
C. monitoring employees' Internet usage.
D. using ISO 14000 Standards Series.
E. sales quotas.
- 10-10.** All of the following are examples of output controls EXCEPT
A. sales quotas.
B. specific cost reduction objectives.
C. profit objectives.
D. getting to work on time.
E. surveys of customer satisfaction.

Answer Keys: 10-1. A 10-2. C 10-3. C 10-4. A 10-5. A 10-6. D 10-7. C 10-8. E 10-9. E 10-10. D

